

Dixon Technologies (India) Ltd. (DIXON)

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Call: May 2023

Dixon Technologies (India) Limited

27th May , 2023

To
Secretary
Listing Department
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 051

Scrip Code – 540699
ISIN: INE935N01020 Scrip Code - DIXON
ISIN: INE935N01020

Dear Sir/Madam,

Sub: Transcript of the Q4 FY 23 Earnings Conference Call held on 23rd May , 2023

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q4 FY 23 Earnings Conference Call of the Company held on Tuesday, 23rd May , 2023 .

The said transcript has also been uploaded by the Company on its website and the same is available at <https://www.dixoninfo.com/earning-call-transcript.php> .

We request you to kindly take this on your record and oblige .

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar
Chief Legal Counsel & Group Company Secretary

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ANALYST : MS. BHOO MIKA NAIR – DAM CAPITAL
ADVISORS LIMITED

MANAGEMENT : MR. ATUL LALL - VICE CHAIRMAN AND
MANAGING DIRECTOR - DIXON TECHNOLOGIE S
INDIA LIMITED
MR. SAURABH GUPTA - CHIEF FINANCIAL
OFFICER - DIXON TECHNOLOGIES INDIA
LIMITED
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Page 2 of 20 Moderator: Ladies and gentlemen , good day and welcome to Dixon Technologies Earnings Call hosted by DAM Capital Advisors Limited . As a reminder, all participant lines will be i n the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone p hone. Please not e that this conference is being recorded. I would now like to hand the conference over to M s. Bhoomika Nair from DAM Capital Advisors . Thank you, and over to you!

Bhoomika Nair : Warm good evening to everyone. W elcome to the Q 4 FY2023 earnin gs call of Dixon Technologies India Limited. We have the management today being represented by Mr. Atul Lall, Managing Director and Vice Chairman and Mr. Saurabh Gupta, Chief Financial Officer. I will now hand over the floor to Mr. Lall for his opening rem arks post which we will open up the floor for Q&A. Over to you Sir.

Atul Lall : Thank s very much , Bhoomika . Good evening, ladies and gentlemen . This is Atul Lall, and we also have on the call today our CFO, Saurabh Gupta. Thank you very much for joining this earning s call for t he quarter ended March 2023.

Coming to our overall performance for the fourth quarter , consolidated revenues for the quarter ended March 31, 202 3 was Rs.3 070 Crores against Rs.2 955 Crores in the same period last year , which is a growth of 4%. Consolidate d EBITDA for the quarter was Rs.158 Crores against Rs.1 28 Crores in the same period last year , a growth of 3 2%, consolidate d PAT for the quarter was 81 Crores against 63 Crores in the same period last year, that is a growth of 2 8%.

We ar e pleased to report a strong performance in the margins in the quarter with 110 BPS improvement and the margins have improved up to 5.2% in the last quarter. This has been led by change in sales mix, operating leverage, cost optimization and efficiency mea sures across all busin esses and continued implementation of a strategic price hike across our various ODM business. Coming to our overall performance for 2022 -2023 , consolidated revenues for 2022 -2023 was 12,198 Crores against 10,701 Crores in 2021 -2022 th at is a growth of 14% . Consolidated EBITDA for 2022 -2023 was 518 Crores against 383 Crores in 2021 -2022 that is a growth of 35%. Consolidated PAT for 2022 -2023 was 256 Crores

against 190 Crores in 2021 -2022 which is a growth of 34%. Another highlight was a strong cash earned from the operations of 726 Crores in 2022 -2023 which was used in funding the capex of almost 450 Crores and reduction in gross debt of 275 Crores resulting in further strengthening in our balance sheet with gross debt to equity of just 0.14. There has been huge focus of the team on cash conversion cycle and working capital management,
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Page 3 of 20 Working capital days stood at negative two days at the end of March 2023. Our balance sheet strength and credit lines from banks enabled us to invest in long term development of our business. Our basic approach to capital policy always helped on return of invested capital and financial stability and we have successfully improved our ROC and ROE to 33.4% and 22.4% respectively as on March 31st, 2023, and we feel confident the same would keep improving in the upcoming quarters and years on account of improved

earnings and working capital efficiency. We strongly believe that we have a platform to sustain strong revenue growth moving forward in the overall demand environment and acquisition of new customers, more specifically the large accounts in the mobile business. Now I will share with you the performance and the strategy in each of the segments going forward. Consumer electronics, revenues for the quarter was 981 Crores with an operating profit of 37 Crores and 3.7% operating margin which is a significant improvement over the quarter last year. Operating profit margins have expanded have 90 basis points year on year on account of operating leverage and continuous focus on backward integration and offering our own design solution. Despite a year-on-year volume growth of 13% and 15% in Q4 and 12 months, 2022 -2023 the revenues were lower by 3% and 17% in the same period year on year with significant downward correction in the prices of open cell in the international market. We have closed the ODM for 5:44 inaudible with Google relating to Android and Google TV which will open up a lot of opportunities for us since 65% of the Indian market is on this operating system. We have also tied up with Samsung for Tizen operating system with a combined solutions roll out a large part of Indian market with Dixon oriented solutions will be able to service. We will soon be starting injection moulding and have also infected in LED line in line with a continuous focus on backward integration strategy which will deepen the level of manufacturing in India. We are also exploring newer products which is commercial displays for which we have already received trial orders used in public advertisement and information display and interactive boards for use in educational institutions and office.

Lighting, revenues for the quarter was Rs.270 Crores with an operating profit of 26 Crores and operating margin of 9.7% with an expansion of 260 BPS year on year achieved through combination of reduction in input prices, calibrated pricing action, inventory planning, value engineering and significant initiatives in better sourcing. Apart from sluggish demand reasons for lower revenue is reduction in commodity prices, freight rates and migration of LED bulb technology from driver base to DOB which are approximately 25% lower price since LED bulb is India's largest category in lighting. It has a major impact in the revenue growth. We have very aggressive plans for new product introduction in Q3 and Q4 of FY2022 -2023 and will continue the momentum with the launch of skip and rope lighting in Q1 of FY2023-2024 and professional adding production in the course of 2023 -2024 besides
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Page 4 of 20 the launch of new LED bulbs. After getting export orders from new customers in UAE in Q3 and Q4 we have received our first export order from Germany which will be included in Q2 of current fiscal. We are also in advanced stages of discussion with potential customers in US and UK. New modulating products based on blue tooth mesh technology that we acquired from Ibahn Illuminations will be launched in Q2 of current fiscal. The threshold of investment in FY2022 -2023 under PLI for LED lighting components in line with a backward integration strategy that will make us even more cost competitive and the new plant for the LED lighting component in Dehradun has already started operations in the current month. The capital employment business has been significantly reduced by 175 Crores year on year on account of huge focus on current debt management which has resulted in improvement in ROC to 29% from 22% a year ago.

Home appliances, revenues for the quarter was 281 Crores which saw robust growth of 20% year on year and 15% quarter on quarter. Operating profit of 31 Crores also witnessed a strong growth of 67% year on year and 23% quarter on quarter with

expansion of operating profit margins of 11% led by passing on the impact of commodity cost and exchange rate

fluctuations to our customers , improved operating leverage and cost optimization measures. ROC in this business has improved 30% from 18% a year ago. Our new state of art facility for semi automatic machine in Dehradun will be operational by July 2023. In line with our backward integration strategy , we have set up our own tool room for in-house board manufacturing. The order book in this vertical for the upcoming quarters looks fair. Mobiles and EMS business , revenues for the quarter was 1410 Crores with an operating profit of 59% and 4.1% operating margin which is an expansion of 50 to 60 BPS both on year on year and quarter on quarter. We have got large orders from Jio for which manufacturing already started and for Nokia our volumes have already increased significantly. Now in addition to this we are very , very close to finalizing two large relationship with the largest of global brand in India. These relationship with one of the brands is joint manufacturing. We are likely to start operations in next five to six months in the current fiscal for which a new facility of 320,000 square feet in Noida is in the process of being set up which will become operational in end of Q2. Security surveillance system, Dixon's 50% share of revenue for the quarter was 124 Crores with an operating profit of 4 Crores. We have expanded the capacity from 10 million to 14 million per annum in a new 200,000 square feet facility in Koppurthi . It got operational on May 15th in the current month. Operating profit margins year on year mainly due to shifting of management of cost structure .

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Page 5 of 20 Telecom and networking products, in this segment for Q4 and FY2022 -2023 was 126 Crores and 311 Crores respectively. Our separate facility in Noida got operational in December 2022 and we achieved a threshold of capex and minimum revenues in first year under PLI scheme.

We have bagged large order for set up boxes from Airtel and mass production should start by end of Q2 in the current fiscal. Also, we have another business of android set up boxes in partnership with Global Orient. The development work has started in March. Production will start from Q4 current fiscal. This has potential to grow even to other geographies outside India for exports. We are in active discussion with some large global brand for each and new product categories and building a joint team for R&D with our partners so today we have already emerged as one of the largest manufacturers of OMD and Wi-Fi routers for Airtel in the country. Next vertical is laptop and tablets, IT hardware revenues for this segment was 92 Crores in Q4 and 155 Crores in whole of 2022 -2023. This is for our major anchor customer Acer. The government has recently announced PLI scheme for IT hardware, products soon with a much higher pay out. We are studying the contour of scheme and will definitely be participating in this government initiative which is tremendous potential. In addition of Acer brand whose order is increasing monthly we are in discussion with some large global brands and for one of the brands the production should be starting next month. Rexam Dixon Electronics Private Limited for our AC control board business. This is a 40:60 JV with Japanese company Rexam to manufacture inverter control boards for air conditioning and is based out of new manufacturing facility in Noida. It has started operations in July 2022. The JV company achieved revenue of 79 Crores and 239 Crores in Q4 and FY2022 -2023 respectively. Revenue potential in this business is huge with healthy margins and 100% ROC. The JV company is beneficiary under the PLI scheme, and we will make a total investment of 51 Crores over a period of five years. We have achieved

the capex threshold under PLI scheme for 2022 -2023 and will continue to invest to improve the operations . Wearables and hearables, revenue for this segment was 65 Crores and 300 Crores in Q4 and FY2022 -2023 respectively. We have an extremely healthy order book in this vertical and we are targeting to almost double our 50% share in revenues in this current fiscal on account of increasing our quantity for existing SKUs of TWS and neck bands but also new SKUs like booth tooth speakers and smart watches and a new factory which has been setup in Noida is 50:50 JV with Imagine Marketing and they are the brand owners of Boat. In line with our strategy with increasing level of manufacturing the PCB will also be invested for. In addition, we have started manufacturing TWS in smart watches for Samsung and a dedicated plant for mobile phone for Q4 of current fiscal. Refrigerators, the construction is under way on creating a facility in greater Noida. We are creating a capacity of 1.2 million direct cool refrigerator. This is in the capacity range of 190 liters , 235 liters with multiple features. We have already finalized and with some

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Page 6 of 20 brands in the final stages of finalizing and the ties up with both global and national brands. The production is expected to start in the quarter of 2023 -2024, so I will like to stop here

now and me and Saurabh are there to respond to your questions . Thank you .

Moderator : Thank you very much. We will now begin with the question -and-answer session . The first question is from the line of Renu Baid from IIFL Securities . Please go ahead.

Renu Baid : Hi, good evening, Sir and congratulations for good performance. I have a few questions first one mobile phone you did share quite a few development and two large brands coming on board in the next few months so can you help us how does the guidance on the mobile segment look for FY2024 -2025 based on the timing of these clients coming on board and the new factory getting operational.

Atul Lall : Good evening, Renu. You know that mobile is going to be largest trigger of growth and we are in the processes of concluding with two of the largest brands present in India, global brand. Capacities are being created and I am hopeful in Q3 or in all probability by mid of Q3 the manufacturing for these brands will start and large revenue I do not want to put a number to it is going to come in from these two brands will be very very large.

Renu Baid : The guidance for FY2024 how should we look at the mobile PLI and the overall revenue to stack up is a bit close to 6000 Crores or does the number stack based on the pipeline of orders that you have from existing and new clients.

Atul Lall : So, in 2023 -2024 the government guidelines is for 6000 Crores. We are confident of meeting, and we feel confident that there is going to be a significant overflow above 6000 Crores.

Renu Baid : Got it. Sir, secondly, given that PLI incentives and other programmes have been operational across segment can you share what was the incentive income booked in fiscal 2023 by Dixon across key different verticals and in total.

Saurabh Gupta: So, Renu we had only two incentives across two PLIs one is of course mobile where we are absolutely our incentive since December 2022, we have received so our share of revenues for FY2022 -2023 would be somewhere around 9 to nine and half Crores apart from that we have also received a threshold for the telecom PLI with a JV with Bharti group. The JV revenue would be somewhere around 2 or 3 odd Crores.

Renu Baid : And this number should substantially ramp up next year given growth across all this entity coming from.

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Page 7 of 20 Saurabh Gupta: That is right so next year we will start getting the incentive of IT hardware which we will start booking

so for Rexxam JV our inverter controller boards with Rexxam whereby whatever revenues we do we will get an incentive on that and also on the lighting components PLI we have done the capex. Capex has already begun under the inverter control JV with Rexxam. Index is already being done on the lighting components PLI. I think so incentives will start flowing in the current financial year.

Renu Baid : Sure, Sir thirdly and lastly in this case consumer electrical television if you see the margins are very strong this quarter 3.7 overall improving the margins for the year how should we look at the margin going forward in 2024 especially that now the ODM mix in revenue will substantially improve compared to fiscal 2023 so any input from this side will be appreciated .

Atul Lall : So, you are right Renu the large part of revenues in television segment is also coming from the ODM stream. The margins are going to be almost in similar range, in the range of 30 to 40 BPS plus minus for what we have achieved currently.

Renu Baid : Approximately 3.5% plus and minus range actually comes from that.

Saurabh Gupta : It is overall between 3.5 to 4 odd percent.

Renu Baid : Got it. I have a couple of more, but I will get back in the queue later. Thank you so much and all the best Sir.

Moderator : Thank you. The next question is from the line of Ankur from HDFC Life . Please go ahead.

Ankur : Hi Sir, good evening. Thanks for your time as always. Few questions one was on the overall end market demand itself for durables specifically TV, lighting, home appliances and we mostly see a slowdown and we keep on hearing the same from different companies but if you could help us understand what are your clients/customers telling you in some of these segments. How is your pipeline or order book when you look at say the next six months or so.

Atul Lall : So, Ankur it has been a mixed kind of bag. In certain businesses the order book is flattish, in certain businesses the order book is strong. In our case also please appreciate that being an outsourcing company also what makes a difference is that what is the share of wallet you are able to extract from existing customers and how is your customer acquisition initiative being pursued so coming to specifics first one and half months I find the demand in consumer electronics and lighting to be slightly flattish , but fortunately in last two weeks I am seeing an element of positivity and things turning around and in any case from next Dixon Technologies India Limited

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Page 8 of 20 quarter we are heading towards the festive period so things are looking better. In case of mobile , the order book is very , very healthy. We have new customer acquisition and we have already started manufacturing for Jio. We have much larger share of wallet of our existing customers. In our existing anchor customer Motorola, we are assured of a larger order book including exports, so it is looking much much better. Similarly in telecom devices the order book from Airtel is really healthy. They are really pushing up their broad band. Also, in the case of hearables and wearable the order book is very very good. In fact, we have been pushed by our anchor customer to double our capacity from 1.2 odd million to 2.5 million in next one and half to two months, so it is mixed kind of bag, but I feel in the forthcoming quarters in a month or two things are going to look up significantly. This is what my sense is.

Ankur : Okay and also in washing machine I think that is one segment.

Atul Lall : Washing machine if you see last year, we have grown from 1.1 million in semi automatic to almost 1.5 million with 29% growth and also in the case of FATL fully automatic top loading since the base was low, we are improving zone from practically nothing to 1.6 lakh. This year our internal plan is to grow from 1.5 to 1.75 and in the FATL to grow almost

250k so we have an aggressive growth plan there.

Ankur : And if you could just also remind us of your FY2024 overall sales and margin guidance if any you can share. I think on the last call I think the number was closer to 18,000 odd Crores for 2024 if I kind of remember correct for 2024 if you could just help us with that.

Atul Lall : So, Ankur I do not want to give any specific guidance however I want to assure the stakeholders that the growth is going to be aggressive. It is going to be much ahead of the industry.

Ankur : Okay fair and just last one would be if you could share the volume detail by segment for FY2023 please.

Saurabh Gupta : So, the volume numbers for TV, so you want for the quarter or for the year.

Ankur : Year would be greater.

Saurabh Gupta : So, on TVs we did a volume of almost 3.43 million as against 3 million last year so that is a growth of 15% odd. So broadly we did a volume almost LED bulbs baton, down lighters and other this year put together we did somewhere around 17 odd Crores and in semi automatic washing machines we did 1.5 million, fully automatic washing machine we did 1.6 lakh, smart phone outside Samsung was around 35.4 lakhs against 35.3 lakhs last year Dixon Technologies India Limited

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Page 9 of 20 so there is a growth of 40% odd there. Feature phones we did around 55 lakhs as against 30 lakhs so there is a growth of 82% here. On Samsung smart phone we did a number almost 94 lakhs as against 84 lakhs last year it is a growth of 12%. Samsung feature phone we did 82 lakhs as against 109 lakhs, 1.09 Crores last year so there is a degrowth of 25% in Samsung feature phone and Samsung as you know has taken a call to exist out of the feature phone business. CCTVs and DVR put together we did somewhere around 74 lakhs as against almost similar number 74 lakhs last year so it is flattish kind of number and set up boxes will be around 14 odd lakhs and TWS and neckband put together we did almost 57 lakhs for hearables and wearables .

Ankur : Okay great that was very helpful. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia : Hi Sir, good evening. Sir, my first question is on margins that you report on JV and contraction consumer electronic business are they meaningfully better than the EMS part.

Atul Lall : So, there are, there are definitely Aditya .

Aditya Bhartia : Could you share some range how much better they could be and how you are expecting the JD proportion to be moving in this business.

Saurabh Gupta : Basically if you look at Aditya our contribution of the ODM business in TV has significantly increased from Q4 if you look at our consumer electronics, the LED TVs the ODM share revenues have gone from 5% to 38% and at yearly level it has gone from 4% to 23% so this is one of the reasons why the margins have expanded because of higher shares of ODM on design solution revenues coming in which is of course at slightly better margins than the average margins for the portfolio and also if you look at continuously we are migrating more and more to backward integration and portion of backward integration so the portion of PCB is being done for customers like Samsung, Xiaomi is increasing. We are also now focusing more on backward integration like injection moulding plastic for TV apart from panel assembly as well as the mother boards for TV and in the second half of the year there will be order in the line we are also looking to do LED bars of TV so clearly the

focus is to migrate more on more on backward integration focus more on designing and clearly we have got a large order for Samsung, once the Google solutions comes in from second half of this financial year those will also have a positive impact on the margin side as well so clearly more than the volume play in this business

think the margin profiles has
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Page 10 of 20 been very positive and we will continue to make efforts to drive higher margins in this business.

Aditya Bhartia : Understood so H2 you mentioned what exactly you will start doing.

Saurabh Gupta : We will roll out a solution from the portal and android TV.

Atul Lall : As in ODM we are the only Indian Google agency and in the smart television segment ...

Aditya Bhartia : We were discussing about the JDM part of the business and you kind of indicated about the margins just confirming from H2 you mentioned that you will start doing LED bulbs.

Atul Lall : Aditya as we were explaining the whole focus of television strategy is migration to more and more our own design solutions which we already launched for our anchor customer.

Further the roll out of the Google TV for which we are the only ODM agency in India and also Samsung Tizen operating software solution is going to happen in H2 of the current fiscal year. In addition to this our backward integration strategy is being pursued vigorously. Our mechanical plant that is injection moulding plant is going to become operational any day now and also, we are committed to make investment in LED bar which will also be rolled out in the second half of the current fiscal, so the strategy is migration more and more to ODM solution and backward integration and generate operating business for those. Further we are also improving the product mix. We are in the process of launching our commercial display for which we have already received trial orders and the production is about to start and also interactive TVs for educational institutes so that is the strategy we pursue for consumer electronics.

Aditya Bhartia : Sir you spoke about Jio phones in the mobile division. If you can throw some light on how large the contract is, what exactly we are doing from that side.

Atul Lall : We already started manufacturing the 4G phones for Jio. The manufacturing has started in the current month and the order book is fairly healthy. At present the order book is almost half a million units a month.

Aditya Bhartia : Understood and lastly Sir did we see any margin benefit due to RM cost coming down in the ODM business give that specifically the pass through happens with a bit of lag.

Atul Lall : If you see in our ODM business there has been a margin improvement across all our ODM business that is the result of value engineering, generating operating leverage because of the scale, improving the productivity and having a control on the cost and a part of this is also passing on increase to our customers.

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Page 11 of 20 Aditya Bhartia : Understood. That is helpful, Sir. Thank you so much.

Moderator : Thank you. The next question is from the line of Abhishek Ghosh from DSP. Please go ahead.

Abhishek Ghosh : Hi Sir. Thank you so much for the opportunity. Sir, just in terms of the television segment how should we look at the volume growth and what can be the share of ODM over the next 12 to 18 months how are you looking at it.

Atul Lall : So, Abhishek if you see our 2021-2022 numbers for television were around 2.9 million. In the last fiscal we have grown to 3.4 million which is 15% growth. Please appreciate this kind of volume growth has happened in spite of the industry not growing and internal budgets for the current fiscal are around 3.8 million which is a growth of around 10% that is what we are budgeting for the current fiscal.

Abhishek Ghosh : How should the share of ODM move from currently 35% in the current quarter? How should that look over the next 12 to 18 months.

Atul Lall : So, we feel that the ODM is going to be almost 45-50%.

Abhishek Ghosh : Okay Sir large part of the ODM led margin benefit has already got reflected in the current quarter is that a

fair assumption.

Atul Lall : Well actually there is going to be a further trigger when the roll out for our own ODM Google Solutions are going to happen but for that to ramp up it will take some time.

Abhishek Ghosh : Got that great. Sir in terms of the lighting segment while you did allude to a point that because of the lower raw material and change in product mix and the change in technology as well revenues have been muted but just in terms of volume also and you have also spoken about the competitive intensity in the earlier quarters how has that been panning out

and is that also a reason for a slightly sluggish top line just your comments here Sir, thanks.

Atul Lall : Yes, you are right. The market has been flattish 34:57 audio cut happened and also the competitive intensity is there so in Dixon's case our large revenue generator has been SKU like LED bulbs, wherein the growth is not happening so one of those lot of initiative has happened on expansion of the product portfolio, one more and more products goes out from the ceiling and down lighter is happening, second our new product category for ropes has been rolled out and the commercial production is just about to start which is again going to add to our revenues. Further our professional lighting solutions are also going to be rolled out in second half of the current financial also monetization of the smart lighting which we

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Page 12 of 20 have acquired from Ibahn will also start happening in the current fiscal, so these are certain concrete steps being taken up by the team for the revenue growth.

Abhishek Ghosh : Okay Sir just one last thing in terms of you mentioned couple of large clients whom are you likely to sign up and factories are getting constructed so I just wanted to get some clarity around that you start doing the capex even before the final deal is signed and how does it work and how should we look at it.

Atul Lall : So please appreciate it we have been sharing the progress for couple of quarters and the large customer acquisition take their own time because the discussion happen both on the technical and commercial tangents. We are almost in the final stages of conclusion and the commercial production for one of them is about to start soon for another one I think it will take two to three months to start so we are at very very advanced stages of concluding that. We are almost there so that is what I am in a position to share at this stage.

Abhishek Ghosh : Sir my only point is you are committing the capex in anticipation is there a fair amount of visibility that is the reason you are going in and committing that.

Atul Lall : Yes, absolutely see otherwise no capex be.

Abhishek Ghosh : The arrangement with Teno that you have done sometime in February.

Atul Lall : Teno is an entirely different project which to start with is for exports to US market.

Abhishek Ghosh : Got that. Okay Sir thank you so much for answering my questions wish you all the best.

Moderator : Thank you. The next question is from the line of Dhruv Jain from Ambit Capital. Please go-ahead Sir.

Dhruv Jain : Hi Sir. Thanks for the opportunity. Sir I have a question with respect to lighting so you mentioned with respect to the exports starting to Germany etc., and some of the technological that have happened in the space so how should we look at the growth in this vertical so in FY2024 -2025 what is the internal target that you are setting yourself and also you had some issues internally in the team so have they been resolved.

Atul Lall : As I said the domestic market has been kind of flattish and sluggish. We are pursuing the product expansion, getting into new SKUs to get into new category and then lighting is a category in the current fiscal also.

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Page 13 of 20 Dhruv Jain : Yes, I had one more question if you could just indicate what would be the capex for 2024 and 2025 thanks.

Saurabh Gupta : Capex would be in the range of 400 Crores.

Atul Lall : Sorry 2023 -2024 I am hearing it is going to be around 400 Crores.

Dhruv Jain : Alright.

Moderator : Thank you. The next question is from the line of Dhananjai Bagrodia from ASK. Please go-ahead Sir.

Dhananjai Bagrodia : Maybe I missed this for consumer electronic what would be the open sell prices and realization for the year.

Saurabh Gupta : So, Dhananjai if you look at the consumer electronics so our selling prices for that Q4 was around average it was around 11,700 and a similar to the last year average was around 14,000. This clearly it has come down and compared to the weighted average selling prices of the complete categories of TV put together. At a full year level in 2021 -2022 the selling prices for us at a total level was around 16,400 which has now come down to around 11,500 for 2022 -2023 so clearly there has been a pricing, the value being lower by 30% mainly on account of the open cell where the prices have corrected in the international market.

Dhananjai Bagrodia : The open cell the price decrease be exactly equal to this.

Atul Lall : Almost like that.

Dhananjai Bagrodia : Okay sure and Sir another question, your other expenses as percentage of sales has been declining would it be fair to assume that this would be steady state or just go for more improvement from here.

Saurabh Gupta : So basically, your observation is right all the expenses as a percentage of revenue whether it

is employee expenses, other expenses depreciation of finance cost as a percentage of revenue will keep coming down. We have got some significant operating leverage benefit in some verticals and some verticals it has kick in this financial year and overall, it will start reflecting and so your observation is absolutely right it should coming down.
Dhananjai Bagrodia : Any guidance in terms of what could be the base case or anything of that sort.
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Page 14 of 20 Saurabh Gupta : So, if you look at the operating profit margin it has expanded by 50 to 60 BPS and gone up to almost 4.2%. My sense is clearly this year also there can be a possibly margin expansion of around 20-25 BPS but one has to wait and watch on the whole demand scenario which of course should pick up ahead of the festive season.

Dhananjai Bagrodia : I was asking this 5.1% OPM which we have this quarter . This would be little more on the higher side and you mentioned that 4.2, 4.3 is what you think will be sustainable for FY2024-2025 right.

Saurabh Gupta : So, the point I wanted to bring about that last year 2021 -2022 our margins went up as 3.6% mainly because there was a big supply chain impact, commodity prices impact which has now been completely settled so we have clearly expanded the margins to 4.3. We think with benefits of operating leverage coming in migration to ODM that we are focusing on in most of the verticals and also more and more backward integration clearly, we see that some kind of margin expansion is possible in this 4.3% so broadly you should look at a range of almost 4.2 to 4.5% kind of range for this financial year.

Dhananjai Bagrodia : Okay and if I could squeeze in one question. I know guidance has been little tough to give apart from mobile phones and maybe somewhat in washing machines any other segment where you see double digit growth going ahead.

Atul Lal : I have shared with you the volume growth in television and now the value is also increasing because the open cell prices have already gone up by almost 15% so there will be a value growth. There would be definitely a significant growth in washing machine. I have shared with you our current plan which is almost 20% more than the last year. There will be of course large growth in mobile side.

de. In lighting I have talked about a growth of 15% in the new category of the hearables and wearables where the base was low and the order book was extremely high , the growth is going to be extremely aggressive . The new vertical of telecom devices again the growth is going to be good because the base is low. In Rexxam JV the order book for Daikin is very healthy so the growth definitely is going to be much much ahead of the industry growth. We are fairly confident about it.

Dhananjai Bagrodia : Okay and Sir last question is bookkeeping question in our mobile phones ex mobiles the other businesses what margin would they be approximately.

Saurabh Gupta : Yes, the other businesses the margin profile would be better as compared to mobile so if on average we have done say a margin of 4.1 so broadly those margin profile will be upwards of 4.5% in other business.

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Page 15 of 20 Atul Lal : And other businesses and EMS is going to be around 30 -40 BPS more than mobile .

Dhananjai Bagrodia : Okay sure. Thank you so much.

Moderator: Thank you. The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead Sir.

Onkar Ghugardare : In an interview you had given guidance of around 23,000 to 24,000 Crores of revenue for FY2027 so if we calculate that from current 12,000 odd levels to 23,000 to 24,000 Crores it is almost a double in say in say next four years from 2023 to 2027 so that is around say 15 to 17% kind of growth in the revenue front so which is much lesser than the growth which you were talking about earlier say one year back say growth of around 25 -30% so what has exactly changed.

Atul Lal: That was my response to an overall number when the anchor asked me over four to five years time frame. Here I am very specific in responding to you that the growth is going to be much ahead of the industry growth. I do not want to put a number to it.

Onkar Ghugardare : Okay and what is the current industry growth.

Atul Lal: So across various businesses it is different.

Onkar Ghugardare : Correct but as you are saying it would be much larger than the industry growth you would be knowing right.

Atul Lal: I do not want to get into specific answering that question please.

Onkar Ghugardare : Okay so the internal target is at least to double the revenue in next three, four years.

Atul Lal: That is right.

Moderator: Thank you. We will move to the next question that is from the line of Pulkit Patni from Goldman Sachs . Please go ahead.

Pulkit Patni : Sir thank you for taking my question. Sir just wanted to understand from the landscape of mobile EMS right now in India. There was news flow around Vistron possibly exiting India how are we looking at the whole Apple business is there something that you can share on that account. How are the Chinese companies doing in terms of own manufacturing are any of them planning to do more in terms of outsourcing where we could benefit just to understand the broader landscape on mobile EMS and where we are.
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Page 16 of 20 Atul Lall : It is an extremely pertinent question. I would like to respond it at two levels so undoubtedly Apple is the flag bearer of mobile manufacturing store in India and that is on a high growth path and I would compare it to the Maruti Suzuki story which gave a flip to the auto industry back in 80s and 90 and that component ecosystem, the devices is on a very very high growth path now whether the opportunity exists for the Indian player we are of the firm conviction yes but it is going to take some time. It is going to happen through partnership routes and definitely there will be a large opportunity for mobile, Apple ecosystem for Indian manufacturers definitely. Second is the EMS story one of those is dominated by the global players are

kind of focused on Apple and Samsung. Second is the Chinese brands and please be rest assured more and more Chinese brands are looking at outsourcing the base model and it is not only going to be device manufacturing, it is also going to be the creation of the component ecosystem it is also going to be deepening on manufacturing and hopefully at some point of time apart from Apple , India will possibly will emerge as an exporter that is at the broader level. I was trying to respond to your question on the landscape mobile manufacturing in India.

Pulkit Patni : Sure, Sir that is useful maybe I will slip in more. Sir I know you are not giving any guidance but mobile is a very large part and anywhere delta there could be significant, since you are putting in capex for the two new customers you would have some visibility on their contribution for FY2024 so if you could just talk about how much could those two new customers be in terms of contribution because that will help us understand the revenue trajectory there.

Atul Lall : So, you see any new customer acquisition, ramping the production, stabilizing the production takes some time and to give some kind of firm number is slightly difficult because stabilizing of operations takes time however, I feel that these two new accounts on a combined basis can generate 4 to 5000 Crores of revenue in this current fiscal itself.

Pulkit Patni: That is useful. Thank you.

Moderator: Thank you. The next question is from the line of Nikhil Agrawal from VT Capital. Please go ahead Sir.

Nikhil Agrawal : Good evening, Sir and thank you for the opportunity. Sir, I had a question on the mobile phone division last quarter you had guided for 8000 Crores of revenue if I am not wrong and now you are guiding for 6000 Crores of revenue for 2024 so any reason for this cut.

Atul Lall : So, I have not cut anything. I have not given any guidance for this year. What I had responded to Renu was that upwards ceiling for our PLI and also there is an overflow
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Page 17 of 20 provision in the PLI scheme is 6000 Crores we are assured of that, but we are confident of surpassing that significantly.

Saurabh Gupta : If you listen to the answer which was given in the previous question clearly and what was given in the last call, I think those numbers are almost similar.

Nikhil Agrawal : Okay got it and Sir one more question like in the last quarter you had mentioned that you would be acquiring a large customer in March so like any update on that in the mobile segment.

Atul Lall : So this is what I have shared in responding to last three, four questions and that we are at a very very final stage of closing down on a couple of customers and the manufacturing for these customers should start in the next three, four months. A new factory is being set up of 320,000 square feet which will be operational by July, August.

Nikhil Agrawal : Okay got it. Thank you so much. That is it from me.

Moderator : Thank you . The next question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia : Sir my question was on the capex number wherein I have seen that you have done roughly 170 Crores of capex in Q4 given that you had indicated capex stood at 280 Crores for nine months is it mainly on the mobile phone facility that we are speaking about or there is something more to it.

Saurabh Gupta : So, Aditya one of course we have done some part of capex for mobiles but that large part of the capex will happen in Q1 is currently happening both on the new plants as well as the

machinery or the lines required for those potential customers. I think so the Q4 capex that you are talking about 170 Crores a significant portion has gone into our refrigerator plant which is now will be live in that plant by November so lot of advances, machinery, construction for the 20 acres facility

is happening at a very fast pace now, so significant portion of that 170 Crores has gone to refrigerator. Mobiles is also part of it and also semi automatic washing machine we have taken a new plant which will be operational by July so construction on that machinery all put together.

Aditya Bhartia : Understood and just one clarification for Jio phone you had mentioned 0.5 million order book per month did I hear that correctly.

Atul Lall : This is not a continuous business. The Jio order come in project forms, so the current order book is of this kind.

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Page 18 of 20 Aditya Bhartia : Understood and overall, we have the order book for two to three months.

Atul Lall : Something like that.

Aditya Bhartia : Understood Sir. That is very helpful. Thank you so much. Wish you good luck.

Moderator : Thank you . The next question is from the line of Alok Deshpande from Nuvama Institutional Equities . Please go ahead.

Alok Deshpande : Yes, good evening, everyone and thank you very much for taking my questions. My question was little bit long term if you look at the next maybe three to four years or five years are there any categories within electronics which are completely untapped in the sense that which you are not at all entered any colour you can give on that.

Atul Lall : You see in Dixon's case our growth journey has been of course growth in the existing businesses. In existing businesses getting the large share of existing customers and also acquiring new customers apart from that building on core competence of electronic manufacturing every year practically we have been venturing into new business. We started only with television, lighting, washing machine, air conditioning components, refrigerator, mobile, telecom devices, set up boxes, TWS, smart watches. We feel this is current opportunity pool particularly after the PLI version 2 has been rolled out by the government, a large opportunity can be IT products, so the team is studying the new PLI scheme. We feel there is large opportunity for us so that is what I see as of now, but everything is electronics many , many things will come in the way of the industry and in Dixon we will not lose any kind of opportunity so as of now what I see in front of us apart from existing business is the IT products.

Alok Deshpande : Sure, understood and just one clarification on this two new potential customers that will come in the mobile division . Sir last time when you have given the guidance of mobile revenue going up from 4000 Crores to 8000 Crores, I presume you were assuming that the commercial production there would start probably in Q1 of FY2024 now that getting pushed out to Q3 do you still see that kind of quantum of revenue coming in FY2024 or you are largely indicating the quantum that can potentially come on annual basis.

Atul Lall : So, any start of a new large account has its own challenges, so I am not commenting on any number. However, at the same time we as a team at Dixon are fairly confident of generating that number.

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Page 19 of 20 Saurabh Gupta : Also, there has been a small change. Last time we were talking about two customers including Teno which we have already announced now including Teno we are talking about three customers.

Atul Lall : And also, we are talking about Jio which is already operational.

Saurabh Gupta : And Nokia increased quantity so that has given us more confidence and despite this new customers only running for six months of operation we can still achieve those kind of numbers that we have guided for earlier.

Alok Deshpande : Understood very clear. Just one very small question the margin improvement that we have seen in Q4 sequentially as well as year on year now a lot of the drivers that were mentioned at the start of the call seemed very structural

to me in terms of strategic price hike, cost efficiencies etc ., now is it fair to assume that not at overall level but across segments this margin level become the new normal for this year coming year.

Atul Lall : So please appreciate in Q4 the margins have expanded by 110 BPS to 5.2% now are they sustainable I think we should be conservative. On an annual basis the margins are around 4.2% which increased from 3.6% on an annualized basis. We feel that from 4.2% there is a possibility of improvement by 30 -40 BPS but let us see.

Alok Deshpande : Thank you. It is very helpful .

Moderator : We will take the last question from the line of Keyur from ICICI Prudential Life Insurance . Please go ahead Sir.

Keyur : Thank you and congrats for good set of results. Sir the question is on lighting and washing machine so despite all the initiatives in lighting it is about new category addition of say commercial lighting, rope lighting and one more drive of export and on the other hand washing machine we are adding full automatic and earlier we have talked about export opportunity as well so despite that overall growth numbers are in line with what industry is growing or slightly higher than that so what has happened is it because of the industry slowdown because earlier we were talking about new customer addition as well in washing machine so just to get an idea on what is happening on the exports side because that was considered a big opportunity in lighting and more customer addition in fully automatic washing machine so just your thoughts on despite all these drivers why slightly not muted but moderate growth guidance.

Atul Lal : So, responding to your question on washing machine we started with our anchor customer and more and more new customers are being added please be rest assured. This customer Dixon Technologies India Limited
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Page 20 of 20 acquisition is being pursued very aggressively and it is also maturing, and we are the only large ODM FATL player in the country, so the growth is going to be good but launch of any new solutions in the new customer only a complex product like fully automatic top loading it takes its own time and that is the reason the indicative numbers is slightly conservative. On the lighting side whatever undoubtedly the domestic market has been flattish and also the unit price in certain SKUs like led bulbs and baton have been significantly declining. We are trying to build the volumes there but the main growth is going to come with addition of new category like expanding the product portfolio of ceiling light and down lighters launching the strip light and rope light for which the commercial production is just about to take off, launch of professional lighting for which our R&D team has been strengthened significantly and roll out is on the way and then exports so I have guided for around 12-15% growth in lighting which I feel and that with unit price decline is an aggressive target.

Keyur : Okay understood. Thanks a lot, and all the very best.

Moderator : Thank you. Ladies and gentlemen , that was the last question for today. I now hand the conference back to Ms. Bhoomika Nair for closing comments . Thank you and over to you Mam.

Bhoomika Nair : On behalf of DAM Capital, I would like to thank everyone for being on the call and especially the management for giving us an opportunity to host the call. Thank you very much and wishing you the very best.

Atul Lal : Thank you everyone and thanks Bhoomika . Thanks very much.

Saurabh Gupta : Thank you everyone. Thank you Bhoomika .

Moderator : Thank you very much . Ladies and gentlemen, on behalf of DAM Capital Advisors Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Jul 2023

Dixon Technologies (India) Limited

28th July, 2023

To
Secretary
Listing Department
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 051

Scrip Code – 540699
ISIN: INE935N01020 Scrip Code - DIXON
ISIN: INE935N01020

Dear Sir/Madam,

Sub: Transcript of the Q1 FY 24 Earnings Conference Call held on 25th July, 2023

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q1 FY 24 Earnings Conference Call of the Company held on Tuesday, 25th July, 2023 .

The said transcript has also been uploaded by the Company on its website and the same is available at <https://www.dixoninfo.com/earning-call-transcript.php> .

We request you to kindly take this on your record and oblige .

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar
Chief Legal Counsel & Group Company Secretary

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CIN: L32101UP1993PLC066581

"Dixon Technologies (India) Limited
Q1 FY '24 Earnings Conference Call"
July 25, 2023

MANAGEMENT : MR. ATUL LALL – MANAGING DIRECTOR AND VICE
CHAIRMAN – DIXON TECHNOLOGIES (INDIA) LIMITED
MR. SAURABH GUPTA – CHIEF FINANCIAL OFFICER –
DIXON TECHNOLOGIES (INDIA) LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

Dixon Technologies (India) Limited
July 25, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to Dixon Technologies Q1 FY '24 Earnings Conference Call , hosted by DAM Capital.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Bhoomika Nair from DAM Capital Advisors Limited.

Thank you, and over to you, ma'am.

Bhoomika Nair: Yes, thanks. Good evening, everyone, and welcome to the Q1 FY '24 earnings call of Dixon Technologies. We have the management today being represented by Mr. Atul Lall, Managing Director and Vice Chairman; and Mr. Saurabh Gupta, Chief Financial Officer.

At this point, I'd like to hand over the call to Mr. Atul Lall for his initial remarks, post which we'll open the floor to Q&A. Over to you, sir.

Atul Lall: Thanks very much, Bhoomika. Good evening, ladies, and gentlemen. This is Atul Lall and we also have on the call today our CFO, Saurabh Gupta.

Saurabh Gupta: Good evening, everybody.

Atul Lall: Thank you very much for joining these earnings calls for the quarter ended June '23. Coming to our overall performance for the first quarter. Consolidated revenues for the quarter ended June 30, '23 was INR3,274 crores as against INR2,855 crores in the same period last year, which is a growth of 15%. Consolidated EBITDA for the quarter was INR135 crores against INR101 crores in the same period last year, which is a growth of 34%. Consolidated PAT for the quarter was INR67 crores against INR45 crores in the same period last year, which is a growth of 48% .

Our team's focused execution in a fairly challenging operating environment helped deliver strong earnings and 60 bps improvement of EBITDA margins year -on-year, led by operating

leverage, cost optimization and efficiency measures across all businesses and also continued implementation of strategic price hikes across ODM businesses, both in washing machine and lighting.

The financial position continues to remain very healthy. with gross debt -to-equity at 0.14x. Our basic approach to capital policy always has been to maximize the return on invested capital and financial ability. Our ROCE and ROE in the last quarter was 32.4% and 23.1%, respectively, as on 30 , June '23. And we feel confident the same will keep improving in the last coming quarters and years on account of improved earnings and working capital efficiency. Looking ahead, we believe that we have a platform to sustain an extremely strong revenue growth moving forward with the strengthening in the overall demand environment and also our balance sheet, and most importantly, new customer acquisitions and getting into new domains.

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Now let me introduce the performance and the strategy in each of the segments going forward. Consumer Electronics, revenues for the quarter were INR882 crores with operating profit of INR30 crores and 3.4% operating margin. Operating profit margins expanded by 70 bps year -on-year on account of operating leverage and continuous focus on backward integration and also increasing in the ODM share in our revenues. Revenue is 5% lower year-on-year as Q1 of FY

'23 the segment also included INR71 crores contribution from our AC inverter controller board business, which has subsequently been transferred to a JV with the Japanese company, Rexxam. Excluding that, the revenue in this business had been flat.

We are on the way to roll out our Android -based solutions from Google by Q2 of the current financial year. And also we have entered into partnership with Samsung for their Tizen operating system, which will be rolled out in Q3 of the current financial year.

As shared in the last call, we have now started our backward integration into injection moulding , and the commercial production has already started. Further, our investments in the LED bar segment is online , and we hope we start manufacturing LED bars for internal consumption sometime in Q3 of the current fiscal.

We are also exploring new product range, which is commercial displays, which are used in public advertisements and information displays and also interactive boards for use in education institutes and offices. We feel that we should be able to roll them out by Q4 of this financial year. We already have some initial orders in this particular product category.

Lighting. Revenue for the quarter was INR222 crores with an operating profit of INR19 crores and an operating margin of 8.7%, which is an expansion of 150 bps year -on-year achieved through a combination of reduction in [crude 0:06:08] prices, inventory planning and value engineering and significant initiatives in sourcing.

Apart from sluggish consumer demand, the reason for the lower revenues year -on-year are high reduction in pricing due to drop in commodity prices and also migration of LED bulb technology from driver -base to DOB, like driver on board, which apprised approximately 25% lower. Since LED bulb is the single largest category in lighting, it had an impact on our revenue growth.

We have been very aggressive in new product introduction in the last three quarters and will continue the momentum with the launch of strip and rope lighting in Q2. This has already happened and the commercial orders have come to us.

Also, we are working on professional lighting launches, which should happen by Q4 of the current financial. Also, smart lighting products are ready for commercial launch based on Bluetooth mesh technology by Q3 of the current financial.

After getting export orders from the new customers in UAE in Q3 and Q4 of '22, '23, we have received our export orders from Germany, which will be executed in Q2 of the current fiscal . We are also in advanced stages of discussions with the potential customers, both in US and UK.

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We have met our threshold investments in '22 -'23 under the PLI scheme for LED Lighting Components in line with our backward integration strategy, which will make us more cost competitive. And the new plant for the LED lighting component in Dehradun has already started commercial production in May '23.

The capital employed in this business has been reduced by INR168 crores year -on-year on account of huge focus on current asset management, which is resulting in improvement in ROCE to 36% from 22% a year ago.

Home appliances. The revenues for the quarter was INR259 crores with an operating profit of

INR28 crores with expansion in profit margins to 11%. This is mainly by increasing in prices, improved operating leverage and cost optimization measures. The ROCE in this business also improved 30% from 25% a year ago.

A new state-of-art facility of semiautomatic washing machine will be operational in a couple of weeks from now. In line with our backward integration strategy, we have set up our own poolroom for in-house pool manufacturing, which is already operational.

In our fully automatic top loading business, we have added Voltas Beko now as another anchor customer apart from Bosch. Supplies to

Voltas Beko for fully automatic top loading have

already started. And we've also expanded our customer base by including Lloyds, Reliance and Panasonic in FETL category. These products to these customers are going to be launched sometime in Q3 of the current fiscal. We're investing increasingly on this segment, more on R&D and we feel that the growth is going to be extremely healthy in this particular business. Mobile phones and the EMS division. The revenues for this quarter was INR1,795 crores, a growth of 38% year-on-year with operating profit of INR53 crores with growth of 61% with an expansion of operating profit margin by 40 bps to 2.9%. We have got increased order book from Motorola for 1.3 million to 1.5 million smartphones in Q2 as against at least 1 million in Q1. We expect the volume to increase to 2 million a quarter, including some large export orders from Q3 of the current fiscal.

The large stint in this business is the new customer acquisition in mobile category, which has I have been sharing. So one, we've acquired Transsion Group, which is the owner of itel phones for smartphones and feature phones, which is the fifth largest brand in India. We have already commenced production for itel for feature phones, which is approximately 1 million a month. And from the month of September, we start production for their smartphones, which is going to be almost 0.8 million to 1 million smartphones a month. Also, our production for Xiaomi for smartphones is targeted to start sometime in September or early October of this year.

Also, another highlight of our recent success is, securing a large order of Jio Bharat phones from Reliance Jio. We've got an order for 15 million units. We've already delivered 1 million units and this business looks very healthy. It's almost a INR1,500 crores business for us in the current fiscal, which is -- for which the commercial production has already started.

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So this is going to be our major, major growth area, which we have been talking about earlier also. In order to meet increased demand of our customers and gain in large market share, we have leased a large 3.2 lakh square feet facility in Noida in addition to our existing three facilities and is expected to commence production sometime in mid-August next month.

As we move forward, the next phase of growth remain focused on manufacturing expense, quality, efficiency and customer satisfaction.

Telecom and networking products. Revenues in this segment for the quarter under review was INR102 crores. A new facility in Noida got operational in December '22 is now getting stabilized, and we have an extremely healthy order book from Airtel. We bagged a large order of HD ZAPPER set top boxes and also Android set top boxes, which is expected to start production in Q2 of the current fiscal.

We've also got a large order from Jio for Internet-based set top boxes, which will commence production in Q3 of the current fiscal and also 5G CPE devices, which also will start production in Q4 of the current fiscal. In this, we are also a beneficiary of PLI. We have already achieved the thresholds of both capex and minimum revenue in the first year, and we have filed our incentive claims with the government.

We are also in active discussions with some very large global brands for existing and new product categories and building a team of joint R&D for both servicing in the domestic market and the global market.

Laptops and tablets, IT hardware products. Revenue for this segment was INR86 crores. The government has recently announced revised PLI scheme for IT hardware products with a higher incentive payout, we'll definitely be part of this scheme. Presently, we have Acer as our anchor customer in this business. We're in advanced stages of discussions with some very, very large global brands. We're very h

opeful that these discussions are going to be positive and is going to be fructify into this business.

Wearables and hearables. We are in partners with boat. In this segment revenue was INR189 crores. We have an extremely healthy order book and now we are clocking a monthly rate of almost 2 million devices per month. Recently, they have placed orders with us in addition TWS all the smart watches for which the new line is being set up and will get operational in another couple of months. We are targeting to almost double our 50% share in revenues with

healthy operating margins and superior ROCE in this business. Also, as a part of our backward integration strategy, we will start SMT of PCBA in the current financial year.

Security Surveillance. Dixon's 50% of shares of revenue for INR114 crores. We expanded our capacity from 10 million per annum to 14 million per annum and had two new 2 lakhs square feet facility in Kopparthi, which got operational on May 15, in the current fiscal. Operating profit margins in this vertical have come down, mainly due to shifting expenses and the two gross structures running. It will get optimized in a quarter or so.

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In our JV with Rexxam, wherein we manufacture the inverter controller boards for air conditioners. In this JV, we achieved the revenues of INR9 crores. The revenue potential in this business is huge because we've now also got the export opportunities of this particular SKU from Europe and also from Latin America. And this business also, we have achieved the capex and revenue threshold for PLI and the claims have been filed.

Refrigerators. The construction is underway at the new 20-acre facility in Greater Noida for 1.2 million direct cool refrigerators. This is in the product categories of 190 Liters to 235 Liters, and we are expecting to start production -- commence production in Q3 of the current fiscal, sometime around October.

I would like to stop now and look forward to answering your questions. Thank you.

Moderator: Thank you. The first question comes from the line of Dhananjai Bagrodia from ASK. Please go ahead.

Dhananjai Bagrodia: I wanted to ask you regarding your margins Q-on-Q across segments, we've seen a margin dip. Any reasons particular of that?

Saurabh Gupta: There is no particular reason, Dhananjai. Basically, if you look at the whole margin profile across four quarters. Q1 generally stands slightly slower quarter for the consumer durable business. Basically, investment goes into the AC business, the cooler business. So it starts to pick-up in Q2. Q2 is generally before the festive season, is the best quarter for us. Q2 and Q4 are considered as the best quarters for us. So historically also, you will see that Q4 margins would always have in the Q1 margins. And then there can be a kind of a mix kind of impact also. This quarter, we had higher revenues coming in from -- the basic I think, this would be the reason.

Dhananjai Bagrodia: Okay. Sure. And sir, now as we're seeing in terms of lighting and consumer electronics. For consumer electronics, what would have been the reduction in open sell prices?

Saurabh Gupta: Year-on-year, if you look at consumer electronics, the prices have actually gone up from last year because the reduction had already started to happen from the first quarter. So last year, the weighted average selling prices for our entire portfolio is around INR11,400. And this quarter, we have closed at around INR12,000-odd.

Why it shows a decline, there are two reasons for it. One, last year, we had some sales of our AC inverter controller board, which also was reflected in the consumer electronics business, which was INR71 crores. And then from there onwards, we started the JV with Rexxam, which is now no more there in the current Q1 numbers. So that's a INR70 crores kind of impact. And also, the volumes

have been lower. So quarter 1, our volumes have been lower by almost 6% to 7%. So as against 7.7 lakh TVs that we sold last year, we sold around 7 lakh TVs this year. So majorly it is volume and the impact of the AC PCB and inverter.

Dhananjai Bagrodia: So sir, you said volume reduction of 7% year-on-year, right?

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Saurabh Gupta: 7%, yes.

Dhananjai Bagrodia: Okay. And how is that shaping up now?

Saurabh Gupta: 5%, sorry. As we sold 7.4 lakh TVs last year. And this quarter, we had sold around 7.1 lakh.

Dhananjai Bagrodia: And sir, lighting? So regarding that reduction?

Saurabh Gupta: Lighting, there are two reasons. One, of course, there has been a big -- as mentioned by Mr. Lall in his remarks, there's been a big value erosion in our LED bulbs, which is almost 65% to 70% of our portfolio today, and there has been a value erosion of almost 25%. And overall, there has been -- the market has been very slow as far as the lighting products are concerned. So these two are major reasons why our revenues dipped lower in lighting.

Moderator: Thank you. The next question comes from the line of Rahul Gajare from Haitong Securities. Please go ahead.

Rahul Gajare: Yes. I have two questions. First, on your mobile phone. Now after your recent tie-up with Xiaomi, could you discuss the road map of manufacturing for Xiaomi in terms of the volume that you're expecting, the kind of capex that you might have to do for this particular tie-up?

And also, if you can talk about if there is any discussion with respect to manufacturing of the Google Pixel phone also given that they also want to manufacture in India. So that's my first question. Thank you.

Atul Lall: So on Xiaomi side, the capacity creation and infrastructure setup is on. The teams have been sent for training. The IT infrastructure is being set up. And our target is to start production sometime in mid -September. But I think it's going to start in a couple of weeks here and there. And the initial plan is to reach up to production levels of 0.5 million per month. That's what we are planned for. And then step -by-step it's going to be scaled up in the next phase to almost 1 million.

On the second question, there is -- when you're talking about Google Pixel, there are certain confidentiality clause s. And I'm extremely sorry, it'd be difficult to share the details of that. On Xiaomi, this is the road map.

Rahul Gajare: Okay. But when you said you want to ramp up from 0.5 million per month to 1 million. So how much time will this ramp -up take?

Atul La ll: So there is no timeline being worked out on that. It is on the execution of the Phase 1, which is 0.5 million. I feel this is going to take 8 months to a year to ramp it up in the next phase for 1 million.

Rahul Gajare: Okay. Sir, continuing with this mobile phone question. Now in this particular quarter, if we were to remove the variable set top box, telecom, etcetera, growth of mobile has been only about 6%. So could you throw some light on that? Thank you.

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Atul Lall: So please appreciate the Motorola a production has been kind of flat. It's 1 million units. In the other mobile segment, there's a significant increase mainly in the feature phone side. In the second quarter, the coming quarter and the order book of Motorola is much higher and we are target ing almost 1.3 million to 1. 4 million and also the bulk of Jio Bharat production. And also the itel feature phone production would increase the numbers and these numbers would significantly go up from Q3, because the Motorola production increases, the itel production increases, Xiaomi's production come into play and also Jio Bharat production come into play. And also, Nokia, the present running rate -- run rate is almost 1 million a month. It's going to gr

ow to 1.4 million to 1.5 million.

Rahul Gajare: So my last question is on the refrigerator. So you did touch up on some aspects of the refrigerator, but maybe I missed some of those things on the refrigerator side. So in terms of capex capacity, the payback or the target ROI that you have in mind as far as the refrigerator business is concerned ? Thank you.

Atul Lall: So we are making our capex is almost INR400 crores in this business. We are creating a capacity of 1.2 million DC refrigerators, which is with the capacity of 190 Liters to 235 Liters . The comm ercial production is going to start sometime in the October -December quarter. We already have certain committed offtakes from certain large brands. We're getting into strategic relationships. And the payback period for this business is going to be four years. And the ROCE, we are targeting with the ODM business is going to be 20% -plus.

Moderator: Thank you. The next question comes from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: My question is on the opportunity from IT mobile . How large is the opportunity, because 0.8 million to 1 million units per month sounds like a very, very large number. Are we going to do the complete assembly of the mobile phones including PCB assembly , or is it going to be more of a job?

Atul Lall: It's going to be complete assemblies , Aditya . And you know that itel is the largest manufacturer of feature phones in India. So largely 100% of the feature phones will be somewhere in the range of 1.3 million to 1.5 million will be done in Dixon . And also the smartphones are going to be done by Dixon. So it's a fairly large opportunity, somewhere in the range of around INR5,000 crores a year .

Saurabh Gupta: Aditya, if you look at the large reported numbers in the March financial -- FY 2023, they delivered reve nues of almost INR6,500 crores. So that is the opportunity to that we have.

Aditya Bhartia: Sure. And almost entirely, everything is going to be done by Dixon?

Atul Lall: That's what we are aspiring for. It's going to be in phases, but that's what we are a spiring for. And that is the capacity we are building , Aditya .

Aditya Bhartia: Understood. And itel is not the second customer that we were aiming for, that's something else.

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Atul Lall: No, that's the second customer.

Aditya Bhartia: So Xiaomi and itel were the two customers that we had spoken about in the last conference call?

Atul Lall: That's right.

Aditya Bhartia: Okay. Understood. And sir, my second question is on the lighting business. Wherein we are targeting to grow our patterns in downlighters business for the last few quarters. But it appears that we are not really seeing a major success out there. So just wanted to understand what are the constraints, because I would have thought that these are similar customers, and therefore, a ramp-up could have been faster?

Atul Lall: Aditya, customer acquisition in any SKUs, even if it's your existing customer, it takes some time. So please be rest assured, the team will add it and is going to happen, and we're getting a positive traction. It's going to take some time. But step-by-step, we are moving towards it. I agree with you entirely that we are a bit slow, but we are confident about it. The R&D team is extremely sure about it. We're getting a very good response on the SKUs that we have launched. It will happen. It's quietly slow, I agree with you.

Aditya Bhartia: Understood. And also on the export opportunity, sir, because you spoke about some contracts from Germany and possibly later from US and UK. How are you looking at it? How large could it be for this year and maybe from two to three years' perspective?

Atul Lall: Germany, trial order is under execution. US, UK, it's in advanced stages of discussions, we are confident. But at this

stage, to give a number to it I think it would be slightly premature. So that's the stage at which we are, Aditya.

Aditya Bhartia: Understood. And how large should we assume export opportunity for this year and from a three-year perspective, sir?

Atul Lall: So in the current financials, it's going to be a small opportunity. But if we are able to get breakthroughs, which we are fairly confident about, both in Europe and US, it can be a large opportunity, which can be built into INR80 crores to INR100 crores business in a couple of years.

Moderator: Thank you. The next question comes from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: My first question is on the Xiaomi onboarding. So you have onboarded that client for mobile phones, but I've also noticed that one of your competitors have seen wallet share from Xiaomi decrease, while yours has increased. So I want to understand at an EMS level, is it just a broader diversification that the players do? Or are you offering some favourable terms that has led to this shift from one of your competitors to your books?

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Atul Lall: So I think it's a combination of many, many things. It's a combination of course of a better commercial case and also Dixon's capability to deliver. So it's a combination of both things, which leads to such moves.

Natasha Jain: All right. And sir, my second question is on the Xiaomi TV segment. So can you just give us any growth expectation there? Has the budgeting been done for this year?

Atul Lall: It has been slow and there is the Xiaomi piece -- we expect this year to close at somewhere around 0.8 million to 0.9 million of almost 30%. The Xiaomi's overall TV business, there has been slowdown.

Natasha Jain: All right. And sir, my last question is, since you must have done your annual budgeting by now for your segment, so can you just give us a broad guidance for your FY '24 numbers? And also if you could give segment-wise volume data for this quarter, if that's possible.

Atul Lall: So as far as the revenue is concerned, we don't want to give any guidance. But please be rest assured that it will be an extremely good growth much ahead -- much, much ahead on the industry growth. On the volume side, I'll request Saurabh to share the numbers.

Saurabh Gupta: And on the guidance side, of course, we don't want to give any numbers. But clearly, a lot of things have changed positively for us, especially on the mobile business. So things are looking positive.

I'll check the volume number. For the TV side, as I mentioned, we did a volume of around 7.4 lakhs as against 7.1 lakhs last year -- or sorry, 7.1 lakhs this quarter as against 7.4 lakhs. The semi-automatic washing machine, we did around volumes of around 3.9 lakhs. This is a growth of 10% against same period last year. Last year, we did around 3.5 lakhs. Fully automatic was broadly flat. There is a small deceleration in fully automatic washing machine, but we have a very strong order book now with Voltas coming on board.

Smartphones, there is a growth outside of Samsung smartphones. With other smartphones, we had a growth of 3%. We did almost 11 lakh smartphones. We did almost 34 million -- 34 lakhs smartphones as against 8.5 lakhs smartphones. In case of Samsung, specifically, we did almost 20 lakhs smartphones, similar to last year.

And then the CCTV, DVR, we did volumes of almost 90-odd lakhs. And then there are smaller

numbers of set top box. TWS, which is the variable and hearable part of the JV, is around 37 - odd lakhs.

Moderator: Thank you. The next question comes from the line of Ankur from HDFC Life. Please go ahead.

Ankur: Starting off in terms of the overall demand environment itself, especially in case of TVs, lighting, home appliances/washing machines, obviously, it's been kind of a soft quarter for us. But

clearly, how are you seeing the overall industry? And also, your order books as we get into Dixon Technologies (India) Limited
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festive maybe a couple of months down, what is the feedback you're getting from some of your key customers there?

Atul Lall: So Ankur, it's mixed kind of a bag. Now in the categories of television, the demand is flattish. Similarly, in lighting, the demand is flattish. So there is some uptick around the forecasting for the festive season, but it still is flattish.

In washing machines, in our case, both in semi-automatic and in fully automatic, the order book is extremely healthy.

In the case of mobile phones, I shared just now the order book in our case is extremely healthy, but as far as -- but this is mainly because of new customer acquisitions, also increased volumes for both Motorola and Nokia.

The sense that I get from our customers in the marketplace, there has been some uptick, but it's still the demand is subdued. One category in which there's an extremely good demand is that of wearables and hearables. And there the order book is extremely healthy. And we have, in fact, ramped up our capacities to almost 2.7 million devices a month and [airbag 0:34:29] we were barely at 0.67 million.

So mixed kind of a bag. In case of CCTV and DVR, again, the order book looks healthy. So to summarize, in some of the product categories like TVs and lighting, it's subdued. In washing machine, our order book is very healthy, mobile is very healthy, CCTV and also the hearables and wearables. So this is the kind of situation.

Ankur Sharma: Fair. And sir, on the volume growth target for this year, I think you mentioned the number, which I had missed. I think the voice wasn't very clear on TVs. So what would be the growth number or the absolute volumes you're looking there for this year in TVs?

Atul Lall: So we did 3.4 million in the last financial year. In our annual budget, we have taken a number of almost 3.7 million, which is 10.2%. So we have done almost 0.7 million. The order book is better. But let's see, one is keeping the fingers crossed. It depends on how the festive season goes.

Saurabh Gupta: It depends on this quarter 2, Ankur. That will really determine what number we close at.

Atul Lall: So in this fiscal, Diwali is on 17th of November, so it's slightly late. I think the Q3 also should -- the demand would sustain.

Ankur Sharma: Right. And sir, I remember a couple of quarters back, you spoke about monitors also becoming a fairly large opportunity. Is there anything to report there? Is the scale-up happening on that side?

Atul Lall: Monitors for Dell and commercial production is happening. But what has been produced in India with Dixon for Dell is largely for the government buying. There, the order book is very moderate.

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Ankur Sharma: I understand. Okay. And just one last question. So on the IT hardware PLI, right? And I understand you are still under discussion and getting finalized, but which are the specific areas we would be targeting on the IT PLI side?

Atul Lall: So we are in discussions with some large global brands. And as far as the broad category is concerned, we are focusing mainly on notebooks. But along with that would also come the desktops and also the tablets. But the main production is going to happen on notebooks.

Moderator: Thank you. The next question comes from the line of Dhruv Jain from Ambit Capital. Please go ahead.

Dhruv Jain: Sir, now that you've signed multiple customers in mobile phone segment, just wanted to understand which customer would be in the ambit of PLI scheme and which would not be?

Saurabh Gupta: So Dhruv, everything will be part of the PLI scheme, except for the Samsung smartphone business that we do. Apart from that, everything falls under the PLI scheme.

Dhruv Jain: Okay. And just a clarification on the consumer electronics business. So we've seen a sequential

decline in the ODM share. So is it seasonal or something has changed there?

Saurabh Gupta: So year-on-year, the numbers of ODM have gone up, a percentage of ODM has gone up. If you are talking from quarter 4, yes, it would show a decline, but my sense is only a phenomenon this quarter. As we start to roll out our solutions both on Android and also in Tizen, Samsung operating systems, I think so the numbers would start to go up. So this year, we are expecting that this year, the number should be about 40% at an annual level. But once we start -- by Q2, Q3 it should start reflecting at those kind of numbers.

Atul Lall: So in TV business, the maximum growth is going to come in our case from our ODM business.

Dhruv Jain: Okay, sir. And just one clarification on this new itel business that you guys have won. So just wanted to understand what will be the quantum of the smartphone volume in that piece apart from the feature phone volume that you explained out earlier?

Atul Lall: So Xiaomi is completely smartphone and in the case itel ...

Dhruv Jain: No, I was talking about itel, yes.

Atul Lall: In the case itel, the smartphone volume somewhere should be in the range of 0.7 million to 0.8 million a month.

Moderator: Thank you. The next question comes from the line of Girish from MS. Please go ahead.

Girish Achhipalia: Sir, just a couple of things. So I wanted to understand your mobile revenue guidance for the year. Sorry, my line was a little bad. So for the full year, are you planning the same INR8,000 - odd crores for this year?

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Atul Lall: So we don't want to give any specific guidance for mobile as a vertical, but it will be the largest piece of growth for us. Also, please appreciate that the manufacturing has just started. And any ramp-up, it takes some time. So it undoubtedly will be the largest growth driver for us and it's a larger opportunity in our papers.

Girish Achhipalia: Okay. And can you comment on Xiaomi's volumes that you will be doing typically for this year, whenever you start doing it? Would it be the annual volumes for Xiaomi, because they've been losing market share given the regulatory issues that they had. I don't know if the worst is behind, but just wanted to understand how much volumes have they committed to us?

Atul Lall: So as I shared in response to earlier question that initially, we're starting off with 500 K a month and we feel that in phases it can be ramped-up to 0.8 million to 1 million a month.

However, that's linked to our execution. So that's the road map.

Girish Achhipalia: And last one for Saurabh. Just on capex. So we've incurred about INR110 crores -odd this quarter. Should we assume INR400-plus crores kind of capex this year? Or if you have any specific number to share? And any breakdown will be helpful.

Saurabh Gupta: Girish, that would be the number. It's around INR400 crores to INR420-odd crores should be the number that we have budgeted for this year. And broadly, the capex that we will go into one into the mobile for expansion for new customers of itel and Xiaomi. Second on the refrigerator project. Third, we are also constructing and will be operational in August only. Our facility -- the washing machine facility for semi-automatic -- so there -- and then whatever committed capex is under the PLI for IT hardware, for telecom, those would be there.

Moderator: Thank you. The next question comes from the line of Bhoomika Nair. Please go ahead.

Bhoomika Nair: Yes, just wanted to check on lighting. You did mention that the market has been quite slow and weak. But just wanted to get a sense in what is the outlook? Because -- is the pricing erosion still continuing? How is the volume growth that we are looking at. So if

you could just

first talk about this aspect and then I'll get into the other aspects of the lighting segment.

Atul Lall: So Bhoomika, as Saurabh had shared, once the market has undoubtedly been very subdued on the consumer-lighting side, the demand has been extremely under pressure, particularly for the SKUs like LED bulbs and batons, which were the largest contributors to our revenues in lighting.

The second is because of migration and technology, particularly on the LED bulb side, strong driver on DOB base, there has been a price erosion to the extent of almost 30%. So the unit value is also eroding. Now these two combined have led to an impact on the lighting business for the industry, and so is the case for Dixon. So what is the way forward? The market trend is shifting more towards the downlighters and sealing lights. And that's what we are gearing up for.

Then also, we have launched a new product category, which is having a significant traction in the market. Of ropes and the strips, they have been commercially launched. And we feel that,

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that can be almost INR80 crores, INR90 crores business for us in the coming quarters. INR80

crores , INR90 crores on an annualized basis.

Third large piece that in Dixon's product portfolio we have built out is on the professional side. So we have a strengthen in R&D, particularly with Kunal , who was heading Philips R&D coming in and heading our R&D. So those product launches are being planned. Then we have planned and we have gone in for an acquisition of a smart lighting design company, Ibachn , which has already been operationalized, which is based on Bluetooth mesh technology. Those products have also been prepared, and we commercially launched them some time in Q3, Q4. So these are the actions taken, which hopefully will get the lighting business back on track.

On the other side, we have consolidated our footprint. We are a part of a PLI, for which the thresholds, both in investments and revenues have been met, that will expand our margins. We have expanded our margins as compared to last year by almost 170 bps. We are mainly focused on capital efficiency, and the ROCE is significantly improved in this business to 30% - plus. And by managing the current asset better, we have leased almost INR140 crores in this business. So these are the initiatives taken. And this is the path we're going to pursue.

Bhoomika Nair: Sure, sir. Sir, this ropes and strips and professional lighting, how large is the market size, what can it be? Because clearly, the traditional LED, as you said, is under tremendous pressure. But these new segments can become how large, how large is our addressable market, etcetera, if you can just throw some light on that aspect ?

And lastly, on the -- you spoke about some trial orders in Germany, etcetera. How large are these orders currently? And what can they potentially scale up to in a period of two to three years?

Atul Lall: So we feel that the strip and lighting business , strip and rope business can add to our top line almost INR5 crores to INR6 crores to start with, and then it can scale up.

On the professional lighting side, please appreciate it, almost 40% of the Indian lighting industry is on the professional side. So that's what we are getting into. That was a complete miss out in Dixon's portfolio. It is going to be slightly slow, but we hope to launch these products sometime in Q4 of this financial year. Now that 's a big opportunity that is going to be scaled up step -by-step.

On the export front, the Germany trial orders are in the process of getting executed. We feel that both European and American opportunity in a couple of years can be INR100 crores business.

Moderator: Thank you. The next question comes from the line of Abhishek from DSP . Please go ahead.

Abhishek: Sir, if you can just tal

k about the competitive intensity mostly in the TV and lighting segment in terms of how is the competitive landscape? Is it deteriorating, improving, stable? Just the thoughts that will be helpful, sir.

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Atul Lall: So when we're looking at TV, have we lost any market share? Has there been any significant customer shift from our side to competition? No, that does not happen. There has been some competitive intensity increasing because of a multinational entity setting up an EMS base in India. But till now has it had any significant dent on our business. No, that's about TV.

When we are looking at lighting and definitely, the competitive intensity has increased. There are a couple of players who have increased their presence, which might have had some small impact on our market share, not so much on the bulb side, but on tubelight side, yes. So that's the status.

Abhishek: Great, sir. Sir, the other thing is, what is the broad utilization scaling of our new factories are, because in the last 18 months, you've done a lot of capex and how should one see the impact of operating leverage as you scale up revenues from this INR12,000 crores of top line in FY '23.

When you scale up, how should one see the impact of operating leverage into the margin profile, if you can just help us with that, sir ?

Atul Lall: So if you see , across all our businesses, the margin profile has improved and it is primarily because of the scaling up and generating and operating leverage. And also migrating to more - and-more ODMs and also the backward integration piece. So you will see that in the case of washing machines, at some point of time, we had come down to around 7%, 7.5% . We have been able to restore it to 11%. Partially, it's because of value engineering and also scale. And now with new factory becoming operational, we feel it's going to add up to our operating leverage capabilities.

In televisions, we generate an ROC of 100% -plus. We have managed the gross box very, very well. We have managed the capital efficiency very, very well. And now two backward integration pieces are going to be operationalized. One is the injection moulding plant has already become operational, is going to help us improve in our margins.

Second, the LED bar, this is also an important input and to television is also going to get operationalized sometime in Q3 of the current fiscal. So that helps us in further improving the

margins in this business. But definitely, the largest piece in our business is the mobile opportunity. And it's going to be scaled up to a very different level. But that kind of scale coming up, operating leverage will definitely kick in. Initially, it's going to take some time, possibly a couple of quarters. With any ramp -up, it takes some time to stabilize. But I feel the operating leverage will kick in on Q4.

In the case of wearables and hearables, wherein we have upped the production from around 0.6 million, 0.7 million pieces and this current month, it will be over 0.7 million pieces. You'll see that getting reflected on numbers for the current quarter itself. So that's the situation.

Abhishek: Great. Sir, just one last question from my side on the Xiaomi bit of it. In terms of the whole protocol of go-getting the product approved and other things. Are those processes simultaneously going on? Or once the capacity comes in, then it happens and then will that ramp -up? If you can just help us with the sequence of events?

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Atul Lall: So we are at a very start -- advanced stage of execution and the target date for launching commercial production is September. But let's see, it's a tough call, but that's what we are targeting.

Saurabh Gupta: But to answer your question, Abhishek, since all those projects are going on parallelly. Abhishek:

k: Saurabh, your voice is not clear.

Saurabh Gupta: I'm saying all those process -- some of them have been concluded also and some of them are going on parallelly.

Moderator: Thank you. The next question comes from the line of Rahul Gajare from Haitong Securities. Please go ahead.

Rahul Gajare: Building on the earlier question with respect to itel, which is a new client that you've signed up. Can you discuss who are manufacturing for itel earlier? And since you were talking about starting with a volume of 0.7 million to 0.8 million, do you see itel becoming bigger than Xiaomi over time for Dixon? So that's the first question.

Atul Lall: So presently, it's their in-house manufacturing. It's being outsourced to us, responding to the first part of the question.

Rahul Gajare: transition, right?

Atul Lall: Dixon is going to be larger, only time will tell. We want all of them to be larger than ...

Rahul Gajare: Okay. Sir, with respect to the total mobile revenue, almost INR6,500 -odd crores. How do you break this up into the smartphones and the feature phones? That's the last question. Thank you.

Atul Lall: Almost 80%, 85% of the revenues are going to come from the smartphones only.

Saurabh Gupta: The average selling price for a feature phone would be something in the range of INR500 to INR800 of a number. So significant portion will still come from phones.

Atul Lall: Almost 80%, 85% of mobile revenue will come from the smartphones.

Moderator: Thank you. The next question comes from the line of Alok Deshpande from Nuvama Institutional Equities. Please go ahead.

Alok Deshpande: First question on the mobile production ramp -up that we have for the next 12 months, 18 months. I just wanted to understand the new production that will come -- while I understand there will be operating leverage, but just wanted to understand whether given it's a very large - sized contracts and multiple contracts, will they be at similar margins as the current margins or lower margins, higher margins? Any color that you can give on that?

Atul Lall: So the margin profile of the business will be somewhere in the range of 2.3% to 2.7% something like that.

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Alok Deshpande: Okay. This is the EBITDA margins, you mean?

Atul Lall: Talking about operating margins. But in this, there'll be no working capital intensity. It will be miniscule.

Alok Deshpande: Understood. And my second question is, do we have any plans of getting into manufacturing of medical equipment, etcetera, which is slightly sort of going away from the consumer electronics part?

Atul Lall: Not as of now.

Moderator: Thank you. The next question comes from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: I just wanted to understand a little more on the refrigerator segment. So assuming that it starts from quarter 3 for this fiscal and since you've already started putting up the capex, you must be in talks with certain players. So can you give us a sense as to how the ramp -up will happen here? What kind of volumes can we expect this year?

Atul Lall: Natasha, the commercial production, we are targeting in quarter , October -December. But please appreciate , refrigerator is a complex product. It's Dixon design product and the approvals because the brands that we're talking to are large, global and Indian brands. It will take some time for the technical approvals to come up. The commercial production will start to put the numbers to what volume we'll be doing this year is slightly premature. But finally, what we aspire to do is almost 0.8 million to 1 million units in the next financial year.

Moderator: Thank you. The next question comes from the line of Aditya from Retail. Please go ahead.

Aditya : Given the thrust that our government has on semiconductors and PLI and so on and so forth, what is

your outlook for Q2, Q3 and Q4?

Atul Lall: Sorry, I didn't understand the question. Can you come again, please?

Aditya : There has been a fair bit of incentivization from our government, right, in terms of getting more SMT production into our country. These are coming in terms of creating a more -- a better ecosystem for this kind of industry as well as giving PLI incentives. So what would be your outlook for Q2, Q3 and Q4?

Saurabh Gupta: I don't know whether we have understood your question correctly, are you talking about specifically the semiconductors or about the general PLI schemes?

Aditya : PLI specifically as well as the other initiatives taken by the government. I'm talking more from sourcing, having more use of norms on sourcing specifically to boost production in India ?

Atul Lall: No, I think that's going to take some time. So the government semiconductor policy, the foundation is being laid only now. But foray to start commercial production and how much is Dixon Technologies (India) Limited

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going to be sourced within Dixon, it's a very difficult question to answer at this stage. In any case, if at all it happens, it is going to take time.

Aditya : Okay. What is the outlook for Q2, Q3 and Q4?

Atul Lall: So we are not giving any guidance, but please be rest assured that the order book that we have and particularly in certain product categories like mobile, it's going to be a fairly aggressive.

Aditya : Any numbers you could go between in terms of mid -teens, high teens?

Atul Lall: Sorry?

Aditya : Any number that you could guide for, mid -teens or high teens?

Saurabh Gupta: No, we don't want to share any particular numbers. Clearly, the visibility looks good, especially we've got some large orders, which we have mentioned on this call. But we don't want to quantify the numbers, please.

Moderator: Thank you. The next question comes from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: I just wanted to confirm, for these new mobile phone customers, you mentioned that the margins are likely to be 2.3% to 2.7%.

Atul Lall: That's right, Aditya.

Aditya Bhartia: And this would include the share of -- our share of PLI benefit as well?

Atul Lall: Yes. This is on a gross basis.

Aditya Bhartia: Okay. Perfect. And could that also mean that for our existing customers also, there may be your margin reset at a lower level? What I'm trying to understand is that is it that the segmental margin or the overall on the mobile phone business, the margins will get reset at maybe around 2.5%.

Atul Lall: So if you see the margin profile in mobile business, if you take the Samsung business, somewhere here has been in the range of 2.7 to 2.9, so I'm being trying to conservative, that's all.

Aditya Bhartia: Understood, sir. So you're saying that pricing and margins are broadly similar to how they've been for the existing business and you're just putting in some questions.

Atul Lall: That's right. That's right.

Moderator: Thank you. The next question comes from the of Amber Singhania from Nippon India Asset Management. Please go ahead.

Amber Singhania: My first question is regarding the JV with Tinno Group . If you can share the status how that is panning out? And are we -- have we started manufacturing for them? What is the timeline and Dixon Technologies (India) Limited

July 25, 2023

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are we sticking with that INR1,500 crores kind of revenue contribution from Tinno Group once it is fully operational?

Atul Lall: So we have filed our application with the government for Press Note 3 approval. It's taking time. We have still not got the approval. Yes. So we are waiting for that clearance to happen to start the project.

Amber Singhania: Okay. And any estimated timeline , sir, which we can see for the production?

Atul Lall: We are working with the government, but

Press Note 3 is time -taking and its slightly complex regulatory initiative of the government. So I think we'll have to wait for some time on the Tinno business.

Amber Singhania: Okay. And secondly, sir, just a clarification on itel business. You mentioned on one of the participant questions that earlier they used to manufacture in -house and now that entire thing has shifted to us , sir. So just wanted to unde rstand, is it only because of the PLI benefit the shifting has happened , or there is something else? And what will happen to their idle capacity? Are we also looking to acquire those facilities in the new course ?

Atul Lall: So PLI definitely is one of the reasons. And also more -and-more brands strategically are looking at outsourcing than manufacturing. So it's a combination of both the factors. On the second part of your question, yes, the discussions are on.

Amber Singhania: Okay. And just one adding up q uestion on that. Their total revenue, which we mentioned around INR6,500 -odd crores. If you can give some color about how much pieces of smartphones they used to do and how much a feature phone they used to do ?

Atul Lall: So almost 70% of the revenues are coming from the smartphone business .

Amber Singhania: Okay. And this would be a similar realization than what we are doing for Samsung or Xiaomi?

Atul Lall: Sorry?

Amber Singhania: These smartphones are also of the similar realization what we are doin g for Xiaomi and Samsung , or it is a lower -end smartphones?

Saurabh Gupta: Samsung is not on a revenue bas e, its more on a consignment bas e. There, we don't book such kind of revenues. And Xiaomi, of course, yes, it would be broadly or slightly higher as compar ed to the itel smartphones.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Bhoomika Nair for closing comments.

Bhoomika Nair: Yes. I would like to thank everyone for being on the call and parti cular ly the management for giving us an opportunity and answering all the queries of the participants. Thank you very much, sir, and wish you all the very best.

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Atul Lall: Thanks very much, Bhoomika, and thanks, ladies, and gentlemen, for being on the call. Really appreciate it. Thank you.

Saurabh Gupta: Thank you, Bhoomika. Thank you, everybody.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2023

Dixon Technologies (India) Limited

30th October , 2023

To
Secretary
Listing Department
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 051

Scrip Code – 540699
ISIN: INE935N01020 Scrip Code - DIXON
ISIN: INE935N01020

Dear Sir/Madam,

Sub: Transcript of the Q2 FY 24 Earnings Conference Call held on 26th October , 2023

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q2 FY 24 Earnings Conference Call of the Company held on Thursday, 26th October , 2023 .

The said transcript has also been uploaded by the Company on its website and the same is available at <https://www.dixoninfo.com/earning-call-transcript.php> .

We request you to kindly take this on your record and oblige .

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar
Chief Legal Counsel & Group Company Secretary

Regd. Office: B-14 & 15, Phase -II, Noida -201305, (U.P.) India, Ph.:0120 -4737200
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CIN: L32101UP1993PLC066581

"Dixon Technologies (India) Limited's Q 2 FY'24 Earnings
Conference Call"

October 26, 2023

MANAGEMENT MR. ATUL LALL – MANAGING DIRECTOR & VICE
CHAIRMAN , DIXON TECHNOLOGIES (INDIA) LIMITED
MR. SAURABH GUPTA – CHIEF FINANCIAL OFFICER ,
DIXON TECHNOLOGIES (INDIA) LIMITED
MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

Dixon Technologies (India) Limited
October 26, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the Dixon Technologies Q2 FY24 Earnings Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please select an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms . Bhoomika Nair. Thank you and over to you ma'am.

Bhoomika Nair: Good evening, everyone. Welcome to the Q2 FY24 Earnings Call of Dixon Technologies. We have the Management today being represented by Mr. Atul Lal I – Managing Director and Vice Chairman, and Mr. Saurabh Gupta – Chief Financial Officer.

I'll now hand over the call to Mr. Lal I post which will open up the floor for Q&A . Thank you and over to you , sir.

Atul Lall: Thanks very much, Bhoomika. Good evening, ladies and gentlemen. This is Atul Lall, and we also have on the call today our CFO – Saurabh. Gupta . Thank you very much for joining this Earning Call for the Quarter Ended September 2023.

Coming to our overall performance for the 2nd Quarter:

Consolidated revenues for the quarter ended September 30 , 2023, was INR4 ,943 crores against INR3,866 crores in the same period last year which is a growth of 28%. Consolidated EBITDA for the quarter was Rs.200 crores against Rs.146 crores in the same period last year , growth of 37%. Consolidated PAT for the quarter was Rs.113 crores against Rs.77 crores in the same period last year, which is a growth of 47%.

Our teams focused execution in a challenging operating environment helped deliver strong earnings and improvement in operating margins year-on-year on account of operating leverage, cost optimization, efficiency measures across all businesses. We continue to invest in our capacities and diversify , introduce product categories to support long -term growth opportunities with huge focus on quality, manufacturing excellence and consistently meeting the needs of our principal customers and to strengthen our position as a key player in the industry.

With a strong capital allocation discipline, effective working capital management and earnings improvement, we were able to expand our ROC and ROE to 32.9% and 24.4% respectively as on 30th September '23, and we feel confident that the same would keep improving in upcoming quarters and years on account of improved earnings, working capital efficiency, higher asset turns in most of the businesses. The strong balance sheet, high liquidity and enough credit lines from bank enables us to direct growth capital s wiftly and enables us to invest in the long -term development of our business for long -term value creation.

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Our foremost objective continues to be a part of India's long -term growth story and to ride the country's robust consumption narrative and Make in India initiative to achieve industry -leading growth.

Now , I'll share with you the performance and the strategy in each of the segments going forward.

Consumer Electronics :

Revenues for the quarter were 14 ,140 crores with an operating profit of 49 crores , that is 3.4% operating margin. Operating profit margin expanded by 50 bps year-on-year on account of operating leverage. Continued focus on backward integration and increasing share of owned land due diligence .

Revenues for the quarter was 4% lower year-on-year as it included 79 crores of revenue contribution from the AC inverter controller board business, which was subsequently transferred to the JV with regs in the current. Also, the festival calendar shift has led to spillover of some consumer demand and from

Q2 , Q3 in this fiscal. We have rolled out India's first ODM -based Google TV distributions from Google in the quarter under review and we're getting a positive response. We have also entered into partnership with Samsung for their Tizen OS, an operating system will be sub-licensed for us to offer to other domestic brands and it is expected to be rolled out in Q4 of the current fiscal.

We have started injection molding shop for TV and have also invested in LED bar assembly line in line with our continuous focus on backward integration strategy to deepen the level of manufacturing in India.

We've also advanced in exploring newer products such as commercial displays used in public advertisements and information displays, and interactive boards for use in education institutes and offices, and have got some initial orders .

Lighting :

Revenue for the quarter was 181 crores with an operating profit margin of 7%. Apart from sluggish consumer demand and increasing comparative intensity , reasons for lower revenues year-on-year, high reduction in price due to drop in commodity prices and freight rates and migration of LED bulb technology. Two DOB that is a Driver on Board which are priced approximately 30% lower as against the same period last year. Since LED bulb is the largest category lighting for us, it has a major impact on revenue growth.

We have launched a Strip & Rope Lighting in Q2 and have received extremely good response from our customers.

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We are on track to launch professional products by Q4 of this financial year. New product introduction across all product categories will continue at a rapid pace for the rest of this financial year.

We've expanded our export business with new customers coming in , in Germany and UK. We are expecting to close with some other export customers in the coming quarters.

Home Appliances :

Revenues for the quarter were 364 crores with an operating profit of 42 crores with expansion on operating profit margin to 11.6% led by passing on impact of commodity cost and exchange rate fluctuations to customer . Improved operating leverage and cost optimization measures in line with the backward integration strategy we set up our own tool room for in -house mold manufacturing and already started manufacturing the same for Bosch in semi -automatic categories and Panasonic for the automatic categories. They have started manufacturing for the automatic washing machine for Voltas Beko, which is a large customer for semi -automatic category and also launching new models for Lloyd , Reliance and Panasonic in FTL category in the current quarter.

Mobiles and EMS Division :

Revenues for the quarter were 2 ,819 crores, a growth of 77% year-on-year with operating profit of 93 crores, a growth of 119% year-on-year with the margin expansion of 60 bps to 3.3%. We've got increased order book from Motorola.

One of the recent noteworthy highlights is securing a large order for Jio Bharat phones with an order book of 15 million units, mass production for sale started in September with 1.5 million units already manufactured till date.

We've entered into strategic partnership with Nokia and we're manufacturing more than million phones for them per month.

We have started manufacturing Xiaomi 's smartphones in a new 3 .2 lakh square feet facility in

Noida. We expect the volumes to ramp up to 0.3 million per month in Q4 and then 2.5 million per month in subsequent months.

This large order wins showcase our reputation as a reliable and the most preferred manufacturing partner in mobile industry. We are further also in discussion with some other large global brands for smartphones. We're fairly confident of concluding this business in this current fiscal.

Telecoms and Networking Products :

Revenues in this segment for the quarter was 173 crores. Our new facility i

n Noida got

operational in December '22 is now stabilized in mass production of Android Chatterboxes for Dixon Technologies (India) Limited

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Airtel in partnership with the global ODM has commenced. Also, manufacturing of HD Zapper Set Top Boxes for Airtel will start from current quarter.

We've also got a large order from India's largest telecom for internet set top boxes, which commences by Q3 of this fiscal. And also, 5G CP devices which is expected to start from Q4. We are in active discussion with some large global brands for existing and new product categories and building a strong team for joint R&D with our partners to support our end customers from India.

Laptops and Tablets :

Revenues for this segment was 52 crores. The government has recently announced PLI Scheme for IT hardware products with higher incentive payout. We have filed the application under hybrid category and committed investment of 250 crores with much higher revenue and incentive potential. We expect the approval from the government to be coming in shortly. In addition to those, our order book has been increasing monthly. We are in now advanced stages of discussion to some large global brands in this category.

Wearables and hearables revenue for this segment was Rs.385 crores, healthy operating margins and high ROCE. We clocked strong volumes of TWS for both and have healthy order book for upcoming quarters and we'll be adding smart watches in our portfolio in next couple of months in this order book.

In line with our strategy to deepen the level of manufacturing, the SMT, PCB will also be done in-house in the current fiscal and we are also exploring the possibility of starting the manufacturing of battery packs.

Security Surveillance Systems :

Dixon's 50% share of revenues for the quarter was 140 crores. Operating profit margins are lower in this business due to under absorption of the duplicated fixed cost structure both in Tirupati and Koppurthi campuses.

We have already expanded the capacity from 10 million per annum to 14 million per annum in our new facility in Koppurthi, which already got operational in the first quarter of '24. Further expansion of capacity in Koppurthi plant is planned in line with the increased order book from our principal customers, which indeed to improve profitability and margin expansion from Q4.

Rexham Dixon Electronics, a 40:

60 JV with Rexham of Japan to manufacture inverter controller board for air conditioner. The JV achieved revenues of 74 crores in Q2 with healthy margins and 100% ROC in this business.

We have strong order book for this JV. We supply to Daikin and also, we're planning to start

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exports under this business by next fiscal. We have achieved the CAPEX threshold and revenue thresholds for the current fiscal year under the PLI.

Refrigerators :

We have created capacity of 1.2 million direct refrigerators, which is more than 10% of India's requirement under various product categories of 190 liters to 235 liters. There are multiple features. Mass production is expected to start by Q4 of the current fiscal. The trials have already started. We will further introduce Glass Door models and also do repository in the next financial year. We've got a positive response from both global and national bank in this business.

I would like to stop now and me and Sarabh are there to address your questions. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Aditya Bhartia from Investec. Please go ahead, sir.

Aditya Bhartia: So, my first question is on the consumer electronics business wherein if you could guide us how exactly the order book is looking like because we are having a delayed Diwali this time around, so what proportion of those

seasonal sales are likely to be coming through in third quarter ? And within that while you mentioned a bit about buffer integration initiative, if there's anything more that you can add to it, what's the kind of value addition that overall increases and what kind of benefit can we see at the bottom line?

Atul Lall: So, Aditya, Diwali is around the corner and a lot is dependent on how the final consumer sale takes place in the next two weeks or so. But overall, we feel that in this business there will be marginal growth and volume on the yearly basis. Last year, we had closed around 3.4 -odd million. If things go right on Diwali, we should close this current fiscal at around 3.6, 3.7. That's the number look as of now. On the backward integration piece, the injection molding plant has already become operational. And in that concerned business there is an approximately in which we are able to do the injection molding, an expansion around 40 to 50 bps, and in the case of LED bulb, which is expected to start in a couple of months, there would be another 15 to 20 bps expansion.

Aditya Bhartia: Moving on to the lighting business, that's the business wherein we have been seeing quite a few challenges and you spoke about intensifying competition. What exactly has happened over there because we did have unparallel scale. So how is it that competitors have been able to hurt us and gain market share from Dixon given that their costs are likely to be much higher?

Atul Lall: So, what has happened in this business was that in Dixon's case, there was large dependence on LED bulbs. Now, LED bulbs, because the whole technology has migrated to DOB the unit value was declined by almost 25% to 30%. Second, the overall volumes have also significantly compressed. That is the reason that we have had this hit. These are the two main reasons. As far as the competitive strength is concerned, in these categories, we still maintain that we are most comparative.

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Aditya Bhartia: So, in terms of market share, are you saying that there is unlikely to be any major loss that that we would have suffered in the last two years?

Atul Lall: We have grown our absolute numbers in the categories of patterns. If you compare last year in the categories of ceiling line, non-lighters. In the category of LED bulbs, the absolute number has fallen. Partially, we feel it's basically because of decline in the overall market itself. There might be a small loss in the market share. But the main reason for that is the fall in the overall volumes.

Moderator: The next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: Maybe just on the mobile segment, the sharp sequential acceleration we've seen in this quarter, is it largely all related to domestic demand or how do you kind of see the outlook going ahead for the full year and the second half as well?

Atul Lall: So, it is largely due to the domestic demand. Now we are seeing and expecting export volume also to come in from our largest anchor customer in the smartphones. Also, in feature phone in Nokia, we're going to be starting exports. Please appreciate that mobiles are the largest trigger of growth for Dixon. And the large customer acquisitions that we have made in both Xiaomi and Intel. In Intel's case, only feature phone has kicked in, the smartphone still has to kick in. And in Xiaomi's case we have successfully completed the trial and the commercial production is going to get initiated in next month and then the ramp up will happen. So, the order book looks extremely heavy and we feel that it will be a significant contributor to our growth and revenues in the coming quarters. We are further in discussions with a couple of very large global brands. We're fairly confident that we should

be able to conclude these large businesses in possibly the next quarter.

Deepak Krishnan: So, you would indicate that maybe 2x still has further legs of room given the healthy order book in Xiaomi and maybe Intel smartphone or yet to kick in, is that understanding correct?

Atul Lall: That's right.

Moderator: The next question is from the line of Renu Baid from IIFL Securities. Over to you.

Renu Baid: My first question is coming back on the mobile segment. While you have mentioned about new customers kicking in, can you also explain would we require to further invest in new capacities because the recently commissioned plant is largely for Xiaomi? So, what is the outlook of CAPEX for the mobile segment? And given that large domestic brands are onboard for the domestic market, what kind of growth and scalability can we look in this segment or category over the next two years?

Atul Lall: So, a lot of CAPEX in the mobile business has already been front ended. So, we've covered what is required to be done. Largely, there would be some additional CAPEX, but largely it has already been executed. On the second part of your question, yes, Xiaomi still has to kick in

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which hopefully is going to be a large figure of growth and there are other customers that I mentioned is also going to get into the execution mode by Q4, that's what we are aspiring. And then we are working with a couple of other large global brands. If we're able to conclude and we're fairly confident about it, that should get concluded by next quarter and it should come in to execution mode by end of next quarter or by beginning of the first quarter next fiscal.

Renu Baid: Any numbers that we can quantify in terms of the scalability of this vertical for us?

Atul Lall: See, we have already shared the numbers of the two accounts that we have already acquired. So that is kind of we're fairly confident about. On the new businesses, it's still slightly premature to share the numbers on that.

Renu Baid: Then strategically if we look at, while you've participated within the hybrid category for IT hardware, if we look at the backward integration mandates, it requires quite a bit of capability built up on the PCB space as well as some assembly activities on various components, so what are the kind of backward integration intensity that we are targeting in the IT hardware PLI 2.0?

Atul Lall: Renu, right from day one, we plan to start with the PCB assembly now. Further in the road map is going to be the localization and either in-house or through partnership on the power supply side, also, on the display module side and also on the mechanical side. Now, these are three major inputs that we're going to be looking at, but it's still slightly early, because once the PLI 2 award still have to come from the government and we are in final stages of discussion with another large global brand. Hopefully, that contract should be awarded to us in the forthcoming quarter. Because this backward integration plan is finally dependent on the expectations of your end customer, because there are various technology inputs required there... global partnership required. But largely, the backward integration roadmap is what I've just shared with you.

Renu Baid: Strategically, if we see now with a wide base of customers within the mobile PLI, our positioning within the consumer electronics is very strong and the business that we have been able to remodel over the years is generating sufficient free cash to not just invest in the current growth but also look at potential new opportunities. So strategically, are you looking at from a four to five-year perspective beyond the consumer electronics within the EMS segment, you think there would be other businesses or categories where you would like to explore and look at growth or Dixon would continue

to be a consumer electronics focused B2C play within the EMS market?

Atul Lall: No, no, it's going to be our endeavor to look at the higher margin categories, to look at the possibility of participating in the component ecosystem opportunity. So definitely because I think we'll be generating enough cash to build those businesses. And in Dixon, we're definitely going to look at it and jump at that opportunity.

Moderator: The next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.

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V Balasubramaniam: Now, we are embarking on this IT hardware PLI and we are trying to participate in that. Now, when we observe this, it seems a little different from other categories that we have participated in the past because in all other categories at some point in time the government did implement import duty. So, I believe that helped us compete with manufacturing happening in China or say Southeast Asia. Now, India as a country under the World Trade Organization cannot put import duties, how would the manufacturing costs in India compared with that in let's say China or Southeast Asia? Is the IT PLI whatever benefit between 4% to 6% or 7% is that enough to make up for that cost difference or do you think the government needs to give you more incentives to make this a success like say what has happened in mobile?

Atul Lall: So, we have done a lot of groundwork on this particular aspect. The point that you have raised is very, very pertinent. And we are confident of offering the manufacturing charges to our potential customers which are similar to the global charges. And that's the key. I think we have been able to reach that level of efficiency. And on that basis, we are confident that we should be able to get the contracts awarded to us. Anything coming through the PLI route, we feel is going to be additional leverage we're getting into this business. So, I reiterate that the manufacturing charges offered by us are comparable to the global charges.

V Balasubramaniam: What exactly -- is it on staff cost, is it labor cost which are much lower here, like how are we able to complete?

Atul Lall: So, the efficiency of the lines, the infrastructure that we are trying to build is going to be as efficient as productive as the global aims is. Second, this is going to be add-on infrastructure on our mobile infrastructure. So, we'll be generating that operating leverage because it's will be on a margin on costing basis.

V Balasubramaniam: The revenues have been driven by three sub-categories. One is mobiles with almost 3,600 crores of revenues, hearables and wearables with around 575 crores and telecom at 275 crores. Is it possible to share what is the kind of indicative targets you have for the current year for these

three subcategories?

Atul Lall: So, I don't want to share the numbers, but broadly, Saurabh can separately share with you, but specifically, we are in a position to share the numbers.

Moderator: The next question is from the line of Abhishek Ghosh from DSP. Please go ahead.

Abhishek Ghosh: So just a couple of questions. First is, your top line over the next two to three years is likely to grow at that 30% CAGR plus. In that how should we look at the overall contribution from mobile that should come in over the next three years? And also, the export fees, if you can just broadly help us understanding?

Saurabh Gupta: So clearly, mobile will be the largest trigger for our growth. So, if you look at this quarter also to mobile and EMS has contributed more than 50% of our revenues, and if you look at the opportunities and all the verticals put together and if you look at the opportunity, mobile is the
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largest opportunity that we are sitting on

both as an industry, so addressable market and for us, we have significantly acquired all the major large brands that are in discussion with. So, my sense is over the next few years, this number potential of revenue contribution coming from mobile can all anywhere between 60% to 70% because that's where the largest growth is happening. I hope this answers your question. On your question on exports, last year we did 1,000 crores on a top line of around 12,200 -odd crores. Hopefully, our export businesses, one, will be led by our anchor customer in mobiles which is Motorola and also Nokia which Mr. Lall just mentioned. Lighting just started to get some export orders and hopefully it should keep getting better year-on-year. We are in discussion with some large chains there. My sense is this year the export revenue can potentially look like somewhere around 2,000 to 2,500-odd crores. So, percentage contributions, suppose last year 1,000-odd crores on a revenue of 12,000 crores, percentage was brought to 8%, 9%. So, this year the percentage goes up and hopefully this percentage will continue to go up because the brands that we are acquiring are initially mostly for domestic markets but gradually once we executed well, some of the brands have a potential for global markets as well.

Abhishek Ghosh: Mr. Lall I mentioned that you're also looking at newer clients for the mobile business. If you can help us understand two things, is it for the export market or the domestic? And if it's for the domestic market, since you already have a fairly dominant player, Xiaomi as your customer doesn't deter you from having some of the other market leader as a customer, any thoughts on that?

Atul Lall: So, we are discussing with a couple of large global brands. Initially, it's going to be for domestic market. But as Saurabh mentioned, we are hopeful that if we executed well, then the export opportunities will open up for us. Beyond this to share details at this stage will be premature.

Abhishek Ghosh: Since you spoke about also you look at newer opportunities in the EMS space, some of the space that we're looking at, there will be different from the way your business model is in terms of working capital, return on equity. So, any thoughts of diversifying into businesses which are capital-intensive in terms of working capital and return on capital is much lower than the ones that you enjoy, any thoughts in terms of diversification into those segments?

Atul Lall: So, see, Dixon is on a high growth path. On a blended basis, we are extremely focused on the return ratios on the strength of our balance sheet. But there are certain businesses in which the margin profile can be significantly higher and also, the competitive intensity may not be as intense. So, on a blended basis, we see that our return ratio pieces will never be compromised, but in some of these businesses, it might have an impact. So, we feel that now we have the capability and bandwidth to explore those kinds of businesses also. So, today at conceptualization exploration stage, but we are absolutely committed and serious about it to pursue this.

Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies India. Please go ahead, ma'am.

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Sonali Salgaonkar: My first question is again an extension of Abhishek's question. Could you quantify the CAPEX that we are expecting in FY24 and if there is any change in FY25 guidance?

Atul Lall: We have done a CAPEX of 331 crores till September and a lot of CAPEX, Sonali has already been front-ended. We feel that in this fiscal, we're going to close at approximately 500 -odd crores. Next year, I think the CAPEX intensity is going to be lower. So that's what we feel. But the next year budgeting is still to be done and the IT PL I-2 award still has to happen.

en and some

of the new accounts in mobile are still in advanced stages of discussion . So, to give that number is difficult , but for '24 we feel that overall number is going to be within 500 crores .

Sonali Salgaonkar: My second question is regarding the incentives on P LIs. Sir, could you help us with an update as to how many incentives we have received so far and what's the quantum of that and how are we accounting the same?

Saurabh Gupta: Sonali, we are a beneficiary of five PLI, so mobile PLI, we've already received three disbursements from the government , I think we've got the che ques till December 2022 and our application for the period January to March has already been appraised. What we understand is that we should get the disbursement very soon in the next couple of week s or maybe earlier. Then, immediately after the September now , we have just close d the September numbers , we will now file our claim under the mobile PLI for this financial year as well based on six months numbers and that should take maybe one and a half, two months to get those disbursement from the government. So , this is on mobile PLI. Now on the telecom PLI, again that appraisal for the period January to March because that's where we started the business in our JV on the telecom side, so that appraisal also has been d one. The final meeting of the empowered committee is pending, which we understand should happen soon, and then we should get a disbursement . And also, our investment for the second year under the Telecom PLI which first year was 36 crores and 2nd year was also 36 c rores, we have again done that CAPEX because on account of increased order book that we have from Airtel and Jio. So that also the claim we w ill file immediately after this balance sheet closure once we get the first disbursement . So, this is the status of telecom PLI. On the IT hardware, we are awaiting the approval under the revised IT hardware scheme. We understand that the approval should c ome in shortly and we have applied under the hybrid category with the 250 crore s investment because we have some brands and we are in discussion with some large brands there . On the lighting components PLI and on the inverter controller board where we have a JV with Rex xam, again , the numbers for CAPEX and revenue thresholds have been achieved. But the PLI mention s that it can only be filed once the financial year ends. We have achieved the numbers in the first few months only what was the ceiling of those committed under the PLI and once the financial year end, we'll file the claim and then hopefully we should get the claim by next year and then it should be kind of on a regular So this is the status .

Moderator: The next question is from the line of Mr. Mayur Patel from 36 0 ONE AMC. Please go ahead, sir.

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Mayur Patel : While the company is gaining excellent traction in mobile and some of the new initiatives, new segments , just want to understand for the first half , the EBITDA growth was impressi ve at around 35% year-on-year, but the operating cash flow declined , I think it's around 150 crores , so that's the kind of decline as compared to the first half of the last year. So , can you just give some color about is there any change in the working cap ital cycle and is it structural or temporary or how is it?

Saurabh Gupta: Clearly , one of course because of the season every year , Q2 historically also has a lot of working capital gets deployed because lot of money gets locked into debtors, which subseque ntly get realized once the season ends. So , one is that . Secondly , lot of our businesses were also in ramp up phase, for example, some of the new accounts that we have started in mobile business for Jio, like in telecom for Airtel, those initially because those businesses are in a ramp up stabilization phase so there's alw

ays initial kind of a working capital which gets deployed. But then over the months what we have seen and like the way it has worked out in other verticals also , over the period we always bring it down. So , we think that in the next few months , we will be able to bring down the working capital intensity by almost 300 crores ... we'll get almost 300 crores back into the system, which should happen over a period of next three to four months, we have a plan to it and we are absolutely working towards it . So hopefully this position as of March 31st balance sheet should look a positive working capital that we should generate in the business and we should have a free cash flow positive by end of Marc h 31st. So , we are absolutely working towards it. We had a positive free cash flow last year as well and definitely we feel confident that we'll have the same situation this year as well.

Atul Lall: So, we are absolutely committed to it and internally we'r e confident of achieving what Saurabh was sharing.

Mayur Patel: Is it fair to assume that structurally there is no change in working capital cycle ?

Saurabh Gupta: Our focus, our commitment on the working capital doesn't change and you will see that in the March 31st financials.

Moderator: The next question is from the line of K eyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: A question is on the mobile segment. So , as you mentioned about Xiaomi and timeline and Itel

as well I think these clients are going to ramp up more towards the end of the financial year. The kind of jump that we have seen in Q2's revenue in the mobile, are there just a timing difference since they were not there in Q1 then we came up in Q2 or there is a change in order visibility from existing clients like Xiaomi, Intel and Motorola, just a clarity on existing client order books which led to this kind of growth?

Atul Lall: In Q2 and also in the coming quarters, the order book of our anchor customer is very healthy.

And also, there has been a significant volume increase of Nokia. Intel feature code has already started and as Saurabh shared that we have already started executing the Jio order. The

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smartphones of Xiaomi still have to kick in, which will start from next month, but the ramp up is going to take some time. So, this is the sequence.

Keyur Pandya: Just one clarification. You mentioned first, Xiaomi and then Intel smartphones. Is it correct?

Atul Lall: They're almost parallel, hopefully.

Moderator: The next question is from the line of Mr. Rahul Gajare from Haitong Securities. Please go ahead.

Rahul Gajare: Now, you did give us the ramp up plan for Xiaomi. Do you have a similar ramp up plan ready for Intel also that you could share?

Atul Lall: So, we are working on it. We feel that sometime in Q4 the manufacturing will happen with us.

Rahul Gajare: My second question is continuing with the earlier question that on the laptop manufacturing, where you did indicate Dixon will be fairly competitive compared to those manufactured in China or elsewhere. Now, based on your discussion with the potential clients, what are the thoughts of assembling these laptops...is this going to be restricted only for Indian market or even export opportunity is being deliberated at this point in time?

Atul Lall: So, the discussions that we have had with our global customers is that we feel that we have almost matched the China manufacturing cost. So, that's a big positive for this. Responding specifically to a question for which market we keep to start is going to be the domestic market only. Because first in Dixon, we have to prove our credentials of executing this business to our principals. Only then there can be a possibility of giving it exports, but initially it's going to be confined to domestic Indian market.

Moderator:

The next question is from the line of Swati Jhunjhunwala from BOB Capital. Please go ahead.

Swati Jhunjhunwala: Sir, just on the top line side, so currently given our H1 numbers, we are on track to do somewhere around 17,000 to 18,000 for FY24. Now, given that Xiaomi smartphones are coming up and Intel and all the others, the laptop PLI and everything is coming up, can we expect to see these numbers double in the next two years?

Atul Lall: When we are extremely buoyant and optimistic about this business, but to give a specific guidance would be difficult. But yes, we are extremely optimistic, committed and excited about this opportunity.

Swati Jhunjhunwala: If there is any kind of guidance that you can give us over the next two years, three years?

Atul Lall: No, we are not giving any guidance anymore. But we're confident that our growth is going to be extremely aggressive.

Saurabh Gupta: Broadly, the comments or the opening speech that we had given, you can relate that we have a strong order book across most of the verticals. So, whether it's telecom, whether it's IT hardware

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potentially and then hearables, wearables, that's also the largest piece mobile. So clearly, we'll have a very strong growth, we're sitting on a large opportunity, but to share that in numbers, we would like to refrain from that.

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Broadly, my questions have been answered. I just have one question on the home appliance segment. So, sir, our channel checks suggest that there has been a broader slowdown in the washing machine segment. So, as a basis ODM player, can you tell us how the demand or the order book looks like for this particular segment? Secondly, has there been a premiumization that's been happening or has the orders for fully automatic front load taking the front seat, just broader color on that segment will help sir?

Atul Lall: So, in the first six months, our volumes have grown 14% in the semi-automatic category. How the demand is going to pan out? We are waiting again for Diwali, that how the final consumer end sale takes place. Only then we'll have more clarity on our order book and the business plan. We've internally budgeted a number of 1.7 million in semi-automatic against last year's number of 1.4 million. As far as the premiumization is concerned, in semi-automatic one is seeing that the market and the consumer preference has shifted to the higher end models. Yes, that is happening. As far as the fully automatic is concerned, we have just started this business. There

has been a 4% growth in the volumes. We are in the process of acquiring more customers and we'll see a positive traction in the coming six months. So that's the way it looks. But how the next two quarters are going to pan out? Let's wait how the Diwali happens.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Both on mobile and EMS, can you tell me last year which is FY23, how many mobile phones did you do for each of your larger customers for Motorola, for Nokia -?

Saurabh Gupta: We like to give you the overall numbers, not customer wise.

Pulkit Patni: So last year, what is the total mobile numbers you did, split between feature and smartphone, sir?

Saurabh Gupta: Pulkit if it's fine, can I share you after this call? I wouldn't be having it handy right now. What I can give you is the H1 numbers or Q2 numbers in case you are interested. For the full year numbers, maybe I can give you after this call.

Pulkit Patni: If you can just give me the H1 numbers between feature and smartphones for this year so far whatever you have done?

Saurabh Gupta: So, for smartphones for H1, excluding Samsung, I'll tell you separate

ly, we did 2.5

million smartphones and almost 12 million feature phones. And for Samsung, we did almost 4.2 million smartphones.

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Pulkit Patni: My second question is, can you talk about what is the total capacity today that you have after setting up factory for Xiaomi and all, both again for smartphone and feature phones?

Atul Lall: So, if you leave aside a Samsung plant, our smartphone capacity in the three plants is going to be almost 2.5 million of the smartphones and almost 5.5 to 6 million of feature phones.

Pulkit Patni: This is monthly capacity, right?

Atul Lall: Right.

Moderator: The next question is from the line of Ashish Shah from JM Financial. Please go ahead.

Ashish Shah: Can you talk a bit about the refrigerator capacity that we are setting up, by when do we expect that to be up and running and what is the kind of volume, revenue, margin expectations that one should start building in from that business?

Atul Lall: So, the capacity that has been set up is for 1.2 million units per year. This is basically for DC refrigerator, 190 to 235 liters. At present, the factory has been set up and the trials are going to be on in next week to 10 days. In the first lot of 2,000 refrigerators, we plan to run the production sometime in second week of November. It requires BEE and BIS approvals and also the customer approvals take time. So, we plan to start the commercial production. We're targeting December, but that looks to be slightly difficult, but definitely the next quarter. As far as it's concerned it's going to be almost similar to our other ODM businesses.

Ashish Shah: In terms of the volume, how the ramp up you would expect, I mean, in terms of whatever kind of inside you may have from the production schedule or any guidance from the customer side, what's the kind of ramp one should expect from this capacity?

Atul Lall: You see year one is going to be slightly slow because the approvals in refrigerators, particularly for large global brands to whom we are talking it takes some time. And I think we are going to miss the season for refrigerators, because the season starts picking up from January to March ... we're going to be in it, but not absolutely ramped up. So, to give exact numbers for the next fiscal, I think we're still in the preparatory stage, will take some time at least.

Moderator: The next question is from Kuan chu from Birla Mutual Fund. Please go ahead.

Kuan chu: My first question on the home appliance side. You mentioned we've done 14% volume growth in semi-automatic and mix is also premiumizing. Has the industry in some sort of price erosion because in the first half revenues have been more or less flat.

Saurabh Gupta: So there has been some kind of a price erosion because of the fall in commodity prices and also the fall in the freight rates.

Kuan chu: We pass that on to our customers?

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Saurabh Gupta: Yes, the prices are adjusted. There has been a margin expansion in this business.

Kuan chu: The second question is on the mobile phone and EMS side. So, now that business accounts for over 50% of overall revenue and that number would rise as Xiaomi and Intel scale up. But value addition in this segment is significantly lower than other segments that we're doing. So, are there any plans to scale up value addition in this segment as well?

Saurabh Gupta: So, in a stage one, the full objective is customer acquisition, executing that business well, ramp up the volumes and generate an operating leverage because it's going to be a very large scale.

Please appreciate that we're talking about a capacity of almost 80, 85 million which is more than

30, 35% of the total incentive requirement. That in itself when Dixon is going to consume a lot of bandwidth. Once

if we are able to stabilize our operations, then the focus is going to be that how we can add more value. But as of now, the whole focus is to gear up the whole organization to execute this large business opportunity.

Moderator: The next question is from the line of Shrinidhi from HSBC. Please go ahead.

Shrinidhi: Just one clarification on the Intel business. The Intel brand, which is owned by Techno, it seems that like they operate three brands in India. Just wondering, Dixon has got contract to assemble only the Intel brand or the other two which includes?

Atul Lal: It's going to be for all the products.

Shrinidhi: Saurabh, you elaborated on PLI incentive scheme. Just wanted to confirm is it correct that there is no incentive that has been booked in this quarter as well as first half of this financial year?

Saurabh Gupta: No, no, no, incentive has been booked. So that part got missed. So clearly the way we do is that we create a receivable from the government based on accrual basis and we create a pay bill to the customers on the liability side, which has to be paid which whatever we agreed on a sharing mechanism with them. And the difference between both of them is gets booked in the P&L. So, the first six months of this financial year is 17 crores of PLI incentive which is our share across those four PLIs because IT hardware is not kicked in, has been booked.

Shrinidhi: May I ask how much is it in Q2?

Saurabh Gupta: 17 in H1 and Q2 is around 11.8.

Moderator: The next question is from the line of Onkar Gugarde from Sri Investments. Please go ahead.

Onkar Gugarde: My question was regarding the business of refrigerator and other things is margin accretive for you as compared to other businesses. So, any specific plan to enter into businesses which are high margin category or any specific plan for this business to grow further?

Atul Lal: So, refrigerator business is just about to pick up. It's going to be a large opportunity for us to build up that business. As I shared in my earlier response to the question, it's going to be margin -

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accretive business. Once we are able to stabilize this business, definitely, we're going to look at the opportunity in this particular segment to get into side-by-side possibly also. There's going to be the next expansion. Apart from this, any other category where we are very continuously evaluating the opportunity in which the margins are definitely to be value accretive.

Onkar Gugarde: Just a follow up on that, in the AGM, chairman mentioned that you would be looking to enter into categories like automotive, defense in the long-term. So, what's the plan on that front?

Atul Lal: We are evaluating both. And both in automotive and defense electronics some discussions at initial stages have already started with our potential partners.

Onkar Gugarde: So, this is at a very basic nascent stage you mean to say?

Atul Lal: That's right.

Onkar Gugarde: You had mentioned that with this IT 2.0 PLI you would be investing 250 crores and the potential revenue would be 48,000 crores in the next six years cumulatively. So, just wanted to know this is even if you get the approval for PLI 2.0 or by chance if you don't get the approval, this 48,000 crores target is still on in next six years given the visibility you have with the A CER and the new brands?

Saurabh Gupta: This is linked to PLI. But we feel confident that we should be a PLI beneficiary. Of course, the approval is waited here.

Onkar Gugarde: In one of the media interactions you had mentioned that you have been awarded with the client and you will be producing in four or five months. But you are mentioning right now that you haven't been awarded yet for the laptop I'm seeing?

Atul Lal: It's almost at the final stages and we are confident that the contract

that has been awarded to us

is going to mature.

Onkar Gugarde: So, we would be expecting the disclosure from your end very shortly, right?

Atul Lal: That's right.

Moderator: The next question is from the line of Venkatesh Balasubramanian from Axis Capital. Please go ahead.

V Balasubramanian: Just a follow-up question. I just noticed that your AC PCB business, which was almost 140 crores last year has come down this year to something like 40 crores. So why is there a decline in your AC PCB business?

Saurabh Gupta: No, no, no, no. So basically, it has not come down to 40 crores. So last year we transferred this business to the joint venture with Rexham towards the end of Q2 last year. So that's why we had these revenues of 140-odd crores. But since the JV is around 60:40, so in the financials, we only

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book our share of minority profit and we don't account the revenues. The 40 crores revenue is a small revenue which is based on some intercompany thing. But apart from that, the revenue is not reflecting in the financials. Our share of minority which is reflecting in the share of profit as a line item is reflected in the financials.

V Balasubramaniam: No, I was asking you because in your presentation it is mentioned that if you exclude the AC PCB business, your underlying consumer electronics business is growing at a certain pace. So, you can actually back calculate and it looks like AC PCB is getting accounted. Maybe I'm confused. Anyway –

Saurabh Gupta: No. There is some confusion. So basically, the numbers that we have reported for last year is 1500 -odd crores, out of which we are saying that there was an AC PCB revenue because by that time we had some numbers coming in Dixon only and by that time that JV was not created ... last year I'm talking about. So, if you exclude the AC PCB revenues, that makes the consumer electronics revenue, which is LED TVs has around 1,422-odd crores. And if I see the growth in numbers this time which is 1,440 crores, there is a small growth of 1% is what we have reflected. And similarly, the operating profit which is reflecting at 14%, if I exclude the impact of AC PCB, the operating profit growth. Year-on-year is 19%.

Moderator: Thank you very much. The last question for the day is from the line of Nikhil Agrawal from VT Capital. Please go ahead sir.

Nikhil Agrawal: Just wanted to know your set top box revenue for the quarter.

Saurabh Gupta: So, set top box broadly we sold around 6 lakhs set top box and the average selling price is around Rs.900, 1,000-odd, so it should be 54, 55-odd crores.

Nikhil Agrawal: This is included in the mobile and EMS segment?

Saurabh Gupta: This is included in the mobile and EMS segment.

Nikhil Agrawal: So, your TV volume year-on-year if you could just help me with that?

Saurabh Gupta: The TV volumes in H1, we have done a volume of 17.9 lakh as against 18.4 lakh in six months last year.

Nikhil Agrawal: What would be the open sell prices year-on-year?

Saurabh Gupta: Open sell prices have gone up. In fact, if you look at our revenue growth in consumer electronics, it is almost flat. And if you look at my volume, degrowth has happened in this particular quarter because the festive season also spilled to Q3. So, my volume degrowth is -7% and there is a +7 increase in value in the selling prices mainly on account of the open sell. So that's the reason we are having a flat revenue growth.

Nikhil Agrawal: Just a clarification, you said 17.9 volumes for H1 FY24.

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Saurabh Gupta: Yes. But if I talk about specifically it is 10.8 lakh as against 11.6 lakhs in Q2 last year.

Moderator: As there are no further questions, I would like to hand the conference over to Ms. Bhoomika Nair for the closing comments.

. Over to you ma'am.

Bhoomika Nair: Yes, Sir. I would like to thank the management for giving us an opportunity to host the call and all the participants on the call as well. Thank you very much, sir.

Atul Lall: Thank you, Bhoomika. Thank you so much.

Saurabh Gupta: Thank you, everybody.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Dixon Technologies (India) Limited

06th February, 2024

To
Secretary
Listing Department
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 051

Scrip Code – 540699
ISIN: INE935N01020 Scrip Code - DIXON
ISIN: INE935N01020

Dear Sir/Madam,

Sub: Transcript of the Q3 FY 24 Earnings Conference Call held on 31st January, 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q3 FY 24 Earnings Conference Call of the Company held on Wednesday, 31st January, 2024.

The said transcript has also been uploaded by the Company on its website and the same is available at <https://www.dixoninfo.com/earning-call-transcript.php> .

We request you to kindly take this on your record and oblige.

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar
Chief Legal Counsel & Group Company Secretary

"Dixon Technologies (India) Limited
Q3 FY24 Earnings Conference Call"
January 31, 2024

MANAGEMENT : MR. ATUL LALL – MANAGING DIRECTOR AND VICE
CHAIRMAN – DIXON TECHNOLOGIES (INDIA) LIMITED
MR. SAURABH GUPTA – CHIEF FINANCIAL OFFICER –
DIXON TECHNOLOGIES (INDIA) LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

Dixon Technologies (India) Limited
January 31, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Dixon Technologies Q3 FY24 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star, then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you, and over to you, ma'am.

Bhoomika Nair : Yes. Good evening, everyone, and welcome to the Q3 FY24 earnings call of Dixon Technologies. We have the management today being represented by Mr. Atul Lall, Managing Director, and Vice Chairman; and Mr. Saurabh Gupta, Chief Financial Officer. At this point, I'll hand over the call to Mr. Lall for his initial remarks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.

Atul Lall: Thank you so much, Bhoomika. Good evening, ladies, and gentlemen. This is Atul Lall, and we also have on the call today our CFO, Saurabh Gupta.

Saurabh Gupta : Good evening, everybody.

Atul Lall: Thank you very much for joining these earnings calls for the quarter ended December 2023. Coming to our overall performance for third quarter, consolidated revenues for the quarter ended December 31, '23, was INR4,821 crores against INR2,408 crores in the same period last year. That's a growth of 100%.

Consolidated EBITDA for the quarter was INR187 crores, against INR114 crores in the same period last year. That's a growth of 64%. Consolidated PAT for the quarter was INR97 crores, against INR52 crores in the same period last year and that's a growth of 87%. With a strong capital allocation discipline and effective working capital management, we were able to expand the return on capital employed and return on equity to 35.6% and 25.6%, respectively, as on 31st December '23.

And we feel very confident that the same would keep improving in the upcoming quarters and years on account of improved earnings, working capital efficiency, higher asset turns in both mobile and IT hardware segments. We continue to invest in our capacities and diversify into new product categories to support long -term growth opportunities with huge focus on quality, manufacturing excellence and consistently meeting the needs of our principal customers and strengthen our position as a key player in industry.

Strong balance sheet, high liquidity, and adequate credit lines from banks enables us to direct

growth capital swiftly and enables us to invest in the long-term development of our business for long-term value creation. Our foremost objective continues to be to be a part of India's long-term growth story and to ride the country's robust consumption narrative and "Make in India" initiative to achieve industry-leading growth.

Now I'll share with you the performance and the strategy in each of the segments going forward. Starting with Mobile and EMS division. Revenues for the quarter were INR3,214

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crores, which is a growth of 251% year-on-year and 14% quarter-on-quarter. Operating profit was INR104 crores, a growth of 215% year-on-year and 13% quarter-on-quarter, with an operating profit margin of 3.2%.

In the fi

rst nine months of this fiscal, we have already touched a significant milestone of manufacturing 11 million smart phones and 26 million feature phones. We have created an annual capacity of 30 million smart phones and 50 million feature phones across four plants in Noida. We're making more investments in this business in order to meet the increased order book in Motorola business, including a significant part that is going to be exported, and to meet the demand for some large new brands in pipeline.

Production should commence in the next couple of months for one of the largest global brands, which we have acquired. And for another customer, which is again one of the largest global brands, it should commence within the next four to six months. Agreements with both the customers are in the final stages of closure, and we expect very decent volumes from these two new customers.

Our ramp-up in Xiaomi's smart business in the range of around three to four lakhs a month and then ramping up significantly has already started in a new facility in Noida. We expect the volumes to further build up starting April '24. So these are very, very large orders and we would be undoubtedly the largest phone manufacturer in the country.

Consumer Electronics. Revenues for the quarter was INR929 crores. That is a value growth of almost 8% with an operating profit of INR32 crores and 3.4% of operating margin. We have rolled out India's first ODM-based Google TV solutions from Google in the quarter under review and we're getting an encouraging response with some of the brands already taking the solution.

We've also entered into partnership with Samsung for their Tizen operating system, which will be supplied in for us to offer to other domestic brands and is expected to be rolled out by Q4, that is the current quarter of this fiscal. We have started manufacturing Interactive Flat-Panel Display this quarter, and we have a good order book on this.

We expect the margin of this business to be much superior to LED TV. As a part of our backward integration exercises, we've already started injection moulding for televisions and also started manufacturing the LED bar for televisions.

Home Appliances. Revenue for the quarter was INR288 crores, which is again a significant growth over the quarter last year, with an operating profit of INR30 crores and operating margin of 10.4%. Our new state-of-art facility at Dehradun is now ready and the mass production will be starting in a week's time.

In line with our backward integration strategy, we have set up our own tool room and most and the majority of our tools are being manufactured in-house now. Manufacturing for both, for Bosch and Reliance in semi-automatic category; and Panasonic, Lloyd, and Reliance in fully automatic category will start in Q4 of financial year '24.

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Lighting. Revenue for the quarter was INR187 crores with an operating profit margin of 7%. Apart from subdued consumer demand and increased competitive intensity, reason for lower revenues year-on-year is mainly due to price erosion with the new DOB solutions, which is 35% to 40% lower as against the same period last year. We are on track to launch professional products by Q4 of the current financial year.

New product introductions, specifically on ceiling lights are also planned in the current quarter of the current fiscal. We're getting into backward integrations of mechanicals. We're seeing better cost optimization. We are targeting to start the production of these mechanicals in Q1 of the next financial year. We have got some repeat orders for exports from our customers in Middle East, and we are also pursuing in other developed markets in the coming quarters.

Next is the telecom and networking products. Revenue in this segment for the quarter under

review was INR182 crores. A new facility

in Noida, which got operational in December '22, is now stabilized and now ramping up for various telecom products successfully. Mass production is now going on for Telecom G PON -20, that's WiFi -5 and WiFi -6 routers, and Android set-top boxes, this is mainly for Airtel and the other largest mobile service operator. This is in partnership with very large global ODMs. We've also won very, very large orders from Airtel for 5G fixed wireless devices, which is currently in the NPI and trial stage, and this is one of the largest global players -- global ODM solution provider in the FWA category. We have also got a large order from the largest Indian telco on set-top boxes and 5G CPE devices. These products are also going to be started in Q4 of the current fiscal. The order book in this business is very good.

Next is laptops and tablets. Dixon through its 100% subsidiary, Padget, is now a beneficiary under IT Hardware PLI 2.0, under the hybrid category, wherein we've committed an investment of INR250 crores during the tenure of this deal. We've already finalized business with Lenovo for manufacturing of notebooks and tablets. NPI phase for tablets is completed and mass production will start in the current quarter. Notebooks, we are expecting to start by August, September of next fiscal. ASUS business plans are also in discussion, which are going to increase significantly.

Wearables and Hearables. Revenues for this segment were INR101 crores with healthy operating margins. The festive sales in this particular category in Q3 was subdued, resulting in lower revenues. In this category also, we have deepened our level of manufacturing by setting up SMT for PCBA, that is going to be done in-house from the current quarter.

Security surveillance systems. Dixon's 50% share of revenues for the quarter was INR200 crores, which is very significant growth over last year. New facility in Koppurthi is now getting stabilized, resulting in normalization of operating margins at 2.6%. We've further expanded our SMT capability by adding two more SMT lines. We're going to add more product categories like 4G camera and routers in this particular business. We're also looking at the possibility of setting up an injection moulding shop.

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Rexxam Dixon Electronics. It's a 40-60 joint venture with a Japanese company, Rexxam, to manufacture inverter controller boards for air conditioners for Daikin. This JV achieved a revenue of INR82 crores in Q3 with very healthy operating margins. There is a strong order book in this vertical. We've also achieved the capex thresholds for two years and revenue thresholds for current fiscal under PLI.

Refrigerators. We have created a capacity of 1.2 million direct cool refrigerators, which is almost 10% of India's requirement in the categories of 190 liters, 225 liters, with multiple features and different star ratings. Production in this particular factory has already commenced. The trials are on. We're expecting some BIS approvals and the commercial production will start in the next week to 10 days.

We have already signed up agreements with some large Indian brands and the trial runs for them are up and on. We would further be introducing glass door models and have started developing two-door frost-free models in this category. In addition to this, the company is also seriously pursuing PCB assembly and box build in the high-value addition in the electronics sector. In this, the response has been good. We hope to conclude some good orders in a couple of quarters in this business.

So I would like to stop now, and me and Saurabh are there to respond to your questions. Thank you so much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ankur Sharma from HDFC Life.

Ankur Sharma: I had a couple

of questions. One to start up was on the Lighting side. And clearly, Lighting has been struggling for a while and that's pretty much an industry-wide phenomenon given the erosion in prices. But being one of the largest players, how do you really see this going forward? By when do you think prices bottom out? Because I understand volume will be there, but that's completely been taken away by the price erosion. So is it like another quarter away, couple of quarters? How would you see this?

Atul Lall: So Ankur, lately, I'm seeing that the price drop which was happening because of migration to the new technology of DOB has kind of bottomed out and stabilized. So I don't see this kind of erosion taking place in the coming quarters. However, the demand continues to be subdued on the consumer side. What our data points are showing that on the professional side and industrial side, the demand continues to be fairly robust.

And also the consumer end solutions with the products like LED bulb, which was a major contributor to our revenues, is subdued and kind of declining and the consumer demand is shifting more towards ceiling lights and downlighters. So that's what we are trying to do internally. We had set up an R&D almost a year back by taking in senior professionals from the industry.

So our professional solutions of streetlight and industrial lights are being rolled out, and we start generating revenues from the next quarter. And also, we have invested a lot for coming up with extremely good solutions with ceiling lights and downlighters. So that's also going to

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be rolled out shortly. And our new product category, which I had mentioned in my earlier earnings call, was on strips and ropes.

That has already been rolled out. So those are the steps one has taken from Dixon side. But how soon it's going to recover, to be very candid, one has to wait and watch. But as far as the unit value decline is concerned, I think it's bottomed out. And these are the steps taken by us to get the business back on track.

Ankur Sharma : And on export, how big would that be right now? I understand that is very small, right? But can this kind of offset some of this weakness on the B2C demand? Will that happen in next one or two quarters? Or it's still some time away?

Atul Lall: So we are definitely seeing this phenomenon called OOC, out of China, and we are working on this opportunity. We feel that we are almost close of certain significant breakthroughs in the developed markets. But let's wait and watch. But what kind of revenues it's going to offer? I'm not in a position to answer that question.

First is to get those breakthroughs, and we feel that we are almost close to it. Second is to establish our credentials and deliver as per the large customer's demand, and then the volume will come up. So I'm very sure we'll come back on track, but it'll take some time.

Ankur Sharma : Okay. Fair. Sir, second, on the cell phone side, and I think you spoke about some two large new customer additions, if I heard you right, where you're working upon. Anything more you can talk about, are these brands in India? Are these mostly brands outside India? Would you be making it for the Indian market? I don't know whatever that you can share at this point?

Atul Lall: So this is mainly for the Indian market. The first time that we mentioned in our opening remarks, wherein we are targeting the trials within February, March, and the commercial production to start in April. It's within the top three, four brands in India. And the other brand is a very, very large global brand. And that requires certain specialized lines. We are close to signing some documents, but that's going to take 4, 5 months to start commercial production.

Ankur Sharma : Right. Okay. And just if you could remind us, a ramp-up on Xiaomi, intel, Jio, how is that

going? Any numbers you can share where you land up, say, this year and next year on some of the larger -- even Motorola I hear has increased exports out of India. So some of these larger clients, how is the ramp-up happening? I know the Xiaomi plant has also started. If you could help us there as well?

Atul Lall: So the ramp-up in Motorola volumes was very significant. And almost 28% to 30% of what we are going to manufacture is going to be for exports to U.S. market. For Xiaomi, the production has already started, and we are adding lines. We have won the RFQs to have new models. So that ramp-up is going to be significant.

Month-on-month, the ramp-up is happening. Jio, we are consistently producing for them the Bharat Jio phone, but that's more on the feature phone side. intel also we're producing the feature phone. We feel that in a month's time, a significant production of smart phones for them is going to start.

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And then we are talking about adding two new brands. One brand that I mentioned is going to happen, hopefully, by April, and the next brand should happen by August.

Moderator: We take the next question from the line of Aditya Bhartia from Investec.

Aditya Bhartia : My first question is on the mobile phone side. We have obviously started a few new facilities like that of Xiaomi, and we are also constructing a fairly large [inaudible] almost 1 million square feet kind of a facility. So how are we thinking about structuring this business?

Would some part of the existing business be moving to a larger facility and we'll let go of some of these facilities? Or are we anticipating new business to be large enough to be filling in such a large capacity?

Atul Lall: So at present, apart from our Samsung footprint, we have three footprints. We have three factories in Noida. And within these three factories in Noida, we are creating a capacity of almost 30 million units, smart phone only I'm talking about. And parallelly, we are building this 860,000 square feet factory in Sector 151 in Noida.

This is going to take two, two and half years. And also, please appreciate that we are an active participant in IT PLI 2.0, and that is production of notebooks and also tablets. So that business is also going to ramp up. At present, it's going to be done in our Sector 68 factory.

And as the volumes ramp up, and let's see -- because if we're doing 30 million, 35 million, 40 million phones, it's a very large number. We'll have to take a call that how much of it is going to be shifted to the new -- our own owned footprint or we can secure some new business. Let's see, there is time for that. But at present, that's the way to structure.

Aditya Bhartia : Understood. That's helpful, sir. My second question is on performance this quarter for segments other than mobiles, which appears to be a little soft. Lighting, obviously, you mentioned some of the challenges. But even on the TV side, given that we had a slightly delayed Diwali, maybe one could have expected slightly stronger volumes.

So is it that the market is going through a fairly dark slowdown? Or is there something more to it? And also a related question, in categories like, let's say, wearables or IT products, which are just in the nascent stages, this quarter has been a bit weak. So what are you seeing on that front?

Atul Lall: So let me share with you the numbers. See, as far as LED TV is concerned, we have grown 8% in value over the same quarter last year, but there is some decline in the volumes. As far as semi-automatic washing machine is concerned, we have grown by 35%. As far as smart phones and feature phones, you know the numbers have grown by -- in the case of smart phones, by almost 246%; in feature phones, by 1,300%.

As far as hearables and wearables is concerned, we have grown by 22%. As far as

CCTV is

concerned, year-on-year, we have grown by 89%. In DVR, we have grown by 81%. And our telecom devices, because it was a small base, I mean, it's a significant growth. So what I'm

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putting across here is, of course, the growth, the main growth trigger has been mobile. But all the other verticals we have grown, except for lighting.

And you know that the demand and the consumption side in India in this particular category has been rather subdued, but we have grown.

Aditya Bhartia : Sir, on wearable side and IT hardware side, I was actually looking both from a sequential basis versus quarter two, given that these businesses are on a ramp-up mode. Like wearables, we had seen a pretty decent growth in second quarter, also because I think we started consolidating 100% of revenues. But from there, we have seen a bit of a dip. So just wanted to understand that.

Atul Lall: Can't compare quarter-on-quarter. Please appreciate that in Q2, the build-up was for Diwali.

Aditya Bhartia : Okay. So there's fair bit of seasonality even in wearables and hearables?

Atul Lall: Yes, yes, absolutely.

Aditya Bhartia : Sure, sure. Understood.

Atul Lall: Generally, Aditya, basically, till Diwali, the sales are grown and then they generally maintain the channel, which takes time to liquidate. So that always happens in wearables and hearables category as well apart from TVs and washing machines. But in washing machines, we've still grown year-on-year, clearly because we have been able to take higher share of wallet and we've also been able to add more customers in this category.

Saurabh Gupta : So just to share with you the numbers in semi-automatic washing machines, I know that the overall demand has not been that buoyant, but we have grown from 3.1 lakhs to 4.2 lakhs.

Moderator: The next question is from the line of Deepak Krishnan from Kotak.

Deepak Krishnan : I just wanted to check on the Jio Bharat phone in the feature phone group and under that you indicated. Do you kind of see that volume sustaining beyond this year? Or do you kind of look at that as a onetime revenue addition for this particular year? What are your viewpoints over there?

Atul Lall: The Jio Bharat is going to ramp down in a couple of months.

Deepak Krishnan : Sure. And our additional other customers, especially the Xiaomi ramp-up and the intel ramp-up should more than help us offset any impact on that. That's how we are looking at...

Atul Lall: New customers.

Deepak Krishnan : Okay. Sure, sir. And maybe any viewpoint on how are you looking at mobile growth for the next couple of years? Any data point that you can share in terms of -- obviously, you indicated new customer addition, but either in volume or value terms, how you kind of see this business scaling up?

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Atul Lall: So undoubtedly, it's going to be the largest contributor to our growth. See, we feel that the outsourcing opportunity in mobile out of 150 -odd million mobile smart phones sold in India is almost 85 million to 90 million. And we feel that in a couple of years, we should at least be at 35%, 40% of that market. So it's going to be a very large revenue contributor.

Moderator: The next question is from the line of Renu Baid Puglia from IIFL Securities.

Renu Baid: So my first question is, how should we look at the mobile phone business from a profitability perspective? Earlier, you had mentioned that this business should be growing anywhere between 2.5% to 3% margin over medium term. So this quarter, we would have seen initial start-up costs for new factories for Xiaomi, ramp -up in Moto, plus there are capex underway for other factories as well.

So if we take the next 12 months' perspective, do you think margins in mobile could take a near-term knock or ramp up in

new or the existing brands? And the investments in new brands should be able to take care of the margins by naturally offsetting each other?

Atul Lall: When we're looking at customer mix, the model mix, and we have done the -- and prepare the financial metrics internally, if you -- between the last quarter, we have generated an operating margin of 3.2%. I feel we should be in a similar range. There will not be any negative impact. If possible, there might be 10, 20 bps improvement.

Renu Baid: And in terms of the backward integration with respect to mobile phone components, how is that placed for the next 12, 15 months?

Atul Lall: So we are looking very seriously now at a vertical integration play in mobile and again in deep study with some of the largest players in this domain. We feel now is the time for Dixon because we will be having a large mass of mobile, a large share in this business, to vertically integrate. This is happening at present, at conceptualization and study state. Let's see how the opportunity is looking. But please be rest assured that we in Dixon are very deeply diving into this.

Renu Baid: And just to recap, when we first entered the mobile segment, we had incubated a small team of R&D, which was based out of China, to work on potential ODM capabilities as well. So are -- is that team still working on that ODM plan? Or those plans to build those ODM capabilities in mobile phones over a three - to five-year period, is that plan still intact? Or there have been changes in the business strategy given the sharp volume ramp -up that we have seen in the recent quarters?

Atul Lall: So they're on the back burner now because the opportunity that has come into our lab are very, very huge. And the whole bandwidth of the team is going to be consumed in executing that. And also, a lot of work has to be done on industrial engineering, robotics, NPIs, automation, increasing the productivity levels, yield levels to the best in China.

And also, the opportunity one feels are going to be on the vertical integration side. And so that's the reason the ODM thing has been put on back burner at least for the time being.

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Renu Baid: And lastly, you did mention briefly about plans to explore entry in PCB for industrial applications. Can you share some insights in terms of what applications are we exploring on the PCBA side? Would this be more domestic focused, foreign, broad EMS or it would be export -oriented portfolio for us?

Atul Lall: So what we are looking at because we feel that we have adequate capability on the EMS side for industrial electronics, we are getting the opportunities in a higher value -added business, mainly for global markets, mainly for global markets. We have built up a small team. We have dedicated some resources. Some RFQs are with us. In fact, with some customers, advanced stages of discussions are happening. So let's see how it pans out. But definitely, there will be a business revenue stream created in the EMS side, which is having a larger value addition.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential.

Keyur Pandya : First question, on the mobile side. I think since now, the Xiaomi plant is on stream earlier, you have mentioned about a 0.5 million kind of run rate on a monthly basis and around 1 million for the intel smart phone. So what kind of timeline do you expect to reach this? Or have we revised upward, downward? Any update on this? That is first question.

Atul Lall: So we're working towards it. It's very difficult to have a timeline, but we are working towards it and we're confident these numbers will be achieved.

Keyur Pandya : Now it would be -- since, I mean -- I know it's still early stage since the plant coming on

stream. So right now, what would be the level of production? Any run rate that,

that you can

share or any expected run rate for Q4?

Atul Lall: INR100,000 for Xiaomi.

Keyur Pandya : Understood. Secondly, on the laptop side, just more thoughts on existing opportunity from the existing customer and any timeline that you can share for the start of the production and the ramp of timelines.

Atul Lall: The new contracts for notebooks, laptops that we have signed with some of the large global brands, we are targeting to start production in August, September.

Keyur Pandya : And for me, just one follow -up. So , existing volumes are totally imported. So basically, what is the size of opportunity? And what kind of volumes can we import substitute for them, if you can share that?

Atul Lall: Please appreciate, the IT products market in India is almost \$10 billion and it's largely being serviced through imports. So first, an EMS company like ours have to establish their credentials because laptop manufacturing, it requires a different skillset. It requires a different level of engineering expertise. Also, there is a nudge from the government for all the global brands to start manufacturing locally.

But all this has to align. First, the global brands have to be convinced about the capabilities in India. So it will be slightly difficult to give a timeline. But I think a very substantial

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production, once we have proven our credentials, is going to shift to India over next two to three years, yes.

Moderator: The next question is from the line of Abhishek from DSP Mutual Funds.

Abhishek: Just on the EMS part of the business, so once you probably get a clientele, and then will you start incurring capex? So one should assume a 12 to 15 month 's kind of a lead time from the time you actually sign a contract with a customer? Or how does it work if you can help us with the timelines.

Atul Lall: So we have taken an internal strategic call to pursue this. We have built up a small team, which has started working towards it. We have some very significant RFQs. We have some because a lot of our SMT capacity is fungible, so we can always utilize our surplus capacity for it and create a footprint. How much time it's going to take? It's very difficult to say because it's a new business for us, but we are absolutely prepared to it.

Abhishek: Is that only from the perspective that once you get a firm contract from a client, you can use your existing capacity itself to produce is what the understanding is? So the lead time for putting up a factory, it should not be very high? Is that the right understanding?

Atul Lall: Not at all. You see the only -- the SMT lines are basically the same. But then, we're looking at industrial electronics. And when we're looking at value -added industrial electronics, we require a different kind of clean room capabilities. It can be six to eight months.

Abhishek: Got that. And sir, just in terms of Xiaomi also, your plant is largely ready. But in terms of product approvals and other things, are those in place? And how should one look at in terms of the ramp -up that you have kind of largely guided for in terms of further approvals and product approvals? How should one look at in terms of what are the things that you still need to cross in terms of to be able to get to that ramp -up?

Atul Lall: There is a prescribed SOP for product approval. It takes around a couple of months for the product to get approved after the trials have taken place. So the first couple of models have already been approved, and the execution is taking place there. And other product mix pipeline is very clearly established. So I think starting March, April, month -on-month, we see there should be an increase and ramp -up will happen.

Abhishek: Okay. Got that. And sir, just one last thing in terms of the competitive intensity. Both in television and lighting, how

are you seeing that? Is there increase in competitive intensity? Or

is it just the end demand, which is kind of weak? Any thoughts on these two segments?

Atul Lall: So on the television side, yes, the competitive intensity is there, but I think we are still in largely a secure position. And we are working with some of our customers who are getting a larger share of their wallet. The response is positive. So my sense is that in the next fiscal, we should see a volume growth also.

And also, we got into the new category of IFPD, which is a high -value product. And I think our order book there should be decent, so the competitive intensity definitely is there. But to

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share more deeply into this, I don't see the competitive intensity from domestic EMS players. I see largely from the global player.

As far as lighting industry is concerned, the competitive intensity is very, very high, particularly on the consumer side. On the professional side, the product portfolio that we are launching now, the competitive intensity is significantly lower. So that's the way it stands.

Moderator: The next question is from the line of Girish from Morgan Stanley.

Girish : I have three questions. So on mobile, if you can help us on volumes for FY25 basis, what do you understand? You mentioned the two customers. So the base business of Motorola and intel, the volumes that you expect in FY25? And how should we think about the two customers in terms of volumes? How much they would be?

Atul Lall: Well, it's slightly premature to give the volumes. But I feel that all the opportunities which we are pursuing, we are almost close to finalizing them. We should be somewhere around INR25 million.

Girish : Okay. And just in terms of IT hardware, do we have a customer win for both tablets as well as laptop? Or what's the kind of run rate that, on revenue and volumes, we should expect for IT hardware for FY25?

Atul Lall: So again, I'm not in a position to share that number because, yes, tablets, the commercial production is going to start in a couple of months. The trials have already happened. For notebooks, it's going to start August -September. It's a complex line. So for me to share the numbers on these for '24, '25 is slightly difficult.

Girish : Okay. And then in terms of capex, what will be our total capex that we end this year? And next year, what are we pencilling?

Atul Lall: So the capex that we've incurred till now is around INR440 crores. So I think it should be close at around INR400-odd crores.

Girish : And next year, how much should we think through on FY25?

Saurabh Gupta : Girish, I already visited the numbers for next year. Probably, it should be a similar level of INR400 crores plus kind of a number, but we haven't budgeted. So the next couple of months, we will have a better idea on the budget spending.

Atul Lall: Because these opportunities are still in the pipeline. But one feels that the number that Saurabh has mentioned, it should be in a similar range.

Moderator: The next question is from the line of Pulkit from Goldman Sachs.

Pulkit: So this announcement that came in the morning of a reduction in import duty, do you think this is going to delay the indigenization of components for us, which in a way works for us that more assemblies could happen in India? So the whole backward integration plans basically

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gets further postponed? How are you thinking about it from a medium-term perspective for the company?

Atul Lall : This is the area or the domain that we are evaluating for mobile backward integration is primarily in modules and displays. So I still have to study the notification, but my sense is that on display, there were two sets of tariffs. One was 10%, another one was 15%. And now this 10%, t

hat's what I understand, but one has to study the notification deeply. So my strong conviction is that there is a strong case for setting up an indigenous infrastructure for display at 10% arbitrage also.

Saurabh Gupta : Pulkit, when you have a large scale, then even a 10% arbitrage at the scale we are talking about, the capacity that we are putting in would lead to a lot of arbitrages.

Pulkit: Understood, sir. Yes, I understand it's a little premature right now. One follow-up question on the capex number. The number that you are sharing for next year also approximately which you gave, I'm assuming it doesn't include any estimation of any backward integration capex because those would be numbers running into a few thousand crores. Is that right?

Atul Lall: If that happens, it's from a different order.

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang.

Natasha Jain : My first question is on the IT hardware PLI. So last time that we spoke, I believe you clarified that, that PLI can be passed on from the main beneficiary to an EMS player along with the capex-sharing model. Now have we received any such job work from other brands apart from Lenovo and Asus?

Atul Lall: Natasha, our approval under IT PLI 2.0 is on the domestic hybrid category, wherein we have committed a capex of INR250 crores, and we are committed to make that capex. Two large global brands, we have already acquired as our customers. We are in discussions with some other very large global brands. So let's see how it pans out, but that's the status as of now.

Natasha Jain : But I'm assuming that these large brands that you're talking about have been awarding the PLI, right? They are going to pass on that business too?

Saurabh Gupta : So Natasha, your understanding is right. So all these can be a branded company. And they can avail the whole PLI structure if they can work with an EMS company. And EMS company can get an award contract from them and then get the conversion charges.

So PLI can be with the brand owners, who have worked with the beneficiaries. And for an EMS player like us, they can be a play on the conversion charges and the volumes and the revenues.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA.

Indrajit A garwal : I have a question on the lighting segment. So you mentioned the competitive intensity remains high. Is it from other contract manufacturers or in -sourcing where the brand is also putting a

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dent on the overall manufacturing ecosystem? And second, on those lines, the decline that we are seeing, is it also because of market share loss? Or we are largely in line with the industry?

Atul Lall: So the competitive intensity that I referred to was largely from the other contract manufacturers. And I also feel I that there will be some loss of market share for us in the consumer side to the other contract manufacturers.

Indrajit Agarwal : So do we think the worst is over on this? Or going ahead, there could be some more loss of market share in the next few quarters?

Atul Lall: Well, I feel confident now when I look at the numbers and the strategy of my team that we will be able to hold our ground. One feels so. And in fact, in some of the SKUs like battens, we're going to be increasing our market share significantly and also in downlighters.

Moderator: The next question is from the line of Shrinidhi Karlekar from HSBC.

Shrinidhi Karlekar : Sir, one question on Motorola export opportunity. May I ask how much is Motorola's non - India volumes currently on an annualized basis? And how much of that is currently serviced by Dixon?

Atul Lall: So 100% of Motorola, whether for domestic or for global markets, is done by Dixon. The present volume is almost 22% of what we manufacture is going to be exported. I feel in coming quarters, this volume is

going to well approach -- it will increase to almost 30%.

Shrinidhi Karlekar : You mean 22% of Motorola's global volume, Dixon is doing? That can go up to 30%?

Atul Lall: 22% of what we are producing. And as far as the total volume is concerned, this year, we should be doing almost 15% of what Motorola does globally, which I see that in the coming year, should increase to 18% to 20%, that of what Motorola does globally will be done by Dixon.

Shrinidhi Karlekar : Right. So I just wanted to remember that number actually. Like how much is Motorola's volume in terms of million units? And how much is India and how much is non -India?

Atul Lall: I'm glad to check those numbers, but I think the Motorola global volumes are almost 40 million to 45 million.

Shrinidhi Karlekar : And sir, where do we compete here? Like which factories? And how much -- like what are the drivers which decide the allocations here?

Atul Lall: Motorola has three footprints. One is their factory in Wuhan. Second is their factory in Manaus in Brazil. And the third factory is Dixon.

Shrinidhi Karlekar : Right. And so the question is more so around what really drives allocation between the factories? Is it RFQ -based and the pricing gets like bid out and then you get the opportunity ?

So, just some colour on that aspect would be really helpful.

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Atul Lall: Yes. So it's purely on the commercials and also the capability and capacity on deliverables because particularly, when we're looking at the global -- so whatever is being sold in India it's a no-brainer it's going to be manufactured in Dixon. But when we're looking at global markets, the expectations and specification in quality and delivery are also of a different order.

A very huge element of flexibility required. So keeping all those contours in front of them, they take a call. But I can see that India's share and Dixon's share for the global market significantly increasing.

Shrinidhi Karlekar : Okay. And last one, if I may. May I know how much is the PLI incentive that was booked during the quarter?

Saurabh Gupta : Yes. So partially, yes, so mobile, the incentive was almost INR17-odd crores, INR16.5 crores in this quarter.

Moderator: The next question is from Bharat Shah from ASK Investment Managers.

Bharat Shah : Over the last two years, if you see, it has been a bit of a bittersweet kind of alternating situation. More bitter in the earlier part and relatively more sweet in the now more recent past. Well, we all learn the perils of forecasting in investing. We're learning through all the time of the perils of forecasting and how basically all of us can go wrong. But -- and you still have a right to judge and forecast the future.

So with all that has flown under the bridge over the period of time, especially last two years or so, how strongly now we feel about the future? Because we too have gone through our own learning curve and experiences and some of the unanticipated issues that may have cropped up. So with all that behind, we having learned more business, having received some positive tailwinds in the recent past, how do we view the future now?

Both, in terms of our competitive strength, the growth, the opportunity and, of course, the margins and profitability?

Atul Lall: So Bharat Ji, like always, you have asked a very deep question. So since the time when we were listed in 2017, we have grown 10x in our revenue and also capex and our profitability.

And if you recall, the total equity that we have raised at the time of IPO was only INR60 crores. And practically, there is no debt in the company.

So from that kind of capital allocation, this kind of growth has happened. The balance sheet of the company is extremely strong with a return on capital employed of 35% plus. Without sounding pompous, this would be one of the best in our industry.

We have always tried our best to identify the large opportunity pools in front of us.

Sometimes, to get business in those opportunity pools takes time. And then the board has been kind. Our stakeholders are our good well-wishers. And then we have been able to acquire large business and the largest of opportunities in this pool that is in mobile because all the other opportunities combined is half the size of the opportunity pool in mobile.

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And we see that we're going to be almost 40%, 45% of the outsourcing opportunity in mobiles. So that is a big thing for us. And also, we try to hold on to our pole position because I think in the other verticals, we are almost 3x, 4x, except lighting, of what our competition is. We try to run a very lean organization.

We try to run a very tight balance sheet. We're extremely cautious in our capital allocation. Sometimes, they may not have gone up to be right. And sometimes, we have not delivered as per what the markets were expecting on account of various factors like pandemic or global slowdown, which were beyond our controls.

We feel that we are on a strong footing. I think we're very fortunate, and that's our biggest strength that we have a very, very solid team, an extremely committed team. So we feel that the growth journey with a strong balance sheet will carry on. We have the capability and bandwidth to execute this.

So hopefully, we're going to come up to your expectations, sir. That's what I feel, and I'm saying that from an element of confidence. But this is life. This is business. At times, the things don't work out as per what we described. But from Dixon's perspective, let me show you one thing, that we'll always be transparent and candid.

And what we foresee, that's what we share. So that's how I would like to respond to your question, Bharat.

Bharat Shah : No, no. There has been no doubt about the quality of growth and the transparency and candidness with which all these issues have been dealt with, not just in good times but in difficult times as well. So, on that, 11 marks out of 10. There is no question about it. The quality of the growth has been sound. It has been disciplined.

And it has remained focused on -- in the longer end of the strategic agenda. But what other -- and I understand that the mobile phone is a huge opportunity. And you do have good reasons to believe that you'll have lion's share of outsourcing in mobile phones. So that should give you -- that should put you in a good state to grow at a meaningful pace.

But given all of that, given the fact that manufacturing ecosystem is getting more mature, having acquired scale, with different experiences with the customers and others have been going through. And as I mentioned, some challenges have been going through. Do we now believe something -- typically, sometimes, we'll do well? Something may not do well.

And that is the way business would be always, as you correctly pointed out. But do we feel approximately, we should be able to quadruple our business in, say, four to five years' time, which is roughly like 35% to 40% kind of a growth rate? Depending upon whether five years or four years, we quadruple, is that a realistic possibility? Or do you think that's too high?

Atul Lall: Well, don't hold me on to it, but I definitely feel that it's a realistic possibility. I'm not giving

any forecast or any numbers. But I think internally, we are excited about this opportunity. And we feel that, that is a reality. Now in which direction it goes, what challenges, what timelines,

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we'll all work hard to overcome them. But definitely, the opportunity and the growth rate that we are mentioning is in front of us.

Bharat Shah : That's good to know. All the very best wishes. And just on

the last thing. I suppose with the

margins held in tech are slightly better, rather than any adversity on that margin front, right?

Atul Lall: For margins, Bharat, because large growth is coming from EMS prescriptive business, wherein margins globally and in India are in the similar range, are going to be in this range only.

Moderator: The next question is from the line of Vinod from BOB Capital.

Vinod: Atul, I think my question is similar to what Bharat asked just now, probably a bit more direct. I think one of the key hallmarks of Dixon's business model has been the high asset turns and -- which has actually led to high ROCs. Now when you're talking of vertical integration in mobile business, do you see any of these parameters getting impacted going forward?

Atul Lall: So I think it will be a good blend. In fact, the asset turns -- because the capacity utilization of our prescriptive EMS business is going to increase, asset turns are going to improve. ROCs are going to further improve. Now vertical integration when we were talking about, one, the balance sheet can add to and execute it, can afford it.

And second, it further helps us in enhancing the stickiness with the customer. And also, it helps us in sustaining and expanding our margin. So please be rest assured with capital allocation, the way it's going to be done. It's going to be very prudent. We are not going absolutely outlandish on that. And it will be a correct mix.

Moderator: Thank you. We'll take that as the last question. I would now like to hand the conference back to Ms. Bhoomika Nair for closing comments.

Bhoomika Nair : Yes. Thank you, everyone, for attending the call and particularly the management for giving us the opportunity to host the call. Wishing you all the very best. So sir, any closing remarks from your end?

Atul Lall: Thank you, Bhoomika. Thanks for the call, and thanks for all of participants. Really grateful to you for sparing your time and giving your very, very valuable inputs. Thank you so much.

Saurabh Gupta : Thank you so much. Thank you very much.

Moderator: Thank you very much. On behalf of DAM Capital Advisors Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2024

Dixon Technologies (India) Limited

20th May, 2024

To
Secretary
Listing Department
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 051

Scrip Code – 540699
ISIN: INE935N01020 Scrip Code - DIXON
ISIN: INE935N01020

Dear Sir/Madam,

Sub: Transcript of the Q4 FY 24 Earnings Conference Call held on 15th May, 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q4 FY 24 Earnings Conference Call of the Company held on Wednesday, 15th May, 2024.

The said transcript has also been uploaded by the Company on its website and the same is available at <https://www.dixoninfo.com/earning-call-transcript.php>.

We request you to kindly take this on your record and oblige.

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar
Chief Legal Counsel & Group Company Secretary

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CIN: L32101UP1993PLC066581

"Dixon Technologies (India) Limited
Q4 FY'24 Earnings Conference Call"
May 15, 2024

MANAGEMENT : MR. ATUL LALL – MANAGING DIRECTOR AND VICE
CHAIRMAN – DIXON TECHNOLOGIES (INDIA) LIMITED
MR. SAURABH GUPTA – CHIEF FINANCIAL OFFICER –
DIXON TECHNOLOGIES (INDIA) LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Dixon Technologies Q4 FY'24 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited. Thank you, and over to you, ma'am.

Bhoomika Nair: Yes. Thanks. Good evening, everyone, and welcome to the Q4 FY'24 earnings call of Dixon Technologies India Limited. We have the management today being represented by Mr. Atul Lall, Managing Director and Vice Chairman; and Mr. Saurabh Gupta, CFO.

I now hand over the floor to Mr. Atul Lall for his initial remarks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.

Atul Lall: Thanks very much Bhoomika. Good evening, ladies and gentlemen. This is Atul Lall, and we have on the call today our CFO, Saurabh Gupta.

Saurabh Gupta: Good evening, everybody.

Atul Lall: Thank you very much for joining this earnings call for the quarter and year ended March '24. Our company has delivered yet another year of strong performance. First, coming to the overall performance for the fourth quarter. Consolidated revenues for the quarter ended March 31, 2024, was INR4,675 crores as against INR3,070 crores in the last year, that's a growth of 52%. Consolidated EBITDA for the quarter was INR199 crores and against INR158 crores in the same period last year, growth of 26%. Consolidated PAT for the quarter was INR97 crores against INR81 crores in the same period last year, which is a growth of 20%. Coming to overall performance for the fiscal year ended March '24. Consolidated revenues for the year ended March '24 was INR17,713 crores against INR12,198 crores last year. This is growth of 45%. Consolidated EBITDA for the year is INR720 crores against INR518 crores last year, which is a growth of 29%. Consolidated PAT is INR375 crores against INR255 crores, which is growth of 47%.

Another highlight for the year was a strong cash generation from the operations, which is approximately INR584 crores, which was used for funding a capex of INR569 crores in the year '23, '24. With a strong capital allocation discipline, effective working capital management, and earnings improvement, we were able to expand our ROCE and ROE which was 38% and 25.2%, respectively, as of 31st March '24, and further extending the balance sheet with gross debt-to-EBITDA ratio of just 0.09.

Working capital days stood at negative of 8 days. Our balance sheet strength enables us to directly grow capital safely enable us to invest in the long-term development of our business. We strongly believe that we have a platform to sustain a strong revenue growth moving forward,

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addition of new customers across all businesses including some very large accounts in the mobile business.

Now I'll share with you the performance in the strategy in each of our business verticals going forward. Mobile and EMS business, revenue for the quarter was INR3,091 crores, which is a growth of 119% year-on-year. Operating profit was INR105 crores, which is a growth of 78%

year-on-year with an operating profit margin of 3.4%. Revenues for the year were INR10,919 crores, a growth of almost 109% year-on-year. Operating profit in this business was INR355 crores, a growth of 113% year-over-year with the operating profit margin of 3.3%.

In the last fiscal year, we had already touched a significant milestone of manufacturing 15 billion smartphones and 38 billion feature phones. Now we have created a capacity of 45 million smartphones and 40 million feature phones. That's approximately 50% of the opportunity pool in this business. We have been making incremental investments in this business in order to meet the increased order book of our customers.

We expect a strong growth in the volumes of Motorola smartphones, including a growth in export orders. A ramp-up in Xiaomi smartphone business is shaping up well and we will clock around INR3 lakhs per month from May onwards. We are expecting a significant ramp-up in the coming months ahead of the festive season. Manufacturing for a global brand through Compal is expected to commence by September 24

With Longcheer as our ODM partner, we start manufacturing the Realme, which is the brand of Oppo. And we are clocking around 4.5 lakhs values in the current month of May, there were substantial uptake in volumes month-on-month going forward. We expect to add one more large global brands in the coming months.

On the ISMU deal approval of Competition Commission of India is awaited. And both parties are working on the deliverables of consummation of transactions. We feel fairly confident that we should start consolidating the financials from Q2 of the current fiscal. Such large order being showcases that practically, we are now having on all the top 6 brands, except for one large global brand as our partners. This has been a major, major positive for us in the last -- next year to consolidate in the coming quarters.

Another important thing which I would like to share with the stakeholder is, that in line with our strategy that once we acquire a large scale, the next phase is the deepening of manufacturing. So we are looking to manufacture display models and we have already finalized the technology partner, the details will be shared shortly. We are also looking at getting into precision components and mechanicals, and the same is under deep study. So these are going to be the next level significantly steps forward to consolidate our mobile business.

Consumer and Electronics. Revenues for the quarter were INR897 crores where the operating profit and margin of INR30 crores and 3.4%, respectively. Annual revenues were INR4,148 crores with an operating profit and margin of INR141 crores and 3.4%, respectively. Our first ODM-based Google TV solution from 32 inches to 85 inches, but rolled out in the current quarter, and we are increasing response from our customers. Manufacturing and the

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partnership's with Samsung for their Tizen operating system is expected to be rolled out in the current quarter. In addition to interactive flat-display panel, we have now starting to manufacture a digital signage solution from 65 inches to 100 inches. The order book in both these categories were decent.

A state-of-the-art R&D center for display devices has been set up in Noida for superior product developments in televisions and in IFPDs and signages. We are actively exploring manufacturing of industrial, institutional and automotive displays.

Home appliances, revenues for the quarter was INR294 crores with an operating profit of INR30 crores, an operating margin of 10.2% and annual revenues of INR1,205 crores.

Operating profit for the year stood at INR131 crores, which is a growth of 20% year-on-year. Mass production has already commenced in our new facility in Dehradun which has an

installed annual capacity now of 2.5 million. In line with our backward integration strategy, our tool room is now fully operational, and a large part of our mold requirement is done in-house.

Manufacturing for BSH in semi-automatic category and Panasonic and Lloyd in fully automatic category has already started. Pilot productions for the brands for Reliance in both

the categories is completed and mass production will be starting in the current month. Lighting in the revenues for the quarter were INR197 crores with an operating profit of INR14 crores. Annual revenues were INR787 crores with an operating profit of INR59 crores.

We have launched professional product floodlight series in Q4 of the last financial year. Further new product introductions and ceiling lights and extension of professional lighting range are planned in Q2 and Q3. We are getting into backward integration for mechanicals, that is injection moulding for ceiling lights in Q1 and extrusion for battens in Q2 to achieve better cost optimization for ceiling lights.

We are working to expand our product basket by moving to high-value premium products. We have achieved the thresholds for investments and also the incremental revenue under the PLF of '23-'24. Telecom and networking products, revenues in this segment for the quarter and the year under review were INR228 crores and INR655 crores respectively.

We are adding one more facility, Noida, to meet the increased order book from our customers. Mass production is now ongoing for telecom, GPON, OLT routers and Android set-top boxes for Airtel in partnership with various local ODMs. We have started pilot production for Airtel. So 5G fixed wireless access devices and also mass production is expected to commence on June, July and in fiscal. We have signed an agreement with Nokia to manufacture 5G fixed wireless devices, and we see an extremely good order book in this particular domain. In this particular category also, we met the thresholds both for PLI investment and revenue.

Laptop, tablets and IT hardware products, Dixon in its 100% subsidiary Padget now the beneficiary in IT PLI 2 under the hybrid category. We have committed an investment of INR150 crores. We already have now the contract with Lenovo and Acer. We are targeting to Dixon Technologies (India) Limited

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start Lenovo production by September in the current fiscal. Wearables and hearables, the menus for the segment at the current -- in the last quarter was INR72 crores and INR747 crores on the year basis with healthy operating margins. In line with our strategy to deepen the level of manufacturing, we have started the PCB operation, and we're looking at injection holding within India.

Security service, Dixon share, 50% share of revenues for the quarter and the year was INR179 crores and INR673 crores, respectively. The government has come up the PPO and ER for adding the domestic value addition and also the domestic designing which as an entity we are perusing. Rexxam, Dixon Electronics Limited, so 40-60 JV with Japanese company Rexxam for manufacturing inverter controller boards for Daikin. The JV achieve revenue of INR94 crores in Q4 and INR262 in '23, '24, with extremely heavy margins and the strong ROCE. We have a strong order book in this vertical. In this business also, we have achieved the thresholds for PLF growth for capex and revenues.

Refrigerators, we have created capacity of 1.2 million direct cool refrigerator, which is more than 10% of Indian requirement and the various product categories of 175 litres, 235 litres. We have started mass production. We have an extremely healthy order book in the current market fiscal, we are targeting produced almost 60k which is 60% of our production capacity. The season is looking good. We have our anchor customer in Voltas and various other customers. And some other large brand

s given to be acquiring and servicing them in the next

quarter or so. This is the one of the most backwardly integrated and automated plant in the country. And I think that the team has done a great job in setting that.

So I'd like to stop here. And Saurabh, and I am there to address your questions, please. Thank you.

Moderator: The first question is from the line of Aditya Bhartia from Investec.

Aditya Bhartia: Sir, you spoke about vertical integration in the mobile phones business. It would be great if you could share some more insights into this, what exactly are we planning? What kind of an opportunity would it be? What kind of margins it could be pay? Anything that you can share around that?

Atul Lall: So the specific component that we are pursuing vigorously. And hopefully, we should be able to conclude is display module for smartphones a little step. We are targeting in Phase 1 to create a capacity of almost 25 million in the Delhi NCR region. We are almost at a closure of a technology partnership and possibly a deeper partnership with the technology provider.

So we are putting resources in place. The capex in this is going to be almost USD30 million without land and building. And it's going to be a relatively higher margin business. And yes, so that is the point. The exact numbers are still being finalized, but I'm just giving you the basic idea.

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Aditya Bhartia: And this will likely be in a JV kind of a form. And does that also mean that we're incrementally becoming more open and more excited towards getting into the component ecosystem?

Atul Lall: Yes, absolutely. Absolutely.

Aditya Bhartia: Sure. In the last conference call, sir, so you had also referred to the opportunity on the PCB assembly side with one of the large global customers from whom you had received RFQ. Any details that you can share around that?

Atul Lall: So that is what we're pursuing. We are going to be setting up a campus, a new campus in which the non-consumer side of that PCB is going to be that house in tonight that RFQ is being pursued are we're very optimistic that we're going to secure the business.

Aditya Bhartia: Understood. Sure, sir. And sir, my last question is on the kind of acquisition that we did with ismartQ. Do you think this kind of an acquisition could pave way for most of these, especially with customers who have their own manufacturing facilities?

Atul Lall: So I think ismartQ is extremely positive strategic acquisition for us. And it's a larger relationship. It goes for years and years. We are pursuing those kind of relationships, at present, but we are pursuing, and we're pursuing vigorously. Let's see where we reach, but we'll keep updating you as and when we have significant tangible developments there. But we are going to pursue.

Moderator: The next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: First question on the cell phone segment slightly softer revenues this quarter but I'm assuming your things will start ramping up over the next few quarters. I think you mentioned you have about 45 million smartphone capacity is what you've created, by when do you think you can actually fully utilize it? Is it like a 2-year, 3 year timeframe by when you can actually fully utilize our capacity?

Atul Lall: So Ankur the ramp-up is happening. To share with you in the current month itself and here I'm talking about without Ismartu. We are at a level in the current month of approximately 1.5 million, 1.6 million. And if I add the Ismartu volumes that's another 0.7, 0.8. So we are already at 2.3 million a month and we'll keep improving. So yes, I feel that this year itself it should be somewhere around 28 million to 30 million.

Ankur Sharma: I'm sorry, 20 million you said, sir?

Atul Lall: Sorry?

Management: Around 28 million to

30 million excluding Samsung. Samsung will be over and above.

Atul Lall: Because Samsung would be more than 10 million, but without Samsung we should be at somewhere around 28 million.

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Ankur Sharma: Okay. And if you can also share the volume numbers annual volume numbers for your category, TV, washing machine, lighting, so on and so forth.

Saurabh Gupta: Yes sure. So I'm sharing you the annual numbers. So in LED TVs the volumes was around 3 million. LED bulbs the volume was 94 million, [inaudible 19:16] 20 million; downlighters 2.5 million and other lighting products which is other products which don't fall in the above SKUs is [inaudible 19:33] million and then semi-automatic washing machine was 1.7 million. Fully automatic washing machine was 1.6 lakhs 0.16 million.

Smartphones excluding Samsung was around 6.5 million, featured phone was 38 million.

Samsung smartphone was around 8.6 million and yes so, we are pretty much these are the numbers. You want it for security service and all other products as well.

Ankur Sharma: I think that's all from my side. All the best.

Moderator: Thank you. The next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: So maybe just one first to start off just a bookkeeping question. Anything in other income that you see...

Moderator: Sir, may I request you to use your handset, sir, your audio is slightly muffled.

Deepak Krishnan: Yes. Is this better now?

Moderator: Yes, sir, please go ahead.

Deepak Krishnan: Maybe just a bookkeeping question first. Anything in other income that we've seen a sharp jump this quarter? Anything that sort of is one-off or any PLI or anything that is booked over there?

Saurabh Gupta: So basically, this -- Deepak this includes -- we have got a large FX income in this quarter, foreign exchange gain of almost INR10-odd crores and then INR7 crores to INR8 crores is some of the liabilities which have been written that, but majorly it's on the account of the FX income.

Deepak Krishnan: And the PLI income booked in revenue this year for the full year versus what was it for last

year?

Saurabh Gupta: Yes. So PLI income for the full year was around INR71 -odd crores across 4 PLIs excluding IT hardware.

Deepak Krishnan: Sure. And the corresponding number would be closer to INR9 crores last year, if I remember correctly?

Saurabh Gupta: Last year it was a number of around INR10 crores to INR11 -odd crores.

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Deepak Krishnan: Sure. Sir, maybe just on smartphones given that we sort of have this tie up with long share as well, how are we looking at the ability to add further customers? I think you sort of indicated one large customer is the potential, but in terms of -- and further just for the year how are we looking at the overall ramp up because you've given a number of closer to 30 million smartphones, but if I look at it is the ramp -up already from the beginning of the year or should we assume that Ismartu comes in and that's a larger kicker that kind of comes through from 2Q?

Atul Lall: So as I shared with you Ankur, please appreciate that we have now drop six brands except one large global brand in our customer portfolio. And one more large global brand we're going to be adding in the next 3 months to 4 months. So practically, we have all the brands dominating in the Indian mobile field.

And we are ramping up, ramp -up takes some time, but we feel confident that quarter over quarter this volume keeps -- will keep on increasing. And definitely what you are saying is absolutely act that the [inaudible

22:59] number, the Ismartu number this is going to be an extremely important kicker in this.

Deepak Krishnan: Sure sir. Those were my questions and best of luck for future

quarters.

Moderator: Next question is from the line of Girish from MS. Please go ahead.

Girish: I had a couple of questions. So when I look at the consolidated cash flow for the full year, we were at INR726 crores last year and this year we were at INR584 crores post tax. Can you explain because your net working capital is minus 8 days for the three -line items. So what exactly has led to a reduction in cash flow from operations?

Saurabh Gupta: Yes. So basically last year if you look at the cash flow there was a INR275 crores working capital positive change for us which got generated mainly on account of the good work done on the lighting business where our working capital intensity in a year prior to last year went up high.

So we got a lot of money released in the working capital in the lighting business and also in our mobile business because initially those were an initial years in mobile business. And initially whenever new business starts working capital gets stuck which we were able to correct in the last financial year.

So that INR726 broadly you should attribute it to -- out of that INR276 crores coming from working capital broadly. So if I exclude that INR276 crores we are talking about INR450 crores of cash flow which were generated last year that INR450 crores has actually gone up to INR580 crores because this year there is no working capital generation because a small INR9 crores negative working capital. So broadly that's how you should look at it.

Girish: Saurabh I also see an increase in payables of INR16 crores, INR21 crores that is offsetting the receivables and other financial assets and inventory etc receivables and all of that. So, is this

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the way to be now going forward that the payables will continue to increase at the same pace at which receivables and because and how fragmented is this payable basket like is it concentrated? How is it like can you probably provide some colour around sustainability of these payable days?

Saurabh Gupta: Yes. So this is sustainable because clearly a large part of the payments is attributable to our mobile business. So if you see the whole revenue breakup, 62% of our revenues are coming from mobile business. And we have two business models, OEM business and ODM business model.

In a prescriptive business or OEM business model clearly there is an understanding that when the customer will pay to the vendors only when the customer pays us. So there is a negative working capital. So for every receivable that you see there is correspondingly payable which is due there and that's the whole reason why both receivable and payable are looking on the higher side it's mainly attributable to the mobile business.

And also over the -- also what our team has done that increasingly on account of better scale, size our teams keep -- they keep negotiating with the vendors and get the creditor days pushed,

get better credit days from the vendors, but majorly it's large ly attributable to the prescriptive part of the business and also being an prescriptive that's attributed to the mobile business. Management: And business model has been defined like this that the deployment in the current asset should be absolutely minimal.

Girish: Okay. My second question was on capex. So we incurred a net INR569 crores this year. So what are we pencilling in this year given that we have some expenditure on display also going in? And if you can provide some high -level breakup of that capex for fiscal '25, '26.

Saurabh Gupta: Girish, the numbers are being worked out, but clearly one of the numbers we are -- which Mr. Lall also mentioned in his remarks is that USD30 million on the mobile display. This in itself is INR240 -odd crores. Then there are certain committed capex is under the PLI, under the lighting components PLI, under the IT hardware PLI

that we have to do and also on the

inverter control board where we've a JV with Ericsson some part of capex.

So my -- our first impression is I think so broadly I'll have that number by -- in the next 7 days, 10 days, but probably if on the opportunities that exist today I think so it should be lower than the current financial year of INR570 -odd crores, but yes things are dynamic and a lot of opportunities are coming to us, but as of now we believe that it should be lower than the INR570 -odd crores.

Management: Yes, because lot of capex in mobile has already been front ended and large part of our capex last year happened on refrigerators and washing machines. So those capacities have already been created. So some balancing capex more has to be done, but large part of capex has already been front ended. New capex will happen only in some new volumes and some PLI commitments.

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Girish: Okay. Let me ask, on the land side have you incurred any numbers can you share in FY'24?

And is there any land capex that is required to be done in '25, '26. If you have any estimate on that?

Saurabh Gupta: See two land parcels that we bought one for a mobile plant where the construction is happening. We are creating almost 1 million square feet facility there. So that land payment has been done there and also the refrigerator plant is now operational. So the other large land parcel was for the refrigerator plant, where both the payments would be.

So the only investment that we foresee, so can be in Chennai where either we can go and take a lease model there, or go on a rented premises for our EMS business which also is mentioned by Mr. Lall or otherwise which we can potentially buy some land infrastructure, but as of now those things are not finalized, but most of the other things have already come into the system.

Girish: Okay. And the customer acquisition on the margins for mobile side outside of this display, obviously, they are prescriptive so you have been running at 3.4, 3.5 including the PLI, but the new acquisition that has come through on customer side, are they margin accretive and if you can qualitatively say like how will the mix margin for mobile segment look for FY'25?

Saurabh Gupta: Yes. So I can clearly say that those new customers are definitely margin accretive as compared to our earlier anchor customer and also secondly if you look at the -- once you get the operating leverage into the system you generate that extra margin. So there is clearly operating leverage benefits which come in.

And as mentioned, we're also now looking at a backward integration of mobile display and also at some point of time getting into the precision components and mechanicals. So both of them will add to the margins.

Girish: And sorry last question on lighting margins. You used to have close to 8% to 9% margin. Now the margins have trended down a little bit for the last couple of quarters. I understand the devaluation aspect on the revenue. What I wanted to understand was that with the PLI benefits also flowing through, is there any one-off in the second half this year on lighting margins or are these likely to sustain going into next year?

Saurabh Gupta: Yes. So please appreciate, Girish, there's always a level, an element of fixed cost in any business. So when the volumes fall or when the revenues fall, but you need a certain level of minimum fixed expenses to run those operations. So that is visually attributable for the margin, for all that is happening in the lighting business.

Moderator: Thank you. The next question is from the line of Mayur Patel from 360 ONE A MC. Please go ahead.

Mayur Patel: Yes. Thanks for the opportunity.

Moderator: May I request you to use your handset, sir. Your audio is muffled.

Mayur Patel: Am I audible?

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Moderator: Yes, sir, please go ahead.

Mayur Patel: While the company remains on a very strong growth path driven by mobile phones, but on the other segments like consumer electronics and lighting, you saw a 10%, 9.9% decline, and around 27% year-on-year decline. Just if you can share some thoughts around how do we see where this can settle in terms of bottoming out and start to grow? That's question number one. And then I'll ask the second question.

Saurabh Gupta: You see, please appreciate, Let's first talk about the television business. In television business, as far as the outsourcing opportunity is concerned, we have almost 60% to 65% market share.

So that opportunity pool is not going. That is the reason one is leading to this kind of a situation. So what are we doing to address that issue? We are basically doing three things. One is going in for backward integration. So we have already invested in the injection moulding plant and the mechanicals for televisions are happening and out now. We should add to our margins. We have also started the manufacturing of LED bar, which should add to our margins.

The second step we have taken is to migrate more and more to JDM and ODM. So the contribution of JDM, ODM is increasing. And we have successfully launched the Google solution and now the timing solution is also being launched in this fiscal, which we should be able to acquire more customers and it's more margin accretive.

The third thing is that we're in the same infrastructure with a balancing capex, we increase we, enhance and expand the product portfolio. So that's what we have done. By launching as far as IBPD that is an interactive black panel displays. The production has already started with some large global brand, and we keep on expanding. And the second is to get into digital signage. So that's what we are working upon. And please also appreciate that in this particular space, where 4 to 5x of our next information. And we're fairly confident that we'll hold on to that full position. So that's where it is.

In lighting, the industry has gone through significant stress. So what are we doing? One, we are trying to build up a larger product portfolio. We have entered into professional IT. The flood lights and the panel lights have already been launched. The streetlights are going to be shortly launched. Further, we have got into our own toolings of downlighters. We have also set up an infrastructure for exclusions for battens. This should make and build more competitive strength into the company.

Third, we are also looking at some new customer acquisition, and we've been successful. Now we have some large anchor relationships with some large brands in India who have moved out of insourcing to outsourcing. And we're going to be their anchor suppliers. So these are some steps taken. And internally, we have also restructured the organization. So I see an improvement in the order book in the current quarter. Hopefully, it should keep improving. I think it's going to take a couple of quarters more.

Mayur Patel: Sure. Sir, is it fair to assume that going forward, at least we will be flattish to get into some positive growth driver in these two businesses?

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Saurabh Gupta: I'm not able to hear you. The voice is not clear.

Mayur Patel: Is it fair to assume that this decline would be arrested in quarter 2 and then we have been a positive growth trajectory in these two businesses?

Atul Lal: Yes, yes. I feel, like in lighting, the growth will happen. And the number is going to be better from the current quarter itself. And in television, I see that from the second part of Q2, the number should start getting better.

Mayur Patel: Sure, sir. Sir, just one more question, if you may allow me, on like we have delivered very robust growth across top

line EBITDA and PBT, but for the year, the operating cash -- sorry, if you have already answered this, I joined a bit late, operating cash generation has declined year-on-year, and this increase in -- is it because of working capital? And is it temporary in nature because of the ramp-up in mobile phone? Or is it structural? Any change in the working capital structurally -- working capital days currently.

Atul Lal: As Saurabh was explaining, in '22-'23, we've corrected the working capital situation, because at that time, it was in ramp-up, the mobile phone business was in a ramp-up phase. We had to invest a lot of capital in our Motorola business, and also in our lighting business. So we corrected that working capital. And by that, we generated almost INR276 -odd crores.

So working capital today, you see the operating cycle today is negative 8 days, is almost at an optimal level. So there was no more scope of improving the working capital situation, and -- so we removed the INR276 -odd crores. In '22-'23, the cash generation was approximately INR450 crores. And then this year, I think, Saurabh, it's INR580 -odd crores. So the cash

generation from operations this year is higher than '22, '23.

Mayur Patel: Sure. So you think the negative working capital cycle can be sustained in this mobile ramp -up trajectory...

Atul Lal: We feel so. We, see that, in the company, we have a huge focus on our operating cycle, on our current assets, day in and day out our team work to correct. So there can be some challenge changes in near term for a quarter or so, and some new customer acquisition because it takes time to stabilize. But on an overall basis, there will be no dilution of this focus.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities.

Please go ahead.

Aniruddha Joshi: Congrats for a good set of results. Sir, generally...

Moderator: Sorry to interrupt you, sir. There is slight disturbance from your line. May I request you to please use your handset.

Aniruddha Joshi: Sir, just generally, you give guidance about the next year at the Q4 quarter. So any guidance in terms of relative growth for FY...

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Moderator: Sorry, sir, to interrupt you. But your line is not clear. Sir, there's a lot of disturbance on your line.

Aniruddha Joshi: Is it okay now?

Moderator: Yes, sir. You can go ahead.

Aniruddha Joshi: So sir, I guess the guidance for FY'25 in terms of revenues as well as margin, if you can share Qs at the consol level.

Atul Lal: So we are not -- we have not been giving that guidance now. So we are not in a position to share the numbers and guidance at this stage. But please be rest assured, the growth is going to be robust. New customer acquisition that's taking place, new verticals have a very decent order book. So we are confident about our growth numbers.

Aniruddha Joshi: Obviously, yes. But any ballpark figure that you would like to share, like let's say, 30 %, 40% or any variance which you can at least guide, because there are too many moving parts. And, I mean, in a way the guidance could be much more helpful to the entire investor and analyst community also and also on the EBITDA margin. Yes, just the kind request.

Atul Lal: I can't give the growth forecast. But what I'm reiterating is that the growth is going to be extremely healthy, very good.

Saurabh Gupta: So, Aniruddha, on the EBITDA margins, you can assume a similar level of sub -4%, 4%, because a large part of our growth will come from mobiles, which is relatively a low -margin business. Of course, the margin levers for us will be operating leverage, more backward integration and designing wherever possible. But yes, so margin -wise, you should assume a same level what we have achieved this year, but we would refrain from giving any guidance.

Moderator:

The next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: A couple of them. Sir, first one, I want to just understand predictability of our mobile phone revenue because while we've been winning a lot of orders, even on a Q -o-Q basis, our revenue hasn't grown. Now you've spoken about a few numbers, not guidance, but effectively how many million you expect to do? How predictable is it? Is the customer going to decide it two months ahead of schedule, whether you make it? Or is this sort of carved in stone that the 27 million, 28 million you spoke about is something we should be able to do next year? That's my question number one.

Atul Lal: So Pulkit, how does it work? We are an extended arm of the principal. We have to create capacities for them. As per their internal business plan, they asked us to create capacity, they gave a quarterly breakup of their expected requirements. Now is that cast in the stone? No. Can there be a variability to it? Yes. But largely, what they share, it's broadly in that range.

They can be a variability of 10% to 15%. So that's one aspect of it.

The second aspect of it, please appreciate that what are we trying to do. Last year the smartphone numbers were 6.9 million. Including Ismartu, we're talking about 28 million to 30

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million. Now these are new customers, complex SKUs, complex models, NPIs, launch plan, the ramp -up can get delayed. So that can have an impact. And that's how it is.

Pulkit Patni: Understood, sir. So that's very clear.

Saurabh Gupta: And Pulkit, also to add to it, I think so one of the reasons why our Q4 numbers are also lower is because we ramped out of the Jio Bharat 4G business. And the ramp up of the other businesses, the customer acquisition has taken some time. But now we feel confident with the numbers that we mentioned, and we also gave you a visibility of the current month numbers.

So we feel more confident in the numbers that we have just mentioned to you, on the annual numbers, on the monthly numbers. And there can be delays of a couple of months here and there. But broadly we feel more confident. We have a deep discussion with our customers. We have made those capacities for them on. We have done those capexes for them. A lot of models have already been approved. So we feel more confident here about the...

Atul Lall: Anything can happen. So, for example, let's say, consolidation of Ismartu, now the final approval is lying with ECI. There can be a couple of weeks delay. So that might have an impact. Those kind of situations.

Pulkit Patni: Sure, sir. No, I think the good thing is that at least the year has started off well in terms of general mobile phone shipment. Sir, my second question is again related to the margin bit. Now obviously, we've created so much capacity in the last 12 months on the smartphone side. I would have guessed there would be some part of that capacity which in FY'25 should have given us better operating leverage as we ramp up volumes.

Sir, I'm just trying to understand is the margin number you're giving a bit on the conservative side, or the contracts are negotiated in such a way that sub -4% is the number that we should keep in mind? Just trying to understand that aspect again a little better.

Atul Lall: So let me share with you the new customer acquisitions are better models. So let's see how it emerges because there are so many customers, so many SKUs around blended basis how it evolves. So that's a number that Saurabh has given you on the basis of his internal calculations. But new customer acquisitions are margin accretive.

Saurabh Gupta: Pulkit, you will see, definitely, we think there will be an improvement in margins in mobile business from the earlier years. So even if you look at this year also, of course, this mobile and EMS factors into account the margins of

other businesses. So mobile business margins are slightly lower than the 3.3% that we have shown for the combined category mobile and EMS. So please be rest assured, those numbers of mobile business margins would actually grow this year. And clearly, the point that you have mentioned, the capacity is the larger scale benefit of operating leverage would kick in, and some of the better commercial that we have for the new customers that we have got onboard.

Moderator: The next question is from the line of Nikhil Agrawal from VT Capital.

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Nikhil Agrawal: As you said on mobile business margins would improve and the new customer acquisitions are more margin accretive. But since Compal is one of the acquisitions that we did, they are also contract manufacturers themselves. I did not really understand like are the margins for Compal on a higher side? Or I mean, if you could just throw some light on that?

Atul Lall: So it's not prudent for us to give the customer-wise breakup. So I'll not be able to share those kind of details, please.

Saurabh Gupta: But most of our point was not meant specifically referring to Compal, it was more referring to the other acquisitions that we have had.

Nikhil Agrawal: Okay. But our margin for Compal would be slightly on the lower side compared to your average...?

Atul Lall: Let's not get into those kind of...

Saurabh Gupta: Won't we share any customer-specific margin? Overall, probably we have given you a direction where the margins can be.

Nikhil Agrawal: Okay. And sir, if you could just repeat your LED TV volumes for Q4?

Atul Lall: 3 million. You wanted for Q4. For Q4 it was 6.5 lakhs.

Nikhil Agrawal: Okay. And so your open cell prices fell down quarter-on-quarter in Q4?

Atul Lall: Sorry?

Nikhil Agrawal: Did the open cell prices fall down further in Q4?

Saurabh Gupta: No, the open cell prices are increasing.

Atul Lall: They are on an upward trend open cell prices. So that's why the drop in volumes is lower as compared to the overall revenue drop.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Congratulations to the team for a good set of results. Sir, first question is on mobile side. So you mentioned about 28 million to 30 million kind of smartphone volumes. If you can just break it up into -- from this at current level of 0.3 million for Xiaomi, 0.4 million for Realme.

What kind of peak revenue we should see in FY'25 -- sorry, '26 till whatever time you have the visibility? So you mentioned last year that 0.5 million for Xiaomi, that is what the visibility we have?

Atul Lall: Yes. So that's the visibility we have. And when we put them together the numbers of Motorola, Xiaomi, Realme, Ismartu brands, that's Tecno, iTel, Infinix, the new brand that we're in the process of acquiring and also Compal, yes, we should be hitting on a consistent basis after the ramp up has stabilized somewhere around 2.2 million, 2.3 million a month.

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Keyur Pandya: That is in FY'25 sales, right?

Atul Lall: That's right.

Keyur Pandya: Okay. Second, now with a lot of brands at various price points, what would be our average realization for smartphone?

Atul Lall: So now it's averaging somewhere between 8,000 to 9,000.

Moderator: Next question is from the line of Rucheeta Kadge from iWealth.

Rucheeta Kadge: Sir, my question was regarding the partnership that we've had with Dassault. So just wanted to understand a little bit about that, like what kind of benefits that we'll be getting through this?

And what is the additional cost that we'll be spending?

Atul Lall: So see manufacturing execution systems, MES, is an extremely important tool which gives us the real-time data and also automation on our manufacturing

ing lines to improve the production

efficiency. So Dassault is the global conglomerate, which has a lot of strength in this tool. We have partnered with Dassault to launch Dassault platform MES, to start with in our mobile plants. The Motorola plant and also the other plants. And this tool will be used for mobile production and also for our IT products production. So the total capex or total spend on this Dassault would be somewhere in the range of around INR7 -INR8 crores.

Rucheeta Kadge: Okay. So this would lead to how much cost benefit for us?

Atul Lall: Well, the cost benefit, we have not put a number on that. But this is an extremely important tool for enhancing the productivity, so getting the yields right for reducing the rejection level, for getting the data points to analyse on the quality, on productivity, on manpower efficiency.

So this is an extremely important tool, which globally all the major electronics manufacturer, not the electronics manufacturers across the whole manufacturing industry deals. So we had the first partner in Siemens. So our Siemens MES platform has been rolled out in our TV plant, in our Fully Automatic Top Loading plant. For our production of Xiaomi and Realme, we're using Longcheer MES. For our other products we're using Dassault.

Moderator: Thank you. The next question is from the line of Abhishek from DSP. Please go ahead.

Abhishek: Sir, thanks for the opportunity. Sir, there are two questions from my side. First is, sir, in terms of some of the other initiatives that you have spoken about in terms of the EMS capability thing that we wanted to get into any kind of breakthrough there or any traction on those segments?

Atul Lall: You're talking about the other EMS space, right?

Abhishek: Yes, sir. So the PCBA and the other opportunity that you had kind of articulated in your earlier calls that you want to get in there, any kind of incremental traction on those segments.

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Atul Lall: So in my response to Aditya's question I already explained in detail that we are very optimistic of securing some large contracts, and that has to be in a space from a global player. I also shared that we are setting up a campus downside in Chennai, there is going to be housed. We are in discussions in automotive electronics space. And also the industrial electronics space.

But can I put a number to it at, is it's in a very, very formative stage. So are we going to pursue this, yes. Pursue, but can I put the numbers in budget to it, no. It's too early.

Abhishek: Sure. We should see something in FY '25, some contribution coming in from there? That's the reason we want to look at it.

Atul Lall: Next fiscal? Yes. Current fiscal to put a number to it is difficult.

Abhishek: Fair enough. Sir, the other thing is in export of lighting any kind of breakthrough there is that something you've pursuing for a long time. So how should one look at that segment?

Atul Lall: So we are exporting to Middle East. We're also exporting to Europe. We are working on some contracts in the U.S. But yes, but we're still waiting for significant breakthrough. I know that I've been talking about it, but to the very candid, I'm still waiting for that breakthrough.

Abhishek: Okay. So wish you all the best there. Sir, just one other thing, now that you have spoken about trying to be deepening the overall manufacturing process and where you are spending in on about \$50 million. How should I look at the return on capital on these intangible investment? Will it be very similar to what you have been doing? Or will it be slightly dilutive. Any sense around that?

Atul Lall: So the ROAC is going to be high. The margin profile is going to be better, is going to enhance our stickiness with our customers, it's going to be margin accretive. Yes, it looks good at least as of now. Yes.

Moderator: Th

e next question is from the line of Yash from Stallion. Please go ahead.

Yash: So I just wanted to understand that since you increased the capacity in your smartphone from 30 million -35 million. What is the sort of the utilization level you're looking at broadly an average in FY '25?

Atul Lall: So we feel that we should be -so the capacity is around 40 million. We should touch around 28-30 million. That's what we are budgeting.

Yash: Okay. Got it. And I just wanted to confirm the blended realization number per smartphone. Is it average about 8,500?

Atul Lall: Somewhere between 8,000 -9,000.

Yash: Okay. Got it. And, sir, just one thing. So in your Q4 results, I see a big jump in other expenses. It went up 81%. I think it's INR170 crores. So I just wanted to understand what are the components there and why there was such a sharp jump?

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Saurabh Gupta: Yes. So this is basically, the ramp -up that has happened in the mobile business, when we review or basically have people on board on the contractor side or their wages side. And currently, reacting to the utilization are [inaudible 56:32] lower. But yes, on the standard cost of the consumables whenever due businesses comes an NPI happens, those cost increases.

Atul Lall: So they basically the ramp up cost. When you're inducting a new principal, and a new SKU, it takes time to reach the optimal level of efficiency. And that leads to the higher cost, which once you reach at the optimal level of efficiency, it normalizes. That's the reason for this increase in expenses. And so many customer acquisitions and so many launches have happened at another pipeline that has led to this.

Yash: Got it. And sir, just one last thing. The realization number that you mentioned is net of GST?

Atul Lall: Net of GST.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: Can you highlight what was the mobile phone export number for FY '23? And of the 28 million -30 million overall sales that we are going to do next year, what proportion can be exports?

Atul Lall: So the export number was INR1,250 crores.

Saurabh Gupta: INR1,250 -odd crores, so basically for ranker customer only for North America markets. So the volume number would be somewhere around 1.25 million for this number we report. Now for '24, '25...

Atul Lall: And we're still working on the contracts of export. But my sense is that this should be around 60%-70% growth from this.

Indrajit Agarwal: Sure. That is helpful. Second, on the laptop manufacturing part, right? So if I recall correctly, we earlier guided for tablets in April and laptops in September or somewhere around it, do those tenants still hold or the tablets are moves back to customer as well?

Atul Lall: So tablet production, commercial production has still to start. The trials have happened. And yes, the laptop production is targeted for our last instance in September, so to say.

Indrajit Agarwal: So any ballpark revenue that you are targeting, maybe if not for 1 year in the next 3 years cumulative revenue that we are targeting in this segment?

Atul Lall: I think let's wait for some time. It's still in the formative stages.

Indrajit Agarwal: All right. And last one, if I may. So in the PLI for IT hardware, the government has put a lot of emphasis on localization of components. So is there something that you're exploring over there as well in in-house come manufacturing? Or those will be done by domestic manufacturers, but not yourself?

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Atul Lall: So part of it is going to be done in in-house and a part of this is going to be with the local partners within India. So when you are looking at display module, display module will also going to be the book and target.

Management: So display

will be extended with that technology partner and for notebooks as well.

Moderator: Thank you. The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare: My question is regarding, now you are venturing into so many new ventures. What kind of capital expenditure you would be doing? And any need for requirement of capital for that? As we've already mentioned, if it arises with any go for it. That's the first question.

Saurabh Gupta: So to answer the second question, sir, I think so from the capex requirements, we have now reached a sales share by we don't need any capex funding. It will be funded completely from the It will be funded completely from the internal accruals from the earnings of the company. And the capex number is confirmed for this financial year. All I can say right now is it should

be lower than the INR570 crores that we did in last -- in '23, '24. So we are working out those numbers, but it should be lower than that.

Onkar Ghugardare: [inaudible 60:50]

Moderator: May I request you to use your handset, sir you're not clearly audible on the platform.

Onkar Ghugardare: Am I audible now?

Moderator: Yes. Please go ahead.

Onkar Ghugardare: So as of now, we don't see a reason to use any equity. Okay. All right. The second question is I said that you will be refraining from giving any guidance but directionally you can then see where the revenue headed. [inaudible 61:22] So many opportunities?

Atul Lall: We are not able to hear you clearly.

Moderator: Mr. Onkar, may I request you to use your handset, sir.

Onkar Ghugardare: Am I audible now, sir.

Moderator: Yes. Please go ahead.

Onkar Ghugardare: I was asking with so many kinds -- so many new opportunities coming up. What kind of revenue potential it can be in the next 3 years, 4 years? It's okay if you are not giving any guidance, but just directionally wanted your view on that.

Atul Lall: So I think in this year and in '25, '26, the growth is going to be very heavy. That's what we can foresee.

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Saurabh Gupta: And we've given everybody on the call a lot of numbers on the mobile side, which will be the largest figure for our growth. So one can actually one can add a number with, you come with up the numbers here.

Moderator: Next question is from the line of Abhineet Anand from 3P Investment Managers. Please go ahead.

Abhineet Anand: Yes. Just on this PLI part within the INR71 crores, how much is for the mobile segment?

Atul Lall: Yes. So mobile segment will be around INR52 -odd crores.

Abhineet Anand: Okay. And based on the projection, as per the PLI whatever revenues, how much that number for FY'25, what could be our number of -- in terms of rupees, crores. Overall.

Saurabh Gupta: We will not [inaudible 62:59] But at the end of the quarter, as in the last, we will share these numbers.

Abhineet Anand: Okay. And just last page, I think, as you rightly said, growth in '25 and beyond, also mobile is going to be the key, right? And we can put you back on the numbers that you gave. So mobile plus EMS is working at 3.3. Other at around 5, 5.5. So it takes around 4.1 as the composite. Simple math also if the 3.3 grows at whatever 70%, 80% because of the numbers that you stated and the other part is in going the decline this year probably grows by 10%, 15%. Still there could be 20, 25 basis point impact, negative impact on the margins. If you can just comment on that?

Saurabh Gupta: I don't think so...

Atul Lall: On a blended basis, we feel continually develop in the range of what Saurabh just shared, it's going to be somewhere around 4%. And so probably even this financial year, where revenue contribution for mobile is already 62%. So even the other verticals like telecom, we have a strong order book.

Other verticals we're looking at to

get into new verticals, of course, you will start in next financial year. So my sense is 62% to become 65%, 70%. But probably the other positive guidance for margin expansion would also continue to play, which is operating leverage, which is backward integration which is also the designing wherever possible. So my sense is we feel confident, yes, 10, 15 bps here and there, that's fine, but broadly should be somewhere around 4% or exactly as a margin.

Moderator: The last question for today is from the line of Sankarshan Mehra from Premji Investments.

Sankarshan Mehra: Just wanted to understand on this display manufacturing, what could display be as a percentage of the bomb cost for the smartphone and what percent of value addition are you looking to capture with this quarter?

Atul Lall: I'm not able to hear you, please.

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Moderator: Mr. Mehra, may I request you speak a little louder, please?

Sankarshan Mehra: Sure. Is it better?

Atul Lall: Yes, it's better.

Sankarshan Mehra: Just wanted to understand on this display capex that you're doing, what would be the cost in the percentage of cost of this of display overall volume of the smartphones. And what would

be the value addition that you're looking to capture even this backward integration?

Atul Lall: So the display module is almost 10% to 11% of a smartphone bomb.

Sankarshan Mehra: Sure, sir. And is there a PLI that we benefit from there yet? Or is there no?

Atul Lall: There's no PLI on this.

Moderator: That was the last question for today. I would now like to hand the conference over to Ms.

Bhoomika Nair from DAM Capital Advisors Limited, for closing comments.

Bhoomika Nair: Yes. Thank you everyone, and particularly thanks to the management for answering all the queries and giving us an opportunity to host the call. Thank you very much, sir, and wish you all the very best.

Atul Lall: Thank you. Thank Bhoomika.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

Dixon Technologies (India) Limited

04th August, 2024

To

Secretary

Listing Department

BSE Limited

Department of Corporate Services

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Exchange Plaza, Bandra Kurla Complex

Mumbai – 400 051

Scrip Code – 540699

ISIN: INE935N01020 Scrip Code - DIXON

ISIN: INE935N01020

Dear Sir/Madam,

Sub: Transcript of the Q1 FY 25 Earnings Conference Call held on 30th July , 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q1 FY 25 Earnings Conference Call of the Company held on Tuesday, 30th July, 2024 .

The said transcript has also been uploaded by the Company on its website and the same is available at <https://www.dixoninfo.com/earning-call-transcript.php>

We request you to kindly take this on your record and oblige.

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar

Chief Legal Counsel & Group Company Secretary

Encl: As above

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"Dixon Technologies (India) Limited

Q1 FY'25 Earnings Conference Call"

July 30, 2024

MANAGEMENT : MR. ATUL LALL – MANAGING DIRECTOR AND VICE
CHAIRMAN – DIXON TECHNOLOGIES (INDIA) LIMITED
M R. SAURABH GUPTA – CHIEF FINANCIAL OFFICER –
DIXON TECHNOLOGIES (INDIA) LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Dixon Technologies Q1 FY'25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited. Thank you, and over to you, ma'am.

Bhoomika Nair: Yes. Good evening, everyone. A warm welcome to the Q1 FY'25 earnings call of Dixon Technologies. We have with us the management today being represented by Mr. Atul Lall, Managing Director, and Vice Chairman; and Mr. Saurabh Gupta, Chief Financial Officer.

I now hand over the floor to Mr. Atul Lall for his opening remarks post which we will open the floor for Q&A. Thank you, and over to you, sir.

Atul Lall: Thanks very much Bhoomika. Good evening, ladies, and gentlemen. This is Atul Lall, and we have on the call today our CFO, Saurabh.

Saurabh Gupta: Good evening, everyone.

Atul Lall: Thank you very much for joining these earnings call for the quarter ended June '24. We are pleased to have commenced the year on a strong note. We are first, coming to our overall performance for the first quarter. Consolidated revenues for the quarter ended June 30, 2024, was INR6,588 crores against INR3,274 crores in the same period last year which is a growth of 101%. Consolidated EBITDA for the quarter was INR256 crores against INR135 crores in the same period the previous year which is a growth of 90%. Consolidated PAT for the quarter was INR140 crores against INR67 crores in the same period last year which is a growth of 109%.

With earnings improvement and effective working capital management, we were able to expand the ROCE and ROE to 38.4% and 27% respectively as of 30th June, '24 with further strengthening of the balance sheet and gross debt-to-equity ratio of 0.1% and cash conversion cycle of negative 7 days. We continue to invest in our capacities and diversify into new product categories to support long-term growth opportunities with a huge focus on quality, manufacturing excellence and consistently meeting the needs of our principal customers and strengthening our position as a key player in the industry.

We are well poised to capture the upcoming opportunities and be a part of India's long-term growth story, as well as write the country's robust consumption narrative and make in India initiative to achieve industry-leading growth. Now I will share with you the performance and the strategy in each of the segments going forward.

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Mobile and the EMS division, revenues for the quarter were INR5,192 crores, a growth of 189% year-on-year. Operating profit was INR171 crores which is a growth of 223% year-on-year with an operating profit margin of 3.3%. The ROCE in this business has expanded to 69% at the end of June '24 as against 32% a year ago. We are continuously meeting the incremental investments to meet the strong order book from other customers -- from our customers.

Now we have created a capacity of 45 million smartphones and another 10 million to 12 million is going to be added after Ismartu acquisition which is around 55% to 60% of the opportunity pool in this business. Further, we have a capacity of 40 million feature phones, which is again almost 65% to 70% of the capacity required for the feature phones in this country.

There is strong growth in volume for Motorola smartphones and a monthly order book of almost 9 lakhs to 10 lakhs per month, including a decent order book on exports. Xiaomi busine

ss has

also now ramped up, and now we are clocking around 7 lakhs per month from July and higher volumes are expected in coming months of the festive season. Manufacturing for another global brand through Compal is expected by September '24.

With Longcheer as our ODM partner, we are already clocking around 4 lakhs to 4.5 lakhs volumes with a substantial uptick which I think will go up to almost 7 lakhs a month going forward. We are expecting to add one larger global brand in the coming months. On the Ismartu deal, we have received the approval of the Competition Commission of India this month, and we will start consolidating those financials, I think, in the next 4 to 7 days for the completion of CP's.

In line with our strategy and once we acquire at a large scale, the next phase is going to be the deepening of manufacturing, wherein we have finalized a technology partner for display modules in HDFC and we expect to start the manufacturing in the next fiscal. We are also

looking at getting into precision components and mechanical and various other modules. We endeavour to deepen the value addition to be a part of a significant part of the non-semiconductor bomb of mobile and IT products which is going to be more margin accretive and create a moat around business. Please appreciate we will have the largest capacity in the country. We'll have all the brands that are the largest in the country in the Android ecosystem. The focus then is to deepen the value addition which we feel we now have the financial bandwidth and, we're in the process of acquiring technical bandwidth on our own and also through partnership route to create a huge moat for us in this business.

Next, the vertical of consumer electronics. Revenues for the quarter were INR855 crores with operating profit and margin of INR29 crores and 3.4%, respectively. Manufacturing under a partnership with Samsung for their Tizen operating system has already rolled out from Q1 of the current fiscal. Our first ODM-based Google TV solutions from 32 inches to 85 inches were rolled out in Q4 of last fiscal. It has met with an encouraging response from our customers. In addition to our existing product portfolio, we have added interactive flat panel displays and digital signages to our TV product portfolio. These are the solution from 65 inches to 100 inches.

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The order book in both these categories looks decent. We are also actively looking into exploring partnerships for the manufacturing of industrial, institutional, and automotive displays.

Home appliances, revenues for the quarter were INR305 crores a growth of 18% year-on-year, and operating profit of INR32 crores a growth of 14% year-on-year. In line with our backward integration strategy, our tool room is now fully operational, and most of the tools are being manufactured in-house. Our infrastructure footprint in Tirupati and Dehradun is now NABL compliant and accredited which is strengthening our competence and reliability for decent relationships with our customers. We have a healthy order book, and we are targeting a significant double-digit growth in this business.

Lighting revenue for the quarter was INR227 crores with an operating profit of INR15 crores. Both revenues and operating profits have grown quarter-on-quarter despite continued challenges with the pricing pressures and weak consumer demand and we expect the momentum to continue in Q2. Post the launch of professional series last quarter we further increased the basket by extending into the DOB range of floodlights and streetlights which is expected to be rolled out by Q2.

We have started the backward integration process and the injection moulding for ceiling lights and extrusion for battens is planned in the coming quarters to achieve better cost optimization and acquire a larger competitive strength. We are working towards expanding our pro

duct basket

by moving to high-value premium products that as high-voltage battens and COB Downlighters.

The next vertical is telecom and networking products, revenues in this segment for the quarter and the year-end review was INR418 crores with a steep growth. We're enhancing our capacities and have one more facility in Noida to meet the increased demand for our customers. We have started mass production of 5G fixed wireless access devices along with access point GPON, ONTs and Internet set-top boxes. We have started manufacturing 5G fixed wireless access devices both ODU's and IDUs for both domestic markets for Nokia, and we have a healthy order book.

Laptops and IT hardware products. We have already finalized contracts with Lenovo and Acer. We are already manufacturing for Acer. And we started the NPI process for Lenovo notebooks and the mass production for Lenovo will commence in Q3 of this fiscal.

We have also got two new customers which are the largest global brands for notebooks. We're in the process of signing the definitive agreements. We target to start production for these two global brands in Q1 of next fiscal. With this, four customers -- with us, we have the top four customers out of the top five global brands operating in the country. For this, a new campus is being planned in Chennai, the site has been identified. The resource has been acquired, and we target to start with the Chennai facility in the next 8 to 10 months.

So, this is also going to be a significant engine of our growth in the coming years. What we, as a team, have been successfully able to execute on the mobile front, we aspire to do the same in the IT products. Wearables and hearables revenue for the segment was INR143 crores for the

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quarter with healthy operating margins and high ROCE. We have a decent order book in this business.

Security surveillance system. We have sold our 50% stake in AIL Dixon to our JV partner Aditya Infotech. In return, we are taking a 6.5% stake in Aditya Infotech which will be going for IPO. Aditya Infotech is a highly profitable company, and we'll be going for an IPO by Q4 of this fiscal or Q1 of next fiscal. This entity will increasingly focus on more backward integration and designing, and we feel that this relationship is going to be huge value accretive for your company.

Rexxam Dixon Electronic Private Limited, it's a 40-60 JV with a Japanese company, Rexxam to manufacture inverter controller boards for air conditioners. This JV achieved revenue of INR114 crores in this quarter with healthy operating margins and extraordinarily strong ROCE. We have an extremely healthy order book in this business. We're exploring the possibility of accruing more investments under the recently announced revised scheme of PLI for white goods by DPIIT.

Refrigerators the team has done an amazing job. We have an extremely healthy order book. We are clocking production of almost 80,000 refrigerators a month, which is 80%, 85% of our capacity. So, the project has taken off very well. Now we are planning another capacity expansion because the order book is significantly increasing. Also, we are expanding our product portfolio by adding a 100-litre category to the product portfolio, and we are also exploring investment for frost-free. We have backwardly integrated many production processes and will be further investing in injection modelling.

So that's what I wanted to share. I would like to stop here and me and Saurabh are there to address your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sanidhya from Unicorn Assets. Please go ahead.

Sanidhya: Hi sir. Good afternoon. Great set of numbers, many, many congratulations for that. Firstly, on the EMS side, so other EMS which you were saying in the Chennai plant is it rel

ated to the IT

hardware I'm expecting? Is it the same?

Atul Lall: That's right.

Sanidhya: Okay. So, I heard in the TV interview you were -- around INR4,000 crores we are expecting revenue from it in the - I think next fiscal not this one. Just wanted to understand what's the total opportunity size and how much of that are we willing to grab? And how are we looking for the capacity size to build up in the next -- not this fiscal, but the next two fiscals FY'27?

Atul Lall: So, the Chennai plant should be operational I think, by Q4 of the current fiscal or Q1 of the next fiscal. The first phase of acquiring large global brands with our customers has already been achieved. See the addressable market for IT products is almost 10 billion almost INR80,000 crores with a production value are around INR50,000 crores.

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We aspire and that's what we submitted to the government almost INR47,000, INR48,000 crores of revenue in 6 years. So, it's going to take some time. But finally, I feel that on an annualized basis, to start with around INR3,500 crores, INR4,000 crores and then it will ramp up.

Sanidhya: Okay. Perfect. So, you didn't answer the capacity side we are trying to build and how much time will it take and what would the capex we are looking for that?

Atul Lall: So initially, the capacity is going to be almost 1.5 million units per year. And the capex the plant is going to be somewhere in the range of around INR150 crores.

Sanidhya: Okay. And what's the -- like total -- so you mentioned about INR45,000 crores addressable market, which we are looking to grab. What the capacity -- What's the number of units would be for that?

Atul Lall: So finally, you're starting with 1.5 million. It's going to be taken up to 3 million, 3.5 million. Let's see how the business pans out. The initial phase is going to be 1.5 million. But I think in a couple of days, that will double it.

Sanidhya: Okay. Great. And on the -- you mentioned in the starting statement that 55 million to 60 million units of the phones that is including Samsung or excluding Samsung?

Atul Lall: Excluding Samsung...

Saurabh Gupta: So, this is excluding Samsung, which is everything, including the new Ismartu acquisition that we did. So, 45 million, excluding Samsung and 10 million gets added on account of the Ismartu acquisition.

Sanidhya: Okay. So, 55 million for the non-Samsung and something about 10 million to 15 million would be Samsung in the smartphones space totally?

Atul Lall: Samsung is around 10 to 12.

Sanidhya: And lastly, on the...

Moderator: I am sorry to interrupt. Sir, could you please fall back in the question queue for further questions.

Sanidhya: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: Yes. Just wanted to understand if there is any PLI incentive or any amount booked in the mobile segment in this particular quarter and if there was a similar amount last year as well?

Saurabh Gupta: So last year it was -- yes for this quarter we had booked almost INR40-odd crores as PLI incentive for mobile business.

Deepak Krishnan: Sure. And same number last year?

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Saurabh Gupta: You mean to say same number exactly in the same quarter last year.

Deepak Krishnan: Yes.

Saurabh Gupta: My sense is it could be a smaller number because clearly, Xiaomi, Oppo, and Realme have come in much later and Motorola numbers have also expanded, but probably it should be -- it would be something around INR4 crores, INR5 crores, maybe last year. I can separately tell you that number. I don't have that number right now with me.

Deepak Krishnan: Sure. That should be totally fine. Just I wanted to understand production numbers this particular quarter across brands in the mobile segment,

if you can kind of highlight -- to whatever details

you can kind of highlight. And do we get a potential that we will have to revise up our 25 million to 30 million number that we have for the full year?

Atul Lall: No, I think it's not possible and prudent just now to give the customer-wise and manufacture numbers...

Saurabh Gupta: What I can give you is the focused smartphone numbers.

Deepak Krishnan: Sure. That also works. Yes. Smartphone numbers, yes.

Saurabh Gupta: That should give you probably a run rate for what we are talking about for the entire year. Yes, so smartphones we did almost -- so between -- excluding Samsung, we did almost 41 lakhs, 4.1 million and Samsung was around 11-odd million -- sorry, 1.1 million.

Deepak Krishnan: And feature phones?

Saurabh Gupta: It was around 6.6 million.

Deepak Krishnan: Sure. Okay sir. Those were my questions I will get back in the queue.

Moderator: Thank you. The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Thank you for the opportunity and good evening, sir. Sir my first question is on the Home Appliance segment. We've registered a strong top line of approximately 18%. I understand this could be the primary order booking for the upcoming washing machine season. What I don't understand is why are we flat at the margin level? Is there a steep competition even here? Is there ASP compression happening? And if so, can you call out in which category is it? Is it in the front-load, top-load or semi-automatic? The first question is that.

Atul Lall: Natasha if you see the reduction in margin is 0.4%. It has gone down from 11% last year to 10.6% in the current quarter. And quarter-on-quarter if you see there's an expansion of 0.4%.

Now the reason there has been this margin compression is because of the freight increases. The sea freight increased because of the Red Sea crisis.

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And there is some time taken for passing on any increase to the customer. In any case, it's not very significant. This is a part of normal business. So, we are in the range of 10.5%, to 11%, and that's where we have been.

Natasha Jain: Understood sir. Sir, my second question is on the lighting segment. Now while I understand there's been value compression happening in this segment, we've been of the commentary that we've been making premium lights or lights more in terms of value accretive. So, I'm just wondering when is that expected to flow through in our margin for license?

Atul Lall: So, a lot of operational corrections and expansion of product mix has already happened. We have largely restructured the business. We have optimized our cost structures, and we have invested in backward integration. We are further going to invest in polymer processing both on the injection moulding side and extrusion side is going to be operative in a quarter or so.

Professional lighting products like floodlights have already been -- and panel lights have already been rolled out. The streetlights that are going to be rolled out very shortly. So, all that is happening. Now is it going to be usually margined accretive? No, it's going to be a correction on the positive side. So that's the way this business is going to pan out.

Natasha Jain: Understood, sir. And sir, just one last question, if I may. We recently heard the commentary that

basic custom duty on mobile phones has been reduced. Sir, just want to understand how this impact you and other EMS players. And what would be the rationale for reducing the custom duty on fully assembled mobile phones? That's it.

Atul Lall: So, please appreciate the seasonal imports of mobile phones are minuscule. If my numbers are correct, the total imports in an INR3-lakh crores market are nearly INR7,000 crores to INR8,000 crores. So, I think the government wants to send a message globally because there have been some kind of o

bservations from the context and the custom duty structures in India should be rationalized. So, it's in that direction.

Now is it going to impact anything on the manufacturing ecosystem, mobile phones in India, we have a huge conviction, no. There is already a significant arbitrage plus there is a PLI benefit. So, no brand, which is manufacturing in India. And I think 97%, 98% of the mobile sold in India are manufactured in India is going to take any decision which is a reverse of this local manufacturing. So, on the ground, there is no impact.

Natasha Jain: Understood sir. Thank you so much. All the best.

Atul Lall: Thank you.

Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital Advisors. Please go ahead.

Bhoomika Nair: Sir, just wanted to understand in terms of our backward integration on our display modules we were looking to commission the plant by the year-end of 25 million capacity. A is that on track and how do you expect for the first year of operation which is FY '26, how will it scale up? What Dixon Technologies (India) Limited

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kind of revenues and margins we can see on that and how do we expect further backward integration in this space?

Atul Lall: So, the project team, Bhoomika, are working on it. The project plans are being laid out. The talent acquisition is happening. Site hunting is still happening because it's a complex site plan. But we are still trying our best and sometime at the end of this fiscal or Q1 of the next fiscal, we should start rolling out the production.

In Phase 1, it's going to be 2 million units a month. We have found our customers, and they're open to it. They are extremely positive for this local manufacturing because it's saved for them the inventory cost. And there are certain cost advantages. The numbers are being done. Now what is going to be the first-year revenue, which is slightly difficult to state because the approvals are complex technical approvals by each brand, and they're going to take some time.

But from year 2, it's going to be a good, extremely good, margin accretive project let me assure you of that. So, this is on the display modules, Bhoomika. On the other side, we are working hard. We are in the advanced stages of discussions through collaborative partnerships, and we are exploring getting into the non-semiconductor side of the mobile components. And that's also going to encompass the IT products.

So here, we are exploring various components, and we're in an advanced stage of discussions or collaboration with partners who are large globally. This is on the mechanical components, this is on the die cuts, this is the precision components, this is also for flexible PCBs, connectors and cables and various modules.

So, this is a basket of products. Please appreciate the balance sheet is strong. And we feel that now we have the financial bandwidth to explore this project. The financial metrics of this project are different, but the margin profile is of a different order. So that's what we are working on.

Bhoomika Nair: Sure. So, sir with this what is our current value addition? And where do you see yourself with these various collaborations to broadly get to in a period of, say, 3 to 4 years?

Atul Lall: So, we feel that -- please appreciate mobile assembly mobile manufacturing, it's a low-margin business. But it's an extremely high ROCE business. It's an extremely high asset to turnover business. Whereas when you venture into the component space, it's much more margin accretive, but the asset turnover is relatively lower.

So, we want to get into the right kind of a blend. Please give us some time to come back to you exactly with the blueprint that how it's going to pan out. What I'm sharing with you is that statically, this is the direction in which we are moving. And we are moving at a fast pace.

Bhoomika Nair: Sure, sir. Sir, just one last thin

g on -- in terms of Xiaomi and Ismartu. You spoke about the volume scale up out here with Xiaomi at about 0.7 million per month right now. How do you see that scaling up over the next couple of quarters as also for Ismartu?

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Atul Lall: So, I feel this 0.7 million should start getting 0.9 million or something like that. Let's see how the market pans out and post Diwali how it pans out, but we're going to have a very large share of their wallet. I'm referring to Xiaomi. And when we talk about Ismartu their current volumes are around 0.7 million of smartphones. Yes, that is going to get consolidated in our numbers once the acquisition is concluded which hopefully is going to happen in the next 7 to 10 days.

Bhoomika Nair: Sure sir. Thanks so much.

Moderator: Thank you. The next question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: My first question is on the Consumer Electronics segment. If we exclude the refrigerated revenues, TV revenues have fallen by 18%, 19% this quarter versus the same quarter last year.

What would that be on account of and a related question on margins in the refrigerator business?

Given that it's an ODM business with significant growth -- significant capex, we were anticipating quite high margins in this product category. But it seems at least in the first quarter which may be because of teething issues those margins haven't come through. So, you could just explain how exactly we should be thinking on that front?

Atul Lall: So, Aditya, on the LED TV side the market has been extremely slow. And there is a decline in volume. There is a decline in volume by almost 17%. That's being reflected in the Q1 numbers.

As far as the refrigerator is concerned, it's only in the ramp-up phase. The initial ramp-up cost has gone into these numbers. But finally, the numbers which have been earlier on the sharing, the operating margins are going to be in the range of around 8% to 9%.

Aditya Bhartia: Understood, sir. And as we are moving towards the peak season for TV, are you seeing order book looking a lot better?

Atul Lall: So, I'll say the current month, we want to close it around 250,000. August's order book looks particularly good. It would be around 400,000. And we feel that September also is going to be 400,000, 450,000. So, 1 million.

Aditya Bhartia: Understood. And sir, my second question is on the Mobile phone PLI scheme, given that the current scheme is going to end in almost 2 years, how are you seeing the landscape changing post that? Are you anticipating another incentive scheme from the government side maybe to incentivize domestic manufacturing on the component side?

Atul Lall: So, Aditya mobile manufacturing has been extremely successful for the country and for the government. We feel that the government will keep supporting mobile manufacturing in the country. But the avatar, the scheme is going to change. Now this is my understanding. And they're going to incentivize more valuation addition, they're going to incentivize the component manufacturing because we have been interfacing with the government and industry association side. And that is what the talks have been. So, post '26 when this scheme goes away it's going to be replaced by a scheme focusing on value addition and components. And strategically that's what we're trying to do in Dixon that we are strategizing, and we are deeply getting involved with the component ecosystem.

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Aditya Bhartia: Perfect. That's great to hear. Thank you so much.

Atul Lall: Thank you.

Moderator: Thank you. The next question is from the line of Dhruv Jain from Ambit Capital. Please go ahead.

Dhruv Jain: Sir, I have two questions. So, one question was on the mobile phone export side. So, if you could just tell us what was the contribution of export

ts in this quarter -- how do you see it panning out

over the next 2 or 3 years? So domestic you've been fairly successful. So how are you thinking about mobile phone exports in the next 2 or 3 years apart from the Motorola any customers, any color that you can give there?

Atul Lall: So, at present, Dhruv, the mobile phone exports are largely for Motorola. We feel that almost 25% to 30% of Motorola's production is going to be for global markets. And that's a significant jump. For the other brands, as of now, it's for the domestic market. But for certain entities that we have acquired or are in the process of acquiring, we're working deeply with our partners to look at export opportunities. However, it's, I think, premature and I'm not able to share with you any tangible numbers. So as of now mobile exports are confined to Motorola.

Moderator: Thank you. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: Hi, good evening, sir. Thank you for the opportunity. Two questions. First, on a mobile phone. As you mentioned you will be doing somewhere close to 25 million to 30 million assets this year and maybe that number will grow much faster next year. Post that, where do you see this number evolving? And what are the growth opportunities we have because we are already working with some of the top brands? Do you see this business saturating for us?

Atul Lall: So, we feel that some -- we should be in the next couple of years, reaching around 45 million to 50 million units. We also feel that there are going to be some breakthroughs for global markets, which is going to increase the volumes. Then the growth engine is going to come through participation in the component ecosystem. And then a significant driver of our revenues, we are working upon for the IT products as a segment. So, in this domain, these are the growth drivers.

Indrajit Agarwal: Sure. That is helpful. Secondly, on IT products, is there any delay that we are facing in having the products rolled out because if I recall earlier, our target was tablets by April and laptops by September. So, we are now hearing more like third quarter of this fiscal. I understand these are small [inaudible 34:31] issues. But are there any bigger concerns that is there in this business?

Atul Lall: So, Laptop Acer production is already in the trials and commercial production for Motorola tablet has already been done. And the NPI for Lenovo has started and we see that the commercial production will start by Q3. The two new accounts that we have acquired, targeting for one account in Q4 of this fiscal and another account will be productionized in Q1 of next fiscal. So, there might be some small delays here and there, but it's largely for the production plan.

Indrajit Agarwal: Sure. And one last question, if I may any progress on the industrial EMS front?

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Atul Lall: So industrial EMS footprint is going to be again in the Chennai campus. We are in the advanced stages of discussions with a large semiconductor equipment brand, a global brand for servicing its requirements of PCBA and certain mechanical products. We hope it fructifies and we are also in advanced stages with one partner for automotive electronics. So, they are progressing well, but we are new to this domain. So, it's going to take time.

Indrajit Agarwal: Sure. Thank you so much. That's all from my side.

Moderator: Thank you. The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare: My question was in last year's AGM.

Atul Lall: I am not able to hear you. There is some echo in your voice.

Moderator: Sir, could you please use your handset Mr. Onkar.

Onkar Ghugardare: One second. Is it clear now sir?

Atul Lall: Yes better.

Onkar Ghugardare: In the last year, the AGM of the company made a statement to venture into

several other categories, including EVs and other 3, and 4 categories. So, I mean, just now you mentioned that 2 years from now, other categories would be the growth drivers for the company. So where are we in terms of that?

Atul Lall: So, as I shared with you that we are making an attempt for both industrial electronics and automotive electronics. We are seeing traction. That's what we are working on. We also appreciate that in the last 2 years, the very many, many product clients. We have added hearables and wearables. We've added telecom devices. In telecom devices, we have got routers. We got fixed wireless devices. We've got Android set-top boxes. We have made large investments in creating capacity for refrigerators. And now we are looking at IT products and incredibly significant investments are going to be made in the component sector for electronics in the non [inaudible 37:48]. So, there is already a lot on our plate. Does that answer your question?

Onkar Ghugardare: Yes, partially yes. But I mean, only the time will tell, right? I mean every quarter; it will be given on that. So that for the time being that is fine. Yes. The second question is on an overall scheme of things in the overall revenue of Dixon. I mean, in a couple of years of time, overall, the component ecosystem, how much it can contribute to the overall revenue of production? I mean, how big is the portion?

Atul Lall: It's too early to share this number.

Onkar Ghugardare: Okay. But I mean you can just give directionally how big the opportunity is that's it not any specific?

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Atul Lall: It's too early to share those numbers, please.

Onkar Ghugardare: All right. Thank you, sir.

Moderator: Thank you. The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav: Hi, good evening. Thank you so much for your time. I had two questions. The first one was on the part where you spoke about the partnership that we can have with the automotive electronics side, is that for PCBA essentially or for any of the type of products today?

Atul Lall: Sorry, I'm not able to make out your question. Can you be clearer? So automotive is largely for automotive electronics, so PCB assembly, electronic modules.

Madhav: PCBA assembly. Okay. Got it. Understood. And the second question I had was that given that exports is like say medium-term growth driver for the company from a mobile phone's perspective. What kind of value addition is required to be done in India before we sort of as a company or as the country become competitive to export some of the smartphones in the export markets like is there any -- how do we kind of look at that entire construct, that would be helpful to understand?

Atul Lall: So, we feel that once the component ecosystem is being created in India. India is going to keep on acquiring competitive strength. And that would help in becoming globally competitive. So, I think that journey has already started. We are a couple of years away from where India is going to stand on its own feet to compete in the global market. And the Indian solutions -- Indian manufacturing of the smartphones would be servicing the global market.

Madhav: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes. Thanks for the opportunity. Sir, we have seen historically after Q1 results you also tend to give a guidance for the full year coming and with so many moving parts also so many new businesses which are expected to undergo changes or start, will you indicate any guidance for FY'25 in revenue as well as EBITDA?

Atul Lall: So, we have not been giving guidance now for almost 2 years.

Saurabh Gupta: So, Aniruddha we have not been giving any kind of guidance.

Aniruddha Joshi: There are too many moving parts. So how should we look at the ov

erall growth rate etc?

Atul Lall: Sir, please appreciate the growth rate is going to be extremely aggressive, but we are resisting from giving any guidance.

Saurabh Gupta: Aniruddha you can make out certain numbers that last year, basically the largest opportunity of a larger growth driver for us is mobiles and then next few years it will be IT hardware. So, we

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have given you visibility on the kind of potential numbers we have done in Q1 and the kind of potential numbers that we will do for smartphones this year. You can look at those numbers and compare them with last year's numbers. So, you can have -- you can arrive at some kind of numbers for yourself.

Aniruddha Joshi: Okay, sure. And margin-wise, also or I mean somewhere around.

Saurabh Gupta: Margin it will be, of course -- margin it will be somewhere around 4%-odd level.

Atul Lall: It's in the similar range.

Saurabh Gupta: In a similar range 3.9%, 4% kind of levels.

Aniruddha Joshi: Understood. And anything on the capex for this year?

Saurabh Gupta: Yes. So, capex, I think for last year we did almost INR550 crores. We expect a similar run rate of INR550 anywhere between INR500 crores to INR600 odd crores this year.

Aniruddha Joshi: Okay sure. Very helpful. Thank you.

Moderator: Thank you. The next question is from the line of Vipraw Srivastava from InCred Research. Please go ahead.

Vipraw Srivastava: Yes. Just two questions. So, first on the telecom business. So, like the two major players, Nokia, and Ericsson what they are saying in their call is that they'll be focusing more of their energy on chip design and will be outsourcing the manufacturing part currently in India, a lot of 5G devices which Nokia itself is being imported from China. So how do you see this opportunity developing? I mean you already have a foot in the door with Nokia. So, do you see this becoming big in the coming years any thoughts on this??

Atul Lall: So, we have now a large relationship with Nokia for the telecom devices side. This is confined to starting with the CPE products. When I'm referring to CPE it's routers and fixed-wireless devices. The business is scaling up. This is the first level of relationship. However, the Nokia as of now, we don't have any relationship on the networking equipment side-- consumer product side.

Vipraw Srivastava: Right. Fair point. Sir, the second question on the part which you're discussing. So, if you look a bit into technicality a significant part of the component is the chip I mean the chip is the main cost of the BOM bill of material. And the fab in India is still coming. I mean, the government has given order to Tata, but that will still take some time. So, don't you think that the fab -- the foundries must come to India first before this ecosystem picks up for components or is my understanding incorrect?

Atul Lall: No. Please appreciate the semiconductor contribution to the BOM is 50% to 55% in mobile phones. The balance 50% is a non-semiconductor part, which considers some mechanical

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and that's where we want to participate. I am going to differentiate that that even in China the large contribution to the value addition is coming from the non-semiconductor side.

Vipraw Srivastava: Fair point. Noted. Just last question, sir. So, this mobile and the TV space -- durable space, I mean, the industry as a whole is not growing for the last 3 years. I mean, if you look at the TV volume and mobile volume, the industry is not growing. I mean although it is small -- relatively smaller market for the mobile space. So, do you see this -- how do you see the industry evolving? I mean the volume level growth is not happening. So, do you see that will change in the coming years or does

the extent we look for diversification in the coming years to counter that?

Atul Lall: So, in Dixon, because we are only a B2B company, in any category our growth comes in from 3 elements: One, of course, is the industry growth is buoyant and then we are a part of that growth story. The second growth is coming if you acquire more and more customers. And that is what we are trying to pursue, and that's what's leading to volatility in our mobile domain. The third is that if we can get a larger share of the customer's volatility.

So, across all our categories, and more in mobile because there's the largest opportunity pool for us. And that's what we are trying to pursue. I think we have been fine or successful on that front.

So that's how our growth is coming. And that's what we'll keep on pursuing.

Vipraw Srivastava: Fair point. Thanks a lot. Thank you.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: I just wanted to know what was the consolidated profit number for Ismartu in FY'24?

Saurabh Gupta: Yes. So, as did almost INR8,200 crores of revenues at -- and INR320 crores, INR325 crores of EBITDA. And a PAT of probably -- a PBT of INR280-odd crores and a PAT of around INR240-odd crores.

Arpit Shah: Okay. And what kind of growth are you expecting from Ismartu in FY'25 and '26?

Saurabh Gupta: So, I think the first objective for us is to close the transaction which we should be able to do in the next 7 days. The launch is how the CPGs need to be concluded. And then both of us will sit together and plan for this financial year. So, we will have better visibility. But probably, we can assume that they typically sell almost on an average of around 1.2 million feature phones a month and 0.7 million kinds of smartphones per month. So that should be the run rate for the balance part of the financial year as well.

Arpit Shah: Got it. And you will be consolidating about 8 months of numbers for the company for FY'25?

Saurabh Gupta: That's right.

Atul Lall: Let me That will happen in August.

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Saurabh Gupta: Yes, depending on what period it closes in August, yes, but probably anywhere 7.5 months to 8 months.

Arpit Shah: Got it. Thank you, sir.

Moderator: Thank you. The next question is from the line of Girish, an Individual Investor. Please go ahead.

Girish: Sir Girish from Morgan Stanley. I have a few questions on the mobile component business that you are exploring. So obviously, it's an exploratory stage right now. Just wanted to understand what the typical asset could be turns that you could have in that part because I would imagine that it may not be the 10x number that you see right now in the EMS part because we see PCBA probably being below 2x. So, if you probably clarify that. And typically, I know it blended number may not be possible, but what is the range of EBITDA margins also here that is possible??

Atul Lall: So, Girish, one venture on the component side, we have already -- we have already leaped and that's the display module. So, in that case, the EBITDA margins are significantly higher, and they are in double digits, mid-double digits and the asset turns are higher. When we are looking at the mechanical component side, asset turnover is going to be somewhere in the range of 1:3 to 1:4. And EBITDA margins are going to be closer to almost double digits, and that's the financial metrics. The other components that I mentioned, the financial metrics are still being studied.

Girish: Okay. And then in terms of just one clarification, if I may ask, the mobile scheme obviously will end in the next couple of years. So, are you likely to see that the mobile component scheme gets introduced just before this scheme ends? Or is it like in the next few months because there are a

lot of media articles which suggest that the component scheme on mo

bile might be announced
in the immediate distant future?

So, any colour that you can -- based on your feedback that you've had in the industry? Can you share what would be the typical timeline and effectiveness of that scheme? Would it be effective next year, or will it be after 2 years when it might be introduced just before the mobile scheme is completed?

Atul Lall: It's very difficult to say when the scheme is going to be rolled out and when it's going to be effective. But from the industry side, we are deeply interfacing with the government. And they are extremely receptive to rolling out the package for the component industry. What timeline is difficult to say, but I think it should happen in 9 to 12 months, something like -- I feel it should happen if it is rolled out difficult to confirm. But if it is rolled out it's going to happen before the culmination of the PLI scheme for mobile which happens in March '26.

Girish: And last clarification if I may ask the display module part? You have a JV partner. For the other components would the same method be applied in terms of getting into a JV or there could be some technology fee arrangement also or a mix of both like if you can directionally say what could be the possibilities here?

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Atul Lall: At present we are looking at equity participation.

Saurabh Gupta: Yes, it will be a JV partnership kind of a concept only.

Girish: Okay. Thank you so much and wish you all the best.

Moderator: Thank you. The next question is from the line of Kunjal Kunamia an Individual Investor. Please go ahead.

Kunjal Kunamia: Good evening, sir. Congratulations for a great set of numbers. So, my question is if you compare the Indian manufacturing -- Indian mobile manufacturing sector and if you compare it with China, what is the percentage cost difference if I may ask?

Atul Lall: See, you must declutter this question into different layers. When you look at the cost of manufacturing, the cost of manufacturing in India will be -- I feel more efficient. But when you look at it on a holistic basis because of the lack of component ecosystem those are the disabilities which come into the picture. So, I reiterate that per se manufacturing cost in India with the kind of the efficiency...

Kunjal Kunamia: So, on the component side like what would be the different like 2% or lesser?

Atul Lall: That is difficult to place a number where I think it is going to be 4% to 5%.

Kunjal Kunamia: Got it. That answers my question. Thank you very much and all the best.

Atul Lall: Thank you.

Moderator: Thank you. The next question is from the line of Sanidhya from Unicorn assets. Please go ahead.

Sanidhya: Sir, just a follow-up. So, one on the Motorola side. So, you said that almost 30% would be going to the U.S. market of the total Motorola production that we are doing. Is there any risk of new import restrictions or anything if there is any kind of government change in the U.S. or anything. I just want you to understand the kind of agreement we have with Motorola that.

Atul Lall: So, Motorola is pushing for exports from India to North America, for the U.S. As of now, it looks good because we have optimized various execution capabilities for into cost structure, which has made it more attractive for them. Now is there going to be any change because of the evolving geopolitical situation, I assume you are referring to the presidential elections and all. I do not think so. I think the day it is emerging, evolving, it is going to be only better.

Saurabh Gupta: Yes. We feel it will be only better for India and for the mobile industry.

Sanidhya: Okay. And lastly, on the inventor control board for air conditioners. So, what is the revenue for this quarter, I mean profitability, some kind of number you want to give for the entire year, maybe if not that. And since we are looking for manufacturing for ICBs f

or Daikin, are you also

looking to get into some kind of partnership to manufacture the AC completely or maybe some other components and anything else on AC front ODM or AC?

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Atul Lall: So, this is a joint venture between Dixon and Rexxam. We have 40%, they have 60% and a completely Daikin-centric business. In this quarter, we have done around INR140-odd crores.

This is INR350 crores, INR400 crores in business, profitable, highly and an extremely high ROCE. We are exploring the possibility of starting exports of inverter controller boards from

India to Daikin where it's a global entity. Let's see how it pans out. We're also working with the JV partner to make more investments and capacity expansion under the extended PLI scheme for white goods. So that's it. Now are we planning to enter some other AC components? No, not as of now.

Sanidhya: And AC manufacturing as a whole?

Atul Lall: No, we're not looking at it.

Sanidhya: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Abhishek from DSP Mutual Funds. Please go ahead.

Abhishek: Could you share the volume.

Moderator: I'm sorry to interrupt, sir. Mr. Abhishek, your volume is very low.

Abhishek: Is it better now?

Moderator: Yes, sir, better.

Abhishek: Yes. Sir, if you can help us with the volumes for washing machine, lighting, and the television part of it for the quarter?

Saurabh Gupta: Yes, Abhishek. So LED TV, we sold about 5.9 lakhs; washing machine semi-automatic was around INR4.3 lakhs; fully automatic was INR0.5 lakh. And on the lighting side we sold INR3 crores LED bulbs and 60 lakh battens and INR29 lakh downlighters.

Abhishek: Okay. So, your growth in washing machine is fairly decent from that perspective?

Saurabh Gupta: Yes, it has grown by 10% in volumes on semi-automatic and fully automatic. Of course, we have tripled our numbers.

Abhishek: Okay. And is this volume growth what you have seen in non mobile part of the business, that is likely to be a trend going forward as far as volumes are concerned?

Saurabh Gupta: So, washing machine as a category because a large part of the growth will come from fully automated. So as a category, we expect double-digit growth in that category. So semi-automatic will grow at low double digit, but the fully automatic will grow at a much faster pace. Combined both put together it will be a high double-digit kind of a growth.

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Abhishek: Okay. And just one last question on the competitive landscape. Any change that you see in the lighting competitive landscape? I know you have introduced many new products and other things, but from a core lighting perspective, any change in the competitive landscape?

Atul Lall: So, we feel that the competitive intensity which has become a bit too intense is stabilizing and the prices are also stabilizing. So, is there a significant upturn in the business? I would say we are moving step by step together. So, the business is going through a consolidation thing, and we as a company have completely restructured the business. We have restructured our product portfolio and our cost structures. And we are also seeing some kind of stabilization on the pricing front. So that's where we are.

Saurabh Gupta: In Q-on-Q, you see, Abhishek the numbers have grown by 15%. So clearly, we see that the worst is behind us as far as the pricing is concerned, the component intensity is concerned. So, it can only get better from here. If not better, at least, we should maintain this kind of a run rate.

Abhishek: Great sir. Thank you so much and wish you all the best.

Atul Lall: Thank you.

Moderator: Thank you. The next question is from the line of Nirransh Jain from BNP Paribas. Please go ahead.

Nirransh Jain: Yes hi. Good evening, sir. Congrats on a good set of numbers. Sir, I just have one question about

Nokia, on the mobile phone side. So as far as my understanding is we are currently -- Dixon is manufacturing feature phones for them, but recently HMD has also announced that they are looking to double their exports from India and like Dixon being the key partner of them. So, I was just wondering, do we have any export opportunity immediately from the Nokia front since you mentioned that currently, you have visibility only from Motorola but not from the other brands? I just wanted to check on that.

Atul Lall: So, we are doing 100% of -- not 100% we are doing almost 95%, 96% of what Nokia sells in India both on feature phones and smartphones. 100% of their smartphone both on the Nokia brand and HMD are done by us. We're already manufacturing for exports for them. Exports have already started under the Nokia brand. And we have had deliberations and discussions with Nokia. And we'll be expanding the capacity for Nokia for doing their exports from India.

Nirransh Jain: Okay. Sir, just a follow-up on that, how much of the volume of smartphones are we doing right now for Nokia?

Atul Lall: It's a relatively a small number.

Saurabh Gupta: Yes. So, it's a small number. In the first quarter, it was only 10,000, 11,000 kinds of quantity. But on the feature phone side yes, we did almost 2.6 million which includes exports as well.

Nirransh Jain: Got it. That is, it from my side and all the best. Thank you.
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Moderator: Thank you. Ladies and gentlemen, which was the last question for today's conference call. I would now like to hand the conference over to Ms. Bhoomika Nair for the closing comments.

Bhoomika Nair: Yes. Thank you very much, sir, for giving us an opportunity to host the call. Wish you all best and thanks to all the participants for being on the call. Thank you very much. And any closing remarks from your side sir.

Atul Lall: No, thanks very much, Bhoomika. And I really want to thank all the participants and our stakeholders we from Dixon are absolutely committed to create value for you. Thanks so much for having faith us, really appreciated. Thanks so much.

Saurabh Gupta: Thank you so much. Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2024

Dixon Technologies (India) Limited

28th October , 2024

To
Secretary
Listing Department
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 051

Scrip Code – 540699
ISIN: INE935N01020 Scrip Code - DIXON
ISIN: INE935N01020

Dear Sir/Madam,

Sub: Transcript of the Q2 FY 25 Earnings Conference Call held on 24th October , 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q2 FY 25 Earnings Conference Call of the Company held on Thursday, 24th October , 2024 .

The said transcript has also been uploaded by the Company on its website and the same is available at <https://www.dixoninfo.com/earning-call-transcript.php> .

We request you to kindly take this on your record and oblige.

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar
Chief Legal Counsel & Group Company Secretary

Encl: As above

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“Dixon Technologies (India) Limited Q2 FY-25

October 24, 2024

MANAGEMENT MR. ATUL LALL – MANAGING DIRECTOR & VICE
CHAIRMAN , DIXON TECHNOLOGIES (INDIA) LIMITED
MR. SAURABH GUPTA – CHIEF FINANCIAL OFFICER ,
DIXON TECHNOLOGIES (INDIA) LIMITED
MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Dixon Technologies Q2 FY25 Earnings Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited.

Thank you, and over to you, ma'am.

Bhoomika Nair: Yes, thank you. Good evening everyone and a warm welcome to the Q 2 FY25 Earnings Call of Dixon Technologies.

We have with us the management today being represented by Mr. Atul Lall – Managing Director, and Vice Chairman; and Mr. Saurabh Gupta – Chief Financial Officer.

I will now hand over the floor to Mr. Lall for his initial remarks post which we will open up the floor for Q&A. Thank you and over to you, sir.

Atul Lall: Thank you so much Bhoomika. Good evening, ladies and gentlemen. This is Atul Lall , and we have on the call today our CFO , Saurabh Gupta.

Saurabh Gupta: Good evening, everybody.

Atul Lall: Thank you very much for joining this earning call for the quarter ended September 2024 .

First coming to our overall performance for the 2nd Quarter . Consolidated revenues for the quarter ended September 30 th, 2024, was 11,528 crores as against 4944 crores in the same period last year , growth of 133% .

Consolidated EBITDA for the quarter was 420 crores against 200 crores in the same period last year, growth of 110% . Consolidated PAT for the quarter is 412 crores against 113 crores in the same period last year, which is growth of 265% , this includes fair value gain of 210 crores in the value of Dixon stake of 6.5% in Aditya Infotech Limited . Excluding this gain, the adjusted PAT for the quarter was 236 crores, which is a growth of 109% year-on-year.

With strong capital allocation discipline and effective working capital management, we were able to expand our ROC and adjusted ROE to 38.9% and 31% respectively, as on 30th September 2024. We feel confident the same would keep improving in the upcoming quarters and years on account of improved earnings, working capital efficiency, higher asset turns in mobile and IT hardware business . Gross debt to equity ratio stood at 0.162 and cash conversion cycle of negative three days . We believe strongly that we have a platform to sustain a strong revenue growth moving forward through the strengthening in the overall demand environment and addition of new customers across all businesses .

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Our foremost objective continues to be part of India's long term growth story and to write the country's robust consumption narrative and Make in India initiative to achieve industry leading growth.

Now, I will share with you the performance and the strategy in each of the segments going forward.

Mobile phones and EMS divisions. Revenue for the quarter were 9444 crores, there is a growth of 235% year-on-year. Operating profit was 308 crores, a growth of 231% year-on-year. In addition to the four operational facility and one facility with 1 million square feet under construction, we have taken additional 1.5 lakh square feet facility in Noida on lease to cater to the increased demand of our principal customer, which is expected to start in the current quarter with a monthly capacity of another 400 K smartphones per month.

We have successfully consummated the acquisition of Ismartu on 13th August 2024 and we have a healthy order book for Transsion group of brands that's Tecno, Infinix and Itel and another brand Nothing. For Motorola, we

have been consistently clogging a volume of 1 million per month, and order book looks healthy in coming months, including some decent export orders for North America market. The volumes for Xiaomi and Oppo and Q2 witness significant growth quarter-on-quarter. Production for a large global brand through Compal is expected to commence by end November 24, they are also in active discussions with another large global brand. We have finalized location for manufacturing of displays in partnership with H KC. We expect to start manufacturing by Q1 end or Q2 beginning of next financial year. We are also looking to further deepen the level of manufacturing, and looking to get into precision components, mechanicals and camera modules and the same is under deep study and we are working on possible partnerships.

Consumer electronics with LED TVs and refrigerators. Revenues for the quarter were 1413 crores, with an operating profit and margin of 52 crores and margin of 3.7% out of this, the revenues for refrigerator business were 188 crores. LED TVs, we have on boarded a few multinational brands on our TV ODM solution like Hisense and (Inaudible) 5:42 for Google TV and Linux platform, we are working closely with Amazon Fire TV solutions in NG for Web OS, which is expected to be rolled out in Q 4 of F25. In addition to interactive flat planning display, we have now started manufacturing digital signage solution from 65 inches to 100 inches, with decent order book. A state of art R & D center for display devices has been set up in Noida for superior product development in TVs, IFPDs and signage's. In order to deepen our component base in TV we are exploring a tie up with global player for open cell bonding facility. We are actively exploring for partnerships manufacturing to industrial, institutional and automotive displays.

Refrigerators against a capacity of 1.2 million direct cool refrigerators across 190 to 235 liters, we are now achieving 90% capacity utilization. We expect the similar run rate in the coming months, in fact now we are looking to expand our capacity to almost 1.6 million. We have healthy order book with marquee Indian brands, we have started mass production for Voltas, Kelvinator, Dixon Technologies (India) Limited

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Acer, Lloyd and BPL. We have backwardly integrated many production processes and further exploring investment in deep freezers, mini coolers, wine chillers, etc., along with two door frost free and side by side refrigerators.

Home appliances revenue for the quarter were 444 crores, that's a growth of 22% year-on-year. Operating profit was 49 crores, a growth of 17% year-on-year. In Q2 we clocked a monthly run rate of 30,000 units of fully automatic category, which is 50% growth year-on-year. In line with a backward integration strategy, we have added multiple more than injection molding machines to reduce our dependency on imports. Further we have started extending molding support to our business segments and have done molds for the lighting and telecom business. Our footprints in Tirupati and Dehradun are now BS and NABL certified, which strengthens their competence and reliability for deepening relationship with customers. We have a healthy order book, and we are targeting double digit growth in this business in this fiscal.

Lighting, revenue for the quarter was 233 crores, with an operating profit of 17 crores. Both revenues and operating profit have grown quarter-on-quarter. They are continuously introducing a new product range in the category of down lighters and outdoor professional lighting. We have boarded marquee global customer IKEA, for domestic market.

Telecom and networking products. Revenues in this segment for the quarter were 660 crores. We are looking for more than 3x growth in revenues in this fiscal as against last financial year. We have added one more fac

lity in Noida to meet the increasing requirements for our anchor customers. We have also ramped up our production for 5G, fixed wireless access, outdoor and indoor units for domestic market, and planning to double the capacity for the same to meet the customer requirement along access points, GPON, ONTs and internet set-top boxes. We are in the process of introducing IPTV boxes for the domestic market and production commence in this fiscal.

Laptops, tablets, that is the IT hardware products, we have finalized business with HP and Asus and the definitive agreements are in the final discussion. And now along with Acer and Lenovo, we have four global brands on board out of the top five brands in India. The manufacturing of Acer has already started in production for Lenovo is expected to start in this quarter from our Noida facility. Our 3 lakh square feet Chennai facility will be ready by end of December 2024 and production for HP, and Asus is targeted to commence by Q4 25.

Wearables and hearables revenues for this segment the 2 63 crores for this quarter with healthy operating margin and superior ROCE. We have decent order book in this business. Rexxam Dixon Electronics the JV will achieve revenues of 90 crores in this quarter, despite Q2 being a lean season for this business. And we have also now started supplying to the Sri City plant of Daikin, which is our principal customers.

I would like to stop here, and me and Saurabh are there to address your questions. Thank you.

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Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Sanidhya from Unicorn Assets. Please go ahead.

Sanidhya: My first question would be related to the IT hardware, PLI scheme. So, last concall management indicated that we are doing a 150 crore CAPEX for 1.5 million units. And we are slowly, eventually adding to 3.5 million units. So, is there any additional CAPEX that would be required for the ramp up. And in terms of total PLI for the IT hardware was near about 17,000 crore if I am not wrong. And out of this, how much did Dixon permitted or got like from in terms of total percentage, if you can share absolute number that would be great, that's the first.

Atul Lall: So, in phase one, the committed CAPEX is around 150 crores in our Chennai plant, which is going to be creating a capacity for around 1.2 million units. Let's see how the business pans out, and then we are committed to putting more CAPEX to expand the capacity to almost 3 to 3.5 million. In our business plan submitted to the government, we have committed to the government a revenue of 48,000 crores over the period, over the tenure of PLI. So, when this business ramps up in the initial phase, in the 1st Phase it is going to stabilize at around 4500 to 5,000 crores by year three annually.

Sanidhya: Sure, sir. So, you are saying 4500 crore could be revenue from 1.51, 1.2 million units that you are committing right?

Atul Lall: That's right.

Sanidhya: Okay. And secondly, on the total addressable market. So, if I see for FY23 there were total 11 million units that were imported for the notebooks or laptop side for the top five players, out of which we have bagged for four players. One is missing, Dell is missing from our portfolio right now. So, any comments on Dell, and any comments on till when are we planning to reach like 50% as we say, that we want to reach 50% of the total market share. So, out of 11 million, how much, 5, 5.5 by when are we planning to reach?

Atul Lall: So, please appreciate, as we shared in our opening remarks, that out of five top brands in India, we have now on boarded four brands. And initially what we are targeting is, see this \$11 billion of imports that you are talking about is the sale value. The production value is a

most 55 % to

60% of that.

Sanidhya: Sure, another million revenue I was referring to.

Atul Lall: What we feel is that, finally when we reach around a million, 1.2 million, we are going to generate a revenue around 4500 crores, but subsequently it is going to be significant gains, because that's the kind of forecast that we are getting from customers. But we will have to move in the steps. There have to be building blocks, we have to generate adequate confidence on our capability to deliver, this is an entirely new product line which requires an additional technical bandwidth, and then it will happen. I am confident that what the team has been able to deliver, let's say in mobile phones as a category, we will be a very, very large player, possibly the largest Dixon Technologies (India) Limited

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in the sector. As far as contract manufacturing is concerned. What that number is going to be, it's slightly premature to give that idea, but what I am sharing with the stakeholders is, that we are going to be at around 4500, 5000 crore level in next two to three years.

Sanidhya: Sure, sir thank you for that. And just if you can share the breakup for the 1100 crore revenue for

Ismartu number of units ?

Atul Lall: So, this has come on board from 13th of August, that's when it was consummated, to 30th of September. And in this the volume is going to be approximately around 800K of smartphones,

Saurabh Gupta: Yes, 800K of smartphones broadly.

Sanidhya: Okay, sir. At what proportion would this be right to estimate like 10 % to 15% of overall yearly revenues?

Atul Lall: So, we feel that Ismartu revenue should be in the range of around 7000 to 7500 crores.

Sanidhya: For the next year, right ?

Atul Lall: For this year, for the current year.

Sanidhya: For this year, and 9000 to 10,000 for next year?

Atul Lall: So, next year hopefully we are going to reach that particular number. What we are referring to is the current year.

Moderator: Thank you so much. The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Sir my first question is on mobiles, can you please call out the brand name of the mobile along with the production that we are doing monthly for them, and where can we scale that in future?

Saurabh Gupta: So, Natasha, we don't want to share any customer wise numbers with the market. So, I can give you an overall number, how many smartphones we have sold in this quarter, but customer wise, we don't feel comfortable sharing it.

Natasha Jain: Sure. Sir if you can even give the overall number.

Saurabh Gupta: So, smartphones, we did almost 81 lakhs, or 8.1 million in this quarter, and another 13 odd lakhs of Samsung smartphone.

Atul Lall: So, there is significant growth. If you see smartphone last year, for 2023-24 was 1.43 million, which has gone up to 8.13 million, which is a growth of 468%.

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Saurabh Gupta: And in the first six months, we have already done a smartphone number of almost 12.2 million, excluding Samsung.

Natasha Jain: Understood sir. And sir in terms of gross margin can you call out why we have seen a decline of 200 basis points?

Saurabh Gupta: See gross margins and EBITDA margins again, it's a function of the mix, so large part of the revenue contribution is coming from mobiles, which is relatively a lower gross margin and lower EBITDA margin business. And also, the selling prices of some other phones for the brands have also gone up because of migration from 4G to 5G. So, the gross margins is basically a function, majorly on account of the change in sales mix.

Natasha Jain: Understood and sir lastly, where are we in terms of the export customer for lighting?

Atul Lall: So, lighting, the export orders from Germany have already matured. They are in the execution

stage, with one large customer in US we are almost at the final stage.

Moderator: Thank you so much. The next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: Saurabh and Atul sir just couple of questions, maybe just wanted to first get how much of the feature phone number this quarter, are we sort of looking at going higher than the guidance of 25 to 30 million smartphones for the year. And maybe then I will sort of follow up with a couple of questions after that.

Atul Lall: You are specifically talking about feature phones, or smartphone, feature phone both?

Deepak Krishnan: I remember last quarter you had given a number of so; you have already given the smartphone number. Feature phone was 6.6 million last quarter, so just wanted to check the corresponding number for this particular quarter as well.

Saurabh Gupta: It is around 9.1 million feature phones, as compared to 8.3 million last year same period. And overall, in six months. Yes, we have done a number of almost 15.7 million feature phones.

Deepak Krishnan: Sure, and any sort of PLI incentive booked this particular quarter, and any reason why the other income is sort of negative?

Saurabh Gupta: Yes, so we have booked a PLI income of almost 70 odd crores in quarter two. And the other income is negative, mainly on account of the FX loss majorly on account of our CAPEX machinery payments, which were majorly in the Japanese yen. And Japanese yen, as you know in this quarter is really appreciated. It is again now the Indian rupee has appreciated lately in the month of October. So, it's a kind of a notional kind of a loss that we are at mainly on account of the FOREX loss.

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Deepak Krishnan: I am sure, because given the strong start of 12.2 million smartphones in 1H, are you still guiding

to 25 to 30 million or do we think that we can even cross the upper end of the guidance?

Atul Lall: So, we have not given any guidance. And order book, please be rest assured is extremely strong.

Saurabh Gupta: Yes, order book looks strong.

Atul Lall: And particularly now with the acquisition of Ismartu materializing the order book looks extremely healthy.

Deepak Krishnan: One final question. Just wanted to understand TV, even if we saw the consumer electronics, even if we include refrigerators it's a Y-o-Y decline, the TV volumes were relatively weaker or is it a function of pricing that has cost a decline in the standalone TV business?

Saurabh Gupta: The main reason for a lower revenue number in that category is mainly because of the dip in volumes year-on-year in TV. So, we did almost 9.7 million LED TVs in quarter two, as compared to 10.8 so there is a decline-growth of almost 10% which is reflected in the lower revenue number as well.

Moderator: Thank you so much. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: First question on again, mobile side possible to highlight some insights into the pricing for generally the customers like Xiaomi and Oppo, because with the pricing side we have continued to see some price. So, if you can just highlight some trends across the customers?

Saurabh Gupta: Yes, so basically the broad pricing for Xiaomi of course keeps changing model-on-model, but yes, the broad average pricing would be somewhere in the range of Rs.6000 odd our pricing and Oppo would be somewhere around Rs.8500 to Rs.9000 odd and more.

Atul Lall: But the other large customers, because it's migrated to 5G, the price points were significantly higher. So, for us, it's not, we will not be able to share the customer-wise pricing.

Siddhartha Bera: Got it sir. And in terms of the ramp up, how do you look at in terms of customers, where do you see the biggest potential, and given

your understanding and discussions, where do you see which customer has the biggest potential from where we are currently?

Atul Lall: So, please appreciate that in the smartphones, we are the largest manufacturer today, and practically all the brands in Android ecosystem are our customers. A brand like Motorola is doing exceedingly well. And even the other brands who are our partners, I see lot of buoyancy and lot of positivity in their order book. So, the business in the order book looks good. I feel that Q4 particularly is going to be very good.

Siddhartha Bera: Got it sir. Sir last question is, when you talk about Ismartu of 7500 crores, so this is for the period of this year starting 13th August, or that is sort of indicating for the full year?

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Saurabh Gupta: This is on an annualized basis.

Moderator: Thank you. Our next question is from the line of Ms. Bhoomika Nair from DAM Capital. Please go ahead ma'am.

Bhoomika Nair: So, you mentioned that our smartphone volumes has been about 8.13, now this is including Ismartu, or this is excluding Ismartu sir?

Atul Lall: This is Ismartu from 13th of August.

Saurabh Gupta: 45 days.

Atul Lall: 45, 47 days.

Bhoomika Nair: Okay. Sir how are we seeing all our existing customers of this kind of scaling up. If you can give some sense on what was the September exit monthly run rate, and we can understand then possibly how it can scale up over the next couple of months?

Atul Lall: So, Bhoomika including Ismartu, the present run rate is around 2.7, 2.8 million per month. This is without Samsung volumes. Now, I feel that post Diwali, the market is slightly slow, so there's going to be a dip in this volume, but it's going to recover and possibly become slightly better from Q4.

Bhoomika Nair: Okay. And by then we will also have the Compal and other customer that we are looking to add on?

Atul Lall: Compal is going to start by end November. Other customer, it's in works.

Bhoomika Nair: Okay. So, the other question was in regards to our HKC, JV for the backward integration. You mentioned that, it will start functioning in these first or 2nd Quarter of next year, if I remember correctly we were looking at some 25 million capacity. So, how should we look at utilization in the first year of operations and how are we looking to kind of scale that up at a subsequent level?

Atul Lall: So, Bhoomika, please see that we are already at around 3 million and with additional customer acquisitions and hopefully larger share of customers wallet, we should be at around 3.5 million or so every month. The HKC tie up is the phase one is 2 million units per month. That is for mobile phones, because the approvals and technical approvals it takes some time, the project has to get involved with the brand owner at the POC stage for every new model development. So, first we have to achieve 2 million, this is going to be captive. Then immediately we plan to double the capacity to 4 million. That's the plan and this is going to be for captive, and any

overflow is going to be supplied to the other factories of Android ecosystem. And then in this plant, we are immediately going to set up line for displays for notebooks, which is going to be a million a year to start with, which is again going to be for our captive and as the quantity keeps on increasing, this capacity would keep further enhanced. Then there is a possibility of looking at automotive displays in the same unit, it is capable of doing that. And if there is a fiscal

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correction on the import duty structure for panels for TV, the panels for TV would also be planned there. So, this is a roadmap.

Bhoomika Nair: Okay. And this would be over a three -to-four-year perspective, I am assuming that FY26 is the

first year for HKC, year two, year three will be the scale up for the mobiles, and then subsequently for IT, auto, TV, et cetera or do you think it could happen sooner?

Atul Lall: No, it's going to be in phases. First is mobile and IT products, then an expansion of mobile capacity, and then others.

Bhoomika Nair: Okay. So, the other thing was on the industrial PCB, just wanted to get an update out there, have we done any client additions, what is the scale up, when can we start seeing revenue from that segment to start trickling in and any customers where we are in very advanced stages?

Atul Lall: So, we are in advance stages of discussions with a large industrial electronics PCB customer. It is almost at a final stage. This complex approval system for the business to start commercial production will take some time, but we are almost there, it's in final stages.

Moderator: Thank you so much. The next question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: So, on the mobile phone segment we have seen a very, very sharp ramp up this quarter. So, just wanted to understand how much seasonality is involved. Like you mentioned that post Diwali there may be a bit of a slowdown. We have hit the run rate of 2.7 to 2.8 million phones per month. So, how slow does it typically fall to and then how sharp is the recovery in 4th Quarter?

Atul Lall: So, Aditya, I feel that in quarter three, that is the present running quarter this 2.8 million should be around 2.3, 2.4 million run rate until that 2.4, 2.5 and by Q4 it should go again back to 2.8 to 3.

Aditya Bhartia: Understood sir. Sir, secondly, on the components ecosystem, can you just give some more indications about how we are planning it, which all components can we get into, what kind of CAPEX are we ready to put in. Can any of the components be significantly CAPEX intensive, or are they going to be more or less similar to the HKC kind of an arrangement that we are having?

Atul Lall: So, Aditya, what we are working upon is to capture the value addition on the non-semiconductor side, and the target is, let's say with HKC, we are able to capture almost 8% to 9% of the bomb. What we are working upon is on camera modules, which is going to give us another 7% to 8% and we are working on the mechanicals, that is basically the enclosures, the precision components and the die cuts, which would give us another 8% to 9%. So, this is almost going to be 27% of the bomb that we are targeting to do in-house. And this is margin accretive business.

We are looking at the potential partners with some other partners we are in advance stages of discussions. As far as the CAPEX is concerned, it is going to be almost of a similar order of

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HKC in some components slightly up, in some components slightly lesser than what HKC project profile is.

Aditya Bhartia: Perfect, that's great sir. And just one last thing, on the TV business want to understand that, is this weakness seen broadly in the industry, or are we seeing something happening on the competition side?

Atul Lall: So, we see that it is largely an industry issue, LED television industry is not growing at all. In fact, it's declining. So, there might be some competitive pressure, but I am not seeing any of my business going elsewhere. Largely in last one year, I see largely the industry quantities to be under pressure.

Moderator: Thank you so much. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Company Limited. Please go ahead.

Keyur Pandya: Just one question. So, on the mobile side our execution has been phenomenal and the kind of run rate that you are talking about for FY 25 as well as 26 probably we would be pretty large probably 30% of the India's volume. So, even larger in terms of the out

sourced market, in

general, how the discussion is going around say or volumes beyond FY26 or even for FY26 and

thereafter once the PL I is over, so for that period, what has been the discussion with the client just to understand the thoughts from the client which is being converted to you. And any ramp up in components, will there be a gap between the ramp up of components and say, end of PLI , just thoughts on revenue, on mobile segment beyond FY26. Thank you .

Saurabh Gupta: So, let me just give you a top-down kind of a picture . Please appreciate the smartphones , the feature phones being sold in India would be manufactured in India. That's no brainer at all. Now the question is , that amongst the Indian contract manufacturers or among the contract manufacturers present in India, is Dixon the most cost efficient, and also do we have deepened strategic relationships to ensure that even beyond PLI, we continue to maintain our pole position . So, we feel confident , our Motorola relationship is extremely, extremely robust , we are the only contract manufacturer . And also, now Transsion that is Itel, Infinix and Tecno brand, which is almost 800 K to a million units per month, is our company. So, we are absolutely assured of, these are our accounts and then comes the other accounts. So, that's where Dixon has to work and we feel very confident that , with the kind of scale we have, we generate an adequate operating leverage. And this business is going to be sticky, in fact, we are going to have a larger share of the customers' wallet. Now, the direction that we are taking of backwardly integrating and operating in the non -semiconductor component space, that's margin accretive . The whole idea is to bring in more efficiency in the value chain, so that we are able to have this pole position, even beyond PLI, so that's the whole idea. And also we are fairly confident that in the non - semiconductor sector, the government is going to roll out PLI in next three to four months, of which Dixon is going to be beneficiary than the whole strategy.

Moderator: Thank you so much. The next question is from the line of Mayur Patel from 361 AMC . Please go ahead.

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Mayur Patel: Just one question on this IT hardware journey, which is starting now, and you are talking about scaling up to 4500 crores kind of annualized numbers and things like that. Shall we expect margin profile to be similar to your mobile business and the overall economics in terms of cash flows working capital, or it would be different ?

Atul Lall: No, it would be almost similar.

Mayur Patel: Okay. And there also you will eventually try to get into more components also, or it would be more

Atul Lall: Yes, absolutely. Because see the display plant that we are setting up is going to be producing the displays for notebooks, for laptops and also, we are committed to get into the mechanicals that the enclosures and casing and precision components and die cuts for laptops. Further, the adapters are going to be done in India, in this also the SSDs are going to be done in India. So, it may not be absolutely in -house, but they are going to be sourced in India, because there's a IB PLI 2.0 is linked to that. So, that's the roadmap. So, the strategy, which we are pursuing very aggressively in mobiles, of first creating a very large scale, have multiple customers, have operating leverage because of the scale, and then backwardly integrate, is the same game plan.

Mayur Patel: Sir just one last question. So, what's beyond IT hardware are there any other new businesses which you are thinking to , what you think in to seed as of now, anything on the drawing board?

Atul Lall: So, one large piece is going to be component, because that itself is going to be consuming a lot of bandwidth, and please be rest assured the strategy teams here keep h

unting for similar kind

of products. So, we are working on industrial electronics and automobile electronics. It's in the stages of intensity, but that's what we want to pursue.

Mayur Patel: Even PCB A was there, in our thought process but when are we in terms of starting anything in PCB A manufacture?

Atul Lall: So, PCB A, I shared with you, in response to Bhoomika's question that we are in advance stages of discussion with a large industrial electronics company, and we are confident that this business is going to mature on the industrial electronics PCBA front.

Moderator: Thank you very much. The next question is from the line of Pranay Roop Chatterjee from Burman Capital. Please go ahead.

Pranay Roop Chatterjee: Sir my first question is on IT hardware again, and this is more qualitative in nature. Firstly, how do you see the overall environment, number one in terms of demand growth in the IT hardware currently . And secondly, from a tendency to outsource, because if I recall when the PLI participant list came out, like those who were awarded the PLI there were more than 10 , 15 players including a couple of brands, the top brands, but Dixon has done a brilliant job in converting four of the top five, and probably the only player to announce any sort of partnership, and which can give meaningful numbers . So, how is the outsourcing environment, and do you

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see some of the other competitors becoming active . Do you see incrementally winning business being harder, easier, just sort of your thought process there ?

Atul Lall: So, this is just beginning of this journey of IT hardware manufacturing in India. So , it's going to happen , it is going to happen due to two factors, one, the capability and the competitive manufacturing cost of the Indian players. That's what the Indian players have to acquire and prove to the brands that they can deliver on cost and quality, new product introduction that is one. The second is also the government policy framework. It has to keep on supporting the IT hardware manufacturing that's extremely important. We can see the signs from the government that they are committed to support it. So, initially I feel that it is going to be slightly slow, but once it reaches a certain level of maturity, then it's going to be a very huge steep curve up. And once that happens, I am sure, just like it happens in any industry, then many other players are going to come in. That's the trajectory is going to happen, in this also because it's linked to IDPLI to contour, to guidelines, the deepening of manufacturing is going to be much faster. That's what I feel, as compared to any other electronic product, like mobile that's the way it's going to be.

Pranay Roop Chatterjee: Got it sir. Link to this , there was more than a year back, the government had sort of to give a push to fill it to this outsourcing. They had sort of started import restriction on laptops. And then later after probably the industry push back, they moved to a import licensing system where practically everyone got the license. And recently it was extended as well for a few months. So, do you see significant traction happening and further order wins , before this import system goes away , because at least my understanding is, unless there is a regulatory nudge, even the brands will not even consider outsourcing in a big way.

Atul Lall: So, you are absolutely right, but we can see the signs from the government that there is going to be a deep nudge. That's what we feel , it's just a matter of some time.

Moderator: Thank you so much. The next question is from the line of Shrinidhi Karlekar from HSBC . Please go ahead.

Shrinidhi Karlekar: So, we have seen a very impressive ramp up in the telecom business. So, will it be possible to share how large this business can become few years?

Atul Lall:

So, indeed, there has been a significant ramp up in this business. Last year we did around 700 odd crores , this year we are targeting almost 2400 crores, if not more. And the order book looks extremely healthy, and the order book next year can be of almost 6000 to 7000 crores. That's the way it looks.

Shrinidhi Karlekar: And sir second is on Ismartu . So, you have given a revenue contribution of about 1100 crore in this quarter. Would it be possible to share some light on, how about the profitability in this business compared to your overall EMS business?

Atul Lall: The profitability is going to be slightly better than our existing EMS business.

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Saurabh Gupta: So, it's slightly better than our existing mobile business, and also because it's slightly smaller balance sheet even the ROC profile as on in comparison with our mobile ROC it's slightly better .

Shrinidhi Karlekar: And last if I make , the 70 crore PLI incentive book, is it largely coming from (Inaudible) 43:27 and telecom related business, or some of it is also coming from Ismartu to consolidation?

Atul Lall: No, Ismartu consolidation there is no PLI we have taken as of now, but there is a contribution in PLI mainly from our other businesses. That is of course mobile Telecom, lighting and air conditioning components .

Saurabh Gupta: But a large part is coming from mobiles only.

Atul Lall: But not Ismartu.

Moderator: Thank you so much. The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare: My question was regarding the cost of material consumed, the percentage of revenue has gone up by approximately 2% can you share the rationale behind that , from 90 to 92 ?

Atul Lall: Can you appreciate there is a change of sales mix, and a very significant part of growth has come from mobile wherein the contributions are lower. That's the reason this change has happened of reduction in the gross margins.

Onkar Ghugardare: Okay. Next thing is on the , you just mentioned a couple of minutes back that you are looking at the other high margin business , which would be increasing your overall margins. So, currently you are at 3.6 by when we can see the inch up in margin, how much time it will take for that , that business will start contributing meaningfully to the overall business ?

Atul Lall: See, at present the large part of growth is coming from EMS business, which is going to be low margin business, and that's the way it's going to be for some time. So, because the contribution of the high margin businesses like refrigerators or washing machine, they are great businesses, but the contribution to the revenue is relatively lower, so the margin profile is going to be similar, but margin is going to improve once where completely operational in the component side, then

there is going to be a significant upside on the margin profile, which is going to take around 18 months.

Onkar Ghugardare: So, for the component ecosystem thing to fructify, how much time it will take approximately one and half to two years, and how much approx. CAPEX how much we are planning to spend?

Atul Lall: So, we are planning to spend almost 375 crores in our HKC plant and for other projects, the numbers are still to be worked out.

Saurabh Gupta: The other numbers for other backward integration are still getting evaluated, but for both mobile and IT hardware display, it will be somewhere around 370 odd crores.

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Onkar Ghugardare: And what kind of asset turn you are expecting in this component business?

Saurabh Gupta: So, asset turns would be somewhere around.

Atul Lall: Somewhere around 7 to 8.

Saurabh Gupta: 8 to 9 times, if the margin profile will be significantly higher.

Moderator: Thank you very much. Our next

question is from the line of Mr. Achal Lohade from Nuvama

Institutional Equities. Please go ahead.

Achal Lohade: Sir two questions, first on the CAPEX, total CAPEX if you could talk, call outs for FY25 and possibly for FY 26, a ballpark number if you could?

Saurabh Gupta: So, first six months we have done a CAPEX of 360 odd crores, and we should be broadly around 550, 580 odd crores by end of this financial year. Numbers for next year, one has to work out.

Atul Lall: There are many opportunities on the table.

Saurabh Gupta: There are many opportunities there too. So, we will be able to better give you the guidance once we are closer to next financial year, starting with next financial year.

Achal Lohade: Okay. And if you could help us with the PLI income for 2 Q FY24 like -to-like and also for 1 H 24 to 25?

Saurabh Gupta: So, both the quarters you meant?

Achal Lohade: Yes, 2Q 24 if you could help us.

Saurabh Gupta: Q2 is around 70 odd crores, our share.

Achal Lohade: 24 sir.

Atul Lall: Get those numbers and share it with him separately.

Saurabh Gupta: But it would be a lower number of around 14, 15 odd crores, but I have to double check, I don't have the numbers right now with me.

Achal Lohade: Sure. And first half, if you could first half FY 25 PLI income?

Saurabh Gupta: Around 50 odd crores.

Achal Lohade: 70 plus 50 you mean?

Saurabh Gupta: Yes, 70 plus 50 right.

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Moderator: Thank you very much. Our next question is from the line of Saumil Mehta from Kotak Mutual Funds. Please go ahead.

Saumil Mehta: So, most questions have been answered just two quick ones. Now going forward, obviously we will be getting into businesses where the asset turns are lower, but obviously the margins are going to be far higher. Now internally, do we have a threshold in mind that we will be only chasing business where the ROC is obviously will be about 25% or 30% or something internally what we are just a broader thought process on that?

Atul Lall: So, we are working towards an extremely good blend of businesses. These businesses that we are getting into, they might be having slightly lower asset turn, but on a blended business basis, it is going to generate a 30% in fact higher ROC on a continual basis. And it's going to be margin a creative and it's also going to be beyond numbers. It's going to create a mood for us in enhancing our stickiness with the customer. So, that's the key thing and also we are expecting a PLI for these components to be rolled out by the government and in our internal budgets till now we have not taken those PLI numbers in our budgeting. So, there's going to be even further enhancing and expanding our margins. So, please be reassured that the businesses of a non-semiconductor electronic component that we are pursuing is not going to have a very significant impact on ROC.

Saurabh Gupta: In fact, we feel that the ROC that you have seeing will be sustained it can be better, because there will always be a fine balance between your IT hardware business, which are high asset turns, and some of this backward integration projects which may have low asset turns but then again, those will have double digit kind of margins, so the ROC profile would not change much at a company level.

Saumil Mehta: Sure, that's very encouraging. And second and last question now, obviously mobile now a

dominant part of business, incrementally will also be having the IT hardware and hopefully even the component business, but most of these businesses now again this might be a repetitive question indirectly, but most of these businesses are PLI linked. At some point in time, maybe three years out or five years out. Do we believe that the businesses we get into, or incrementally we will have businesses which will be more self-sustaining despite having the PL

I, any thought process over there?

Atul Lall: Please appreciate, PLI is only an added advantage. The Indian electronics industry is going to completely service the Indian requirement, or the markets. So, there is no question about it. PLI is only an added liver, which was required by industry in the stages of infancy. And is it going to have an impact on Indian electronics manufacturing once the PLI tenure is over, I don't think so at all.

Moderator: Thank you so much. The next question is from the line of Madhav from Fidelity. Please go ahead.

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Madhav: Just wanted to understand the construct that for some of the backward integration projects, you said that ROC is a pretty healthy even without the PLI. I am just wondering, why do things projects need a PLI from the government at all in case we can generate pretty healthy ROC despite the incentives. Just curious, that's my first question.

Atul Lall: So, you see, the PLI the government first of all we will have to wait for the guidelines, but the first cut draft that we have seen, which has been shared with it by the government. The government's intent is that in these particular components, India should become a part of the global value chain. So, these components are required, not only to service the requirement of the devices being produced in India for domestic market, but also for global market. And when we are looking at global markets, there is some support required from the government for some time. That's what PLI is all about. So, PLI on component is not for enhancing competitiveness, for servicing domestic market. It is for servicing the global market, and it's across various components, non-semiconductor components. So, it's required because the Indian industry still needs some support in this category.

Madhav: Okay. So, you think that the ROCE, which you were mentioning, is more for meeting the domestic requirement right now, so the export could be different?

Atul Lall: That's right.

Madhav: Understood. And secondly, I just joined the call a little late sorry for that. Did you give a guidance to the mobile phone volumes for FY 25 at all?

Atul Lall: No, we don't give guidance.

Moderator: Thank you so much. The next question is from the line of Karan Sanwal from Niveshaay. Please go ahead.

Karan Sanwal: Have a few question regarding our lighting business, like if you could explain how is the competitive intensity and how do we expect the industry and our lighting segment to grow in particular, so if you could highlight something?

Atul Lall: So, we have grown as compared to last year, and also on quarter-on-quarter. It's profitable business for us, the ROCE in this business has improved. We have acquired new customers. We have expanded the product portfolio; we have expanded our product portfolio for down lighters and ceiling lights. We have done a lot of value engineering, we have backwardly integrated. We have got our own tooling's, we have set up our own extrusion plant, we have diversified into the next product category of professionals. So, industrial light, and also the flood lights, and now the street lights have been rolled out. So, that's the way. Now, as far as the industry situation is concerned, I still feel that on the consumer product side demand is under pressure. But as far as the pricing is concerned, lately I am finding the pricing has stabilized. There was a huge pressure on pricing, and price erosion was happening, which lately I am seeing there is some level of stability in pricing.

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Karan Sanwal: Okay. Did we experience a price decrease in the first half?

Atul Lall: Last quarter I have not seen a significant price erosion, they were almost same.

Karan Sanwal: Okay. And one last ques

tion, if you could also highlight the hearable and wearable segment that we have, who are our major clients and the industry competitiveness in that particular segment?

Atul Lall: Sorry, I am not able to get your question.

Saurabh Gupta: Sorry which segment are you talking about?

Karan Sanwal: The hearable and wearable segment that we include in our PMS side.

Saurabh Gupta: Yes, so it's only one customer which is Imagine Marketing which has a brand Boat, and we are dealing with them, so we only have one customer it's kept absolutely captive to them. And it's a decent margin.

Atul Lall: It's a descent profitable business with decent ROC.

Saurabh Gupta: It is a descent business, descent margin, very small balance sheet and Boat as a brand and is doing very well in the marketplace.

Moderator: Thank you so much. The next question is from the line of Nirransh Jain from BNP Paribas.

Please go ahead.

Nirransh Jain: Just some bookkeeping questions. Is it possible for you to share the revenue split of IT hardware as well for 2Q as well as volumes for the semi-automatic and fully automatic machines?

Atul Lall: So, IT hardware in this quarter was minuscule.

Saurabh Gupta: It's a very small number so that's why we didn't report, it is a very single digit kind of a number.

So, semi-automatic washing machine we sold around 5.5 lakh units, as against 5.2 same in Q2

FY23-24 and fully automatic was around 0.9 lakhs in quarter two.

Atul Lall: So, we were 50% fully automatic.

Nirransh Jain: Okay, perfect. And sir I lastly one question on the rising interest cost. So, I just wanted to better understand what is leading to this rise in the finance cost for this quarter. It has been rising in the first quarter as well. So, any thoughts on what exactly is leading to this?

Atul Lall: Yes, one we have funded the acquisition through the combination of our internal accruals and debt. So, that debt has led to higher finance cost the Ismartu acquisition that has been done, and also the CAPEX intensity has been high and third is of course the more properties we keep taking on rental premises. So, this includes also the NDS adjustment on the interest on lease obligation, because the entire rent gets split between the depreciation and the interest cost. But mainly on Dixon Technologies (India) Limited

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account of the acquisition and also, if you look at the balance sheet between March and September the debt levels have gone up, one on account of acquisition and also on account of the increased business.

Nirransh Jain: Got it. And sir what is the reason for the sharp jump in the tax expense as well, like related to the deferred tax that we have seen in this quarter?

Saurabh Gupta: Deferred tax is basically entry which has been made on this one-time gain, because the way this whole investment will be treated is that, it will be restated every quarter, this AIL Dixon investment and our fair value gain on this so it will be restated. The value of the gain will keep getting restated every quarter. So, the auditors have kind of created a deferred tax liability on that. And so, at some point of time, maybe in Q4 or Q1 of next financial year, this will further get listed. So, it will keep getting restated every quarter and that's the reason the deferred tax liability has been created.

Moderator: Thank you so much. The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare: This exceptional gain which you have received, how you plan to utilize that reinvesting in the business again?

Saurabh Gupta: No, sir as of now, it's a notional gain only because we have taken a stake in that company, but that stake is an unlisted company right now which they have filed the DRHP, and they should get listed in the next six to eight months, and then we will take a call on our investment. We

think they are growing as a company, profitable company. They will be investing more on designing backward integration and on. So, yes this is a monetizable opportunity for us. So, we will take a call as and when the opportunity comes for monetizing it. So, then it will become a cash inflow for us, but as of course it's an accounting entry for right now.

Onkar Ghugardare: Okay. Another thing is that I guess for the next two years, most of the growth could be coming from mobile business and the IT hardware business and after that, we can see contribution coming from the high margin business, which you just mentioned, is that understanding correct?

Saurabh Gupta: Absolutely. So, mobile will be the largest trigger for growth, in a couple of years IT hardware should follow mobiles. It will be the second largest, and then the focus on backward integration, which we are pursuing. More opportunities can come in. But as of now these are the things that are the growth drivers for us.

Onkar Ghugardare: Okay. In terms of qualitative analysis, how big is the opportunity in the high margin business you talked about, is it as big as IT hardware or not that big, it can eventually become. That's what I am asking?

Atul Lall: Will you please appreciate that we are talking about in-house production of around 3, 3.5 million units. And if I talk a \$100 phone, we are talking about doing in-house around \$20 to \$25. So, \$25 into 3 million phones, we are talking about \$75 million a month. That's the kind of Dixon Technologies (India) Limited

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opportunity we are talking about. Finally, that's what the canvas is. So, we are talking about almost \$800 to \$900 million opportunity in this component business which is a very large opportunity because it's highly marginal.

Onkar Ghugardare: It's too early to ask this question, but still on a blended basis how much that double digit margin can affect the overall profitability of Dixon?

Atul Lall: It's too early .

Saurabh Gupta: It's very difficult to say , but please be assured, the margins should go up on account of operating leverage benefits, on account of backward integration. But still, please understand and appreciate that a large part of our growth will come for mobiles, and IT hardware, which is relatively a lower margin business. So, there will be a fine balance , but overall, yes, margin should keep expanding , by how much it's very difficult to quantify .

Onkar Ghugardare: Just to conclude, whatever margin expansion would be seen that would be seen after two years, that's what we can say, or it can gradually keep on moving upwards ?

Saurabh Gupta: It should start reflecting by senses in the next 15 , 18 months it should start reflecting.

Onkar Ghugardare: Start expecting margins to move up gradually ?

Saurabh Gupta: Yes, it should slightly move up in the next 15 , 18 months . Once the backward integration piece is stabilized, and we have enough quantities in that, then it should start reflecting in that .

Onkar Ghugardare: And till that time , how much you are expecting around 3.6 % , 3.8% ?

Saurabh Gupta: That should be sub 4% , 3.6%, 3.8%, 3.9% somewhere around that range broadly.

Moderator: Thank you very much. We will take that as our last question. I would now like to hand the conference over to Ms . Bhoomika Nair for closing comments.

Bhoomika Nair: Thank you very much sir for giving us the opportunity to host the call and answering all the queries. Thank you very much and all the participants, and wish you all the very best, sir. Thank you.

Atul Lall: Thank you Bhoomika, thank you everyone, really appreciated.

Saurabh Gupta: Thank you Bhoomika, thank you everybody.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jan 2025

Dixon Technologies (India) Limited

24th January, 2025

To
Secretary
Listing Department
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 051

Scrip Code – 540699
ISIN: INE935N01020 Scrip Code - DIXON
ISIN: INE935N01020

Dear Sir/Madam,

Sub: Transcript of the Q3 FY 25 Earnings Conference Call held on 20th January, 2025

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q3 FY 25 Earnings Conference Call of the Company held on Monday, 20th January, 2025 .

The said transcript has also been uploaded by the Company on its website and the same is available at <https://www.dixoninfo.com/earning-call-transcript.php> .

We request you to kindly take this on your record and oblige.

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar
Chief Legal Counsel & Group Company Secretary

Encl: As above

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CIN: L32101UP1993PLC066581

"Dixon Technologies (India) Limited
Q3 FY '25 Earnings Conference Call "
January 20, 2025

MANAGEMENT : MR. ATUL LALL – MANAGING DIRECTOR AND VICE
CHAIRMAN – DIXON TECHNOLOGIES (INDIA) LIMITED
MR. SAURABH GUPTA – CHIEF FINANCIAL OFFICER –
DIXON TECHNOLOGIES (INDIA) LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Dixon Technologies Q3 FY '25 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited.

Thank you, and over to you, ma'am.

Bhoomika Nair: Yes. Good evening, everyone, and a warm welcome to the Q3 FY '25 earnings call of Dixon Technologies Limited. We have the management today being represented by Mr. Atul Lall, Managing Director and Vice Chairman; and Mr. Saurabh Gupta, Chief Financial Officer. At this point, I'll hand over the floor to Mr. Lall for his initial remarks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.

Atul Lall: Thanks very much, Bhoomika. Good evening, ladies and gentlemen. This is Atul Lall, and we have on the call today our CFO, Saurabh Gupta.

Saurabh Gupta: Good evening, everybody.

Atul Lall: Thank you very much for joining the earnings call for the quarter ended December '24. Despite a dynamic and challenging macroeconomic environment, the company has delivered another quarter of robust performance. Our diversified revenue streams have insulated us from segmental volatility. Consolidated revenues for the quarter ended December 31, 2024, was INR10,461 crores as against INR4,821 crores in the same period last year, a growth of 117%. Consolidated EBITDA for the quarter was INR398 crores against INR187 crores in the same period last year, growth of 113%. Consolidated PAT for the quarter was INR217 crores against INR97 crores in the same period last year, growth of 124%. Besides leveraging industry tailwinds, we're scaling up across segments by taking higher share of wallet from our existing

customers, our new customer additions and superior execution by managing the operations efficiently.

Foraying into components will further increase the value addition with improvements in margins. With operational excellence, strong capital allocation discipline, higher asset turns and effective working capital management, we're able to expand our ROCE and ROE to 42.6% and 33.3%, respectively, as on end December '24, reflecting consistent value creation for the shareholders. Our asset turnover ratio remains among the best in the industry, reflecting efficient utilization of resources to drive revenue growth.

Despite ongoing investments in capacity expansions, we have managed to keep our gross debt-to-equity ratio at a comfortable level of 0.15, underscoring our commitment to maintaining a low leverage business model. And we continue to maintain a healthy liquidity position with cash and cash equivalent balance of INR222 crores, reflecting our disciplined cash flow management, our focus on optimizing working capital with a cash conversion cycle of negative 3 days has ensured sufficient liquidity to support the growth initiatives.

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We want to invest in our capacities, backward integration and diverse into new product categories to support long-term growth opportunities with huge focus on quality, manufacturing

excellence and consistently meeting the needs of our principal customers and strengthen our position as a key player in the industry. We are excited about the opportunities ahead and confident in our ability to continue leading as India's premier electronics manufacturing services company and consistently achieve revenue and profitability growth. Now I'll share with you the business performance and insights of each of the segments. Mobile phones, revenue for the quarter from mobile was INR8,089 crores, which is a growth of 176% year-on-year. We have strengthened our partnership with leading global smartphone brands, reinforcing our position as a trusted mobile manufacturing partner. We have added one more new facility in Noida in addition to the 6 state-of-the-art manufacturing facilities now capable of producing over 60 million smartphones annually.

Ismartu, subsidiary of Dixon Technologies, has acquired land building plant and machinery for INR133 crores to support scaling up of Nothing smartphone brands and Transsion brands like Infinix, Tecno and itel including the 3 million export volumes that have just been given to us to African markets next financial year. We expect to export around 0.5 million to 0.6 million units in February, March this fiscal itself.

For Motorola, we've been consistently clocking a volume of more than 1 million per month. And order book looks healthy in coming months, including some decent export orders. We have been witnessing a consistent increase in volumes of Xiaomi and expect this momentum to continue in the coming quarters. And we also have a decent order book for Oppo. We have successfully dispatched the first order production for a large global brand through Compal in December '24, and the order book for coming months looks very promising.

We have entered into a binding term sheet with Vivo for proposed joint venture with Dixon holding 51% of the shareholding for manufacture of smartphones. Vivo India shall transfer its manufacturing assets through JV. The transaction is subject to the execution of definitive agreements, completion of customary conditions precedent and receipt of applicable regulatory approvals under the foreign exchange control laws of India.

We have finalized location of manufacturing of displays in partnership with HKC. We expect to start the manufacturing by Q1 end or Q2 beginning of the next financial year. We are also looking to further deepen the level of manufacturing and look to get into the precision components, mechanicals and camera modules and also battery packs in the component sector. A very senior resource and a team under him has already been recruited to execute a foray into the component sector.

For strengthening our backward integration, we are in a cative discussion with a global technology partner. We have finalized the location for manufacturing of display modules in partnership with HKC. We expect to start the manufacturing by Q1 end or Q2 beginning of the next financial year.

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We are also looking to further deepen the level of manufacturing and looking into partnerships for precision components, mechanicals, camera modules, and also battery packs. For this, a senior resource has been hired and a team is being built to execute these projects as we are keenly awaiting the rollout of component PLI by the government of India shortly.

For strengthening our backward integration capabilities and also servicing the large

requirement in the industry and also creating a huge moat for Dixon, we're in active discussion with global technology partner for setting up a world-class display fab, which is critical components. It's a fab in mobiles, IT hardware's and consumer electronics segment. Currently, India relies heavily on import for displays, and our foray in to this segment will aim to localize product

ion and bring greater control over supply chain and cost efficiencies. This will significantly enhance our value addition. This is a complex project. We are in discussion with our partners. We are awaiting the rollout of policy guidelines under ISM 2.0 by the Government of India to take this project forward. So, this is a big, big step forward for us at Dixon.

Consumer Electronics, that is LED TVs and refrigerators, revenue for the quarter was INR633 crores with an operating profit and margin of INR22 crores and 3.5%, respectively. Out of this, the revenue for refrigerator business was INR166 crores. LED TV market has faced slower growth owing to subdued consumer demand. And we have onboarded a few multinational brands in our TV ODM solutions like Hisense and Acerpure on Google TV Linux platform. We're working closely with Amazon Fire TV solutions and LG for webOS, which is expected to be rolled out by Q1 of next fiscal. We have also got some export inquiries. In addition to the interactive flat panel display, we have now started manufacturing digital signages solutions from 65 to 100 inches, in which we have a decent order book. Further, we plan to invest in CKD and planning to set up a robotic panel assembly line for these products.

We are also in discussion for partnership for manufacturing industrial, institution and automotive displays. Refrigerators, within first year of operation, we have been able to capture around 8% of the Indian market in direct cooling categories, owing to the trust shown in us by our brands over execution and quality. We have also started exports to Nepal and actively exploring Sri Lanka and UAE markets.

Order books for Q4 financial year '25 and '25-'26 looks very healthy. We are also expanding our capacity from 1.2 million per annum presently to 1.5 million per annum. We have backwardly integrated many production processes. And also, we are going to be adding and expanding our product portfolio by including deep freezers, VCRs, wine chillers and -- along with 2-door frost-free and side-by-side in this particular category.

Home appliances, that's washing machines, revenue for the quarter was INR315 crores, a growth of 9% year-on-year. Operating profit was INR32 crores, a growth of 7% year-on-year. We are now regularly plotting monthly volume of 25,000 in FATL, which is 100% growth year-on-year, and more customer additions are in pipeline.

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We are now exploring addition of new product categories like robotic vacuum cleaners, water purifiers, chimneys and other large kitchen appliances in this particular business. In addition, we have initiated many new designs in both the categories, which is expected to be launched in Q4 of FY '25.

Lighting revenue for the quarter was INR201 crores with an operating profit of INR14 crores. In the outdoor lighting range, we have received orders for flood lights and street lights from large brands. Backward integration of batten is expected to operationalize in Q4, financial year '25, which will bring in more cost efficiency, leading to improved margins.

Telecom and Networking products, revenue in this segment for the quarter was INR977 crores, which is a growth of 48% quarter-on-quarter. And we are looking for more than 4x growth in revenues as compared to last fiscal. Our new Noida facility commenced production in November '24 to meet the increased order book for our anchor customer.

We have also ramped up 5G FWA order -- 5G FWA outdoor and indoor for domestic market and plan to double the capacity for the same to meet the customer requirements along with access points, GPON ONTs and Internet set-top boxes. We have successfully completed the NP of IPTV set-top box and mass production has started.

In line with our strategy for backward integration, we have localized certain components like mechanicals,

adapters, and working on localizing more components to drive cost efficiency and margins. With a healthy order book and a strong portfolio, we expect this vertical to be a key driver of company's growth in coming years.

Laptops, tablets and IT hardware products. Our dedicated IT hardware product manufacturing unit in Chennai is almost ready for production and trials are going to be starting in February '25 and mass production in Q1 of '25-'26 for HP and ASUS. Mass production for Lenovo has already started along with Acer in our Noida unit.

We are in final discussions of entering into a JV with a large global ODM and largest supplier to the global brand to expand our portfolio in high categories of notebook, servers and other IT

products. Wearables and wearables revenue for this segment was INR129 crores for the quarter with healthy operating margin and good ROCE.

We have a decent order book in this business. Rexam Dixon, our AC component JV with Rexam, Japan, we achieved revenue of INR103 crores in this quarter. We are exploring business case for setting up a manufacturing facility in addition to Noida and Sri City, Andhra Pradesh, for meeting our anchor customer requirements.

I would like to stop here. I and Saurabh are there to address your questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sanidhya from Unicorn Assets.

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Sanidhya : So, my first question would be on the smartphone side. So, we did see some ramp up in Q2, but I think Q2 and Q3 volumes are same. Could you give highlights?

Atul Lall: Sorry, we didn't get you. You want to know the volumes for Q3 for the smartphone?

Sanidhya : Yes, sir. Yes. Yes, for smartphone feature and if you can segregate between Ismartu, Samsung and non-Samsung.

Saurabh Gupta: Yes. So, I can tell you the total smartphone volumes for Q3 and 9 months excluding Samsung. So, in Q3, we did a volume of almost 8.3 million. In the first 9 months, we have done a volume of almost 21-odd million, 20.5 million. And Samsung is over and above this volume.

Sanidhya : Okay. This 8.3 million is including Ismartu?

Atul Lall: 8.3 million is including Ismartu, yes.

Sanidhya : Okay. And feature phones?

Saurabh Gupta: Feature phones, we did volumes of 9.3 million in quarter. And overall, in 9 months, we have done a volume of 25 million.

Sanidhya : Great. And some insights I wanted on the camera modules. We were highlighting that we are getting into camera modules. So, can you share the market size and any -- currently what -- who are the players -- who are the large players in the segment? And what are we aiming here?

Saurabh Gupta: No, we never mentioned camera modules in our opening remarks.

Sanidhya : No, not in this, maybe previous quarters. So, are we getting into camera modules anytime soon?

Atul Lall: So, we are pursuing camera modules as a part of a component strategy. We are in discussions with the potential partners who are large suppliers to our existing customers. So that's a part of our component strategy. And camera module in all probability is going to be also a component which will be getting the PLI under new component policy with Government of India. So that's the path being pursued, but it's still in works.

Moderator: The next question is from the line of Vipraw Srivastava from PhillipCapital.

Vipraw Srivastava: Right. So firstly, on the Vivo tie-up with Dixon, so -- I mean, is there any PLI sharing happening with Dixon -- with Vivo for this tie-up?

Atul Lall: So that's something commercially confidential. It's not really possible to share those contours as much.

Vipraw Srivastava: Sure, sir. Sure, sir. No issues, sir. Sir, secondly -- I mean, with the mobile phone PLI ending in FY '26, which is the last year, and recent

ly, Tata Electronics also came up with announcement regarding phone manufacturing. We have other players like BYD, ZETWERK 'S, all wanting Dixon Technologies (India) Limited
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to enter phone manufacturing. So how Dixon is seeing the competition shaping up post the mobile phone PLI ending?

Atul Lall: So, please appreciate that our business has grown from 5-odd million to almost 28 million to 30 million in the current fiscal. The order book that we have, and in the Android ecosystem, we have all the brands as a customer, top 8 brands as a customer. And also, the order book we have, we feel that it should be enhancing to almost 40 million to 45 million and then going up to 60 million. That's almost 65% to 70% of the outsourcing opportunity in India.

Further, we are investing huge resources in automation, robotics and taking the efficiency level to the best in the world. Further, we are investing heavily into the component space, which, coupled with the PLI advantages is going to put us ahead we feel of the competition, so that's where we stand.

Vipraw Srivastava: Sure, sir. Sure. Sure, sir. Sir, last question, on the Longcheer deal with Oppo, Redmi and all these guys. So Oppo currently has a 60 million manufacturing facility in India, which is owned by them. So, I mean -- and Oppo India annually sells around 20 million, 25 million phones. So, I mean what makes -- what's in it for Oppo to share volumes with Dixon for their mobile phone manufacturing?

Atul Lall: So here, what we are offering to Oppo is a Longcheer ODM design solutions, which are always going to be an outsourced mode.

Vipraw Srivastava: Okay. Right. Right. So -- I mean what kind of volumes we expect to get? I mean, any targets you have to get from Oppo? Because it is one of the largest players in mobile phones.

Atul Lall: So, we feel that in the next fiscal, we should be somewhere around 8 to 10 -- 7 million to 8 million, something like that.

Vipraw Srivastava: Okay. Fair enough, sir. And if I'm allowed to ask last question. On the display fab, which Atul Lall Ji told in the opening remarks, so -- I mean, obviously, it's a very capital-intensive industry, and you already have HKC for display modules, right? HKC also owns display fabs in China. So, isn't it a likely possibility that you might actually tie up with HKC for these fabs or you will get a different partner?

Atul Lall: So, we are going to be pursuing with our existing partner, and it's a large project for any company and so is the case for us. So, we will be partnering with HKC and -- yes.

Moderator: The next question is from the line of Aditya Bhartia from Investec.

Aditya Bhartia: Sir, my first question is on the KHY acquisition. In respect of that acquisition, you spoke about some export order. Could you just kind of explain how large is the opportunity? What are we looking for? Is it just capacity expansion that we were aiming in Ismartu facility, which is why we kind of acquired these assets?

Atul Lall: So, Aditya, in Ismartu, we're going to be starting exports of smartphones. We are targeting to export almost 3 million phones. It's a beginning, which is going to generate a revenue for us of
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almost INR1,500 crores to INR1,800 crores. The exports start from next month onwards. So, we need to add capacity to existing Ismartu capacity. Also, please appreciate that there's a migration from 4G to 5G phones, wherein the component count and the product configuration requires additional capacity.

Then in Ismartu, we've also acquired a new customer, Nothing, which is the high-end phones, IP68 transparent enclosure, for which also we require this capacity. So that's the reason we are buying this asset. And it is coming to us at a very reasonable cost. The actual value of the asset is much higher. And there is more

than adequate cash lying in the company and Ismartu to make this purchase. So that's what this transaction is all about.

Aditya Bhartia: Understood, sir. Sir, my second question is on the fab manufacturing facility. Just a couple of quarters back we had started -- or we had started speaking about display modules and now we are speaking about complete fab. What has really changed? What kind of capex may be required for this facility? And do we get any kind of soft indications from customers as to what their offtake could be?

Atul Lall: So, I think the electronics manufacturing industry in India has reached a level of maturity as far as the device and product creation is concerned -- manufacturing is concerned. And now for that to sustain and grow, definitely a component ecosystem is required. And we had shared with the stakeholders that our first foray is into the non-semiconductor side, wherein we've already launched the display module, which is going to become operational in the next 2 to 3 quarters and also mechanicals and other modules.

Now we feel, and we've had active discussions with our potential partners, that India industry and Dixon should be looking at a fab for displays to actually create the moat for the industry. But everything has to align with the business case and financials. Also, we are awaiting the government guidelines for the ISM 2.0 for this fab. The earlier ISM 2.0 guidelines were 50% capital subsidy from the center on a part and parcel basis.

20% from the pertinent state governments on a part and parcel basis. The number crunching, please be rest assured, I don't want to share more details as of now. It's slightly premature. It's an extremely attractive project with hugely margin accretive and a very fast payback period. And we are seeing that this will be globally competitive.

A large part of it, it adds value to us through captive consumptions in mobiles, in televisions and in our notebooks business. And of course, it's going to be offered to the other players in the market. And also, it's going to be globally competitive. So that's the reason at a conceptual level, we are deeply diving into it and we are building a team to take it to the next level.

Aditya Bhartia: Sure, sir. That's very encouraging to hear. Any rough details that you can share about the kind of capex that would be required and the kind of bill of materials that we'll be able to service through it?

Atul Lall: So, the capex is to the tune of around \$3 billion. And display in television is almost 60%. And mobile, it's almost 12% to 15%. In a notebook, it's again around 12% to 15%, so it varies, but
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it's a high EBITDA margin business globally and for us also. Now obviously, it's dependent on the government scheme rollout. So, we are awaiting that, and we are expecting ISM 2.0 to be rolled out, but we are internally within Dixon putting in a lot of thought -- a lot of working in pushing this product.

Aditya Bhartia: That's great, sir. And just one last bit on this aspect. Is there an obsolescence risk also in a fab facility? Pardon my ignorance, looking at this part of the equation for the first time?

Atul Lall: Sorry, just come again, Aditya.

Saurabh Gupta: No, Aditya, I think for all the future technologies like the micro-LED, the OLED...

Atul Lall: The OLED, the micro-LED, it will be ensured that the project sees any technological evolution is going to be built into this infrastructure.

Aditya Bhartia: That's great to hear, sir. Sir, my last question on our foray into PCBA business, which is what we had started thinking of as an isolated vertical as well besides the backward integration that we do for our existing verticals, any progress that we have seen over there in vertical -- in segments like autos and industrials?

Atul Lall: So, our teams are in discussions. We

are in advanced stages of discussions with a large industrial buyer, and that's the first focus that we have. It's going to take some time, but I'm fairly confident that we are going to have a breakthrough there for our Chennai campus.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav: I just wanted to check that when -- and I think you have mentioned that we can be 60%, 65% of the outsourced part of the manufacturing of mobile smartphones in India. I'm just thinking from a supply diversification risk like 1 or 2 years out, wouldn't brands at some point think that they need to diversify their risk? Because even in other sectors, like if you look at pharmaceuticals or chemicals, any other sector in India globally.

Generally, they would want to keep 2 or 3 vendors at least to kind of hedge the risk. So, is that a risk that you think for our volumes 2, 3 years out that they might want to diversify and Tata, etcetera, probably are, credible vendors as well in the market? That's my first question?

Atul Lall: So, your question is very pertinent, and that's the way it should be. Now it's for us in Dixon to be most efficient. It's for us to be in Dixon to be absolutely customer obsessed and create value for him. I know there are going to be challenges, but that's what we have to build within Dixon to be most subservient, obsessed with customer, deliver to him what he expects, nimble with new product introductions.

I think if we are able to achieve what we are aspiring to, then I think we'll be able to cover a lot of ground and protect our turf. But the first thing is to have a large share of a market. Yes.

Madhav: Okay. And the second question I had was on the display part. Did you say \$3 billion or INR25,000 crores capex? Or did I mishear that?

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Saurabh Gupta: Yes, yes. So, you are moderately audit right, but that -- please understand, a large part of that capex, as Mr. Lall mentioned, will also be subsidized by the government, so we are awaiting the policy guidelines under the ISM 2.0, which will come out, guidelines for the display fab.

So, a large part of that capex's or -- should be subsidized by the government. So, our share of capex contribution should be lower. But, yes, the overall capex requirement for a display fab is around \$3 billion.

Moderator: The next question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, first question on this display capex, over what period do you think this will be spent? And even if you assume, say, a 30% share of ours, the investment do you think can be funded through internal accruals? Or do you think there can be other funding requirements you may look to sort of close this?

Atul Lall: The gestation period for setting up this project is around 3 years, right? We are awaiting the government guidelines under ISM 2.0 to take this going forward because they are the essential piece for execution of this project. And this will entail requirement of internal accruals or funding by internal accruals and also support by the stakeholders.

Siddhartha Bera: Got it. And second, sir, on the mobile side now, if you can just highlight how much Ismartu volumes we did in the quarter? And as we go in the next few years, how much do you think the volume ramp-up can be and same for some of the other bigger customers like Xiaomi, where are we seeing in the next few years our number reach up to?

Saurabh Gupta: Yes. Ismartu, I don't have the number right now with me, but broadly out of this 8.3 million number, I think so Ismartu volume should be somewhere around 1.7 million, 1.8 million. And yes, so basically -- so that we have done a volume of almost 20.5 million. And the last quarter also, we hope the order book that we have across Motorola, Xiaomi, Oppo and Ismartu and also the large global brand through

gh Compal, I think so we should be doing another 9 million to 10 million kind of volumes.

Atul Lall: So, we should be around 30 -odd million at the end...

Saurabh Gupta: 30-odd million by end of this financial year -- for this financial year, yes.

Siddhartha Bera: Got it. And sir, for the next year, what are the numbers we are thinking about right now, any internal estimates, and given that Vivo is also sort of ramping up? So, some color there if you can share?

Atul Lall: So, it's going to take some time to arrive at Vivo numbers because please appreciate Vivo transaction requires regulatory approvals from the government. It requires approval under Press Note 3, which takes some time. So, it's difficult to predict how those numbers are going to come into the company. But, otherwise, apart from Vivo, we'll have a significant growth, the kind of order book that we can see.

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Siddhartha Bera: Understood, sir. Lastly, sir, on the capex side, if you can share what are the numbers for this year? And given the recent acquisitions we have closed, what is -- any initial guess of what is the ballpark number for next year we are looking at?

Saurabh Gupta: Yes. So, we have done a capex of almost INR620-odd crores in the first 9 months, and we should hopefully close at somewhere around INR800-odd crores plus INR50 crores to INR60 crores is the monthly going run rate right now. And, yes, the next year budgets are being worked out, so I think so I'll have a better visibility in the next couple of months. But broadly, you can assume a similar number of anywhere between INR600 crores to INR700-odd crores. So that should be the run rate. But yes, we will have a better visibility in the coming months on the budgeted numbers for next year.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: I have 2 questions. First, going back to the display fab. Globally, what kind of ROCs these entities generate or these facilities generate? And does it make sense for us to go for it if there is no government subsidy?

Atul Lall: So, government subsidy and support is essential for taking this going forward.

Indrajit Agarwal: And what could be the...

Atul Lall: Sorry?

Indrajit Agarwal: And what will be the ROCEs broadly without -- I mean in global examples if you have done any study on that?

Atul Lall: So, if the government support is in line with what was there in the first ISM, then the ROC is extremely high. It's extremely margin accretive, and the payback is very, very short, but we are awaiting the government guidelines. And that's the way the project is being conceptualized.

Indrajit Agarwal: Sure. Secondly, sir, you mentioned that mass manufacturing for a couple of brands and laptops has already started. Have we recognized any revenue from laptops in this quarter? Or will it all come in 4Q?

Atul Lall: No, we have started recognizing, but it's a very small number as of now. We have started supplying to Lenovo, and we have already been supplying to Acer, but these are trial productions. The commercial productions in a small way have started. The volume buildup will take some time. The actual commercial production is going to start, the trials in February and the commercial production in April for the other larger global brands, that's HP and Asus.

Indrajit Agarwal: Sure. And does the delay in import restrictions change your timelines of the revenue that you had forecasted on a 5-year horizon? Or does it still remain intact?

Atul Lall: So, we are still maintaining that. And as we shared in the opening remarks, we are very close to signing a JV agreement with one of the largest ODM players globally in the IT product

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range. And that will give a very significant flip to our

revenues in this particular business and also expand our product portfolio.

Indrajit Agarwal: Sure. My last question is on TVs. What kind of volumes or topline we did in this quarter? And was it significantly down Y-o-Y broadly?

Saurabh Gupta: Yes. So, Indrajit, TV volumes are definitely down. So, we did a volume of 3.8 lakhs in this quarter. And in the 9 months, we have done a volume of 19.4 lakhs. So there is a degrowth both in 9 months and quarter 3. So, yes, if you exclude -- in our presentation, we have shown that the refrigerator revenues have contributed INR166 crores out of the INR650 crores. So broadly, if you remove that, the TV revenues for quarter 3 was around INR470 -odd crores.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: A couple of them. Sir, first one is on PLI incentive. There was an article in newspaper a few -- I think a couple of weeks' back, which spoke about some difficulty in receiving these PLI

incentives. So could you just talk about, a, since inception, how much is the total incentive that you have booked versus how much is the incentive that you have received thus far? That's question number one.

Atul Lall: So the detailed numbers, our team -- Saurabh can share with you separately, I request. However, our incentive in mobile up to December '24 has been cleared. Our incentive for telecom for last fiscal has been cleared. For lighting and AC components, we are expecting to receive our PLI for the last fiscal in the current quarter. That's what the status is. For January to March quarter of mobile is under process. That's what the status is. The exact numbers, Saurabh, will be able to share with you.

Pulkit Patni: So approximately, what would be the receivable on PLIs?

Atul Lall: So PLI, our portion of receivables, which we have booked as an income...

Saurabh Gupta: Yes, basically to the extent of almost INR200 -odd crores if we include all the 4 PLIs excluding...

Pulkit Patni: This is like just for the fiscal or this is cumulatively so far?

Saurabh Gupta: So this is basically our share of income which has been booked in the P&L.

Pulkit Patni: Okay. And receivable out of this?

Saurabh Gupta: Receivable basically would be this -- receivable, of course, would be a slightly bigger number because there's always a kind of a sharing also. So receivable number will be slightly bigger, but -- yes, so that number will be almost INR1,000 -odd crores.

Pulkit Patni: My second question is on other expenses. If I look at sequentially, our revenue is slightly down. Let's assume it's even flattish. But we've seen other expenses come down by almost about INR60 -odd crores. Just wanted to know were other expenses higher last quarter?

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Is it under absorption last quarter? Because it's fallen from about INR298 crores to about INR227 crores in this quarter.

Saurabh Gupta: No, no. Other expenses is around INR155 -odd crores. I don't know where you're looking at to -- last quarter you mean to say?

Pulkit Patni: Yes. I'm talking about sequentially. Just sequentially, our revenue I'm saying it's fallen a little bit, but it's almost flattish, but other expenses sequentially are down quite meaningfully,

Saurabh. So I just wanted to understand like is it a quarterly phenomenon? Is it just that last quarter there were start-up costs?

Saurabh Gupta: No, no. It's basically a quarterly phenomenon. A lot of our operator wages cost gets booked under this set. So definitely, if you look at quarter 2, we had a revenue of INR11,500 crores.

This year -- this time, it's around INR10,400 -odd crores. So accordingly, the wages cost, the power cost and so would be the case of other overheads also would be slightly lower. And also, there's some exchange income, which is also booked.

So last quarter, we had some exchange

loss. And this quarter, we have an exchange income. So that is also kind of positively reflecting, which is having an impact on the expenses as well. So part of the exchange income is booked under other income. And some part of the exchange income is booked under other expenses. It's netting all the other expenses, basically.

Moderator: The next question is from the line of Renu Pugalia from IIFL Securities.

Renu Pugalia: Firstly, I would like to congratulate for the way the business has ramped up, pretty impressive.

If you see last 5 years, revenues have -- probably be almost 10x. Profit would be almost 6x to 7x. So my bigger question to you is, if you look at the diversification that you've announced and the existing growth in mobile EMS space, in the next 3 to 5 years, both for core portfolio as well as new diversification, what are the growth contours that we're looking in terms of size and scale of the business?

Obviously, you have highlighted, you would also look for probable equity funding for growth capital. And how are you investing in people and talent for these new diversification initiatives?

Atul Lall: So I feel that in India, in electronics manufacturing domain, we are sitting on a very, very large opportunity. And the first phase because of the prudent government guidelines, and also our team delivering fairly well of devices manufacturing and build large scale has already had happened.

The second phase is to make this much more efficient, much more cost-effective, have the factories which are world-class, even more frugal, more automated and robotized. So that, the government intervention, which has been through PLI, we are able to stand on our own feet and be most competitive. That's what partially has been achieved and in the future is going to be achieved.

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Also along with this, the whole endeavor was to build a very large scale to generate an operating leverage because electronic manufacturing service industry is a low-margin industry and it requires a large operating leverage. Then we have always played extremely conservative in our capital allocation and management of our working capital and managing the balance sheet.

Now comes a large opportunity, which has to be again aligned with the thinking in the government that the future is going to be the component ecosystem. And that's what we are foraying into. We have already got into the display modules, and we are working on the other parts like mechanicals, the other parts.

We also feel that now is the time, the kind of scale that we are having and also India is having, that display fab is the future. So with the multiple businesses, large-scale foraying into components, foraying into a possibility of a large investment, again, in components through what I just shared, in certain products to have the design capability and India -- and Dixon to become globally competitive, that's the future. So I feel the numbers are going to be very, very large. And your question was extremely relevant that that requires a talent pool. So we are working on...

Renu Pugalía: Slightly different talent pool compared to what we have inducted over the last 5 years.

Atul Lall: That's right. So it has to be of a different order. For our component foray, we've already brought in a very senior resource from the industry. We've also recruited some expat talent.

We're going to be building on much more expat talent. So that's the way it's going to be. So I think India and Dixon sits on a large opportunity.

What do numbers are going to look like? Yes, it's -- we have our internal numbers, but I think it will be slightly premature to share it with the stakeholders at this stage. But we are working on a larger picture.

Renu Pugalía: Got it. And just a small bookkeeping for Saurabh. If you look at ref portfolio, which is a part

of consumer electronics, while revenue numbers are shared, how does the profitability of the ref business look as in today? And now when do we expect it to turn profitable? Because on a blended basis, margins of ref should have been much better than the television portfolio. So just trying to compare the margin mix and its impact of the business turning profitable.

Saurabh Gupta: So, Renu, the margins are profitable -- we are already profitable in the first 6 months -- or 9 months, sorry. We have done a volume of almost 0.6 million on the total capacity of 1.2 million. And because of the order book, we are further expanding our capacity. It's 100% ODM business, where we have 100-odd models across 190 to 235 liters. We're getting into new categories also. So we did a turnover in 9 months of almost INR500-odd crores. And it delivers to us a margin of around anywhere between 9% to 9.5%-odd. So it's delivering very good numbers. And the working capital is also pretty much in control.

And, yes, the gross blocks are higher, but the margin profile looks very promising, and we are now looking to get into other categories as well. So this -- within a short period of time I think Dixon Technologies (India) Limited

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so -- 8 months I think so, we have been able to take -- acquire some large marquee brands and take a large market share in the Indian market.

Moderator: The next question is from the line of Bhoomika Nair from DAM Capital.

Bhoomika Nair: Yes. Sir, just one -- couple of questions. One is on the TV segment. If I look at it, the volume decline has been quite severe. So if here you can talk about what has been the reason for this volume decline, is it just purely demand or market share loss? And if I net off the profitability that Saurabh just spoke about in terms of refrigerators and the margins also seem to have fallen, so if you can just clarify firstly on that.

Atul Lall: So undoubtedly, this particular category, Bhoomika, the demand has been subdued. And also this year, Diwali was at a different time zone, so that also has an impact. So it's a combination of both these things, which has had a significant impact on this business. So when the volumes fall, obviously, there is a loss on the operating leverage side and the margin is impacted. So that's the state of this business.

Bhoomika Nair: Okay. So what kind of volumes can we look at for the full year?

Atul Lall: So we have done...

Saurabh Gupta: We have done around a volume of 19 lakhs, Bhoomika, and I think so we should close at somewhere around...

Atul Lall: 2.4 million or something...

Saurabh Gupta: Yes, 2.4 million or something. Yes.

Bhoomika Nair: Okay. Fair point. Sir, second is on a clarification on the PLI that you spoke about where INR200 crores kind of a PLI across all our schemes have been accounted. Now is this for the 9 months or for the full year?

Saurabh Gupta: This is for 9 months, Bhoomika.

Bhoomika Nair: And in this, how much would be only mobile?

Saurabh Gupta: So mobile will be a large part, almost to the extent of INR150 -odd crores, yes.

Bhoomika Nair: Okay. And you said till December '24 our dues have been cleared for this...

Saurabh Gupta: I think the disbursement is about to happen. And the January to March 2024 should hopefully also get included in the next 1 month or so, hopefully, in this quarter, yes.

Bhoomika Nair: Sorry, until December '23, it has been cleared. So the fourth quarter of '24 is yet to be cleared. Is that understanding correct?

Saurabh Gupta: That's right.

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Bhoomika Nair: Okay. Understood. And when you are accounting for the INR200 crores or the INR150 crores of the mobile PLI, that is for the current year volumes that you're doing, correct? So next year, once we complete the year, then we will give in for the process

ing and everything, and next

year, we will actually get the money for the same.

Atul Lall: Yes, that's the way it works, Bhoomika.

Saurabh Gupta: Yes, yes. That's the way it works.

Bhoomika Nair: And in this, as mentioned earlier, there is no Xiaomi -related PLI that we have booked.

Atul Lall: Yes. In October, December, we have not.

Saurabh Gupta: Yes. We have taken a view to not...

Atul Lall: Yes. We have taken a view not to book it as of now.

Bhoomika Nair: Understood. Sir, the other thing was on the display fab that you spoke about. Can you give some color on what kind of asset turns, margins and return ratios that business could have possibly?

Atul Lall: So, Bhoomika, it is still in works, what we are looking at 8.6 generation technology. We are looking at 60,000 substrates a month kind of capacity. And this will be churning our products for the whole range of televisions, mobiles, laptops, tablets, automotive displays. It entails a capex of almost \$2.7 billion to \$3 billion. It can generate a revenue of almost \$1.7 billion to \$2 billion. It has a very decent operating margin. So I'm not in a position to share more details.

Saurabh Gupta: But, Bhoomika, it will be double-digit margins.

Bhoomika Nair: And similar profile of return ratios that we have in our core business as of now?

Saurabh Gupta: Absolutely.

Atul Lall: That's right.

Saurabh Gupta: Yes.

Moderator: The next question is from the line of Onkar from Shree Investments.

Onkar: Sir, if you look at the FY '25, it was all about mobile and EMS division. So can we safely assume that for '26 and '27, this will be the biggest driver for growth, for the next 2 financial years, at least?

Atul Lall: So mobile undoubtedly is going to be the largest piece. Please appreciate. It has the largest addressable market. Apart from that, we are also focusing a lot on IT products. As we shared with you, we are pursuing a potential JV with one of the largest ODMs. Also, telecom devices is a very high-growth business. Please appreciate. This is a JV with Airtel. This is a business and we generated a revenue of INR700 -odd crores in '23, '24. We want to close at almost

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INR3,000 crores in the current fiscal, and we hope to double it in the next fiscal. New capacities have already been created for that.

Similarly, refrigerator is already at INR600 -odd crores. We are going to generate almost INR800 -odd crores in the current fiscal, we are adding our capacity in two phases. In the first phase, we're going to take it up from 1.2 million to 1.5 million. And then we finally want to take it up to 2.2 million, adding new products in this particular business.

So these are all drivers of growth. And then, of course, we are looking at the component area very deeply. The first project of display module is already in works. The factory construction is happening. We hope to start production by Q2 of the next fiscal. And in that, we are planning and looking very seriously at expanding that product portfolio. So these are all drivers of growth for Dixon. And yes, so -- but obviously, mobile is the largest piece.

Onkar: Okay. With so much, with the plate being so full, I mean, what kind of funds you would require to support that kind of growth? I mean, looking for any fund requirement? I guess you had a proposal to raise, but I guess you haven't applied for it.

Atul Lall: So just wait please.

Moderator: The next question is from the line of Amarnath Bhakat from Ministry of Finance of Oman.

Amarnath Bhakat: Just want to ask two small questions just on the investment fund. Just two small questions. One, you can see this revenue is growing, but on quarter -on-quarter also on a 9 -month basis, why our margin profile is slowly going down and operating margin is also 9 months basis came down from 4% to 3.5%, 3.7%, also EBITDA ma

rgin is slowly coming down. Anywa y,

our margin profile is very clean. Any particular reason why this profile is slowly deteriorating?

Saurabh Gupta: Yes. So basically, it's on account of the mix. So if you look at a large part of our growth is coming from mobiles as a vertical, which is r elatively a lower gross margin, lower EBITDA margin business, and almost 70% of the revenues are now being contributed by mobiles. So that is the reason why because of the mix change, the margins at a company level look lower. But if you look at all the ot her parameters apart from the margins and absolute growth of revenues and profitability, the ROCE expansion, the current asset's management, all of them have been very, very positive.

Amarnath Bhakat: That's true. I'm just trying to understand the trend, b ecause basically, most of your revenue comes from mobile, and it seems that the same trends continue. So how we look in going forward with this margin trajectory, how it will look like? It will be slowly going down in the way it is happening. Overall, the absolute numbers may be growing, but this margin profile will go down. Is it the trend we will look for? Or do you have a plan to change the product mix so that at least to maintain this 4% of margin?

Saurabh Gupta: So we are -- as we mentioned, we are inv esting in backward integration. So display is already - - we have narrowed down on a partner, and we are also looking for investment in other backward integration projects of precision components, mechanicals, die cuts, camera

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modules. So all these backward integration projects are generally are double -digit -- are margin accretive. They are mostly double -digit margins. So once they have -- once they start reflecting in the numbers, you will see the margin expansion.

So we feel confident that in the next 24 to 36 months, our margins in mobile segment, which is the largest play for us, can expand by almost 100 bps on account of this backward integration. And this display project will further be margin accretive. So you should see that margin expansion happeni ng -- see that margin expansion happening every year starting H2 of next financial year.

Amarnath Bhakat: Okay. The second part of the question is relating to now...

Moderator: Mr. Aamrnath, can you please come back in the question queue. The next question is from the line of Keyur Pandya from ICICI Prudential.

Keyur Pandya: Congratulations on consistent performance. A couple of questions. First, on the mobile segment. So FY '26 being the last year of PLI incentives. Post that, in that segment, what kind of profitability that you expect in terms of margin? And I agree probably the absolute EBITDA would grow based on the increased volume. So how do you see, say, financial metrics changing in the mobile segment? That is first question.

Saurabh Gupta: Yes. Keyu r, as I mentioned, our investment in backward integration, even after netting of that PLI income that we are booking, we feel confident that margins will expand in the next 24 months in this business. It will start reflecting in the numbers from H2 of next financial year as we get into the display business as well. So please be rest assured that the margins in this category will expand because of this backward integration projects.

So I've already mentioned that there is a possibility that margin can expan d by 100, 120 bps over the next 24 to 36 months in mobile business. So a lot of work is being done on the manufacturing excellence side on automation robotics. Operating leverage is kicking in this business on account of higher volumes and also the backwar d integration. So a combination of all these factors, the margin should expand in this category.

Keyur Pandya: Okay. Just one follow -up to this. You have mentioned Q2 FY '26 as the period for commissioning of this project. Now

this being, I mean, critical component and are we being new entrant and with approval cycle, when should we assume say real ramp -up in the volumes, revenue profitability from this segment, display module?

Atul Lall: So we feel that this should come in by '26, '27. See, this is a compl ex product. It requires approval from the customer side. It has to be aligned at the POC stage for every model, every SKU, so '26, '27, it should start kicking in.

Keyur Pandya: And you see any period in between before sunset of the PLI and increased contr ibution from display module that may be a short -term period, but just impacts our profitability or you are factoring that in and saying that there won't be such drop?

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Atul Lall: No, it's not fair to look at it from that quarter -to-quarter angle, please.

Keyur Pandya: Fair enough. Just second and last question on the laptop side. So with -- I mean, government support or I would say some resistance from the brands on the import restrictions. You mentioned 5 -year timeline more or less remains same. But over the next 2 years, what kind of ramp -up you see the numbers we have quoted in earlier calls that TV interviews, any change from those numbers to FY '26 or '27, what should we expect from laptop segment?

Atul Lall: So we'll still stand by...

Saurabh Gupta: We maintain those numbers, Keyur. And hopefully, this potential JV that we are targeting with a large global ODM, the numbers has the potential to increase from there. But yes, one has to wait and watch. But yes, we at least stick with those numbers that we had guided earlier.

Keyur Pandya: So that would be just to -- I mean, there is a lot of confusion. So just next year or -- next to next year, any ballpark number?

Saurabh Gupta: Yes. So next year, Keyur, I think so which is '25 -'26 financial year, I think so we should be somewhere -- if not more, we should be somewhere at least around INR2,500 -odd crores to INR3,000 -odd crores.

Moderator: The next question is from the line of Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: So first question is just on the PLI, just a clarification. There was some media article about companies which have exited the target are also entitled for the unclaimed or unutilized PLI quota. If you could help us giving some clarity there, what kind of quantum if it was to be approved, what additional PLI we could be entitled for?

Atul Lall: So there is a provision in the mobile PLI of overflow. And that's what we are pursuing in line with. And yes, so we are pursuing with the government for that particular reimbursement. So that is it.

Achal Lohade: Any quantum you could indicate or...?

Keyur Pandya: Quantum and all, you can separately discuss with Saurabh.

Achal Lohade: Sure, sure. The second question I had with respect to Ismartu, if you could help us with the revenue and EBITDA PAT for the quarter because we see the minority interest has jumped quite a bit during the quarter. I presume that is partly driven by this particular entity.

Atul Lall: Yes, sure.

Saurabh Gupta: Yes. So we have mentioned that in our investor update as well. So in the quarter, we did revenues of almost INR1,900 -odd crores for Ismartu out of that INR8,900 crores mobile revenues. So revenues from Ismartu was around INR1,800 -odd crores.

Moderator: The next question is from the line of Nirransh Jain from BNP Paribas.

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Nirransh Jain: Sir, first question is on the Vivo JV. I mean I want to check how much is the current outsourcing percentage right now for the Vivo India considering they have their own manufacturing facility and the press release mentioned that only part of the outsourced orders would be translated to this JV. So any ballpark figure that you can share as in what is

the

current outsourcing percentage? And what can Dixon expect in this JV like the volumes for the next 2 years?

Atul Lall: So as per the term sheet signed with Vivo, 67% of what Vivo sells in India would be manufactured in this JV. Does that answer your question, please?

Nirransh Jain: Yes, yes, great. That was very helpful. And this JV is expected to ramp up from 2H FY '26. Is that right?

Saurabh Gupta: Yes, hopefully. So basically, this JV would require an approval under the Press Note 3 as a new JV entity with the shareholding in which, yes, in which Vivo also hold 49%. So as and when that approval comes in, the JV would get operationalized and then the manufacturing should start, yes. So broadly, you can take around 6 to 7 months from here onwards.

Nirransh Jain: Sure, sir. And sir, just some bookkeeping question on the volume. So is it also possible to share the Samsung phone volume for this quarter and the home appliances, how much were the volumes for the semi -automatic and fully automatic machines?

Saurabh Gupta: Samsung volume for this quarter was around 17 lakhs, 1.7 million. And the semi -automatic washing machine volumes for the quarter was around 3.6 lakhs and fully automatic was 0.8 lakhs.

Moderator: The next question is from the line of Nattasha Jain from PhillipCapital.

Nattasha Jain: Sir, firstly, congratulations on the brilliant scale -up of your portfolio of brands and within the stated timeline. I have two questions. One is, until Diwali, there was slight cheer in the market.

But post that, we've seen slowdown in all the white good categories, barring room air conditioner. Now you're not there in RAC definitely. But on the other side of the white good category, sir, what are you hearing from your customers in terms of the near to medium -term

demand? How is the market shaping up?

Atul Lall: So, Nattasha, the market is still slightly subdued. There has been some positivity in the current month as compared to the last quarter because the last quarter was post Diwali. But still the buoyancy that will excite us is still awaited.

Nattasha Jain: Understood, sir. And sir, my second question is a couple of weeks, rather a month ago, we read on the secondary sources that Apple is now looking into diversifying its supplier base for component assembly, especially on the non-iPhone portfolio. So Dixon has always maintained a stance that we want to become leaders in the non-Apple category or the non-Apple ecosystem. Firstly, are we still maintaining that stance? If not, are we in talks with Apple or any of their partners for AirPods or all the other non-iPhone category?

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Atul Lall: Nattasha, I'm sorry, we have never said that we are going to be leaders in the non...

Saurabh Gupta: Non-Apple category.

Atul Lall: That you're talking about. What we had said was that we have pursued and we have been fortunate to build a large portfolio in the Android category. So that's all what I can say. Any other thing, it will not be prudent for me to comment on, please. Please appreciate.

Moderator: The next question is from the line of Deepak Krishnan from Kotak Institutional Equities.

Deepak Krishnan: Just wanted to check on a follow-up from Pulkrit's question. You indicated close to INR1,000 crores of receivables while you indicate for PLI, but you've indicated that you've got money till December of last year. Just wanted to double check is this number correct, the INR1,000 crores number that you're indicating?

Atul Lall: That's right. So that number is correct.

Saurabh Gupta: But this INR1,000 crores is also to be passed on to the customer and the cash is passed on to the customer only when we receive the money.

Atul Lall: So there is no working capital from...

Saurabh Gupta: From Dixon side.

Deepak Krishnan: Okay. So the net impact would be just, say, 33

%, 40% for us.

Saurabh Gupta: INR200 -odd crores.

Atul Lall: That INR 200-odd crores that we mentioned is our share basically.

Saurabh Gupta: That's the number.

Deepak Krishnan: Sure, sir. And maybe just wanted to sort of understand, I think you've sort of given a good insight into the display, the cost, the asset terms, all of it. But when we're sort of looking at doing this, how are we looking at outside the PLI period? I assume we get 70%, 75% PLI incentives, you set it up for the first 5, 7 years, that works. But how do you look at this business because the real risk is essentially generating ROCs even after the incentives go out.

So just wanted to sort of understand your viewpoint over it.

Atul Lall: So this is not an operational PLI. This is a capex subsidy.

Saurabh Gupta: This is a capex...

Deepak Krishnan: Yes. So yes, it's similar to the OSAT facilities, all of that. We get that 70% capex subsidy comes through. That's for the first, whatever 60,000 substrates that you indicated. But what happens after that? How do you look at incremental investments beyond the PLI period and ROC?

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Atul Lall: No, no, it's not a PLI period or anything. The cost compresses significantly and your payback is amazingly fast. And in any case, you're producing a product, you're producing at a cost which is produced anyway, anywhere globally. So that's the math. It's not dependent on PLI. It is dependent on the government's capex support.

Deepak Krishnan: Yes, sir. Sorry, I'll probably take it offline with Saurabh because I understand that 3 billion, you will get 70% subsidy. Let's say, you go for next round of capex. How do you sort of catch that essentially, that was my question? But if not, I'll take it offline with Saurabh.

Moderator: The next question is from the line of Shrinidhi Karlekar from HSBC.

Shrinidhi Karlekar: Sir, would it be possible to comment on the telecom business profitability for the current year? And how is it likely to improve as you aim to double that business?

Saurabh Gupta: Yes. So broadly, the margins are similarly or slightly better than what we do in the mobile business. So it's around 3.5% to 4% kind of an EBITDA margin business. And the revenues, you mentioned that we did almost INR1,000 -odd crores. We have a strong order book. So that INR1,000 crores run rate should continue. In fact, it should get better in the upcoming quarters. So you can broadly assume a, yes, 3.5% to 4% kind of EBITDA margin business.

Shrinidhi Karlekar: Right. And second, sir, you alluded to the Oppo volume being around 7 million to 8 million

next year. These are just Oppo volume or these include Oppo plus Realme?

Atul Lall: So this is basically Realme.

Saurabh Gupta: Realme volumes.

Shrinidhi Karlekar: Right. Okay. And the last one, if I may. Would it be possible to tell us the broad range of investment that you would be making to acquire 51% stake in the Vivo manufacturing JV?

Atul Lall: If you don't mind, that's slightly...

Saurabh Gupta: As of now it is confidential. At an appropriate point of time, we will definitely disclose that.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to Ms. Bhoomika Nair for the closing comments.

Bhoomika Nair: Yes. I would just like to thank the management for giving us an opportunity to host the call and all the participants. And thank you very much, sir, for answering all the queries. Thank you very much, sir.

Atul Lall: Thank you, Bhoomika, and thanks all the participants. Really appreciate it for your support. Thank you so much.

Saurabh Gupta: Thank you, everybody. Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

Dixon Technologies (India) Limited

24th May , 2025

To
Secretary
Listing Department
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 051

Scrip Code – 540699
ISIN: INE935N01020 Scrip Code - DIXON
ISIN: INE935N01020

Dear Sir/Madam,

Sub: Transcript of the Q4 FY 25 Earnings Conference Call held on 20th May , 2025

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q4 FY 25 Earnings Conference Call of the Company held on Tuesday, 20th May , 2025 .

The said transcript has also been uploaded by the Company on its website and the same is available at <https://www.dixoninfo.com/earning-call-transcript.php> .

We request you to kindly take this on your record and oblige.

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar
Chief Legal Counsel & Group Company Secretary

Encl: As above

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CIN: L32101UP1993PLC066581

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“Dixon Technologies (India) Limited's Q4 & FY'25

Earnings Conference Call "

May 20, 2025

MANAGEMENT : MR. ATUL LALL - MANAGING DIRECTOR & VICE
CHAIRMAN , DIXON TECHNOLOGIES (INDIA) LIMITED
MR. SAURABH GUPTA - CHIEF FINANCIAL OFFICER ,
DIXON TECHNOLOGIES (INDIA) LIMITED

MODERATOR : MS. BHOOMIKA NAIR - DAM CAPITAL ADVISORS
LIMITED

Dixon Technologies (India) Limited
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Moderator : Ladies and gentlemen, good day and welcome to Dixon Technologies Limited Q 4 & FY'25 Earnings Conference Call hosted by DAM Capital Advisors.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclude. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you and over to you ma'am.

Bhoomika Nair: Good evening , everyone, and a warm welcome to the Q4 F Y'25 Earnings Call of Dixon Technologies (India) Limited. We have the management today being represented by Mr. Atul Lall – Managing Director & Vice Chairman and Mr. Saurabh Gupta – Chief Financial Officer.

At this point, I will hand over the floor to Mr. La ll for his initial remarks, post which we will open up the floor for Q&A. Thank you and over to you, sir.

Atul Lall: Thank you, Bhoomika . Good afternoon, ladies, and gentlemen. This is Atul Lal l, and we have on the call today our CFO, Saurabh Gupta.

Saurabh Gupta: Good evening, everybody.

Atul Lall: Thank you very much for joining the earning call for the quarter ended March 2025. Despite a dynamic and challenging macroeconomic Company has delivered another quarter of robust performance. Our diversified revenue streams have insulated us from segmental volatility.

The key highlights for the quarter are as below :

Consolidated revenues for the quarter ended March 31st, 2025, was Rs. 10,304 crores against Rs. 4,675 crores in the same period last year, which is a growth of 120%. Consolidated EBITDA for the quarter was INR454 crores against Rs. 199 crores in the same period last year, which is growth of 128%. Consolidated PAT for the quarter was INR 401 crores against INR 95 crores in the same period last year, which is growth of 3 22%. This includes fair value gain of INR 250 crores in the value of Dix on's stake of 6.5 % in Aditya Infotech Limited. Excluding this gain, the adjusted PAT for the quarter was Rs. 185 crores, which is a growth of 95%.

Besides leveraging industry tailwinds, we are scaling up across all segments by taking higher share of customer's wallet, new customer additions, and driving margin expansion through operational efficiencies, value engineering and manufacturing excellence. The company's strategy to d eepen the level of manufacturing by getting into components will further lead to margin expansion. With our unwavering commitment to financial prudence, we continue to demonstrate exceptional discipline in managing our working capital cycle which stood at negative 5 days, healthy balance sheet with cash and cash equivalent balance of Rs. 264 crores, and low gross debt to equity ratio of 0.07 as of March 31st, 25. This near zero debt position along Dixon Technologies (India) Limited

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with adequate credit line gives us significant financial resilience to fund our current and future growth requirements. Improvement of ROC to 48.5 % and ROE up to 32.5 % as on 31st March 25 which is well ahead of industry's benchmark was driven by high asset turnover, operating leverage and optimized capital allocation underlining the quality of earnings, consistent focus on value-added growth and a structural efficiency of our business model. ROCE and ROE will always remain key guiding parameters in the strategic investment decisions.

We continue to invest in our capabilities, backward integration, and diversify into new product categories to support long-term growth opportunities with huge focus in quality manufacturing excellence and consistently meeting the needs of our principle customers and strengthen our position

as a key player in the industry. We see ECMS, that's Electronic Component Manufacturing Scheme, a scheme launched on 8th of April by the government of India as a strong enabler for backward integration, cost efficiency and low value, long-term value creation and have committed to leverage this scheme to enhance capabilities and contribute to India's goal of becoming a global hub for electronic manufacturing. We have already rolled out a project for display modules, by evaluating various other component categories like camera modules, mechanical enclosures, and lithium-ion batteries, and will be actively participating under the ECMS.

Now, I will share with you the business performance and insights of each of the segments :

Mobile Phones:

Revenue for the quarter for mobile business was Rs. 9,102 crores, growth of 194 % year-on-year and operating profit of Rs. 349 crores which is growth of 232% with an operating margin of 3.8%. Out of this revenue for telecoms, wearables and wearables were INR 1,288 crores and INR 196 crores, respectively. Our collaborations with leading global smartphone brands deeper reinforcing our standing as a reliable and respected partner in mobile manufacturing. We're expanding capacity by 50 % from our current levels for our anchor customer to meet their increased order book, a large part of it will be on account of exports to North America in light of the evolving geopolitical scenario. We expect a strong growth in the volume for Longcheer and order books for Xiaomi looks decent. For Comal, the volume we're expected to increase for large US brand with potential opportunities for exports. Ismartu is having a strong order book from the brands like ITEL, Infinix and Tecno and also nothing.

With export order book to African markets where Transsion groups are leaders with almost 80 % market share and also increasing focus on deepening the level of manufacturing by getting into components in the JV with them. We have started manufacturing for the new partner NextCell to manufacture a smartphone for French brand Alcatel and have a decent order book. We are in the process of filing our PN3 application for FDI approvals for our JV with Vivo and simultaneously working on closing the definitive agreements.

Construction is underway for the display module facilities in partnership with HKC, focusing on mobile phones and IT hardware products in the first phase with mass production expected to Dixon Technologies (India) Limited

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commence by end of this fiscal at capacity of 2 million displays per month, which will be further enhanced to 4 million displays. And also, we will have the capacity of 2 million laptop displays in this phase. We are constructing a new factory of almost 1 million square feet in Noida for our mobile manufacturing. With the announcement of component PLI, are now in active discussions with our prospective technology partners for camera modules, lithium-ion batteries, and enclosures.

Consumer electronics, which comprises of LED TVs and Refrigerators :

Revenue for the quarter was INR 689 crores with an operating profit and margin of INR 42 crores and 6.1%, respectively. Out of this, the revenue for refrigerator business was Rs. 197 crores. Segment margins expanded 270 points, primarily driven by strong profitability in our refrigerator operations on account of ramp up and stabilization of operations leading to normalized margins.

LED TVs :

The global TV industry is witnessing subdued demand, primarily due to structural challenges and a significant shift in consumer preference. We are increasingly offering customized solutions to our customers and are now working closely with Amazon Fire TV Solutions and LG for webOS, which is expected to be rolled out by Q1 of current fiscal. In addition to interactive flat panel display TV, we're now starting manufacturing digital signage

s solutions from 65 to 100

inches and have a decent order book. Further, we plan to invest in CKD and set up a robotic panel assembly line for these product categories. We're also in discussions for partnerships for manufacturing for industrial institution and automotive displays and exploring opportunities in both B2B and institution sales.

Refrigerators :

Within the first year of operation, we have been able to capture around 8 % of Indian market and 48% of OEM addressable market in direct cool category. We have onboarded more than 15 customers in a year in direct cool category owing to the trust owned by our brands for our institution and quality. We are also expanding our capacity in direct cool categories to 2 million per annum from 1.2 million per annum, along with foraying into the new products in the cooling division, like 2-door frost-free, side-by-side, mini bars, deep freezers and visi coolers . Order book for 2025 -26 looks very healthy and we expect a growth of 50 % in the current fiscal.

Home Appliances:

Revenue for the quarter was Rs. 302 crores, operating profit was Rs. 37 crores, a growth of 23 % year-on-year with an operating margin of 12.2%. Margin expansion was mainly supported by scale -driven efficiencies, value engineering, cost optimization, focus on innovation, and value -added offerings to our customers. We further expanding our manufacturing capacity in our Tirupati plant in order to meet the increased order book for our clients. In the coming fiscal, we
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will also be launching semi-automatic washing machine in 16 and 18 kg capacity category, which will be the first across the industry. We have already started working on the front load washing machine, robotic vacuum cleaners, initiated many new designs through our ODM solutions in both the categories which are expected to be launched by Q2 of '25-'26.

Lighting :

A revenue for the quarter was Rs. 200 crores with an operating profit of Rs. 15 crores with a margin of 7.3%. Our 50 -50 JV at Signify is expected to commence operations from Q2 of the current fiscal, following the signing of definitive agreements, which are anticipated to close by end of May 2025. The JV is expected to generate operating leverage through synergies expanding into new categories, including high -end door lighting products, professional lighting, along with unlocking export opportunities. During the quarter, we operationalize our backward integration facilities for exclusions used in patents, which is expected to enhance cost efficiency and contribute to margin improvement.

Telecom and Networking Products:

The revenue in this segment of the quarter was Rs. 1,288 crores, which is almost 5x growth year -on-year, along with superior operating margins and robust balance sheet. A new Noida facility in Q3 of this fiscal is now operating on optimal level to meet the increased order book for our anchor customer. Leveraging the rapidly increasing home broadband penetration in India, we have doubled the capacity of 5G fixed wireless access devices to cater to the demand of our anchor customer. Our first model of IPTV boxes has ramped up and another model will kick in Q2 of this current fiscal for our anchor customer.

In line with our strategy of backward integration, we have localized certain components like casting , molding, adapters, and working on localized more components like mechanicals, connectors, etc. With a solid order book for our anchor customer export prospects to a large ODM, this vertical is set to play a pivotal role in Dixon's growth. We are now deeply exploring to manufacture non -customer premise equipment and low volume high -mix products like radio access networks, ethernet switches, network transport equipment.

Laptops and Tablets:

Laptops and tablets , that is IT hardware worlds are dedicated IT hardware manufacturi

ng unit in

Chennai has completed the pilot run and mass production is already commenced and will significantly ramp up in coming months for both HP and ASUS. Production for Lenovo has ramped up to almost 30,000 units per month with healthy orderbook for the coming period. We're entering into 60 -40 JV with Inventec Corporation , it is one of the world's top 5 IT products ODM for manufacturing of notebooks , PC products, servers, desktop PC, including its components like SSDs, memory, power supply in India, and in process of finalizing the manufacturing facility in Chennai, adjacent to our current facility. We are also exploring opportunities for localizing mechanical enclosures for IT hardware under ECMS.

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Wearables and Hearables:

Revenue for this segment was Rs. 196 crore for the quarter with healthy operating model and

extremely good ROCE . We have a strong order book in this business. We are in discussion to expand product portfolio with additional new brands. The focus also on backward integration and localization.

Rexxam Dixon Electronics , JV with Rexxam achieved revenues of Rs. 121 crores in the quarter with healthy margin superior ROCE . We have finalized a new manufacturing location in Chennai, Tamil Nadu for meeting the increased order book for our anchor customer.

I would like to stop here and I and Saurabh are here for you to address any questions that you may have. Thank you.

Moderator: Thank you very much , sir. We will now begin the question -and-answer session. We have a first question from line of Aditya Bhartiya from Investec. Please go ahead.

Aditya Bhartiya: Hi. Good evening, sir So my first question is on the mobile phone side. I just wanted to understand how we thinking about the ramp up in volumes from here on. And like this particular quarter was more like a flattish quarter on a sequential basis, of course , so from here on, how should one think about volume ramping up? And my second question is on the consumer electronics business, wherein the TV revenues appear to have fallen quite sharply, and it's been fourth or fifth consecutive quarter that that's happening. Just wanted to understand how much of this is overall market phenomena, and how much of this could be on account of maybe some market share ?

Atul Lall: And so, Aditya, responding to first part of your question, the smartphone order book from the current quarter is looking very healthy. From our anchor customer, the order book is very, very good because we have really ramped up our exports to North America. The order book from both Xiaomi and also Longcheer has increased significantly from the current quarter. Also the numbers of Ismartu, wherein we do for ITTEL, Tecno and Infinix , nothing looks very good. So the order book is very healthy. From the current quarter, the combined volume would be somewhere in the range of around 3.3 to 3.5 million per month.

Aditya Bhartiya: Sir, the volume that you mentioned, 3.3 million to 3.5 million per month. This is the volume that we did in 4th Quarter for smartphones?

Atul Lall: Monthly order book.

Aditya Bhartiya: Okay, understood.

Atul Lall: Responding to your second part of the question, TV is under pressure. There is an overall decline. There is a structural issue with the category as such. And also , we have lost a bit of the market share. So that business is under pressure that I humbly accept.

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Aditya Bhartiya: And sir, do we have the flexibility of maybe lowering the margins a bit and trying to regain market share or is it a scenario that customers want to be little more broad based in terms of their vendors and therefore are deliberately looking for an alternative?

Atul Lall: So we are working on various fronts, Aditya. One is expanding the product portfolio.

So we

have already started the IFPD. We are looking at digital signage and also educational TV. We have gone in for more backward integration. We have optimized our cost structures. And we are migrating more and more to ODM where the margin profile is better. And we are launching new operating systems. So we are on Amazon Fire TV, which will be launched shortly, and also LG WebOS. It's slightly premature. We're also looking at some large strategic relationships in this business. Please give us some time. I'm fairly confident that it's going to materialize. So various actions are being taken to bring this business back on track.

Aditya Bhartiya: Perfect sir, that's great to hear. Thank you so much.

Atul Lall: Thank you.

Moderator: Thank you. We have our next question from the line of Ankit from HDFC Life. Please go ahead.

Ankur: Hi sir, it's Ankur. Thank you as always for your time. So my first question again on the cell phone side, and also on upcoming competition, the cell phone business, obviously context of our PLI, actually not just for us, everybody kind of going away in FY '26. So if you could just help us understand how you see competition coming up here ? How do we retain and more so continue growing the way we have on the cell phone side ?

Atul Lall: So, Ankur, you see, we have a large share of the outsourcing opportunity of mobile business.

Just looking at the numbers, the total market of 150 million odd. Out of that 150 odd million , Android space is around 135-140 million . Various brands are manufacturing in -house. And outsourcing opportunity is around 90 million . And including our new tie up of Vivo , we are targeting for around 60 -65 million by next year. That's the number we are talking about.

Questions that you have raised are very pertinent. The first point is that how do we respond to the competition? And second, the PL I is getting over in '25-'26. This is the last year. So on the first part, please appreciate , we have deep strategic relationships. So our largest customer, Motorola, it has really done well and now we have a large export opportunity with them. And this relationship is very deeply entrenched. And for anybody to be very candid to catch up, it is

not an easy task at all. The second is our large relationship with Transsion and that's our JV. And the third, so that means all the brands like Infinix, iTEL, Vivo ; iTEL and Tecno are with us and nothing is with us. Similarly, our forthcoming JV with Vivo is a strategic relationship wherein as per the binding term sheet, a very large percentage has to happen in JV only. Balance, of course, the market is open, but we have to deliver. So the competition will be on deliverables. But we strongly feel that we have the first mover advantage in this business. We also have a large scale with an operating leverage. And also we will have the first mover advantage of backwardly integrating into components. And wherein we will generate fairly good blended margin to control this market. And also the backward integration play plus the operating leverage

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generated through the large scale and also significant investment in automation and enhancing the operational efficiency. We feel that we should be ahead of our competition, but we respect competition and we are paranoid about competition. So we have to be on our toes. But I'm sharing with you very transparently and candidly the direction and the work that we're doing internally.

Ankur: Very helpful and so just on Viva, are we broadly on track to commence production by Q2. I think Q2 was what we mentioned earlier ?

Atul Lall: In our budget this year we have taken some part of it in Q4.

Ankur: Okay. And last one, if you or Saurabh could share the volume numbers for the full year for our segment, the way we share them every time ?

Saurabh Gupta: Smartphone numbers was 28.3 million last year. And '23 -'24 it was 6.4 million. So it is a growth of 338%.

Ankur: Similar numbers for other segments as well, TV and lighting as well and Appliances please ?

Saurabh Gupta: TV, there is a decline from 3 million to 2.4 million. In LED bulbs, there is a growth and in other lighting products also, there is a significant volume growth. In washing machines, in semi-automatic, it's flattish. But in fully automatic top loading, there's an 81 % growth from 1.6 to 2.9 million. In feature phone as a category is declining and Jio order had come to an end, so there was a decline. In TWS and all, there was a significant growth of almost 47 % from 16 million to 23.7 million. And similarly, in both, hearables business, it's grown from 10 million to 13 million, 36% growth. In set-top boxes, there was a growth from 2 million to 4 million. And telecom product is a growth from 3.5 million to 7 million. In refrigerators, of course, it was our first year. So we dropped a volume of 8.6 lakhs, which is almost 8 % of the Indian market and 40 % of the outsourcing opportunity. So I think volume numbers largely, except for TVs, have been very good for us.

Ankur: Got that. Great. Thank you so much.

Saurabh Gupta: Thank you.

Moderator: Thank you. We have our next question from the line of Hitarth Kapadia from ValueQuest Investment. Please go ahead.

Hitarth Kapadia: First question is on this minority interest of Rs. 64 crores that has come in this quarter, which business is driving this and how is this going forward because there's a significant increase ?

Saurabh Gupta: So minority interest is coming on account of our telephonic business, which is basically the wearables, hearables business, which we have it both. It's also an account of the telecom business where we have a 49 % shareholder as Airtel. And so these are the two businesses where we have

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a minority today. And even the Ismartu business, whereby the 49.9 % shareholding of our Ismartu entity is done. So we have a 50.1 % shareholding.

Hitarth Kapadia: And the second question, on the component business, what will be the economics of it? Say, a payback period, ROC Es, asset turns, working capital, that sort ?

Atul Lall: So each category is different, display modules is different. Saurabh can share with you separately in the financial matrix of that. For camera modules, enclosures, and batteries, the teams are working upon it. So it's slightly premature to share those numbers. But we feel and we have that confidence that once we get into it our blended margins should significantly improve.

Hitarth Kapadia: Okay, thank you. That's it for my side. I will connect with you separately for the other.

Atul Lall: Sure.

Moderator: Thank you. We have our next question from the line of Renu Baid from IIFL Capital Services. Please go ahead.

Renu Baid: Good evening, team. Sir, my first question is on Ismartu. We had a minimum assured PAT offtake for this year. So have they delivered on the 2 billion plus number? Where are they? If you can share some inputs there on the financial matrices for Ismartu. Second also on the mobile phones, you did mention 60 -65 million units targeted. This is for fiscal 27, right? And for fiscal

'26, what kind of volume numbers are we targeting overall for the year? Given certain JVs are expected to start contributing to numbers towards the mid of the year ?

Atul Lall: So, Renu , responding to first part of the question, Ismartu has delivered on the committed PAT in this fiscal as per our agreement. On the second part of the question, yes, we are building a capacity of almost 60 -65 million and that's the targeted volume that we are aspiring for in '26-'27. '25-'26 volume number for a smartphone is around 45....

Saurabh Gupta: So Renu , depending on ...,

I think it should be closer to 40 to 43 million.

Atul Lall: 43-44 million , Renu .

Renu Baid: Got it. And the payout to Ismartu will happen now in fiscal '26 or what are the timelines there?

Atul Lall: Sorry?

Renu Baid: There was a payout which was due to Ismartu on achievement of...

Saurabh Gupta: So basically we have agreed for the next three years based on the achievement of their committed PAT to us. I think so, yes, there will be further payouts for the next couple of years.

Renu Baid: Got it. Thanks much, Atul and Saurabh sir. Thank you.

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Moderator: Thank you. We have our next question from the line of Madhav from Fidelity. Please go ahead.

Madhav: Hi, good evening. Thank you very much for your time. My question again on the smartphone business, once the PLI program ends the end of FY'26, just wanted to understand, let's say 3% - 4% margin business where there is about 4% to 5% incentive from the government which obviously we retain some of it, pass some of it to our customers as well. But once it sort of goes away next year, just want to understand, I mean, as you already are a large market share, like you said in the outsource portion, if you look at 60, 65 out of 90 , do you see any chances of either market shares pressure for us into FY'27 or any price threshold to retain the volume , in case some competitors get a bit more aggressive, we may have to give some price discount to customers to retain the business. Do you anticipate either of this happening into FY'27?

Atul Lall: You see, extremely important is that we in Dixon have to really enhance our operational efficiency much ahead of our peers and also deliver on our foray into components. Now, with the kind of volume and the relationship that we have, definitely we will be generating an operating leverage. Please appreciate the PLI contribution to our margin is around 0.6 %-0.7%. We feel that the initiatives that we are taking on automation, increasing our efficiency, a large scale and also our foray into the components under ECMS, the benefits and gains for us are going to be much more. There can be some time lag here and there, but on an overall basis , I think we're sitting on a much more healthier and comfortable position post PLI.

Madhav: You think the PLI contributed 0.6 %-0.7% to our mobile phone margin business or the EMS division?

Saurabh Gupta: 0.6% of our margin is our share of PLI income which has been booked.

Madhav: So sir basically, if we had 4 %-5% of sales coming as PLI incentive, which means the balance was getting passed on to the customer, right? I mean, if we were retaining 0.6, balance 3.4 was being passed on. Is that right?

Saurabh Gupta: Yes, last Financial Year.

Madhav: So that's what the crux of my question was , that if you were passing on let's say 3 %-4% margin business to the customer, now that that incentive is not there next year, obviously can competition come in? That's what my question was. Because there will be a 3 % price disadvantage , right?

Saurabh Gupta: There's no PLI for anybody after a gap of one year. So whoever is the...

Madhav: That's exactly my point actually. Whoever has a large scale better operation efficiency was able to offer them at a lower cost structure because and that can only happen once you are more backward integrated, once you have a large scale, once you are more focused on driving operation efficiencies, once you have a, once who has a better management team, better balance sheet, I think so we will be able to drive a larger share of the ..

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Atul Lall: Also, please appreciate, this is the reason very deeply we have been engaging with the customers to form strategic relationships. You see, Transsion is our brand. Our brand in the sense that there's a strategic relation

ship through JV. Same is the case with Vivo. And Motorola relationship is almost at a similar level.

Moderator: Thank you. We have a next question from line of Keyur from ICICI Prudential Life Insurance. Please go ahead.

Keyur: Thank you. Hi team , for great performance. So just 2 question s. First question on the IT hardware /laptop side. This Inventec JV and even other with MOUs. What kind of volume profitability and revenue we should assume say over next 2 years both FY... basically how , what would be the ramp up path over next 2 years including F Y'26 that is first question .

Atul Lall: Inventec JV , we have 60 % and in Inventec has 40%. Inventec is one the top 5 ODMs in the IT sector. They have large relationships with brands like HP and ASUS and they also have a large presence in the server market. So we feel that this JV should become operational in Q4 of the current fiscal. There's a factory being set up adjacent to our campus in Chennai. Initially, this will be focused on PCBA because we will be leveraging the IT PLI 2 also. And they're going to be bringing in here the large relationships into this JV. And also they'll be facilitating our entry into the component site to further leverage IT PLI 2 because if you see the structure of IT PLI 2, the incentive keeps expanding as you keep on localizing more. Now the revenues we feel in the year two can be somewhere in the range of around 2,000 odd crores. But the opportunity for this is immense because they bring in a lot of strength and lot of deep relationships, lot of technology, the high value added products like servers to our relationship.

Keyur: Sir, j ust one follow up. So basically, our IT hardware segment revenue, it would be Rs. 2,000 crore in FY '27. Is that correct understanding?

Atul Lall: No. See, there are two parts to it. One is Dixon's own ed factory under the IT PLA 2 and t hat's a separate revenue. And then we are talking about the revenue in the JV. So yes, these are two separate entities. In the JV, there'll be two parts to it. One is the final product being built. It is going to be built to the end customer directly. And the second day is going to be PCB and components being done in JV and being built to Dixon IT PLI unit. So there are two separate revenue streams. A part of it is going to be subsumed in Dixon and balance is going to be an independent revenue. We feel that in a couple of years, we should be generating almost 4,000 odd crores of revenues in both the entities.

Keyur: Okay, un derstood. And second question on the timeline for our component JV for display modules. So when should we expect commercialization and significant billing or contribution to the revenue /EBITDA?

Atul Lall: We feel this factory should be ready by Q3 or the c urrent fiscal? That is a on October of December quarter. The trial should start sometime in January to March. And the actual revenue generation should happen from '26 -'27.

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Keyur: Okay noted . Thank you. All the best, I will get back in the queue.

Moderator: Thank you. We have our next question from line of Vipraw Srivastava from Philli pCapital.

Please go ahead.

Vipraw Srivastava: Alright sir, first is on the laptop side. So what kind of revenue you are expecting based on your budgeting for FY '26 for the faci lity coming up in Chennai for laptops?

Atul Lall: So we are expecting somewhere between 1200 to 1500 in the current fiscal .

Vipraw Srivastava: Okay, sir. That's noted, sir. And secondly, the kind of volume growth you have given, which is around 40 million -43 million, by any chance will it be possible to tell how much would be coming from Motorola out of this on volume terms?

Saurabh Gupta: We don't want to share any brand wise. But just for your numbers, all the 4 brands largely. So Motorola, of course, will be a large growth

and even there'll be growth in Xiaomi , Longcheer, which is (Inaudible) 37.52 and also for our Transssion brand and also the large global US brand as well through our partnership with Compa l. So all the 5 would grow.

Vipraw Srivastava: Noted sir . Right. And lastly on the component PLI. So obviously the government has given a window of four months to apply for this. So what's the status on the JV partner for camera modules? I mean, any thoughts on that? And what's the status there?

Saurabh Gupta: Time line given is 90 days and we are working on it.

Vipraw Srivastava: Sure. Thank you , sir.

Moderator: Thank you. We have our next question from the line of Anupam Goswami from SUD li fe. Please go ahead.

Anupam Goswami: Hi, sir. Sir, first question is on the camera and module that you're talking about. You said about component Q3FY'26, the trial should start. Is it going to be camera and display module both?

And what is the bill of material are we looking in this overall and what kind of volume should we start with? We have a relation with all the brands. How the process takes place and expand overall? That is al l, sir.

Atul Lall: So what we refer to and what we stated was that in phase one, we are looking at display module and the capacit y being set up is 2 million. And the teams are now working and trying to get engaged with the prospective customers, which are largely captive for getting the solutions approved so that we can start supplying to them. So here what we refer to was display m odules for mobile . And in phase 2, there is going to be doubled to 4 million. And parallel in phase 1,

we are setting up a display module line for laptops. That's the thing. For camera modules, I am not able to share with you any details as of now.
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Anupam Goswami: Okay, sir. And sir, 2 million units display. And how do we set this process, if you can explain how the customer engage, what's the timeline, and when can we ramp up to our, let's say, mobile volumes, should we in the long run see both in tandem?

Atul Lall: Sorry, I didn't get to the last part of your question, please?

Anupam Goswami: In the long run, what sort of volume should we see? How we have ramped up the mobile? Should we expect similar line of growth in that in the mobile display?

Atul Lall: See, first of all responding to first part of your question, when a mobile, when a smartphone is designed, that's where the camera module, sorry, the display module is finalized and aligned with the design in the POC stage. So it's a 6 to 8 month cycle for development of those solutions.

And that's where the company and the team that we started working upon. And as I told you, initially it's 2 million. See, we are targeting 43-44 million, which we plan to take it up to 60-65 million. So we feel that large part of what we produce first 2 million, that is 24 million, and then 48 million to be captive, a part of it might be sold out, and that's the plan.

Moderator: Thank you. We have our next question from the line of Abhishek Ghosh from DSP Mutual Fund. Please go ahead.

Abhishek Ghosh: Hi, sir. Thanks for the opportunity. Sir, in terms of the mobile landscape, you spoke about 13.5 crore Android phones market and about 9 crores is something which is outsourced. So the residual 4-4.5, is that likely to be in-house only or is there a point at which that can also be outsourced? Is that something which should be looked at from a 3 to 5 year perspective? Any thoughts on that, sir.

Atul Lall: So Abhishek, basically there are three brands which are doing in-house. It is Samsung. Samsung, we already have a large relationship wherein we are doing equity 0:42:41 __. So let us say if Samsung does around 40 odd million, we're doing 12 million in-house, but Dixon has a different relationship. And that I am not counting

in this number. Then it is Oppo. So with Oppo, we already have a large relationship and I hope that will keep on enhancing and deepening. And third is Vivo, so Vivo we have already finalized the strategic relationship. So these are the things. So I don't think Samsung is an outsourcing opportunity. I don't think so. Oppo and Vivo's relationship are expanding.

Abhishek Ghosh: So essentially, sir, you are saying you will go up to ex of exports, you will do something like 5-5.5 out of the total 9 crores opportunity. That's the way to look at it in India. So see, what we feel is in the current year, we are targeting to do 44 million. So out of these 44 million, I feel almost 10 million to 12 million is going to be exports. Because for our anchor customers, the auto book for exports from North America is extremely healthy. And also for Transsion brand, we have started exporting to Africa. Please appreciate in Africa, our share in many markets, have a share as high as 80%. So we already started exporting, and we feel in the current year, we should do almost 2 million exports. So I feel on an overall basis, almost 10 million to 12 million is going to be exports for us which we are very deeply working that these quantities should

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expand significantly in '26-'27. Because that is what we want to crack, that our cost comparativeness is globally comparable so that the global market now after acquiring a very large share of domestic market, we are attempting to get into. That's what we are aspiring.

Abhishek Ghosh: Okay. So, sir, in the 6 to 6.5 crore range that you have given, export is something not explicitly built in to the extent you would have wanted. I'm saying if that comes in, is there an upside to that number of 6-6.5 crores if export kind of works out the way you are expecting it to?

Atul Lall: Yes, Abhishek, that can be an upside. You see, if we are able to crack it, then it can be a big upside.

Abhishek Ghosh: So if not in '27, but at least in '28, you will have growth coming in from the exports. That's the way one should look at it?

Atul Lall: That is the trajectory for Dixon's growth.

Abhishek Ghosh: Sure, sir. Thank you so much and wish you all the best.

Atul Lall: Thank you.

Moderator: Thank you. We have our next question from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Yes, sir. Thanks for the opportunity. On this new deal with Alcatel, do you have some targets in mind about how much are they also looking to sort of produce for the next couple of years?

Atul Lall: Well, we have just started the relationship. I think let's give it some time. I think it will not be

fair for me to put in the number there. The commercial production will get started in the current month.

Siddhartha Bera: Okay . And second is on this profitability on your consumer electronics and home appliance segment for the quarter. Because some of these improvements that you talked about are sort of continuous process. So will it be fair to assume that part of it will sort of sustain going ahead and at an annual level also, you would want to target some of these numbers or there is some one of which we should normalize going ahead?

Atul Lall: You're talking about?

Saurabh Gupta: Yes, so basically, Siddharth, as far as the refrigerator business is concerned, so clearly we have a very strong order book and we're further expanding our capacity from 1.2 million to 2 million and we're getting into other categories, which was mentioned by sir in this opening remarks. And we're expecting a 50 % growth in that category. And please understand that's an 100 % ODM business for us. The margin profile will be around somewhere closer to 9/5-10.5 kind of a range. So clearly that order book, that growth, that margin profile is clearly sustainable. Now TV a

s

you mentioned, yes, there are challenges, but we are trying to get into new categories, trying to
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do more ODM. We have really worked on the cost optimization here, cost controls here. But let's see how the TV industry pans out. But yes , probably as far as refrigerators are concerned, you should take it as a broadly sustainable. In fact, that should be a growing vertical for us in this segment.

Siddhartha Bera: And sir, what about the home appliances?

Saurabh Gupta: Home appliances also, yes, we continue to do well also as the fully automatic top loaders is concerned. The numbers are now, we are doing a steady state of decent volumes every month. And of course, the margin expansion has happened on account of more value -added offerings, innovation, and as well as the value yielding efforts. And we mentioned that we will now get into other categories as fully automatic front loaders as well, robotic vacuum cleaners. Now all of that will be done at the same facility. So that should also lead to more utilization of that capacity infrastructure. So margin wise as well as the revenue growth wise, it should be sustainable. In fact, there should be also growth in that category in this year.

Siddhartha Bera: Got it, sir. Very helpful.

Moderator: Sorry to interrupt Mr. Siddharth. May we please request you to rejoin the queue?

Siddhartha Bera: Sure.

Moderator: Thank you so much. We have our next question from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Good evening, sir. Thank you for the opportunity. So first is on mobile. I just wanted to check what's our yield in mobile segment in terms of the recovery rate or rejection rate if you could highlight. And how does it stack up versus globally or Chinese players ?

Atul Lall: Recovery rate meaning you're talking about the in -process rejection or ?

Achal Lohade: Yes, in process rejection , sir.

Atul Lall: So, the in -process rejection across different brands is slightly different. I don't want to give the specific numbers pertaining to brands. It is between 0.2 %-0.3% to 0.5 %-0.6%. it's at a global level.

Saurabh Gupta: Broadly to answer your question, it's at a global level. So some of the best companies that are manufacturing mobiles today, we are broadly at a similar level. And we have the same infrastructure. We have the same machineries, the same throughput of those machineries. So clearly we are broadly at the same level.

Achal Lohade: Understood. And the second question I had with respect to the PLI, if you could help us understand for FY'25, what is the gross and the net number and how much does it pertain to the Dixon Technologies (India) Limited

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mobile segment? And I remember we had certain claim with respect to the unclaimed PLI. Any update on the same as well ? Thank you.

Saurabh Gupta: Yes, so as sir mentioned sometime back that whatever mobile revenues we have around 0.6 % of those mobile revenues is the PLI share of income, which is our share of income, which has been booked into this profitability. So broadly, you can calculate those numbers. Overall , yes, as far as the status is concerned, mobile, we have got our PLI till December 2024 , so we have got a PLI till December 2023, January to March '24 is expected to come anytime. And then we will file a claim. We have already filed a claim for part of this financial, current financial year as well. And the government will take that claim as well. As far as the other PLIs are concerned, which is on telecom side, lighting side, as well as AC inverter control board we have got a claim

till last financial year and we have now filed a claim for the current financial year, the '24-'25 as well, because it's mostly done on the achievement of the revenues at the yearend level.

I. And yes,

and the IT hardware we have just started. So we have done the CAPEX and as and when the revenues come into the system, we will file a claim for IT hardware revenues as well.

Achal Lohade: Understood. That's great, sir. I will fall back in the queue for follow-up. Thank you.

Moderator: Thank you. We have our next question from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: Hi, sir. Thanks for the opportunity. One question on the realization for mobile phones as we ramp up our volumes from 28 to 42 and then let's go to 60 plus. Given the brand mix that you see, do you think there is a scope for realization pricing as well or those remain probably still.

Saurabh Gupta: Yes, we feel confident that the realization would keep going up on account of the mix change. If you look at this, some of the brand, the large US global brand that we have, the realization is much, much higher than the realization that we have across the other three large brands. And even as you get into the export markets, there also the realization of the smartphones is much higher.

Atul Lall: Also the whole market and demand is migrating from 4G to 5G. Whereas the unit value is significantly higher. So unit sales realization will increase.

Saurabh Gupta: In fact, it has been going up in the last couple of years. It will further go up in '25-'26.

Indrajit Agarwal: Sure. And my second question is on the new business, that's on industrial EMS, any update on that? Where are we? What kind of targets that you have over the next 3 to 5 years?

Atul Lall: So Industrial EMS, our first hopefully venture is going to be on the charging plant. We are tied up with a startup for charging stations. In our Tirupati plant, we are targeting to start production for this particular venture. That's the first opportunity that we are pursuing.

Indrajit Agarwal: Alright, thank you. That's all from me.

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Moderator: Thank you. We have our next question from the line of Girish from Morgan Stanley. Please go ahead.

Girish: Yes, sir. Thanks for the opportunity. Sorry, I joined a bit late if I missed this. Historically, you've spoken about over 150 basis point of margin expansion, courtesy the component PLI that you're doing on a blended basis. Does that number still hold or given the reassessment, is that number raised up or down? And the second one, I wanted to understand is the CAPEX that you expect to incur for FY '26 and '27, given the large customer onboarding and volumes that you expect across verticals like mobile and IT and telecom? Thanks.

Saurabh Gupta: Yes, to answer your second question, Girish, the CAPEX intensity, the '24-'25, we did a CAPEX of almost Rs. 900 odd crores.

Atul Lall: In that '25-'26, the CAPEX should be in a similar range of around Rs. 900 crores to Rs. 1,000 crores in which we have adequate cash flows and credit lines to support. On the first part of your question, there is going to be a significant margin profile for the component business is significantly higher. I don't want to share the specific numbers at this stage, but let me assure the house that the margin profile of the component business is significantly higher.

Saurabh Gupta: And also our own internal efforts on efficiency or more automation, so that should lead to margin expansion and also the operating leverage and also higher contribution of our ODM business like refrigerators and also telecom business. Of course, telecom is not an ODM business, but that's also given an order book and we have decent margins there. So a combination of all that put together, but large part of that will be driven through this backward integration strategy. There are four components that we have narrowed down. We have already done our numbers for camera modules and displays. Another two we are, of course,

we will be doing our numbers,

but broadly all the components generally come at a very good margin profile. And that should lead to a significant margin expansion at a company level.

Girish: And sorry if I missed this again on display fab, where is the discussion with the government on ISM 2.0 and as far as our partnership is concerned or our thought process on that CAPEX is concerned, is there an update on that please? Thanks.

Atul Lall: So we are awaiting the ISM 2 to be rolled out. We are not very sure of the timelines for that. So that's where it is. We're waiting for ISM -2 because that particular foray is hinging upon the rollout of ISM -2 and what that policy framework is going to be like.

Girish: Sure, thanks and all the best.

Moderator: Thank you. We have our next question from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: Hi, Atulji.

Atul Lall: Good evening, sir.

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Bharat Shah: Good evening. Just one question. These Vivo relationship, the joint venture, it is in works for almost 5-6 months now. Why is it getting delayed so far?

Atul Lall: You see, we already signed a binding term sheet with them. The teams are working upon the definitive agreement. And very shortly, we will be filing our applications for PM3 waiver. Now, this PM3 waiver in the government, it is a long process. It involves a huge inter-ministerial effort. So what we have targeted is that these approvals should come sometime in next 5 to 6 months and we have taken some small portion in our current fiscal budget for the last quarter of January to March.

Bharat Shah: Out of 65 million that we are talking about?

Atul Lall: Here I'm about the current fiscal plan of 43 -44 million.

Bharat Shah: No, I understand. But out of... Sorry. What is the Vivo output expected to be?

Saurabh Gupta: So Vivo output, sir, will fully will come in '26-'27. And that can be broadly anywhere ...

Atul Lall: I think it's about a 15 to 16 million.

Bharat Shah: No, sorry Atulji, I didn't get that. How much is Vivo at a full level expected output to be?

Atul Lall: Total output of it will be around 28 million to 30 million. As per our term sheet, 67 % has to be done in JV. So we are expecting around 18 million to 20 million to come in the JV.

Bharat Shah: And that, more or less, fully should come in '26-'27?

Atul Lall: That's right.

Bharat Shah: And a part of it in the last quarter of the current year.

Saurabh Gupta: That's right.

Bharat Shah: But per se, that is on track, right? But for the procedures and all that.

Atul Lall: That's right.

Saurabh Gupta: Subject to the approval, sir.

Bharat Shah: And one last thing. Saurabh, you said the margin on the mobile phones, 0.6 % odd addition due to PLI. Assuming the PLI scheme does indeed gets vacated, our effort to mitigate that margin impact, partly due to operating leverage, partly due to other efficiencies and all the other cost initiatives that we are taking. So purely on mobile phone, that impact of the PLI margin of 0.6 % for the year in entirety of '26-'27, we should be able to mitigate for that 0.6%.

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Atul Lall: Yes, sir. We are quite confident.

Saurabh Gupta: Yes, we are confident, sir. And it will be largely driven by backward integration and also the efforts on the efficiency, the automation. And we are working towards it, sir. We are really working towards it.

Atul Lall: We are fairly confident on that.

Bharat Shah: Okay. Fantastic. All the very best and thank you.

Atul Lall: Thank you, sir.

Saurabh Gupta: Thank you, sir.

Moderator: Thank you. We have our next question from the line of Neel Mehta from Equirus Securities. Please go ahead.

Neel Mehta: Thank you for the opportunity and I congratulate you for the

good set of numbers. I just wanted to understand that Xiaomi is losing some bit of market share. So not the exact, but the ballpark level can you just guide the volume numbers that possibly Xiaomi has done for the FY'25 and similarly for the Motorola as well?

Saurabh Gupta: Yes, we can't share any specific numbers. Please understand we are an EMS company. So that is the reason why it is important that we should have multiple customers. That's the big de-risking strategy for us. And that's the continuous and the most critical process for us. So if Xiaomi, for some reason, has lost market share, then of course others are gaining market share. And we happen to work with most of the customers in the Android ecosystem. So at a broad level, we end up getting an overall large share in the overall market.

Neel Mehta: Okay, thank you sir.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today and I now hand the conference over to Ms. Bhoomika Nair from DAM Capital for closing comments. Over to you ma'am.

Bhoomika Nair: Yes, I would like to thank all the participants and particularly the management for answering all the queries and giving us an opportunity to host the call. Thank you very much, sir and wish you all the very best.

Saurabh Gupta: Thank you, Bhoomika.

Atul Lall: Thank you, Bhoomika and thanks everyone.

Saurabh Gupta: Thank you, everybody.
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Atul Lall: Thank you. Really appreciate it.

Moderator: Thank you. On behalf of DAM Capital Advisory, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

Dixon Technologies (India) Limited

28th July, 2025

To
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ISIN: INE935N01020 Scrip Code - DIXON
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Dear Sir/Madam,

Sub: Transcript of the Q1 FY 26 Earnings Conference Call held on 22nd July, 2025

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q1 FY 26 Earnings Conference Call of the Company held on Tuesday, 22nd July, 2025.

The said transcript has also been uploaded by the Company on its website and the same is available at <https://www.dixoninfo.com/financial-performance> .

We request you to kindly take this on your record and oblige.

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar
Chief Legal Counsel & Group Company Secretary

Encl: As above

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"Dixon Technologies (India) Limited Q1 FY'26 Earnings
Conference Call"

July 22, 2025

MANAGEMENT : MR. ATUL LALL – VICE CHAIRMAN & MANAGING
DIRECTOR, DIXON TECHNOLOGIES (INDIA) LIMITED
MR. SAURABH GUPTA - CHIEF FINANCIAL OFFICER,
DIXON TECHNOLOGIES (INDIA) LIMITED
MODERATOR : MS. BHOOMIKA NAIR - DAM CAPITAL ADVISORS
LIMITED

Dixon Technologies (India) Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY'26 Dixon Technologies Earnings Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited.

Thank you, and over to you, ma'am.

Bhoomika Nair: Good Evening, Everyone, and a Warm Welcome to the Q1 FY'26 Earnings Call of Dixon Technologies.

We have the management today being represented by Mr. Atul Lall – Vice Chairman and Managing Director, and Mr. Saurabh Gupta – Chief Financial Officer.

At this point, I'll hand over the floor to “Mr. Lall for his Initial Remarks,” post which we'll open up the floor for “Q&A.” Thank you, and over to you, sir.

Atul Lall: Thanks, Bhoomika. Good evening, ladies and gentlemen. This is Atul Lall, and we also have on the call today our CFO – Saurabh Gupta. Thank you very much for joining the Earnings Call for the quarter-ended June 2025.

We have begun Financial Year '26 with robust all-round operational and financial performance. Our diversified portfolio, strong customer relationship, healthy order book, operational excellence and focus towards backward integration and creation of component ecosystem gives us confidence that we will continue our stellar track record of consistent performance and scale to new heights over the coming years.

To share with you the “Key Highlights for the Quarter”:

Consolidated revenues for the quarter ended June 30th, 2025, was INR12,838 crores against INR6,588 crores in the same period last year, growth of 95%.

Consolidated EBITDA for the quarter was INR484 crores against INR256 crores in the same period last year, with a growth of 89%.

The consolidated PAT for the quarter was INR280 crores against INR140 crores in the same period last year, which is a growth of 10%.

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Guided by our underlying commitment to financial prudence, we continue to demonstrate high level of discipline in managing our working capital cycle, which stood at negative four days along with a strong balance sheet with a net debt of negative INR214 crores.

We continue to deliver consistent improvement in our return ratios with return on capital employed of 49.1% and return on equity of 33.9% as on June 30th, 2025. This reflects our strength of our business model and these ratios will continue to serve as fundamental benchmarks in assessing strategic investment opportunities and guiding capital allocation decisions and ensuring alignment with the long-term goal of generating sustainable value for our stakeholders.

We continue to make strategic investments to expand our manufacturing capacities, enhance our

manufacturing capabilities and focus on deepening the component ecosystem, which would help us with resilience and future-ready business.

We will be filing our applications for display module, camera modules and precision components in the next week or so.

Now, I will share with you the "Business Performance and Insights of each of the Segments":

Mobile Phones:

The revenue for the quarter from mobile business was INR11,663 crores, a growth of 125% year-on-year and operating profit of INR395 crores, which is a growth of 131%. Out of this, revenue for telecom IT hardware, hearables and wearables was INR1,410 crores, INR247 crores and INR175 crores, respectively.

We witnessed a strong momentum in the quarter with healthy volume growth across various smartphone brands. Order books for Q2 Financial Year '25, '26 looks even stronger. Ahead of the festive season we e

xpect volume growth of at least 15% quarter-on-quarter.

Dixon remains the largest domestic manufacturer of mobile phones with high volume capability, best-in-class infrastructure. Construction of our 0.8 million square feet. mobile manufacturing campus is progressing well in Noida for our anchor customers with much higher capacity and is expected to be completed by March '26.

Approvals are expected for our 74:26 joint venture with Longcheer shortly and PN3 approval process for our 51.49 joint venture with Vivo is advancing well and also the application for our joint venture with HKC is advancing well.

We have signed a binding term sheet for 51% stake in Q Tech India for manufacture and supply of camera and fingerprint modules for the smartphones and we will be filing applications under the ECMS scheme shortly. Tentative agreements pertaining to the transaction are expected to be closed
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in another couple of months, and we expect the financials to start consolidating from Q3 of the current financial year.

Construction of our facility for display modules in which we have a 74:26 JV with HKC for first phase underway for smartphones and notebooks with trials to be commenced from Q4 this fiscal and commencement of mass production by Q1 of next fiscal. We will be filing the application for this under the ECMS scheme also in the next seven to 10 days.

Consumer Electronics, that is LED TVs and Refrigerators:

Revenue for the quarter was INR672 crores with operating profit and margin of 40 crs and 6% respectively. Out of this, the revenue for refrigerator business was INR328 crores.

LED TV:

Q2 of this fiscal looks very promising, and we have a healthy order book ahead of the festive season. We have a strong interest from some new brands of our ODM solutions and almost 70% of our sales would be from ODM solutions in LED TVs.

We are actively working on increasing the capacities and enhancing capabilities for manufacturing for industrial, institutional and automotive displays.

Refrigerators:

Within one year of operation we have been able to capture around 10% of the Indian market in direct cool category and seeing the encouraging response from the brands, we are now expanding the capacity to 2 million from current 1.2 million at the existing facility in Greater Noida.

We are also now foraying into new products in cooling division like frost-free, side-by-side mini bars, deep freezers and visi coolers. The outlook for '25, '26 is very promising with healthy order book, and we are confident of achieving 50% growth this fiscal. With capacity expansion and new product categories, the business is expected to contribute meaningfully in the next couple of years.

Home Appliances:

Revenue for the quarter is INR313 crores, operating profit of INR36 crores with a growth of 13% year-on-year with an operating margin of 11.5%. Our construction for capacity expansion for FATL in Tirupati will be ready by August '25 to meet the increased order book for our customers. Launch of semi-automatic washing machine in higher capacity categories of 16 and 18 Kg has already been done, and product will be launched by Q3 of the current fiscal.

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We have also now partnered with Eureka Forbes for manufacturing of robotic vacuum cleaners, which diversify the product portfolio. We have already started working on project for front load washing machine and have appointed a very senior Korean expat to drive this project.

Lighting:

Revenue for the quarter was INR188 crores. Our 50-50 JV with Signify that is Philips brand will commence operations from the first week of August '25 and expected to realize operating efficiencies through synergies, the addition of new product lines, including premium indoor and

professional lighting and potential export opportunities. We have got a first pilot order from one of the top retail cha

ins in the U.S., which are expected to be executed in the current quarter and aim to scale up this opportunity to a sizable business in the upcoming quarters. We are continuing and focusing and investing in automation to further enhance operational excellence.

Telecom and Networking Products:

This segment witnessed a strong growth with revenues of INR1,410 crores which is more than 250% growth.

Home broadband penetration in India continues to grow at a very fast pace, and we have been continuously building up more capacities and enhancing our manufacturing capabilities for 5G FWA that's fixed wireless access devices for our anchor customers.

We also have a very strong order book from our anchor customers on IPTV set-top boxes.

In line with the backward integration strategy, we have already localized components, including moldings and adapters and now focus on other critical parts with the objective of strengthening supply chain resilience, improving cost structure and the core margin expansion.

We are in advanced stage of discussion for a JV for a critical component for telecom devices. We see the telecom segment as a multi-year growth opportunity, and we are actively working on non-CP products now, laptops, tablets and IT hardware products. Our dedicated IT hardware product manufacturing unit in Chennai has started mass production of laptops and AIOs for HP and ASUS. The order book for Lenovo is picking up every month and expect a strong revenue growth in coming quarters. We are excited about the long-term opportunity for this segment.

Our 60:40 JV with Inventec one of the world's top 5 PC ODMs for manufacturing of notebook PC products, servers and desktop PCs is expected to be operational by Q1 of next fiscal.

We have signed a binding term sheet of 74:26 JV with Chongqing Yuhai for precision components for mechanicals and metal parts for existing customers for notebooks and further be extended to Dixon Technologies (India) Limited

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smartphone and various other product categories. We will file for this category also our application under the ECMS scheme shortly.

We are also pursuing potential partnership for components like SSD, memory modules and power supply to leverage the IT hardware PLI scheme.

Wearables and Hearables:

Revenue for this segment was INR175 crores for the quarter with healthy operating margin and very good ROCE. We have a strong order book in this business. We have also now added dash cam and smart watches to our product portfolio with the existing customer, and we are also in discussion with new brands and increased focus on backward integration and localization.

At Rexam Dixon Electronics:

The JV with Rexam achieved highest quarterly revenue of INR144 crores with very healthy operating margin and high ROCE. We have finalized a new manufacturing location at Chennai for meeting the increased order book for our anchor customer, which is expected to become operational by Q4 of this fiscal.

I would like to stop here, and me and Saurabh are there to address any questions. Thank you so much.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Siddharth from Nuvama Capital. Please go ahead.

Siddharth: Sir, first question is on this camera module JV. So, can you share some more thoughts about how should we think about the ramp-up here in terms of volume and market share, which they have, who are the key customers? And as and when they come with us in the JV, how should the ramp-up look over the next couple of years?

Atul Lal: So, Q Tech is one of the five largest camera module manufacturers globally. They have a running factory in India. And already in India, they are supplying to all the major Android brands. That is Vivo, Oppo, Xiaomi, Motorola. They have a large market share there. Just to give you a thumb rule kind of a thing, in every mobile, there is almost 3.2 camera modules going in. So,

the Indian market

is around 450 million, 475 million camera modules. Last year, they did around 40-odd million camera modules. Dixon in-house consumption itself of camera modules is going to be almost in the next two years, reaching 180 - 190 million. So, we want to ramp it up to that level, plus whatever we can sell to the in-house consumption, in-house manufacturing of the various brands. So, that is the addressable market we are looking at. In last year, they have done a revenue of almost INR1,977 crores. We feel that over the next four, five years, this business is going to be somewhere around INR5,000 crores.

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Siddharth : Got it, sir. And how do you see the investments here for both the initial investment of the 51% stake and subsequent investments going ahead? And similar for the Chongqing JV, any numbers there in terms of investments and revenue ramp-up you are looking at?

Atul Lall: So, there is some investment going into the purchase of shares from present owners. And this is almost around INR400-odd crores. Balance INR 150-odd crores is going to go for the CAPEX use into the company. And this is required for the capacity expansion of deepening of manufacturing of what we plan to do. So, this is the nature of transaction. And in Chongqing, the contours are still being worked out.

Saurabh Gupta: The numbers are yet to be worked out. It will be worked out in the next couple of months.

Atul Lall: But we feel the investment there, the total project cost is going to be INR 100 odd crores.

Siddharth : Okay. Okay. So, given these investments now for the year, how do you see the total CAPEX and investment spend for the company, if you can describe us broadly?

Atul Lall: Yes. So, you see in 1st Quarter, we have made a Capex of around INR287-odd crores and we feel another INR800 crores to INR900 crores is going to go into this.

Saurabh Gupta: Yes. So, combination of expansion, capacities and also Q Tech acquisition. I think so yes, by end of this year, we should be closing at a number of closer to anywhere between INR1,150 crores to INR1,200-odd crores total.

Siddharth : Got it, sir. Sir, lastly, on consumer electronics, we have seen a very sharp fall in the volumes or the revenues consistently. So, what is the outlook there? When do things start turning around? Or do you think it may take some time before we do see any meaningful improvements here?

Atul Lall: So, undoubtedly, in the 1st Quarter, we have had a significant miss on the television business, although the refrigerator business has done exceedingly well. In Q2, the order book looks good. We should be back to almost 800k in Q2 of this business. And 70% of this business is through the ODMs solutions.

Siddharth : Got it, sir. Thanks a lot.

Moderator: The next question is from the line of Darshil Pandya from Finterest Capital. Please go ahead.

Darshil Pandya: Sir, my question was in similar lines with the earlier participant. I just wanted to understand the security surveillance system business. And how are we planning to cope up with the government's new targets of just installing in the trains and now the CBSC boards? What I have heard is that 80% - 85% of the business is all imported, and it is just assembled. So, wanted your clarity as to what we are doing in this business.

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Atul Lall: So, we only have a minority stake of 6.5%. Please appreciate our CCTV business has been merged into Aditya Infotech, in which we have 6.5% stake. So, that is our limited interest in that business.

And yes, it is going through a different route of public markets, which I think will be a significant value creator for Dixon. So, we are not running that any more.

Darshil Pandya: Okay. And as per your 2024 annual report, we have plans to scale this capacity from 12.25 million to 21-odd million. So, where are we standing today? I might

need to understand?

Saurabh Gupta: In the CCTV business, as already explained, so last year, we did a transaction where we sold our 50% stake to our JV partner Aditya Infotech and as part of the transaction, we have taken 6.5% in their branded entity, and that entity is now an IPO. So, we are a minority shareholder. So, we are no more running that business.

Darshil Pandya: So, basically, this will be under the shareholding? Got it. Do we have also plans to run this separately or we want to be a kind of investors in Aditya Infotech?

Atul Lall: We are the minority partners of Aditya Infotech.

Darshil Pandya: Alright. Thank you. I will get back in the queue.

Moderator: The next question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: My first question is on the Longcheer JV. Earlier, we were having just a contract with Longcheer, now we are going the JV route. Just wanted to understand the rationale for that and how volumes are likely to be shaping up versus what our initial expectations were? That is the first question. And a related question is on some of the JVs and arrangements that we are now having with Chinese companies, whether it's Longcheer or Vivo or Q Tech or HKC, if you could just kind of give us some indication about what the status of government approvals is? Are we seeing any challenges around that?

Atul Lall: In Longcheer, it is one of the largest ODMs globally in the space of mobile and certain other IoT products. We are having a 74:26 JV. Our information is that we will be getting PN3 approval very shortly. Now in the mobile space, they are a large player with a large customer base, and they are a large outsourcing partner of various global brands, which is even beyond Chinese brands. And this firms up our relationship and secures our business in also the post PLI scenario. Further, it helps us in deepening the manufacturing because they have a huge strength in the supply chain. And also, they are helping us in expanding the product portfolio beyond smartphones. Further, there is also a commitment of setting up a joint design center. So, for us, strategically, it is a very important move in becoming a much larger and much deeper player in this whole ecosystem. The second JV

application under PN3 that we applied for is for a display module with HKC. HKC is one of the largest global fabs within top five. And in phase 1, we are setting up a unit with a capacity of 2 million displays per month, which is going to be for mobiles, which is going to be expanded to 4 million displays. Also, we are setting up a line for 1.8 million of notebook displays. And also, these lines are fungible for automotive displays, both for two wheelers and four wheelers. And we are looking at a business case for setting up a TV module display line. So, we are expecting to make a CAPEX over a period of time of almost \$130 million. The factory of 400,000 square feet is under construction. I think, in the next 45 days or so they will start handing over. In this, JV application is under approval. The PN3 is under approval. We are pursuing with the government. We feel that we should be able to get it in a couple of months. In any case, the execution of JV or execution of this project is not hinging on the PN3 approval. The project installation, the project implementation is carrying on parallelly. The third is a JV application under PN3 for acquisition of 51% of the manufacturing arm of Vivo, and that is also under evaluation. That is going well. We feel that we should be getting it again in the next 60 days or so. And post that, the consolidation and execution will start happening. Among the fresh applications for Q Tech, we do not need a PN3 because the unit was set up before the PN3 notification came. It is going to be something similar to our acquisition of Ismartu. In the case of Yuhai Chongqing, we are going to be filing a PN3 application.

So, yes, once the binding term sheet has been signed and the teams are going to be working and we feel that we should be filing the PN3 application in the next 30 to 45 days.

Aditya Bhartia: Understood, sir. Understood. And just one last thing on lighting exports. If I heard you correctly, you spoke about some export order from one of the US retail companies. If you could just throw some light on that and how we are looking at the lighting business after the JV with Signify?

Atul Lall: So, before answering to your question on exports, I will touch upon that slightly later. Let me give you the business thesis behind the lighting joint venture. You see please appreciate lighting globally and also the case in India, particularly the consumer-facing lighting and in the domain in which Dixon operated, which was largely LED bulbs, down lighters and tube lights, batten. There has been a huge deceleration in prices and also a huge commoditization. So, that is the reason we went in for this joint venture, a 50-50 joint venture with Signify. So, more volumes are going to come. More than that, what happens is that it shifts our manufacturing footprint to premiumization. The product portfolios being expanded into is largely on the premium side. And this new product portfolio, and we are working on hundreds of new products because the combined strength of Signify and Dixon R&D is working on that. Some of them are existing solutions. Some of them are new solutions is going to be not only for Signify, but for all the other existing customers. Further, it helps us in accessing the global market. So, we are excited about it. We feel there is going to be significant growth and also this operating leverage. So, one, it is going to be heading towards premiumization. Second, it is going to give us an operating leverage to manage our cost better. So, that is the thesis on which we are working. And we feel that it is going to give us results. Now on the export side, there is a large retail chain. I am not in a position to share the name of it, which has placed an order on us, which is a pilot order, mainly in the area of strips and ropes, strip and rope lighting, which is going to be executed in this quarter. We feel that this should scale up over a period of time.

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Aditya Bhartia: Understood, sir. That is very helpful. Thank you.

Moderator: The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav: Just wanted to understand how the valuation was arrived at for the Q Tech acquisition. So, if the revenue is about INR2,000 crores, I am assuming 5%, 6% EBITDA margin and if it's growing to like INR5,000 crores in four, five years' time, just if you could help us understand how the valuation was arrived at about INR1,000 crores for this entity?

Saurabh Gupta: Yes. So, basically, the revenue is INR2,000 crores, they have an EBITDA margin of broadly 7%, 7.5%, so broadly at INR150 crores of EBITDA and INR72 crores kind of a PAT, this is the last reported numbers. So, if you look at the valuation, the 15x of broadly PAT that we have given or in terms of EV EBITDA, it will be closer to 9, 10x.

Madhav: Okay. I am just trying to understand like how does the valuation get arrived at given where the sector trades at in India and the growth is pretty strong, like 2.5x growth in sales in like four, five years' time, so just trying to understand the valuation that, like how does that get arrived at?

Saurabh Gupta: It is a negotiated valuation, and basically both the partners are bringing their own synergies on the table. So, we bring in a large Android ecosystem. We bring a large customer access. They already have the technology. And so both the partners are bringing. So, it is more of a negotiated kind of a deal. We think that both partners can bring in their respective synergies over a period of time.

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together, we can make this business scalable from INR2,000-odd crores to INR5,000 crores. And also, we feel confident that with both deepening of manufacturing happening in India and also by leveraging on this ECMS PLI scheme, the margins potentially, which is 7%, 7.5% can go to 9%, 9.5% in the coming years.

Madhav: Understood. And just the smartphone volumes, please, for Q1?

Saurabh Gupta: Smartphone volumes for Q1 was almost INR9.6 million.

Madhav: And the feature phones?

Saurabh Gupta: Feature phones was closer to 5.7 million.

Moderator: The next question is from the line of Piyush Khandelwal from Motilal Oswal. Please go ahead.

P Khandelwal: Thank you, Atul, sir and Saurabh, sir. Just wanted to ask, do we have any plans to get into the bare PCB manufacturing as well because that might help us in getting more of backward integration as well?

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Atul Lal: So, Piyush, as of now, we are not pursuing it. We were working on strategic acquisition. To be candid, we are working on a very tight timeline so that we can file the applications of ECMS and leverage the government policy framework. So, as of now, no. But definitely, we feel that PCBA is a very large opportunity. Now the next phase of the line is to create a business resource and a strategy for pursuing that opportunity undoubtedly.

P Khandelwal: Maybe something for industrials, automotive, PCA.

Atul Lal: One domain we are going to aggressively pursue.

P Khandelwal: Okay. Sir, just the reason why I am asking this is because the government is providing subsidies anyways in this latest component PLI scheme. So, we can anyways take advantage of that. So, that will be like much more lucrative as well, apart from just PCBA, which you said as a very, very lucrative opportunity.

Atul Lal: So, as of now, Piyush, we are not pursuing at least the ECMS scheme for PCB, bare PC.

Saurabh Gupta: So, Piyush, we are focusing on other components, but yes, we feel that other components -

Atul Lal: See, our sense, Piyush, is that there is a large surplus global capacity as far as PCB is concerned, bare PCB. Second, there is no duty arbitrage. It is an ITA-1 category. So, the government cannot create duty arbitrage in this particular component. So, the financial metrics is different. But I think it is a matter of perception, and each business was having its own view. And we have pursued the other parts of the component ecosystem.

P Khandelwal: Got it, sir. Thanks.

Moderator: The next question is from the line of Ankur from HDFC Life. Please go ahead.

Ankur: Hi, good afternoon, sir. Thanks always for your time. Two questions on the cell phone business.

One, obviously, Q1 has been very strong, volume growth, top line growth again, extremely strong.

And I think in one of your comments, you said you are looking at another 15% QoQ growth as well given the way order books are with you. So, if you could just help us what is driving that growth?

Is it also scaling up of exports for one of your anchor clients in the US? Is it more domestic volumes? New customers? So, just some more insight into what is driving that growth. And if I remember right, you said about 40 million to 43 million annual numbers for the cell phone business. So, are you broadly sticking to that?

Atul Lal: So, our order book, Ankur, is looking good for smartphones. As Saurabh just shared the number, we did around 9.6-odd million in Q1. And the order book is I think we should be somewhere at around 11 million to 12 million in Q2. Now this is a mix of better performance of our customers, both in the domestic market and also a significant flip of our anchor customer for global markets.

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This is a combination. Q2 looks good. And we are confident that our final numbers of 42 million, 43 million, we are going to hit. Please appreciate all these numbers we are talkin

g about without the

Vivo share.

Ankur: Sure. Okay. And just follow-up there. Given that the PLI obviously comes to end in FY'26 and our guidance of course, is to get to 60 million next year. I know this question may have been asked to you earlier as well as how do we both retain and take on more customers, right given that the PLI will not be there. So, are we cost-competitive enough? I know customers could also be sticky given our relationship with ODMs and the kind of scale we have. But if you could just spend a minute here where the scenario you see post PLI at the moment?

Atul Lal: Yes. So, it is a combination of primarily three factors, Ankur. One is to deepen relationships with the customer and our large scale we generate in operating leverage. Second is the nature of our relationship with the customers is bound through JVs. Please appreciate the relationship with banks and also Vivo into JV route. Third is our foray into backward integration of camera modules of displays. Now this gives us a significant advantage and gives us a competitive edge. So, we have done the number crunching, and we feel that we will be able to more than adequately compensate

for the PLI component. So, that is what the strategy is.

Ankur: Great. Thank you so much. All the best.

Moderator: The next question is from the line of Vipraw Srivastava from PhillipCapital. Please go ahead.

Vipraw Srivastava: Hi, sir. Just a couple of questions. Firstly, sir, on the camera module expected revenue, currently, Q Tech is doing INR 2,000 crores revenue for 5 crores camera modules. Correct me if I heard it right, but I heard you said the 20 crores camera module is expected. So, if I just multiply, the revenue should be INR8k revenue, right?

Atul Lall: What I was referring to is the addressable market. The revenue that we have taken in the budget is a certain percentage of the addressable market.

Vipraw Srivastava: Okay. So, you are saying out of INR20 crores, you will do some volume, and that is why INR 5K, right?

Atul Lall: That is right. That is right.

Vipraw Srivastava: Okay. Got it, sir. And sir, secondly, just a quick follow-up on the minority interest, correct me if my understanding is correct, what I feel is minority interest is primarily derived from Ismartu and the Airtel subsidiary. So, both these segments have gone up QoQ, still minority interest has declined QoQ. So, can you please explain where the disconnect here?

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Saurabh Gupta: Yes. you are absolutely right. One is on account of Ismartu, second is on account of the telecom JV with Airtel is a 49% partner and also the Calfonix, which is basically a JV marketing for the board brand. So, last quarter, I think so we also had some numbers coming in from our AIL Dixon which was basically sold out subsequently. So, that is mainly AIL difference.

Vipraw Srivastava: Got it, sir. Got it. And sir, lastly, the 15% QoQ was expected, is it fair to assume that revenue growth will be in line or better than this? .

Saurabh Gupta: Revenue growth should be in line. Export revenues in Q2. So, yes, it can be slightly better as compared to Q1.

Vipraw Srivastava: Sure, sir. Thanks a lot.

Moderator: Next question is from the line of Anupam Goswami. Please go ahead.

Anupam Goswami: Overall on non-mobile phones where do you see the size of this growing in the next three years? And what are the categories to lead this?

Atul Lall: So, when you are looking at the non-mobile business, we feel that our telecom business in a year or so, can touch a revenue of almost INR5,000 crores. We feel in a couple of years our refrigerator business because in phase one we are expanding our capacity to 1.2 million and then to 2.2 million can be somewhere between INR2,000-2,500 crores. Washing machine, we are further expanding the capacity from 3-odd million to 3.8 million. The current revenues of almost INR1,200 crores may g

o to INR1,800, 2,000 crores. Lighting through a JV, we are confident that from INR850 crores, INR 900-odd crores can double to INR2,000 crores. So, these are the numbers. Similarly, with the hearables and wearables business, there is going to be an organic kind of a growth. The new verticals which we are pursuing is mainly the IT product which we are already focusing up to ramp up. We feel that in a couple of years' time that again revenue can be somewhere in the range of INR3,000, 3,500 crores. That is going to help us in blended margins.

Anupam Goswami: Okay, got it, sir. One more question is, there has been reports on media news is Motorola sharing or distributing its own EMS manufacturing. So, are we losing any share on Motorola or any other Longcheer or anywhere?

Atul Lall: So, Motorola has got another EMS. But please appreciate that almost 80% of Motorola requirements, in fact more than that is with us.

Anupam Goswami: Okay. Got it, sir.

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund. Please go ahead.

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Naushad Chaudhary: Hi, thanks for the opportunity. Two questions. First, we have multiple projects in hand. Many of them are new for us. So, just wanted to understand from a management bandwidth product if you can help us understand how are we positioned? What are the key hirings we have done in last one year? And what are the gaps or is there any difficulty in terms of fixing the requirement of the management?

Atul Lall: So, undoubtedly, we are significantly address in growth path. So, talent recognition is an ongoing process. We have recently hired vice president, strategy and digital transformation. We have hired vice president for our components business. We have hired an expat from Taiwan to our display manufacturing and business. We have hired a Korean expat to hit our R&D for washing machines and appliances. We have hired a vice president, HR. So, many, many hirings are on, but of course, it has to be scaled much more. So, we are working hard on the talent acquisition. And I think today, we are in a sweet spot wherein we are able to get the talent.

Naushad Chaudhary: And second, on the cell phone business, just wanted to understand, does your export business give you better ASP versus domestic? And if that is the case, can the productivity for the staff or straight to the margin of export business could be better than the domestic?

Atul Lall: So, ASP for export, which is largely at present of our anchor similar is almost similar to our domestic ASP. But exports, please appreciate it is a complex business and there are some ramp-up requirements wherein we have to invest more in the organization. So, the margin level finally is going to be similar, but initially, the costs are going to be more, but finally, the margins are going to be similar.

Naushad Chaudhary: Alright, sir. All the best. Thank you.

Moderator: The next question is from the line of Abhishek Ghosh from BPS Mutual Fund. Please go ahead.

Abhishek Ghosh: If I broadly look at your FY'27 mobile guidance of that INR6 crores, INR 6.5 crores, your market share will be fairly high at broadly 45%, 50% if we exclude some of the brands, which typically do not outsource. In terms of the Longcheer JV that you kind of announcing, do you think there could be upsides to that and how should one look at the export mix as far as FY'27 mobile targets?

Atul Lall: So, yes, Longcheer will be an upside, that number that we are talking. Export last year it was around INR 1,600-odd crores. We feel in the current year of '25-26 should hit INR 7,000 crores. We feel because we are working on another large export opportunity. I cannot share the granular details as of now. We feel that this number of INR7,000-odd crores can ramp up to almost INR11,000, 12,000 crores.

Saurabh Gupta: So, basically, Abhishek, the way you should

look at is, though the number may be 65 million or which you mentioned, but that would have a decent export element also. If we exclude that, then our market share may not be that much as compared to the number that you just mentioned.

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Abhishek Ghosh: Got it. And does this Longcheer JV also open up some of the export opportunities for you, right?

Atul Lall: To start with would be largely domestic.

Saurabh Gupta: Initially, it will be domestic, Abhishek, but over a long-term period, mid-term period, yes, it can open up opportunities.

Abhishek Ghosh: And sir, the last question is in terms of the margin profile for the mobile segment. With the backward indication you are doing with the JV partnership and other things that you move in from a 15%, 17% of bill of material to almost something like in excess of 35% to 40% and PLI going away in some time, how should one broadly look at the margin trend as far as mobile is concerned?

There will be as an operating leverage factor also. So, how should we look at it?

Saurabh Gupta: Yes. So, the math that we have done, we think that FY 27-28 and of course a large part of it will start reflect in FY 26-27 when the PLI also goes away. In FY 26-27, we think we can expand the margins. Even after taking into account the PLI margin, which is our share of PLI margin going away, we can expand the margin to almost 120, 130 bps in FY 26-27 and which should even be higher in FY 27-28 once it is completely ramped up, and we have expansion of mobile displays, we have more TV and automotive displays coming in. So, we think FY 27-28 can be a further margin expansion as well.

Moderator: The next question is from the line of Neeraj Jain from BNP Paribas. Please go ahead.

Neeraj Jain: Sir, my first question is on the Inventec JV. Just wanted to understand what kind of products we are working on under this JV and when we say that we will also be getting into the servers, so does that include a part of the broader addressable market like overall servers of around \$5 billion., so just wanted to get a better sense what exactly are we looking to cater to under this JV with Inventec?

Atul Lall: This is a 60-40 JV, wherein we have 60% and Inventec has 40%. It is going to be for note books, it is going to be for AIOS and also is going to be for servers. Inventec is one of the top 5 global ODMs in the IT product space. And also, they are going to help us with the backward integration play. So, this JV of ours with Chongqing Yuhai, that is a large vendor to Inventec and HP. Also, we are exploring the possibilities of SSD and memory modules in this JV. So, this is the mandate for this JV.

Neeraj Jain: Sure, sir. So, this SSD and memory module would be with some other partner, right?

Atul Lall: So, we are evaluating that. Inventec has an in-house capability.

Neeraj Jain: And sir, second question is on Longcheer JV. So, just wanted to understand, do we have a similar kind of Vivo JV which around 65% to 70% of their volumes in India are tied up under that JV. So,

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how are we looking at like a difference in the incremental volumes that might come when we go through a JV route?

Atul Lall: So, as I mentioned to the earlier participant, when Abhishek was asking that question, so once the JV is formed, we feel that practically all Longcheer volumes are going to be with us which is going to be a further upside.

Saurabh Gupta: So, basically, Longcheer is a large ODM partner for a lot of mobile brands. So, they have a very

deep relationship with them. So, we feel that once the JV is concluded and they also happen to be an equity partner in that, then those volumes can potentially be part of the JV.

Moderator: The next question is from the line of Girish from MS. Please go ahead.

Girish: Just a couple of questions, if I missed, sorry. On the CAPEX part, I wanted to und

erstand the

outlook for this year and next year for the core EMS business and the component across the three portions, which is display modules with HKC, the CAPEX that you are likely to do on camera modules with the new tie-ups and the mechanicals tie-up? And then I had a follow-up. .

Saurabh Gupta: Yes. So, Camera, broadly, we have mentioned that we will be doing a CAPEX. It is an acquisition. So, it is a combination of buying out their existing shareholders and also putting some primary money in the company to meet the CAPEX and also deepen the level of manufacturing. So, camera and displays put together, we would be doing a CAPEX closely to almost, I would say, INR750 crores to INR800-odd crores this year and broadly the other part of the CAPEX, the INR300 crores, INR400 crores can be the expansion of capacities and other things.

Girish: And on the core EMS side, how much would be the CAPEX that you would do this year?

Atul Lall: So, this number that Saurabh mentioned includes that.

Girish: The INR750 crores plus INR300 crores, so INR1,000 crores across all businesses...

Atul Lall: Somewhere around INR1,100 and INR1,200 crores.

Girish: And sir, what is the current margin profile that you have for the camera module acquisition? And what are the working capital days, if you can help on that?

Atul Lall: So, the EBITDA margins are somewhere in the range of 6.5% to 7%.

Girish: I was just enquiring this in context of tariffs because presently, I believe there is a 10% import tariff that exists on camera modules and margins of this entity at 6.5%, 7%. So, is there like a royalty fee that this company is paying to the parent or how is the math's working out for them? And you mentioned in one of the interviews to the media that you are looking to increase the margin. So, just Dixon Technologies (India) Limited

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wanted to understand the levers to increase and how that will come through on the margin side because previously, on camera modules, I believe, on all components, you've been talking about mid-teens number on margins, but this number is quite low. So, just wanted to reconcile what value addition will happen to increase it versus what we were earlier thinking of mid-teens to begin with?

Atul Lall: For camera modules, we never mentioned it is going to be mid-teens. Please appreciate that when you are doing the manufacturing in India and to secure more orders, you have to share some advantage with the customer also. That is where it makes the business case. So, we plan to invest to further deepen the manufacturing. And also, there is going to be a PLI coming in into this business through the ECMS route. So, we are confident that the EBITDA margin in this business would come up to almost 8.5%, 9%.

Saurabh Gupta: This will be a combination, Girish, of operating leverage coming in on account of increased volumes of basically our customer access to them. Second, the PLI benefit as part of the ECMS scheme. Third is more deepening of manufacturing. So, they are doing a particular manufacturing process, which once we put in money in the company, which also gets qualified for the ECMS committed CAPEX. Once, it deepens the level of manufacturing. So, on deepening, you are able to capture more value here, so which increase the margins and then the operating leverage and then the PLI benefit. So, we feel confident that the 7%, 7.5% margin can potentially go to 9%, 9.5% margin over the next couple of years.

Moderator: The next question is from the line of Keyur Pandya from ICICI Life Insurance Company Limited.

Keyur Pandya: Just two questions. So, first, on the broad timelines of all these JVs, so Inventec, Chongqing and HKC JV and as well as Q Tech, what kind of ramp-up we should expect over the next two years considering that they are relatively new category, and it takes some time for setting up plants and approvals as well? So, how should we think about, say, commissio

ning and ramp-up of these JVs?

That is first question. Second, on the mobile export side, I mean, is there a business case except for US where there are some restrictions on Chinese manufacturing to make phones from Indian export, which is competitive versus China, does that make any sense in terms of such a commercial math? So, that is the second question.

Atul Lall: To first part of your question, Q Tech is a running factory. So, once we are able to conclude the deal, which we feel should happen over the next two, two and half months, we will start consolidating the results and then we can start ramping up. As we have shared in the deliberation that finally, we aspire to reach the revenue of INR5,000 crores over the next four to five years. As far as the HKC display unit is concerned, the construction is on. We are targeting to do the trials and pilots in Q4 of the current fiscal and the revenues going to start getting booked in Q1 of '26, '27. Finally, the aspiration is that we should be able to do 4 million units of mobile displays, 1.5 million to 1.8 million units of notebook displays and we feel that we should be able to do almost 2 million to 2.5 million units of automotive displays. That is the plan. The Inventec JV, we target to

start in Q4 of the current fiscal or Q1 of the next fiscal. For the new JV of Chongqing Yuhai, the Dixon Technologies (India) Limited
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plan that is still being drawn. It is going to take some time. As far as the Vivo JV is concerned, we are waiting for the PN3 approval and then we will conclude it.

Keyur Pandya: And just second question on the export opportunity -

Atul Lall: We have already started exporting to Africa. And we feel that we will be able to meet the cost targets. And this is a large opportunity that we are working upon with one of our anchor partners.

Keyur Pandya: Okay. Thanks a lot, and all the best.

Moderator: The next question is from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.

Teena Virmani: Congrats for the great number, sir. Sir, my question to some extent is already answered regarding the camera module and precision components. Just wanted to get some sense from you regarding the margin improvement that can start happening. Can it start getting reflected in the financials from FY'27 first half or second half once the PLI goes away and simultaneously, your display and camera module and precision components simultaneously quarter-by-quarter they can add up to the margin improvement?

Atul Lall: That is what we are working on, Teena. It is going to be slightly slow of enhancement of the blended margins through the component route in first half. But I think second half, we are confident.

Saurabh Gupta: Something like cameras and displays would start to reflect in the margin, something like the precision components may take some more time. Yes. Effectively, the full impact would start coming in second half of next financial year or somewhere after the 1st Quarter.

Teena Virmani: Okay. So, you are in discussions with the existing clients also to accept the camera module and the display that you all would be manufacturing?

Atul Lall: That is right. Our existing customers, the brands they are already using Q Tech.

Teena Virmani: Understood. And lastly, just a small question. How is the scale up expected from this Vivo JV, like this 60 million, 65 million volumes that you have mentioned, does it include Vivo volumes or this is not including Vivo volumes?

Saurabh Gupta: That includes the Vivo volumes. The large upside would come in from Vivo volumes.

Atul Lall: Vivo has almost 22% share of the Indian market which is almost 30-35 million numbers and two-third of that volume is going to be done in JV. So, finally, when everything is consolidated, we expect that volume to be almost 18 million to 20 million. That is how we are talking about it
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because in the current fiscal itself, we are targeting almost 40 million, 42 million and another 20, 25 million is going to come from the Vivo bucket.

Teena Virmani: But that may come by end of FY'26?

Atul Lall: That is right.

Teena Virmani: Understood. Thank you, sir.

Moderator: The next question is from the line of Amber Singhania from Nippon Mutual Fund. Please go ahead.

Amber Singhania: Congratulations on good set of numbers. Sir, just two questions from my side. One, if you can help us understand what kind of volumes Longcheer do in India with the various brands? And second thing is when we will be doing backward integration, how easy and difficult given the approvals for various components, be it your display module? I understand Q Tech already has for the camera module but for the display and others how easy and faster to shift our brands or the brands which we are making for these components?

Atul Lall: To your first part of the question, our estimate is Longcheer volumes in India would be somewhere around 25-odd million. Q Tech, we explained to you that most of the brands are already using Q Tech. As far as the display modules are concerned, some of the brands are using HKC. For other approvals our HKC China team and our India team have already started working with the brand owners because this approval is required in the POC stage. So, they are already on the job for getting the approvals done.

Amber Singhania: Okay. But by the time it will be operational, we are positive that it should get approved by then?

Atul Lall: So, it is going to happen in phases. We are confident of EBITDA.

Saurabh Gupta: HKC supply these android brands, but every model is different. Teams will be working. It will happen in phases, but that model-by-model, it will keep happening.

Amber Singhania: Okay. And just one last question if I may. In terms of margins, you mentioned about the Q Tech's 6%, 7% margin moving up to 9%, 9.5%. Similarly, if you can help us understand what kind of normal margins we can expect in HKC or display module as well as on the mechanics?

Saurabh Gupta: Mechanicals, the numbers are yet to be worked out. It will work out in a detailed business plan along with them on the opportunity side.

Atul Lall: Please be rest assured on the mechanicals for the laptops the margins are going to be very robust.

Saurabh Gupta: It will also be in double digits.
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Amber Singhanian: And this is also in double digits?

Saurabh Gupta: It is higher double digits, yes.

Amber Singhanian: Thank you sir and all the best.

Moderator: Ladies and gentlemen, in the interest of time, we will take this as a last question. I would now hand the conference over to Ms. Bhoomika for closing comments and over to you, ma'am.

Bhoomika Nair: Yes. On behalf of DAM Capital, I would like to thank all the participants, and again, thank you very much to the management for giving us an opportunity to host the call. Thank you very much, sir, and wishing you all the very best. Any closing comments from your end?

Atul Lall: Well, thank you, Bhoomika, and thanks to all the participants for being with us. And yes, we have already shared the strategy journey way forward. So, thanks for being our stakeholders and supporting us. Thank you so much.

Saurabh Gupta: Thank you, everybody. Thank you so much. Thank you, Bhoomika.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

Dixon Technologies (India) Limited

24th October, 2025

To
Secretary
Listing Department
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 051

Scrip Code – 540699
ISIN: INE935N01020 Scrip Code - DIXON
ISIN: INE935N01020

Dear Sir/Madam,

Sub: Transcript of the Q2 FY 26 Earnings Conference Call held on 17th October, 2025

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q2 FY 26 Earnings Conference Call of the Company held on Friday, 17th October, 2025.

The said transcript has also been uploaded by the Company on its website and the same is available at <https://dixoninfo.com/financial-performance> under the head- Earnings Call Transcripts (2025-26 Quarter Q2).

We request you to kindly take this on your record and oblige.

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar
President- Chief Legal Counsel & Group Company Secretary

Encl: As above

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CIN: L32101UP1993PLC066581

"Dixon Technologies (India) Limited Q2 FY '26
Earnings Conference Call"

October 17, 2025

MANAGEMENT : MR. ATUL LALL – VICE CHAIRMAN & MANAGING
DIRECTOR, DIXON TECHNOLOGIES (INDIA) LIMITED
MR. SAURABH GUPTA - CHIEF FINANCIAL OFFICER,
DIXON TECHNOLOGIES (INDIA) LIMITED
MODERATOR : MS. BHOOMIKA NAIR - DAM CAPITAL ADVISORS
LIMITED

Dixon Technologies (India) Limited
October 17, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Dixon Technologies Q2 FY '26 Earnings Call hosted by DAM Capital Advisors.

As a reminder, all the participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by using "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you, and over to you, ma'am.

Bhoomika Nair: Thank you, and good evening to everyone. Welcome to the Dixon Technologies Q2 FY '26 Earnings Call.

The Management is being represented today by Mr. Atul Lall – Vice Chairman and Managing Director, and Mr. Saurabh Gupta – Chief Financial Officer.

At this point, I will hand over the floor to Mr. Lall for his "Initial Remarks," post which we will open up the floor for "Q&A." Thank you, and over to you, sir.

Atul Lall: Thanks very much, Bhoomika. Good evening, everyone. This is Atul Lall, and joining me today is our CFO – Saurabh Gupta.

Saurabh Gupta: Good evening, everybody.

Atul Lall: We thank you all for taking time to join us to discuss our performance for 2nd Quarter FY25-'26. Key highlights for the quarter are below:

Consolidated adjusted revenues for the quarter ended September 30, 2025, was INR 14,858 crores as against INR 11,528 crores in the same period last year, and that is a growth of 29%.

Consolidated adjusted EBITDA for the quarter was INR 564 crores against INR 420 crores in the same period last year, a growth of 34%.

Consolidated adjusted PAT for the quarter was INR 323 crores against INR 236 crores in the same period last year, growth of 27%.

As you would be aware, the announcement of the reduction in GST rates in mid-August led to a significant postponement of purchases across the trade and consumer channels. Between August mid and 21st September, most customers and retailers deferred buying decisions in anticipation of the lower post cut prices.

Although demand began to normalize after the new GST rate came into effect on September 22, the short window of 9 days before the quarter end was insufficient to fully recover the deferred

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volumes. As a result, our Q2 top line reflects this time distortions specifically by the TVs,

refrigerators and washing machines.

Upholding our focus on financial discipline, we efficiently manage our working capital cycle at negative 6 days, complemented by a strong balance sheet reflecting a net debt position of INR 203 crores. We continue to demonstrate consistent improvement in our return ratios with return on capital employed of 49.1% and return on equity at 34.3% as on September 30, 2025, reflecting the inherent strength and resilience of our business model.

In the first phase of a 74:26 JV with HKC for display modules, we are creating a capacity of 24 million per annum for smartphones and 2 million units per annum for notebooks, which would be for 76% of captive consumption.

In the second phase, we will enhance this capacity to 60 million units per annum for smartphones, which will account for almost 80% of the captive consumption. And we will also foray into display for LED TVs and automotive with a capacity of 2 million and 1 million units per annum, respectively. The margins in this segment will be in higher double digits.

We acquired 51% stake in Q Tech India for manufacturing and supply of camera and fingerprint modules for smartphones, IoT and automotive applications, and have started consolidating the financials from 26 September '25.

In the next 6 to 9 months, investments would be made to expand the capacities and deepen the level of manufacturing. And we feel confi

dent that the volume of smartphone camera modules

can increase from 40 million units and revenues by INR 2,000 crores in large financial years to 190 to 200 million units per annum with the revenue closer to INR 6,000 crores to INR 7,000 crores and sub-10% EBITDA margins in the next two to three years.

In line with our backward integration strategy for automotive components like display, we will also increasingly focus on automotive camera modules under this company. We have filed a components ECMS applications for display modules, camera module enclosures, lithium-ion batteries, optical transceiver - SFP and also mechanical enclosures with investment commitment of approximately INR 3,000 crores over the next three years.

So, this is going to be the next phase of growth, which will also lead to margin expansion in our business as we look ahead to remain optimistic about medium to long-term prospects for the Indian electronics manufacturing ecosystem.

Now I will share with you the "Business performance and insights" in each of the segments:

Mobile and EMS:

Revenue for the quarter for mobile business was INR 13,361 crores, with a growth of 41% year-on-year and operating profit of INR 472 crores, a growth of 53%. Out of this revenue, for

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telecom, IT hardware, hearables and wearables was INR 1,635 crores, INR 331 crores and INR 207 crores respectively.

We witnessed a strong momentum in the quarter with healthy volume growth across the various smartphone brands. Dixon remains the largest domestic manufacturer of mobile phones with high volume capabilities and best-in-class infrastructure.

We have received the PN3 approval for 74:26 joint venture with Longcheer and have finalized a new 400,000 square feet facility for the JV, which is expected to be operational by April '26 and PN3 appraisal process for 51:49 JV with Vivo and 74:26 JV with HKC is progressing well, and we expect the approvals in the coming weeks.

Construction of a 1 Mn square feet of mobile manufacturing campus in Noida is on track for our anchor customer with much larger capacity and same is expected to be completed by March '26. We are in active discussion with another large ODM of smartphones and the manufacturing for them should start by Q4 of FY 25-26.

Consumer electronics, that's LED TV and refrigerators:

The revenue for the quarter was INR 956 crores with an operating profit of INR 39 crores. Out of this, the revenue of the refrigerator business was INR 145 crores. We saw significant postponement of purchases across the trade and consumer channels for this product category.

LED TVs:

In this quarter, we have increased our ODM share up to 65% of the volumes and continue to acquire new customers. We are offering authorized Google TV solutions along with Tizen OS, Fire TV OS, webOS and Linux-based solutions to our customers, offering a complete basket of technological options and introduce unique features like karaoke inside a TV.

We have set up a state-of-art CKD robotic LCM line for large-size IFPD televisions and signages. We are actively working on increasing capacities and enhancing capabilities for manufacturers for industrial, institution and automotive displays.

Refrigerators:

Another reason to subdued growth in the quarter is the introduction of new and more stringent energy efficiency norms in India, leading to postponement of purchase in the route to

enforcement deadline.

In addition to the large capacity in direct cool category, we have also now started new products in the cooling divisions like mini bars in 50L and 100L category and getting very encouraging response. We will also be foraying into deep freezer and vizi coolers along with two-door side-by-side refrigerators.

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Home appliances:

Revenue for the quarter was INR 429 crores. Operating profit

was INR 50 crores with an

operating margin of 11.7%. Our construction for capacity expansion for FATL in Tirupati is ready for commencement of production by end of Q3 and are in the process of ordering additional production line, launch of SAWM, that is semi-automatic washing machine, in 16 kg and 18 kg capacity, which would be the first across the industry and expected to be launched by December '25. Production of robo vacuum cleaners to Eureka Forbes is to start by December '25.

We have appointed very senior expat to drive the project for front loading washing machines and foraying into various other home appliances. We are undertaking various initiatives to bring in more automation operations and strengthening the industrial engineering team for enhanced efficiency, productivity and cost optimization.

Lighting:

Operations in Lightanium Technologies, that is a 50:50 JV between Dixon and Signify, started in August '25. The order book looks robust with new categories of premium indoor and professional lighting products, and we are working to realize all the potential synergies in the business in the upcoming quarters with a new partner.

We have executed first pilot order from one of the top retail chains in US in October first week and aim to scale up this opportunity to sizable business in the coming quarters. Another pilot order from the biggest retail chain in Germany is expected to fructify this quarter. We continue to focus and invest in this automation to further boost operational excellence.

Telecom and Networking products:

This segment witnessed a strong growth with revenues of INR 1,635 crores as against INR 661 crores in the same period last year, growth of 148%. Home broadband penetration in India continues to grow at a very fast pace, and we have been continuously building up more capacity. And we also have a stable order book for our anchor customer on CPE devices, which will continue to be a major portion of business.

We are entering a new phase in our telecom manufacturing journey and have secured a significant order from a large leading U.S. Telecom customer to manufacture telecom backhaul microwave radios, an integral part of RAN, that's radio access network. These are highly complex, advanced network equipment and production will cater not only to the Indian market but also to the global demand from Q4 of this fiscal and we expect a significant contribution to our revenues from this category. We have already started localizing components like mechanicals, plastic moldings, and power supplies.

The telecom segments present a robust and long-term growth rate and can potentially be the second largest driver for growth after our mobile business.

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Laptops, tablets and IT hardware product:

The segment saw a healthy uptick in revenues of INR 331 crores against INR 57 crores in the same period last year, which is a growth of 481%. Our dedicated IT hardware production and manufacturing unit in Chennai has successfully stabilized mass production of laptops and AIOs for HP and ASUS. Order book in this business looks strong for the upcoming quarters, and we are further expanding our capacity.

We have successfully shifted the Acer from our Noida facility to Chennai facility and started mass production from this quarter. We have finalized our manufacturing location for a 60:40 joint venture with Inventec Corporation of Taiwan. It is one of the world's top five IT products, ODM, for manufacture of notebook PC products, servers, desktop PC, including its components like SSDs, memory and mechanicals in India, and is expected to be operational by Q1 of next fiscal, which will have a positive impact on the margins. The backward integration play along with capitalizing on ECMS and IT hardware PLI scheme will lead to significant margin expansions.

Wearables and Hearables:

Revenue for this segment was INR

207 crores for the quarter with healthy operating margins and very good ROCE. We have a strong order book in this business.

Rexxam Dixon Electronics:

Revenue for the quarter for the JV with Rexxam was INR 79 crores in business, a relatively weak quarter, primarily due to subdued demand in AC market. Our new facility in Chennai will be operational by Q4 of this fiscal.

I would like to stop here, and me and Saurabh are there to address your questions. Thank you.

Moderator: Thank you, sir. We will now begin the Q&A session. The first question is from the line of Aditya Bhartia from the Investec. Please go ahead.

Aditya Bhartia: My first question is on the ODM customer in the mobile phone side that you mentioned. It would help if you could share some more details how large the customer is, what kind of volumes one can expect from that or any other information that you can share around that?

Atul Lall: So, let's say, we are in discussions with a large ODM for the smartphone. And we are expecting that this business should start by end of Q4 of this fiscal or early Q1 of next fiscal. The expected volumes are in the range of around 0.5 million per month. That is the volume we are looking at.

As far as more detailed, granular level details of ODM, it is not prudent at this time to share.

Aditya Bhartia: And sir, you mentioned about the telecom business possibly becoming the second largest growth avenue for the company behind mobile phones. What kind of growth should we anticipate over there? And how big could the export opportunity be on the telecom side?

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Atul Lall: So, Aditya, if you look at the numbers, we grew from INR 700 crores to and this year, we are going to be almost at INR 4,800 crores. Till now, largely, we are on the CPE products, the consumer premises end products, which comprises mainly of Wi-Fi routers, which comprises of fixed wireless access equipment, which is the largest growth area, and set top boxes, which is IPTV and hybrid set top boxes.

Now we have acquired the scale, we have acquired operational efficiency, and we have large partnership with large principal globally. What we wanted to and what we aspired for in this business was to get into the network equipment side, which is a much more complex business, much more complex execution.

So, we have been able to secure an order with a U.S.-based company, which is into radios. And the pilot is going to be done by December, and the commercial production should start by March.

And by Q2 or Q3 of next fiscal, the exports are going to start. So, initially, this business, I feel is going to be around \$150 billion (Market size). That is the new category. On an overall basis, we feel that in couple of years, this business should be somewhere around close to \$1 billion.

So does it satisfy you, Aditya?

Moderator: So, sir, the line for Mr. Aditya has disconnected. We will move ahead with the next question.

So, the next question is from Sumit Sinha from Macquarie. Please go ahead.

Sumit Sinha: Yes. Thank you very much. If you can talk about this ODM, is that can you give us more color around it? Did it emerge from maybe the Longcheer relationship? Whether it's closed or not, but you definitely get the benefit of that. Is that something that you brought over from outside of the country? Is it domestic?

And my second question is the interesting what you said about the telecom business and you are getting into more complex sort of products. Can you talk about your aspirations for kind of the enterprise products versus the consumer products that you are generally known for?

Atul Lall: So, responding to the first part of question, this is a large global ODM. We will start with, this is going to be India focused relationship. This is going to be an additional volume that what we are presently doing for India market for a large brand in India. A

nd our relationship with

Longcheer is on a separate axis, which in any case is a robust relationship. And with the JV approval, it is going to reach a different level.

On the telecom side, we have been working towards raising a capability level beyond the CPE product. And this breakthrough for us with the U.S. partner is a very significant breakthrough. The capability, the talent acquisition, line setup, the test setup, the NPI systems, the digitization is all in the works. We are targeting the pilots to happen by December and the commercial production to happen in the Q4 of the current fiscal. We feel and we have been assured by our partner that India and Dixon will be the footprint for servicing a part of the global markets in this category. So, that is where we are.

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Sumit Sinha: Can you just talk about your aspirations for other sort of enterprise products going beyond, obviously, this is a great deal for you. Where else could you head outside of CP?

Atul Lall: So, definitely, it is an aspiration for us, and I have been talking about in the earlier earning call.

So, we have gotten a senior resource at Vice President level. We start strategizing and rolling out our non-CP category business. We will definitely be working on it, but it is slightly premature to share with you the granular level details of it. But as far as the ambition and aspiration is concerned, it is a focus area for us, for which the resource has already been hired.

Moderator: The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Sir, first question is on the mobile side. Now with another new customer and a good order book, possible to share some targets for this year and next year? I mean, we had expected 43 to 44 this year. Does that remain on track and do you see a scope to revise that and for next year as well?

Atul Lall: So, we feel that this year numbers are going to be similar, 40 million, 42 million. That is what we have been talking about. We feel that we are moving in the positive direction of our partnership with Vivo. There is going to be a major push up to the numbers. So, next year, we feel that we should be somewhere between 55 to 60 million.

Siddhartha Bera: So, that is including Vivo, you expect 55 million to 60 million?

Atul Lall: That's right.

Siddhartha Bera: Are we sort of slightly, because I think last time we discussed, we had targeted between 60 to 65. So, are we sort of slightly cautious in terms of ramp up? And are we seeing any impact from the exports markets as well in terms of demand?

Atul Lall: No. I am not seeing any cut or anything, but what I am just putting across to you is a particular rate. One still maintains somewhere between 60 to 65 something like that. Yes.

Siddhartha Bera: And on this new segment of front load washing machine as well, if you can share some insights about how will be the capacities and ramp up you are looking at this?

Atul Lall: Sorry, I didn't get your question.

Siddhartha Bera: On the front load washing machine as well, if you can share some color about the ramp up?

Atul Lall: So, front load is still in the conceptualization stage. A very senior resource and expert has been hired, and the project plan is being put together. The product categories and product portfolio is being designed. Initially, we feel the capacity is going to be somewhere between 150 to 200K.

It is going to be an extension of our Tirupati plant.

Siddhartha Bera: I will come back in the queue.

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Moderator: The next question is from the line of Vipraw Srivastava from PhillipCapital. Please go ahead.

Vipraw Srivastava: Sir, quickly on the mobile phone volume side, what is your outlook for Quarter 3 and Quarter 4 given that the festival is now over?

Atul Lall: So, it is still in works. At

this stage, to share the numbers would be slightly difficult.

Saurabh Gupta: But Vipraw, we just shared the numbers in the last, so we just shared the numbers.

Atul Lall: Overall, we are sharing with you. It is going to be 42-odd million in this particular festival. And we already done around 20 million till now.

Vipraw Srivastava: And sir, at the beginning of the year, the firm had given a guidance of 40%-45% revenue growth. Does the firm maintain the guidance in this quarter?

Saurabh Gupta: First of all, we never give any guidance.

Atul Lall: We don't give any guidance.

Vipraw Srivastava: No worries. And last question from my end. Given that Ismartu has been very well for the firm, what kind of ramp up do you expect to from Ismartu, you are expecting exports to Africa and other markets? Is that still on track?

Atul Lall: So, we are working on exports. The exports has already been initiated. We feel that is an extremely potential area, which our partners in Ismartu are absolutely open and committed to.

The plans are being made. We like to expand our capacities. We are going to set up a new footprint for that. We have to do some value engineering for enhancing the value chains and deepening the manufacturing. All that exercise is done. We are very confident that in a couple of years, that is going to be a very large segment for us, servicing the export markets and the Transsion brand for the world.

Moderator: We have now the next question from the line of Sonali Salgaonkar from Jefferies. Please go ahead.

Sonali Salgaonkar: Sir, my first question is on the other non-operating income. There is a very sharp increase this quarter as compared to last quarter or even the last annualized year. So, may we understand what exactly is causing this jump, and is there any one off?

Saurabh Gupta: Hi, Sonali. So, Sonali, basically, there are mark-to-market income, over 6.5% stake in Aditya Infotech, which is now a listed company. So, the market cap as on 30th September into 6.5% stake is what we have valued that. So, we have initially valued at a particular value, but now the value is established because it is a listed company. So, for the last one year, we have been booking that mark-to-market. So, now a large part of that mark-to-market has come up in September 2, and we have to continuously now depending on how that, how the market cap of that company behaves, we have to do it every quarter.

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Sonali Salgaonkar: So, essentially, if I understand, this is a one-off only for this quarter. This amount we will not sustain in the next few quarters. Is that right?

Saurabh Gupta: Yes. So, that is why we have reported the adjusted numbers as well as reported numbers. And the numbers have been shared in the opening remarks with all the adjusted numbers without any impact of this one-time gain.

Sonali Salgaonkar: And my second question is on the CAPEX. The CAPEX guidance, you stick to that for the one that we had put out in the earlier quarter?

Saurabh Gupta: Yes. So, Sonali, we have done a CAPEX of 550-odd crores in the first 6 months. Broadly, that should be the going run rate for the next 6 months as well.

Sonali Salgaonkar: Happy Diwali to both of you.

Moderator: The next question is from the line of Dhruv Jain from Ambit Capital. Please go ahead.

Dhruv Jain: My first question is on the Longcheer JV. So, if you could just provide an outlook with respect to what kind of volumes are you expecting through this JV? And is it included in the 55 million to 60 million volume guidance that you spoke about now?

Atul Lall: So, we feel, Dhruv, that the JV should become operational by first quarter of next fiscal. We feel that the volumes in this JV for the next fiscal should be somewhere around 8 to 10 million, and this is going to be a part of 60 million, 65 million that we are talking about for next fiscal.

Dhruv Jain:

And sir, the second question is on the PLI. So, if you could just spell out what was the PLI contribution in your EBITDA in this quarter? And we note that there is a large Rs. 1,400 crores receivables from government on PLI. So, just want your any update on that? Because we have seen the annual report that the last received PLI was on 31st December 2023.

Saurabh Gupta: Yes. So, just to update you, Dhruv, on the PLI, so we have received that claim as far as the mobile business is concerned till September '24. And from October '24 till June '25, it is presently getting appraised, and it is almost on the last stages of appraisal.

Telecom PLI for last Financial Year '24-'25, we have received. And now once we achieve the thresholds of CAPEXes for this year, we will file a claim, but that will most likely will happen in next year only for '25-'26.

And also our PLI for telecom and lighting with, for lighting business and a DC inverter controller board for last financial year should come in the next few weeks, next couple of weeks. It is in the last stages. So, this is the status.

So, yes, the numbers would be similar. My sense broadly what you had mentioned, Rs. 1,400 crore, Rs. 1,500 crore is the receivable. There is the correspondingly payable to that effect as well, and the difference is our share of income as well.

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So, in this Quarter 2, we have booked an income of across all these four PLIs which I mentioned because IT PLI will only happen for next financial year. So, this four PLIs put together, we have an income which has been booked up closer to Rs. 150-odd crores.

Dhruv Jain: This is for the first half of the year?

Saurabh Gupta: No. First half is closer to Rs. 290-odd crores. All the four PLIs.

Moderator: The next question is from the line of Indrajit Agarwal, CLSA. Please go ahead.

Indrajit Agarwal: I have a follow-up on the mobile volumes. So, after doing 40, 42 million units this year, we have additional, let's say, 8, 10 million from the Longcheer JV, plus we have the entire Vivo volume next year. So, shouldn't it be much higher number than, like, for the 55, 60 million units that you are guiding for next year?

Atul Lall: So Longcheer is also the existing volume that we are doing with long chair. That is going to be shifted to JV. There would be some incremental number to that. The additional number that we are aspiring for in the next fiscal is one of the Vivo and the second is the new ODM partnership that we are pursuing. So, these numbers are not static numbers. These are aspirational numbers. We feel that we are being conservative in sharing these numbers. The upside can be much more on that.

Indrajit Agarwal: And sir, taking a slightly medium-term view, at 60-odd million units, you would be probably 55%, 60% of the outsourced smartphone market in India. So, post that, where would our volume growth come from? Do you think we can gain market share even beyond that? Or would it be more on exports and market growth driven?

Atul Lall: So, in mobiles, we feel that there is still that there is some room, not very large, but some room for growth by getting a larger share of wallet of existing customers and also a couple of new acquisitions. What we are pursuing is our export opportunity with Transsion and Ismartu. We feel that can be a significant additional volume.

In any case, in mobile space, the huge focus is now going to be on execution of our display project because it is margin accretive, and it gives us more tenacity in business and also our camera module project. So, that is the mobile ecosystem that we are working upon. That 65, 70, 75 million numbers and display, camera module in house and a significant portion beyond the 65, 70 million goes in for exports. That is the path we are pursuing. Let's see where we reach.

Indrajit Agarwal: That is all from my side.

Moderator: T

he next question is from the line of Achal from Nuvama, IEE. Please go ahead.

Achal: Sir, just on the PLI thing, if you could highlight, just clarify the number what you gave INR 150 crore for 2Q and INR 290 crore for one-off. Is that gross? Or is that the net our share?

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Saurabh Gupta: So, that is broadly our number only. It is our share.

Achal: That is our share. Okay. Secondly, sir, there have been some media murmurs about the extension of the PLI for mobile. If you have any comments to make, do we see there is a possibility? And by when can we have some more clarity on the same?

Atul Lall: So, there are some discussions which have started between the government and the stakeholders for giving additional support to mobile sector. However, it is at a very preliminary stage. But what you are saying is right, the discussions have been initiated.

Achal: And just a clarification, given, let's say, theoretically, if it was to expire on 31st March '26, do you see any margin pressure for any of the quarters of FY '27 before we see the integration benefits actually kicking in?

Atul Lall: So, there can be some pressure for a couple of quarters by the time the display and camera. So, camera model has already started happening because that is a running plant. And display, the plant is going to become operational only by March and April. So, yes, there can be some pressure for a couple of quarters in '27.

Achal: And just last question, if I may. With respect to data center opportunity, is there anything we can cater to in existing portfolio or in future, if you could kind of comment on the same?

Atul Lall: So, we feel, although it is at a very initial stage, that our relationship with Inventec is going to be leveraged for that.

Achal: And what kind of BOM can we cater to out of the entire data center CAPEX?

Atul Lall: We are basically talking about the servers.

Achal: Right. I mean, I was just trying to understand the quantum. Could that be 20%, 30%? Could that be 10%? Any approximation?

Atul Lall: No. That would be difficult to put in a number to this at this stage.

Saurabh Gupta: But it is part of our discussions and agreement with them.

Achal: I will fall back in the queue for follow-up.

Moderator: The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav: I just wanted to check the 8 to 10 million volumes for Longcheer JV, which we are speaking about. I mean, just want to clarify that currently, it was 100% Dixon-owned entity which will now shift to a JV. So, the profit that you made on that particular volume is now going to be lower once it shifts to the JV. Is that the right way to think about it?

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Atul Lall: So, it is the 74:26 JV. That is the way it is going to split. But with the JV, we also bring in much more operational efficiency. The complete talent pool is going to be available to us for enhancing our efficiency. But, yes, the margins are going to be shared.

Saurabh Gupta: But there can be a possibility of additional volume to that business that is getting worked out. And, yes, so, yes, there is a possibility of getting additional volumes as compared to the work we are doing right now for them.

Madhav: So, this is a volume that we already do. It is not a new volume that we get with the Longcheer JV. Just wanted to clarify that.

Atul Lall: Madhav, we have been conservative. We see that these volumes are going to go up. But, yes, let's see because they are working on some other large contracts. So, on an overall basis, we feel that it is going to be a trigger for growth for us. But as of now, if I take it, it is a transfer of the LC volumes from Padget Dixon to JV.

Madhav: And just on the IT hardware, could you give us a sense in terms of the ramp up for the next one or two years, how that ramps up?

Atul Lall: So, this year, we are targeting revenues of almost INR 1,200 crores to Rs. 1,300 crores in this business. We have already started commercial production for HP, for ASUS. For Lenovo, the

production is already happening in our Noida plant. And also now, Acer production has shifted. The ramp up is taking place, taking up well.

And also our JV, which is in the same product categories with Inventec, is going to get implemented and the commercial production to start by Q2 of next fiscal. We feel that the IT business for us in next two years should be around Rs. 4,000 crores to Rs. 5,000 crores business.

Moderator: The next question is from the line of Pankaj Tibrewal from Ikigai Asset Management. Please go ahead.

Pankaj Tibrewal: Just taking off from a next few years' perspective, the way mobile became a big growth driver for us, and it is now roughly 75%, 80% of our revenue. If we take a crystal ball gazing over the next three to five years, which are the other segments which can be a big growth driver as you move ahead? I am not holding on to this. Just trying to understand, can exports of lighting, can export of mobile, IT hardware, battery energy storage, we saw a JV with you, which you have formed, which are the other big segments which can drive growth for us as you look forward in the next three, four years?

Atul Lall: Pankajji, as we have been sharing with you that the way we look at our business is that we look at a large opportunity pool. And once we have the large opportunity pool, we take a plunge into it if it is aligning with their technical capabilities and if the balance sheet part is okay.

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And what has worked pretty well for us till now is this kind of foray, and definitely the trigger of our growth in last two, three years has been mobile. In mobile, we already we feel we are going to get 65%, 70% of the Internet addressable market.

Now we want to leverage our relationship with Ismartu, Transsion, which is already the fourth largest brand globally for getting into global markets. And what we are aspiring to do as far as the cost structures are concerned that without the PLI benefit of the Government of India, be become as competitive as any other country. Once we are able to do it, we feel that the global opportunities are going to open up.

The next thing which we feel is going to be extremely important and we are extremely focused on us is our foray into the component side. Now the component side, as of now, the unit economics looks extremely good. We feel that we can generate a much higher operating margin. And also a positive part of this business that in spite of having a lower asset to turnover ratio, the ROCE in this business is also going to be high. So, my balance sheet is just not getting disturbed.

So, component focus is going to be an important area. And component focus is not only going to be for a captive consumption for mobiles and IT hardware. It is also going to lead us into automotive. We see that that is going to be an important chunk because our JV partners there are already major players in automotive sector globally, and they are, in fact, already supplying to the Indian automotive players. So, that is one area.

The second area which I am talking about is our JV with Airtel, which is our telecom products. The telecom product growth has already seen very high growth. And now we are fortunate, we are lucky, we are blessed that we have had this breakthrough into the non-CPE radio network category, which is a large category. Now obviously, we have to acquire a lot of capabilities in that, and it requires different set of capabilities and execution. If we are able to do it, then that is largely for the global market. So, that can be a large play.

And then, of course, we are excited about the JV with Philips, with Signify for lighting. That takes us into

more premium category and hopefully opens up for us the global market, just like they have done with their partnership in China.

So, these are all triggers of growth. And similarly, the IT products, which we feel that in the next two, three years, it can be Rs. 5,000 crore business. And again, backwardly integrated in-house display, in-house mechanicals, in-house SSD modules, in-house memory modules and also the power supply units. So, these are all triggers of growth, Pankajji.

Pankaj Tibrewal: And when I look at the IT hardware, notebook, laptops, globally, it is about \$180 billion, \$200 billion TAM. And few of the Chinese players we were seeing, they are about \$30 billion, \$40 billion individual companies. Do you think at some point, the way mobile became so large, India became an export destination in various companies? Can IT laptops, notebooks, others could also be a potential large TAM which Indian companies like us can cater to?

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Atul Lall: I think the Indian market for IT products is approximately \$12 billion to \$13 billion. And an IT product, India is signatory to ITA-1. So, government is not able to create a duty arbitrage for promoting domestic manufacturing. In the policy framework, what they have rolled out is the

PLI, IT PLI, and which is, I will be very candid.

At present, when I see the disability, that when we are reporting a 0% duty product, with what is made in India, there is a 4% to 5% disability. That 4% to 5% disability in Dixon we are trying to cover up through our component play, that is namely display, mechanicals, power supply, SSD. Once we are able to do it in next 7 to 8 months, we feel that our cost structure is going to be as good as China. And then this whole market opens up.

When I am talking about \$10 billion, \$12 billion of addressable market, the production value is around \$7 billion to \$8 billion. So, if one is able to cater to that, then I think for Dixon, it can be \$1.5 billion to \$2 billion business, domestic market.

Saurabh Gupta: Domestic.

Atul Lall: Yes. But it is a journey. You see, please appreciate that mobile also. It has taken four, five years for India to become a hub for mobile phones exports. I feel with slightly longer term, four, five years, India can become the hub for exports of IT products also. Definitely, it can. And because in any case, a normal laptop is getting commoditized, and it cannot be produced in Taiwan. And at some point, possibly even China is going to exit. So, it is going to be almost a similar journey and trajectory which we have seen in mobile.

Pankaj Tibrewal: Wow. That is fantastic. And last, when you guys raised capital in 2017, I clearly remember our revenue used to be Rs. 2,400 crores. You have almost multiplied 20x from the time you raised capital, and after that, you haven't raised any capital. And this has been an amazing journey. But when you expand yourself for the next five, seven years, do you think this capital discipline which you have kind of displayed till now, the same capital base and the cash flows can take us for the next leg of growth also? Or do you think that external capital will be required for the next leg of growth as you move ahead?

Atul Lall: So, Pankajji, we are committed to the same trajectory. That is what our DNA is, and that is what we are going to pursue. We feel as per the plans, the tangible plan that we have in front of us, we have adequate internal cash flows to support it. So, as of now, we are not looking at it.

However, if some large opportunity comes, right, and we feel that it is a fit for our growth, then we might look at it. But as of now, we have adequate cash flows to support the growth that we are sharing with the Street.

Pankaj Tibrewal: No, I think the company is a classic example of what a disciplined capital allocation can do. 20x with revenues with zero external capital o

r IPO is amazing. Congratulations to the entire team, and wish you all the best, and Happy Diwali.

Saurabh Gupta: Happy Diwali.

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Atul Lall: Happy Diwali.

Moderator: The next question is from the line of Omkar from Shree Investments. Please go ahead.

Omkar: Continuing with the earlier participant's question, just wanted to know whatever you just shared, I mean, whatever the expansion could be in terms of the new categories which you mentioned. I mean, what kind of growth rate that you can target? Because now the base has become so large and even the high growing category, which is mobile, now you are virtually more than 60% of that category. So, like, how can we model Dixon from here on?

Atul Lall: So, as we shared with you, the focus is to take, we feel there is still some room for growth within mobile. We feel that our backward integration category is going to be extremely important for us for deepening our moat in this business, for taking our new businesses of telecom and IT products and replicating what we have been able to do in mobile in these categories. Also, our traditional category, we feel there is a room of growth. In lighting, our JV with Signify.

In the refrigerator, we have expanded the capacity from 1.2 to 1.7. And in next phase, are taking it to 2.5, expansion of the product portfolio from DC, 190, 210 liters, to 50 liters, 100 liters, to new models, to deep freezers, to visi coolers, to yes, side by side. Expansion of our appliances category, there is a washing machine into new category of front loaders. And also, we are exploring the possibility of getting into dishwashers and microwaves. So, these are all expansion things.

As far as the numbers is concerned, it will be very difficult to put it into numbers form as of now. Or if you want a better insight, you can have a separate one-to-one with Saurabh. He will give you a better insight on this.

Omkar: But all these categories that you mentioned in the context of overall revenues which you are currently having or which you will be having in a year or two, they are so small that even if they grow very fast, there won't be any large impact on the overall revenue front.

Saurabh Gupta: But we continue to grow in mobiles. We continue to grow telecom. We mentioned the opportunities that are there for the non-CP products, and CP market also continues to grow with our anchor customer. Then we mentioned about refrigerator. Yes. So, all of them, yes, the larger revenue growth opportunities will be mobile, IT, hardware, telecom. But other businesses will

also be growing at a decent pace. So, combination apart all put together, I think so that should be a very strong growth for the next couple of years. At least we have that kind of visibility.

Omkar: So, I mean, you haven't given any formal guidance, but to an interview to CNBC, you had mentioned that you will be targeting around 1 lakh crore of sales in next three to four years. I mean, is it possible to do that?

Atul Lall: We feel confident about it.

Saurabh Gupta: Yes. We feel confident about it. So, you can...

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Omkar: Backward integration that you mentioned, so, with that 1 lakh of sales, I mean, what kind of margins we can see till that level of sales is achieved?

Saurabh Gupta: That's a bit more backward integration, operating leverage, and some bit of OEM business largely in refrigerator. And also yes, so, my sense is it should be very difficult to say, but, yes, the range can be somewhere around 4%, 4.5%.

Omkar: So, from current around 3.7%, 3.8% to 4.5% you are expecting?

Saurabh Gupta: I said I gave a range to you. 4%, 4.5%.

Atul Lall: So, around 70, 80 bps uptick.

Saurabh Gupta: Yes, 70, 80 bps.

Moderator: The next question is from the line of Rahul Agarwal from Ikigai Assets. Please go ahead.

Rahul A

garwal: Just a couple of questions. Firstly, on the promoter holding, I see when I look at last almost 12 quarters now, every quarter, we have seen some bit of selling by the promoter family. Maybe there are legitimate reasons for it, but just wanted to know, the stake is now down to 29%. Almost 5% of the company has been sold over the last three years. Is the intent of the family now done with in terms of whatever personal needs they have? Or could we see more liquidation?

Atul Lall: So, if you see the combined shareholding of promoter and the family and myself is more than 42%. Second, we don't see any more dilutions happening, and that is it.

Rahul Agarwal: And secondly, you haven't spoken about battery energy storage systems. Just your thoughts, Atulji, will really help on battery piece.

Saurabh Gupta: So, we are looking at a lithium-ion product, lithium-ion battery product, mainly focused on mobiles because we have a large captive. We are in advanced stages of discussions with our technology partner. The project plans are getting fructified. So, that is the stage we are. We have already submitted our application with ECMS. So, that is where we are. Yes.

Rahul Agarwal: In terms of scale and size, could you comment, please? How much could that be?

Atul Lall: In this case, the lead will be taken by our JV company, Ismartu, which is a Transsion brand company. They will be taking the lead in this product.

Moderator: The next question is from the line of Vaishnavi Gurung from Craving Alpha Wealth Fund. Please go ahead.

Vaishnavi Gurung: My first question is a follow-up question. As you mentioned that you are expanding to different segments like laptop, telecoms, so, if you can put a number to this, like, what can we expect the diversification in terms of revenue by FY '30?

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Atul Lall: That is slightly early. Please be rest assured, these are both going to be high growth verticals for us. It's going to be growing many fold, but putting a number to it at this stage is premature.

Vaishnavi Gurung: Sir, my second question is having Vivo as our client. Considering Vivo's market share in India is the highest currently. So, do you see the shift from our top three clients current will shift, like, one of them will be Vivo moving ahead?

Atul Lall: Yes. It is going to be a large customer. You are absolutely right.

Saurabh Gupta: So, you are absolutely right. They are doing very well, and they have the largest market share today in the Indian market.

Vaishnavi Gurung: So, you think Vivo will replace our anchor client Motorola in this case?

Atul Lall: Well, let's see. We aspire that both of them become our anchor customers. So, yes. But Vivo is going to be a large, large customer for us when this goes through.

Vaishnavi Gurung: Sir, by any chance, you can share the percentage of revenue by our anchor clients currently?

Saurabh Gupta: That we generally don't, yes, we don't share.

Atul Lall: You see, that's a confidential information.

Saurabh Gupta: That's confidential information, and we don't share that.

Vaishnavi Gurung: Sir, my last question is in terms of revenue growth for this quarter. If we see the last three, four quarters, we have averaged out to a growth of 100% year-on-year. But this time, I think it was approximately 28%.

Saurabh Gupta: Yes. Absolutely right. On a large base we can't.

Vaishnavi Gurung: Yes, sir. If you can put some light on that.

Atul Lall: Please appreciate on a large base, we can't grow on 100%. The base has become fairly large, but the growth is going to be aggressive. Please be rest assured on that.

Vaishnavi Gurung: That's it from my side.

Moderator: The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav: My question is answered, sir.

Moderator: The next question is from the line of Sumit Sinha from Macquarie. Please go ahead.

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Sumit Sinha: Thank you for taking my question again. I guess, I just wanted to understand, the domestic opportunity is what you discussed and many people have mentioned, and you are kind of reaching the limits of the domestic smartphone opportunity. You have emphasized taking share from other parts of the world and bringing in that manufacturing. Can you give us more insight into where could that growth come from as in where the volumes come here to be manufactured and then, of course, talk about where could they be exported to? I mean, we know about Africa, but what other parts of the world are open to the sort of volumes that you can generate?

Atul Lall: So, the global market in our Transsion partnership is going to be mainly Africa and possibly Latin America. Our other anchor customer relationship is exposed to U.S.

Sumit Sinha: And where could we increment? As you capture more volume from rest of the world, where could that come from? Is that China? Is it which parts of the world?

Atul Lall: So, shifting you are talking about, is it?

Sumit Sinha: Yes. Shifting.

Atul Lall: So, I don't want to name any country, but our exports is going to be mainly focused in our partnership to Africa and Latin America with one relationship and with another relationship to U.S.

Moderator: The next question is from the line of Bhavika Mehta from JP Morgan. Please go ahead.

Bhavika Mehta: A couple of questions. Firstly, on the HKC JV, I understand it will be largely for captive consumption, but in terms of EBITDA uplift, what kind of levels we can target in FY '27-'28%?

Atul Lall: So, as a margin, we feel that is going to be in mid to high teens. Finally, we feel that this can be once we reach peak levels, which is almost 60-odd million of mobile phones. Within 60-odd million, it is going to generate revenue for us of almost \$600 million. We are talking about 2 million, 2.5 million of laptop displays which is going to be another \$100 million. And then we are talking about the TV display which is going to be almost 1.2 to 1.5 million. It is going to be another \$60 million. And the automotive display, which is going to be around 20 million units. So, overall, we are talking about \$800 million to \$900 million of business. That is what we are aspiring for in next two to three years.

Bhavika Mehta: That's helpful. The second question is on Q Tech India for this year, FY '26, what kind of revenues and EBITDA we can assume? It was Rs. 2,000 crore last year, but this year, are you ramping up the capacity which can drive incremental revenues as well?

Saurabh Gupta: Yes. So, the capacities will take some more time. We have put some money in the company. That would happen over a period of time and also the deepening the level of manufacturing there. But in the first 6 months' numbers, definitely, there is an uptake of those numbers as compared to the same period last year. So, definitely, Rs. 2,000 crores should grow, but very difficult to put a number. But my sense is it should be a double-digit kind of growth this year.

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And on an annual basis, and as we continue to deepen, as we expand more capacity because the land back is there, we just need to expand those capacities. And we have already gave you guidance that this 14 million units and the kind of order book that we have on mobile phones, we can take it to 190 million, 200 million in the next 2.5, 3 years. So, every year, that numbers of 40 million will continue to grow with more backward and more deepening of manufacturing.

Moderator: Thank you. As there are no further questions, we would now like to hand over the conference over to management for the closing remarks.

Atul Lall: So, thank you very much for being on the call with us and sharing your insights and giving us suggestions. We wish you all a v

ery, very Happy Diwali. All the best. Thanks very much.

Saurabh Gupta: Thank you, everybody. Happy Diwali to all of you. Thank you so much.

Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Dixon Technologies (India) Limited

03rd February , 2026

To
Secretary
Listing Department
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Mumbai – 400 051

Scrip Code – 540699
ISIN: INE935N01020 Scrip Code - DIXON
ISIN: INE935N01020

Dear Sir/Madam,

Sub: Transcript of the Q 3 FY 26 Earnings Conference Call held on 29th January , 2026

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q 3 FY 26 Earnings Conference Call of the Company held on Thursday , 29th January , 2026.

The said transcript has also been uploaded by the Company on its website and the same is available at <https://dixoninfo.com/financial-performance> under the head - Earning Call Transcript - 2025 -26 Quarter Q3. The said Transcript may be accessed through following link : Transcript Q3 Earning Call .

We request you to kindly take this on your record and oblige.

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar
President - Chief Legal Counsel & Group Company Secretary

Encl: As above

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CIN: L32101UP1993PLC066581

"Dixon Technologies (India) Limited
Q3 FY '26 Earnings Conference Call"
January 29 , 202 6

MANAGEMENT : MR. ATUL LALL – MANAGING DIRECTOR AND VICE
CHAIRMAN – DIXON TECHNOLOGIES (INDIA) LIMITED
MR. SAURABH GUPTA – DIRECTOR - FINANCE AND
GROUP CHIEF FINANCIAL OFFICER– DIXON
TECHNOLOGIES (INDIA) LIMITED

MODERATOR : MR. TANAY SHAH – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Dixon Technologies' Q3 FY '26 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference call over to Mr. Tanay Shah from DAM Capital. Thank you, and over to you, sir.

Tanay Shah: Thank you. Very good evening to everyone. Welcome to the Dixon Technologies' Q3 FY '26 Earnings Call. Today, we have the management being represented by Mr. Atul Lall, Vice Chairman and Managing Director; and Mr. Saurabh Gupta, Director - Finance and Group CFO. At this point, I will hand the floor to Mr. Lall for his initial remarks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.

Atul Lall: Thank you, Tanay. Good evening, everyone. This is Atul Lall, and joining me today is our Director and Group CFO, Saurabh Gupta.

Saurabh Gupta: Good evening, everybody.

Atul Lall: We thank you all for taking the time to join us to discuss our performance and progress for third quarter financial year '25 -'26. Key highlights for the quarter are as below: Consolidated operating revenues for the quarter ended December 31, 2025, was INR10,678 crores against INR10,461 crores in the same period last year; consolidated operating EBITDA for the quarter was INR421 crores against INR398 crores in the same period last year.

Consolidated operating PAT for the quarter was INR214 crores against INR217 crores in the same period last year. While the electronic market faces near-term headwinds from commodity inflation and memory price increase, we continue to focus on building scale, bringing operational efficiency, strengthening relationship with customer, focusing on backward

integration and diversification around the core electronics business to navigate the environment.

One important external headwind is a sharp increase in memory prices globally driven by AI and data center demand, reallocating the memory capacity away from traditional consumer devices. Industry reports indicate that conventional DRAM contract prices have already risen sharply over the last 2 quarters with further increases expected in mid-2026.

For smartphones and PCs, memory has moved from being a relatively small line item to one of the most sensitive parts of the bill of material, especially for the lower priced devices. Our returns remain robust with industry-leading ROE and ROCE, low leverage and a negative working capital cycle, which gives us sufficient headroom to invest in capacity, components and new categories.

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Our working capital cycle remains at negative 7 days, complemented by a strong balance sheet, reflecting a net debt position of INR246 crores. We maintain our return ratios with ROCE at 45.1% and ROE at 32% as on December 31, 2025, demonstrating the fundamental strength and stability.

Dixon has been selected as an ECMS beneficiary for camera modules and optical transceivers, marking an important milestone in our expansion into components manufacturing and

reinforcing our strategy to move up the electronics manufacturing value chain. We expect to receive ECMS approvals for display modules and enclosures shortly.

We have built a strong foundation as India's leading homegrown EMS company. And now we are steadily transforming into a more integrated design-oriented component manufacturing partner across consumer, industrial and strategic electronics.

Now I'll share with you the business performance and insights in each of the segments.

Mobile and EMS: Revenue for the quarter for Mobile and EMS business was INR9,750 crores and operating profit of INR1,050 crores. As per industry reports, Indian smartphone market in Q3 fell by 7% year-on-year.

And the decline reflected the usual post festive slowdown and was also stressed majorly by elevated channel inventories for brands, depreciating rupee, softening mass market affordability and moderation in demand due to persistent supply constraints and rising cost of memory chips.

The potential cutback in the smartphone shipments comes amid the smartphone brands struggle with an unfolding super cycle in the global memory sector. The world's top suppliers are shifting their capacity for artificial intelligence applications, resulting in a supply squeeze for the smartphone segment.

Our new 4,000 square feet facility for 74:26 launch at JV for manufacturing of smartphones and other electronic devices is expected to start operations by Q2 of '26-'27. Construction of a 1 million square feet facility in Noida with higher capacities for our anchor customers is expected to be completed by Q1 of financial year '26-'27 and mass production to start by Q2 of '26-'27.

Construction of our facility for display modules in 74:26 JV with HKC is nearing completion. In the first phase, we are creating a capacity of 24 million per annum for smartphones and 2 million units per annum for notebooks, largely captive consumption and automotive combined and trial should commence by Q2 of next fiscal.

In the second phase, we'll enhance the capacity to 55 million units per annum, largely captive for smartphones and foray into displays for LED TVs also. We have received a very encouraging response from all the major automotive players. We're expanding the capacities and deepening the level of manufacturing of camera and fingerprint modules for smartphone

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and target to expand volumes of smartphone camera modules from 40 million units in this fiscal to 190 million to 200 million units per annum.

We remain confident of getting the PN3 approval for our Vivo JV soon.

Consumer electronics : LED TVs and refrigerators revenue for the quarter was INR567 crores with an operating profit of INR24 crores. This quarter witnessed a temporary moderation in industry demand, primarily driven by post-Diwali seasonality, withdrawal of consumer offers and elevated channel inventories.

Despite these short-term headwinds, our market position has strengthened meaningfully and remain optimistic for recovery in volume for Q1 of next fiscal as channel inventories normalize. Our strategy is to increase market share in large screen TVs, smart and connected models and platform where we can differentiate on cost, quality and speed.

We have launched production of high-end and mini-LED TVs, enabling our customers to tap into fast-growing premium segments and to continue to expand our technology leadership by offering a comprehensive operating system portfolio and are the first ones to introduce features such as in-build karaoke functionality and remote finder, enhancing end consumer engagement and product distinctiveness.

Refrigerators: Q3 is seasonally the weakest quarter for the refrigerator industry with demand typically ramping up from January ahead of the summer season. The softness was further stressed by the transition to the new

energy efficiency norms effective January 2026, resulting

in brands consciously limiting inventory of current norm models due to impending 1-star downgrade. Despite these industry-wide constraints, we continue to strengthen our product portfolio and customer base.

Alongside our strong presence in direct cool refrigerators, we successfully introduced many bars in 50 liters and 100 liters categories, which have received an extremely encouraging market response with the entire available capacity already booked. We are also onboarding leading brands, including Haier in this segment.

We'll introduce a new 170-liter low-cost refrigerator model targeted at export markets, which has seen healthy traction across both export and domestic channels. To support future growth, we have commenced construction of phase expansion facility that is another 375,000 square feet facility, which will enable manufacturing of 2-door refrigerators, deep freezers, built-in coolers and side-by-side refrigerators.

Home appliances: Revenue for the quarter was INR355 crores. Operating profit was INR41 crores with an operating margin of 11.5%.

Washing machine portfolio demonstrates full ODM capabilities right from design, support to testing and manufacturing. We continue to add capacities, introduce new product categories with more features and value-added offerings and increasingly focusing on localization of critical components.

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Our expansion into new category of semi-automatic washing machines in 16 kg and 18 kg capacity is completed and mass production to start in March '26, which will be in the first across the industry. Our new Tirupati facility for front-loading washing machine is ready and mass production to start by Q2 financial year '26-'27 with annual capacity of 300,000 units. Production started for robotic vacuum cleaners for Eureka Forbes with healthy order book, and we are actively exploring other appliances like microwaves and kitchen chimneys. We're driving several initiatives to expand automation across operations while strengthening the industrial engineering function to improve efficiency, productivity and cost optimization.

Lighting: The JV with Signify, Philips continues to deliver exceptional results and partnership is driving robust higher double-digit revenue growth, enabling better asset utilization and deepening localization levels. We have significantly enhanced our market share in LED bulbs, batten lights, downlighters through this partnership and positioning us firmly at the center of ongoing consolidation within the Indian lighting industry.

We are seeing several small and subscale players in the lighting ecosystem struggle to keep pace with the required investment in technology, quality and compliance, which is creating a favorable competitive backdrop for a well-capitalized integrated platform like ours. We are moving up the value curve with an increasing focus on the premium and technology-led lighting solutions, which supports higher realizations and an improving margin profile over the medium-term.

Leveraging our manufacturing expertise, we see strong potential to export high-quality LED lighting products to markets such as Europe, U.K., UAE and U.S. We continue to focus and invest in automation to further boost operational excellence and keep investing in backward integration to improve our cost efficiencies.

Telecom and networking products: Home broadband penetration in India continues to grow at a very fast pace, and we have been continuously building up more capacities.

And we also have a stable order book for our anchor customers on CPE devices, which will continue to be a major contributor to revenue. We have started manufacturing of highly complex telecom backhaul microwave radios for a U.S. telecom brand. We have localized components such as mechanicals, ada

pters, plastic moldings and sheet metal. We have been

selected as a n ECMS beneficiary for optical transceivers in line with focus on diversifying into technologically advanced product categories and will start manufacturing next fiscal.

With continued momentum and developments in the segment, we target to further strengthen our market position with market share gains in the domestic market.

Laptops, tablets and IT hardware products: The segment saw a healthy uptick in revenues in the quarter, and we have a very strong order book for the next financial year and capacity enhancements going on.

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Our dedicated IT hardware product manufacturing unit in Chennai has successfully stabilized MICE production of laptops and AIOs for HPs and Asus. We have bagged order for desktops from one of our customers and we will start manufacturing in Q4 of this fiscal in Chennai, and also, in active discussion with an existing customer for manufacturing of tablets.

The new facility being developed adjacent to our existing facility under our 60:40 JV with Inventec is near completion and mass production of SSD and memory modules is planned to begin in Q2 of '26-'27, which will deepen the level of manufacturing and contribute towards improved margins in the segment.

We are also in deep discussions with the JV partner for manufacturing of servers to capitalize on the fast-growing market.

Rexxam Dixon Electronics, Rexxam JV for AC PCBs continues to perform well and remains a strategic asset in our component portfolio. We expect a robust demand for AC this season and will scale up our capacity by operationalizing a new upcoming Chennai facility by end of Q4 of the current fiscal.

With that, I'll conclude with my remarks. Saurabh and I are happy to take any questions.

Looking forward to the same. Thank you.

Moderator: The first question comes from the line of Ankur Sharma with HDFC Life.

Ankur Sharma: A couple of questions on the cell phone side. One, if you could just help us with volumes for Q3? And more importantly, how do you see volumes for both '26 and into '27 versus the earlier guidance that you have given?

Saurabh Gupta: Yes. So, Ankur, the smartphone volumes for Q3 was around 6.9 million. And overall, in 9 months, we have done a volume of closer to 27 million.

Ankur Sharma: Okay.

Atul Lall: Q4 volumes are expected to be somewhere between 7 million to 7.5 million. For '26-'27, the numbers are still being worked out. It is -- the situation is slightly fluid because of the memory prices. And also, we are confident and close to a government approval for Vivo. So it's slightly premature to comment on a number for '26-'27.

Ankur Sharma: Okay. Fair. And sir, if you could just help us, what's leading to this delay in the Vivo JV? Is it just procedural? Is there anything else you can talk about? Because it has been a while since we've been expecting this to come through.

Atul Lall: Yes, I appreciate it, Ankur. But we feel that we are fairly close to it. Yes. And it should happen shortly. That's where we are.

Ankur Sharma: Okay. Fair. Just on the margins, one was, how do you really see margins more so with the PLI -- at least the original PLI benefits kind of going away as we head into '27. So how do you see

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cell phone margins? And obviously, I expect some delays in the ramp-up of our component JVs.

So there, how do you see margins kind of shaping up -- maybe some dip in the first half and then catch up in the second half? And a follow-up would be, we're hearing about a second PLI also coming through for cell phone. If you could please talk about that?

Saurabh Gupta: Yes. So Ankur, as we have been mentioning in our previous earnings calls also, the mobile business margins are closer to 3.5%, which has got PLI

as well, broadly 0.5%, 0.6% of our share of PLI income, which is getting consolidated in these margins. So one, to say that PLI will get renewed or not? Sure, it is very difficult to say right now.

Atul Lall: So coming in there, Ankur and other stakeholders here, there are deep discussions happening between the industry and the government. We are optimistic about it. But to say anything with certainty is not a fair statement on my part. Are the discussions on? Yes, the discussion is on. If there are positive response? Yes, there is a positive response. But is it an absolute certain thing to come in? No, it's very difficult to say.

Saurabh Gupta: Yes. The government is engaged with the industry. A lot of data has been shared. Government is evaluating it. One view is, of course, they want to give more support to the sector till the time the component ecosystem gets created, but it's very difficult to surety. So assuming a case where it goes away, assuming the case -- worst case, it doesn't get extended, then 0.5% of margins will get impacted in our mobile business, which we have communicated earlier as well.

But we feel confident that with our backward integration play, we will be able to, not only overcome that margins, there will be additional margins which will come on account of backward integration play, but that will largely play out in '27-'28 because in Q Tech, we are doing a large capacity expansion, we are deepening the level of manufacturing, which will take us 6, 7, 8 months.

And also the display, the machineries have been ordered and some of them will get ordered in the next few months. But -- and the trials, as communicated in the remarks, will happen somewhere in Q1.

Mass production should start towards end of Q2. So there can be some quarters where the margin impact can reflect lower, assuming a case if the PLI doesn't get extended. But '27-'28, we are absolutely confident that there should be a decent margin expansion largely on account of component play.

Atul Lall: So on the display side, Q Tech, the capacity expansion is already on. Finally, we're going to expand the capacity from current 40 million to almost 190 million. In the display thing, the building is ready. The first set of equipment for 2 million per annum -- 2 million per month mobile phone capacity and 2 million per annum for display for notebooks and automotive is Dixon Technologies (India) Limited

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already arrived at ports. It's going to take 2 to 3 months for installation. And we feel that sometime by June, July, the trials and the commercial production should start.

Moderator: Yes, sir, the current participant has disconnected. Yes. The next question is from the line of Sameet Sinha with Macquarie Capital. As there is no response, we'll go to the next...

Sameet Sinha: Can you hear me?

Moderator: Yes.

Sameet Sinha: Okay. I'm sorry about that. Yes. So a couple of questions. One is, Mr. Lall, I mean, obviously, memory prices have been going up for the last 2 quarters. There were some news stories about display prices also kind of going up. So it seems like other components will also be impacted. How do you -- in your opinion, how are the OEMs reacting to this?

What's their -- they are obviously -- we'll probably see some de-specking, instead of 16 GB of memory, they'll probably go down to 12, keep the pricing the same, higher-end phones probably more price insensitive. So can you talk about that? Because I wanted to understand in that context, what is -- how about your economics?

Would that stay stable? And my second question is, reading about some media reports about Motorola saying that they'll be using you for the camera module in their phones. So congratulations on that. Have other OEMs also signed up? And if yes, can you name them?

And then I have a follow-up question.

Atul Lall: Yes. So on the first part of

your question, as far as the unit economics is concerned, for us, it's a pass-through. For us, there is no impact as far as the value chain and impact on the margins is concerned on an absolute basis. So what happens is that, when the price increases and it increases so significantly, everybody is expecting an impact on the demand side. That's the concern area.

And as you very aptly captured, one feels that the demand of the mid-segment and the lower segment is going to be impacted more. So that leads to an uncertainty element in the whole business. And that's where we are. However, you know that as far as the economics is concerned, for us, it's a pass-through. The second part of the question on the camera modules, yes.

So in Q Tech, we're already supplying to Motorola, and we have got an extremely positive response from them for expanding the relationship with Q Tech. In Q Tech, we're already supplying to various other brands. So we are supplying to Vivo. We are supplying to Samsung. We are supplying to Oppo. We're supplying to all the other brands.

Saurabh Gupta: So they are a big supplier, Sameet. They are part of the supply chain for almost -- for most of the brands in the Android ecosystem.

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Atul Lall: So in Android ecosystem, almost all the brands are our customers. The camera modules till now, which are being imported, please appreciate the market of camera modules is approximately around \$350 million to \$400 million, which is largely being serviced through imports today. We want to capture and service that market through our Q Tech partnership.

Sameet Sinha: Yes. I mean, we'll probably hear more about it on February 1 when the government puts out the budget. Hopefully, there's going to be more incentives for localization. My final question is -- and this is...

Atul Lall: In Q Tech, we have also got the ECMS approval.

Sameet Sinha: Right. So my final question is, I think, Mr. Lall and Saurabh, I mean, there has been multiple dynamics in the business, right? And I think all of us are trying to figure out what the -- what goes up, what goes down. For example, just in the fact that phone prices are going up, artificially or mathematically, it will look like your margins are coming down?

Can you kind of lay out for us a couple of things? You obviously spoke about PLI headwind in case PLI 2.0 doesn't happen. And can you give us the timing of the Vivo JV, so we can kind of model out the different margin scenarios and be able to get comfortable with what things will look like in '27-'28?

Atul Lall: So we feel that we are close to the Vivo JV, yes, because we are pursuing very deeply with the authorities. But to give a specific time line is not that easy.

Sameet Sinha: No, I understand that. I was trying to get at more from an overall perspective, multiple drivers right now, smartphone input costs going up, PLI getting pushed out. What is -- how could margins be going up and down in the next year, next 12 months?

Atul Lall: We still feel that we should be able to have a margin of somewhere between 2.8% to 3.1%, 3.2% in our mobile phone business. That's how it's going to look like. By the time we start integrating a backward integration play and then margins would keep on going incrementally up month-on-month.

The time line for this, I feel, to start this operation of integration of components that we are doing is going to be 6 to 8 months. And finally, we feel that almost 70%, 80% of our business would be integrated into the component landscape by '27-'28, which will lead to an overall expansion of margins. And here, I'm talking about the scenario without PLI.

Moderator: The next question comes from the line of Vipraw Srivastava with PhillipCapital.

Vipraw Srivastava: Sir, quickly on the disclosure side, I mean, in previous quarters, you used to get revenues from

Smartu routers and other segments, which we are not getting from this quarter. So any reason for that, why disclosure hasn't been given for this quarter?

Atul Lall: No specific reason. This is a combined entity we look at and Smartu is also nothing but mobile phone business only. So we decided to consolidate and show as part of the mobile business. In Dixon Technologies (India) Limited
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case you're looking for separate numbers, you can have a separate discussion. I'll give it to you.

Vipraw Srivastava: Fair, sir. And sir, secondly, on the mobile phone volume side, given that your component story, which obviously is a very good value addition, but it's a function of mobile phone volumes, right? If the industry doesn't pick up, let's say, next 2 years, if memory prices continue to remain high and mobile phone volumes remain weak, how confident are you of the component story playing out the way you want it to?

Atul Lall: Please appreciate on a conservative basis, the steps that we are taking for growth and consolidation in the mobile business for us, we should be even on a conservative basis, somewhere around 60 million, 65 million units. And that's a large play even for '27-'28 for our component business. We're talking at 60 million, 65 million, I'm looking at 160 million, 170 million of camera modules.

I'm looking at that number of displays, almost 40 million to 50 million. I'm looking at almost 1.5 million to 2 million of notebook displays. I'm looking at almost 2 million of automotive displays, both 4-wheeler and 2-wheeler. So for us, it's a large play.

Saurabh Gupta: And for some of the brands, Vipraw, we are also working on some increased order book on export side. So those are deep discussions which are happening. We are not in a position to share right now. And so is our backward integration strategy. Yes, there can be some quarters.

And we clearly mentioned to you that it can be 5, 6 months for us to ramp up this both the component play, but we feel absolutely confident about '27-'28.

Atul Lall: So we feel confident about the numbers playing out. The only thing can be a couple of months or a quarter delay in execution, in integration. That's all.

Vipraw Srivastava: Okay, sir. And sir, last question from my end. Given that we were taking in 20 million volumes coming from Vivo for FY '27, we still don't have approval. I mean, are you sure -- do you maintain this 20 million number for Vivo for FY '27 or there can be a downside risk to this?

Atul Lall: See, we feel confident, but everything is subject to how soon we are able to get this approval because after that, it's going to take a month or a couple of months for integration.

Saurabh Gupta: Yes. So, basically, Vipraw, the way you should look at it the day we get the approval, then it will take us at least 45, 60 days to consummate the transaction. There are a lot of CPs or conditions which need to be closed, which generally would take that kind of time. Yes. So there can be some -- depending on what time we get the approval, so that's how the number will play out.

Vipraw Srivastava: So there is a risk, right, on Q1 numbers for Vivo then because we are already in Feb. So it would take 60 days, at least.

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Saurabh Gupta: We feel confident that the Vivo approval should come in soon. We already told that it will take 45, 60 days to close the transaction. Now, of course, one can -- beyond that, it's very difficult to give us any more flavor on this.

Moderator: The next question comes from the line of Siddhartha Bera with Nomura.

Siddhartha Bera: Sir, my first question on the mobile side is, we had talked about addition of another global ODM. So if you can give us some sense where it is and when should we expect that to come through? And second, on the export side also, I think

we were seeing a good traction, which also has slowed down.

So how do you think exports can be in the next year given these challenges? And do we sort of benefit out of this European FTA deal, which has got signed? And can we sort of look at more opportunities in that region as well?

Atul Lall: So responding to the first part of the question, the discussions with a new customer are on. We feel confident that we should be able to conclude it by Q1 of the forthcoming fiscal.

Responding on exports, export, we are pursuing 2 opportunities. Motorola, it's already on. We have done exports of almost INR4,000 crores, INR4,500 crores in the first 9 months. We feel we should be closing at almost INR5,500 crores, INR6,000 crores in the current fiscal. We feel that this is going to be the run rate in the forthcoming fiscal. With another large partner of ours, the export discussions are on. Some exports for that brand are already happening. We are planning a new capacity for that to start with for 2G phones, and then we're going to graduate up to 5G -- for 4G and 5G phones.

For this, a new facility is being planned down south in Tirupati. So that's where we are. So we are still confident about building our export business in phones. Europe for phones, you see in any case, there is no tariff on phones in any of the countries. So EU FTA is not helping us. On EU FTA, we're still waiting for the fine print. We feel that it is definitely going to help us in our lighting business and also in our television business.

Siddhartha Bera: Got it, sir. Sir, last question is on the Q Tech. If you can highlight what revenues have you booked for quarter 3? And how should we think about the ramp-up? Because will you be continuing to sell to the external customers or eventually gradually, it will only be for captive consumption. So how we should look at the Q Tech numbers this quarter and next year?

Saurabh Gupta: So, Siddharth, Q Tech numbers for quarter 3 was closer to INR400-odd crores. And broadly, we are looking at a similar run rate of INR2,000 crores for Q Tech. As we mentioned, in the next 8 to 9 months, we are significantly expanding the capacities. Last year, the volumes was 40 million. This year also, the volume should be closer to a similar number of few million. But the idea is to take it up to almost 180 million, 190 million. So that's the reason the capacities are being expanded, more money has been put into the business. And also the manufacturing process has been deepened. So we are deepening the level of manufacturing so that we are able to capture more value, capture more margins in India. So that is being done.

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So as of now, yes, they are supplying to some -- they're supplying to some of our customers in the Android ecosystem. Some of the camera modules continue to be imported as well. So the idea is a big opportunity to ensure that once the capacities are there, then the import substitution can be a big opportunity in itself because we already have a large play with all the customers in the Android ecosystem.

So our target is, Siddharth continues to remain the same, which we guided earlier. The idea is to take the numbers up to 180 million, 190 million in the next couple of years, do more manufacturing, increase the margins.

And also, we are also beneficiary of the ECMS scheme. So that's exactly what we are working on.

Moderator: The next question comes from the line of Aditya Bhartia with Investec.

Aditya Bhartia: Sir, my first question is on amount that is due for PLI schemes. Could you just quantify roughly what amount may be due from government authorities in respect of PLI? And what would be our portion of it? And in the last few quarters, have we seen this amount increasing or delays happening in terms of payments?

Saurabh Gupta: So, Aditya, I don't have that number

ight now with me. I can share with you separately. But

broadly, we have been getting our PLIs from the government. So we have largely -- so we have been getting for telecom business, lighting business. Some of them, of course, this year numbers will come in only after the closure of the financial year. But those numbers have been coming down, but I can share those numbers separately with you.

Aditya Bhartia: Sure, sure. And there has not been any unusual delays. Typically, that 1 year kind of a delay that we used to have, it's a similar kind of a run rate that we are seeing.

Saurabh Gupta : Yes, it's a similar thing.

Atul Lall: Yes, yes, it's a similar thing. See, we have already got the PLI up to September '25 in mobile, right?

Aditya Bhartia: Understood. Sure, sure. My second question is on slightly longer -term growth levers. Once Vivo is completely operational, we have camera modules, display modules completely up and running. What are the other areas that we can kind of think about? And specifically within this, if you could speak a little more on the export side .

You did mention about Motorola and an existing customer, but what can be opportunities beyond these customers on the export side? And within the component ecosystem, are there new component categories that we can also evaluate?

Atul Lall: Aditya, apart from mobile, so mobile, you deeply understand the next trigger of growth is Vivo partnership, acquisition of new customers, deepening of value addition by upping the game in display and also in camera modules. The new triggers of growth is our IT hardware business, Dixon Technologies (India) Limited

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wherein we are really ramping up the capacity and expanding the product portfolio beyond notebooks to AIOs to desktops, tablets and also printers.

We are going to be executing and is going to operationalize our JV with Inventec, in which we're going to start with SSD and memory modules. We are also going to be executing the project for servers. That's a high -growth area. Our telecom business is doing extremely well. This year, we should have revenues close to INR5,200 crores.

We are already the largest in India in CPE devices, namely routers, fixed wireless devices, IPTV set -top boxes. In that, we have expanded our product portfolio, and we have bagged an extremely important order from U.S. customers for high -- for complex telecom backhaul microwave radios.

This is going to be both for domestic market and exports. In this -- we have got -- in this, again, we are deepening the manufacturing and getting into the component side. We have already got the ECMS approval for SFPs and optical transceivers , in which we're going to get into the production mode in the forthcoming fiscal. Then in our traditional businesses, in lighting, post our JV with Signify, the growth is extremely good. The consolidation is taking place in that industry.

And we are migrating more and more to the premium end product, high -end professional lighting products, luminaires and down lighters. In washing machines, we are expanding into the front loaders. That project -- the building is ready. The project is in the execution stage, and we're going to be setting up a capacity of almost 300,000 front loaders. This is going to be operationalized by Q2 end of the forthcoming fiscal.

In refrigerators, we shared with you that we are expanding our capacity. We set up a capacity of 1.2 million, presently at 1.8 million. The new factory is under construction, it will be expanded to 3 million. We have already launched 50 liters and 100 liters. We have already started work on side -by-side, double doors, deep freezers and bus coolers.

So it's going to be a complete complex portfolio. Now we have taken a very senior resource in our South campus, very, very senior resource for building our industrial EMS business. So these are the growth

trajectories. As far as exports is concerned, one, of course, is mobiles. We

feel we're going to be -- we are in deep discussions at advanced stages with our strategic partners for building a large footprint down South for 2G phones and then 5G phones.

And also, once this issue of Indo -U.S. tariff and now with the Indo -EU tariff being optimized, we feel there's a tremendous scope for lighting exports now. So as of now, these are all growth triggers for us for next 2, 3 years.

Aditya Bhartia: Sure, sir. And in terms of tariffs, there will be nothing from mobile phones perspective because pretty much everywhere mobile phones are exempt from tariffs. Is that understanding correct?

Atul Lall: That's right.

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Saurabh Gupta: That's right, Aditya.

Moderator: The next question comes from the line of Bhavik Mehta with JPMorgan.

Bhavik Mehta: Just one question. I just wanted to understand what is the update on the Longcheer JV in terms of the ramp -up since it was formed in September? How have the volumes been panning out this year? And what could be the volumes expected in FY '27?

Atul Lall: So Longcheer JV, we have already got the PN3 approval. We'll be signing the JV agreement by second week of February. The factory construction has already started. Longcheer management team has come and parked themselves in India. A new factory of almost 400,000 square feet is under construction.

It's going to be operationalized by second quarter -- by first quarter end of next fiscal. Initially, the capacity being created there is going to be of 18 million units. We're going to build up that business step by step. We are also in discussions with them for expanding the product portfolio beyond mobile phones to other IoT devices and also smart glasses.

Moderator: The next question comes from the line of Saumil Mehta with Kotak AMC.

Saumil Mehta: Just wanted to check, assuming there are more delays in the PN3 approval, what is the plan B? Do we continue to manufacture Vivo outside of JV as a pure contract manufacturer? And how should we look at that part of the business?

Atul Lall: So we feel very confident. We are deeply involved in this process. And when I'm sharing with you this information, it's with a fairly high level of confidence. So just bear with us and wait for us for some time.

Saurabh Gupta: So for us, we are not on a plan because we feel confident the approval should come in.

Saumil Mehta: Okay. Okay. And in terms of the volumes, can you highlight how the December volumes for the current quarter was? And do you see there is a sequential decline, which are the brands where the decline -- I'm not asking for a specific number, but which are the brands where the decline is a bit sharper compared to the others?

Saurabh Gupta: So as we mentioned, basically, as Mr. Lall mentioned in his opening remarks, the impact of memory prices has been largely intense on the low -end phones and the mid -end phones. So that's where we have seen some kind of demand impact.

Atul Lall: As we shared with you the last quarter numbers, was 6.8 million. But please appreciate for us to share that in which brands there was a decline is not a very fair. It will be difficult for us to share that. The overall number we have shared with you.

Saumil Mehta: Sure. And my last question, in your best estimate, has there been any market share loss for some of the largest customers where we also have export given one more Indian partner have started manufacturing phones of that particular OEM?

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Atul Lall: Yes, yes. So one of our anchor customers has started manufacturing with another EMS company. But on an overall volume basis, our numbers have not come down as compared to the last fiscal. But as a part of their internal strategy, volume,

certain percentage has been allocated to another EMS.

Saurabh Gupta: Yes. So just to let you know our numbers for that particular anchor customer that we are talking about would show a growth this year on the last year numbers as well. So in the last 2 years, the number has significantly grown for us. Grown from Indian market, and we have a lion's share of their business.

Saumil Mehta: All the best for subsequent quarters.

Atul Lall: Thank you.

Saurabh Gupta: Thank you.

Moderator: The next question comes from the line of Chinmay Parab, an Individual Investor .

Chinmay Parab : Sorry, I lost your opening commentary on the lighting sector. Can you just repeat that?

Atul Lall: So I'll just read out the same. In lighting, our joint venture with Signify, that is Philips continues to deliver exceptional results and partnership is driving robust higher double -digit revenue growth, enabling better asset utilization and deepening localization levels. We have significantly enhanced our market share in LED bulbs, battens, downlighters through this partnership and positioning us firmly at the center of ongoing consolidation within the Indian lighting industry.

We are seeing several smaller and subscale players in the lighting ecosystem struggle to keep pace with the required investments in technology, quality and compliance, which is creating a favorable competitive backdrop for a well -capitalized integrated platform like ours. We are moving up the value curve with an increasing focus on premium and technology -grade lighting solutions, which supports higher realizations and an improving margin profile over the medium -term.

Leveraging our manufacturing expertise, we see strong potential to export high -quality LED lighting products to markets such as Europe, U.K., UAE and U.S. We continue to focus and invest in automation to further boost operational excellence and keep investing in backward integration to improve our cost efficiencies. So this is what I read out.

Chinmay Parab: Just talks about the current market scenario with respect to the EU FTA approval. What kind of opportunities do you see as a company as a whole and also in the lighting sector? Would you like to add some points towards it?

Atul Lall: So we are still waiting for the fine prints, but we feel that the tariffs on lighting and LED TVs are a potential areas for us, and we feel that they want to come down to practically 0. And that's an opportunity for us to capture the EU market.

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Chinmay Parab: All the best for your future.

Atul Lall: Thank you.

Moderator: The next question comes from the line of Girish with Morgan Stanley.

Girish Achhipalia: My question was just on capex. If you can just highlight for FY '26 and FY '27, how much is the budget? And secondly, I wanted to understand when you get the approval for Vivo JV, you would be having some kind of cash consideration being paid to acquire the manufacturing facilities? And what could that ballpark number be from a capex standpoint that you would be investing?

Atul Lall: So first 9 months, the capex outgo is INR720 crores. And we feel that in the overall fiscal, it should be somewhere between INR1,100 crores, INR1,200 crores. It's not prudent for me to share the number for Vivo acquisition. But please be rest assured the balance sheet has adequate strength to work on that acquisition.

Saurabh Gupta: Yes, that number is confidential. We would not like to disclose that number of acquisition right now. The capex is INR700 crores. Last quarter, we did another INR300 crores, INR350 crores, INR400 crores. So we will do a capex of closer to INR1,100 crores, INR1,150 -odd crores.

Girish Achhipalia: Sir, my next question was on IT and hardware products. So we saw a 1 -year extension being given by the government. I wanted to understand, you have acquired

these customers. How

should one think about revenues for this year and next year for IT and hardware products?

Atul Lall: So this year, we feel the revenue should be in the range of INR1,500 -odd crores. We have a decent order book for next year. The budgets are still being worked out. We feel that for next year, the numbers are going to be somewhere around INR3,500 crores to INR4,000 crores.

Saurabh Gupta: Yes, the order book looks -- Girish looks very healthy. I think so those -- we will also freeze on those numbers in the next couple of months. But clearly, the brands have indicated a very strong order book. So clearly -- so that is also a growing vertical for us with backward integration as well.

Girish Achhipalia: Sure. And if I heard you correctly, sir, you mentioned that you've hired a senior resource for industrial business. So what segments are we talking here? Is it autos? Is it other industrial products like smart meters? If you can just highlight like what is the kind of capability building that is happening there?

Atul Lall: It's going to be for automotive, it's going to be for industrial electronics. We're not looking at energy meters as of now.

Moderator: The next question comes from the line of Nirranish Jain with BNP Paribas.

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Nirranish Jain: Sir, my first question is on the HKC JV, just wanted some clarification. So like PN 3 approval required for the commencement of the facility in case the PN 3 approval doesn't come by the time [Inaudible 00:52:18] to commence the production or will we still await...

Moderator: I'm sorry to interrupt. Nirranish, could you please use your handset?

Nirranish Jain: Hello. Is it better now?

Moderator: Yes, better. Could you please repeat your question?

Nirranish Jain: Yes. Sure. So sir, my first question is on the HKC JV. Just wanted to confirm whether the commencement of the facility that is under construction is contingent on the PN3 approval or we'll still go ahead with the commencement in case we don't receive the PN3 approval by the time?

Atul Lall: No, no, it's not contingent on the PN3 approval. The construction is on. In fact, the building has been handed over to us. The equipment has already landed at the port. So it's not contingent. But for us, it's an important partnership and PN3's approval is important for us. But is the business contingent to PN3? No.

Nirranish Jain: So sir, how will it work in case we don't receive the PN3 approval by then? Can you still commence the production from the same plant?

Atul Lall: Yes, yes, we can. First is that, PN3 for HKC will definitely come through. Second, we are confident that the ECMS approval also for display will come through. Third, that God forbid, if it doesn't come through, it does not have any impact on execution and starting the production

of the plant. It will be 100% subsidiary of this.

Saurabh Gupta: So basically, they have not held back on any capex. And as you mentioned, the machineries have already been ordered. Some of them are at port, some of them are getting ordered. So there is absolutely no delay on account of not getting the PN3 approval till now, which we feel absolutely confident we'll get. But otherwise, it's absolutely the project is going on a normal the way it should be moving.

Nirransh Ja in: Sure, sir. That's helpful. And secondly, just wanted to check on the export orders for Ismartu.

If I remember correctly, last year, we had been saying that we expect like 3 million to 4 million of incremental export orders coming from Ismartu, particularly for the Africa markets.

So where do we stand now? Like are we seeing those export orders getting executed this year or next year? Or like is there any delay there?

Atul Lall: So some exports has already started. We would have done almost 1.2 million to 1.5 million exports from Ismartu. The

discussions are on, and that's what I was talking about of building a large footprint down South for building that capacity. So that's where we are on Ismartu.

Moderator: The next question comes from the line of Rahu I Agarwal with IKIGAI Asset.

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Rahul Agarwal: Just few questions. Firstly, a clarification on the pass-through bit. You said most of the memory pricing, I'm assuming that the INR depreciation here because there is some element of imports plus the metal inflation. All of this is a pass-through purely because we are a B2B. But is there a time lag between here, like typically how it works for ODM versus a brand? Will -- is there a possibility of temporary margin downturn and then finally get the price hike? How does that work?

Saurabh Gupta: No, no, no, it's immediate pass on. So there is no impact. This is a prescriptive business for us. So in any prescriptive business, the currency or commodity risk are immediately passed on. So there is no impact on our business.

Rahul Agarwal: Okay. Perfect. Second is on the Longcheer, you said it will commence sometime end of 1Q '27. And since the approvals are now received and you will be signing final documents. I just wanted to understand till that point, the production for mobile right now happening with them continues till that point and then the existing business shifts to that JV. And then that's where we start growing. Is that understanding correct?

Saurabh Gupta: Yes, that's the right understanding, yes. Business continues as is. Only Q2, it will move to the JV and the new plant with the shareholding that we had agreed, 74:26.

Rahul Agarwal: So there is no -- when we basically shift to the JV, there is no delay between that production, right?

Atul Lall: No, no, no.

Saurabh Gupta: No, there is no delay.

Rahul Agarwal: Okay. And as of now, Longcheer would be like -- any salience could you share for the mobile business right now? Like how much business shifts from a subsidiary business to the JV?

Atul Lall: So those numbers are being worked out, Rahul. We feel that in '27 -- '26-'27, it will be around 8 million to 10 million units.

Rahul Agarwal: Okay. Got it, sir. And last question was on capex. You said INR11 billion to INR12 billion of capex. Just wanted to understand, I mean, I know that components have lower -- higher margins and similar ROCs. But if you could just break down between the camera module, display module and then the battery mechanicals, I think what kind of capex are we putting in each of these divisions? That will really help.

Saurabh Gupta: Yes. So, Rahul, display business across these 4 categories of smartphones, automotive, IT hardware. And in the second phase also, we're looking at TVs as well. We will be putting capex of closer to INR1,100 crores, INR1,200 -odd crores. In Q Tech, the camera modules capex intensity should be closer to INR250 crores, INR300-odd crores.

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Battery, we still have not worked out the numbers, and we have not been -- we don't have a technology partner right now as far as batteries is concerned. So we have not worked on that number.

Atul Lall: SFPs and optical transducers is INR50 crores.

Saurabh Gupta: INR50 crores, yes.

Atul Lall: And mechanical enclosures is going to be another INR50 crores to INR60 crores.

Rahul Agarwal: And fiscal '27, is there a budget or any ballpark number, please?

Atul Lall: It's still being worked out.

Moderator: The next question comes from the line of Keyur Pandya with ICICI Prudential.

Keyur Pandya: Sir, first question is on the mobile phones, you mentioned too early to guide for FY '27. Generally, whatever, say, rolling plan we get from our clients, do we have any visibility on at least Q1? I mean, generally, this supply chain takes time. An

d so we have to -- is it fair to

assume that at least in the first half we should see degrowth of volume? This is ex of Vivo JV, I'm just saying.

Atul Lall: I think we'll have to just wait...

Keyur Pandya: Or do we have a pipeline to add clients?

Atul Lall: See, because the memory supply is not only a question of pricing, it's also a huge question of availability. So the brands themselves do not have an absolute clarity that how those numbers are going to pan out. So I think we'll have to wait and watch for another 2, 3, 4 weeks to arrive at those kind of numbers.

Keyur Pandya: Understood. Second question on overall numbers. So, I mean, ballpark at the EBITDA level, pure mobile itself would contribute probably more than 60% of the EBITDA. Now in that backdrop, where all the capex of expansion and new categories would come on stream either in Q2 or Q3 of '27. And is it -- I mean, should we assume that at least in the first half of FY '27, we should be either flattish or degrowth in terms of, say, revenue or EBITDA?

Atul Lall: No, we still have growth. We are still working on the numbers because there is some level of uncertainty, but we feel that there will be growth in spite of these challenges.

Keyur Pandya: In the first half?

Atul Lall: Yes.

Keyur Pandya: Of the year? Sure. All the best.

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Moderator: Ladies and gentlemen, we will take this as the last question. It's from the line of Nitin Kaushik with Afin Capital Private Limited.

Nitin Kaushik: Sir, my question was in previous call, you reiterated that the company is targeting over INR1 lakh crore revenue in the next 3 to 4 years. So given this current increase in the price of memory and would that guidance remain intact?

Atul Lall: See, we are still very optimistic. We are aggressive. We have got our plans in place. We have got our acquisition and JV partnerships in place. We have a new growth category triggers in front of us, which we are committed to. So we are committed to an aggressive growth for Dixon. We feel confident about it. We feel committed to that.

Saurabh Gupta: And also we have seen earlier also in COVID period, the supply disruptions keep coming, but that doesn't change the overall outlook for the company, overall growth plan for the company.

Of course, it can have some short-term challenges. But yes, we are continuously working, not only on mobile phones, other verticals, we are just taking through the growth plan in all our IT hardware, telecom business, lighting business.

Mobile is, of course, the largest trigger for growth. But yes, there are small supply chain disruptions, which happened in businesses. But overall, nothing changes as far as long-term outlook is concerned.

Nitin Kaushik: Also, sir, the growth that you are guiding, so I think majority of that would come from mobile phones and other OMS segment, right?

Saurabh Gupta: Yes.

Atul Lall: So mobile undoubtedly is a large segment. But as we shared with you, we see a huge potential and upside in IT hardware for margin expansion and also adjacency, we see a huge upside in our component business in we have just forayed. We see a huge upside in our telecom equipment business. And we are also expanding our appliances business. We are also expanding our lighting business. So all these are triggers for growth. We are getting into new categories of industrial EMS.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Atul Lall: So thank you very much for participating in the earnings call. We really appreciate it. And thanks for your commitment and conviction for Dixon. Really appreciate it. Thank you so much.

Saurabh Gupta: Thank you. Thank you so much.

Moderator: Thank you. On behalf of DAM Capital, that concludes this conference.

Thank you for joining

us. And you may now disconnect your lines. Thank you.

Call: May 2026

Dixon Technologies (India) Limited

15th May , 2026

To
Secretary
Listing Department
BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001 To
Secretary
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Exchange Plaza, Bandra Kurla Complex
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Scrip Code – 540699
ISIN: INE935N01020 Scrip Code - DIXON
ISIN: INE935N01020

Dear Sir/Madam,

Sub: Transcript of the Q4 FY 26 Earnings Conference Call held on 12th May , 2026

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Para A of Part A of Schedule III thereto, please find enclosed herewith the transcript of the Q4 FY 26 Earnings Conference Call of the Company held on Tuesday, 12th May , 2026 .

The said transcript has also been uploaded by the Company on its website and the same is available at <https://www.dixoninfo.com/financial-performance> under the head - Earnings Call Transcripts (2025 -26-Quarter Q4).

We request you to kindly take this on your record and oblige.

Thanking You,

For DIXON TECHNOLOGIES (INDIA) LIMITED

Ashish Kumar
President - Chief Legal Counsel & Group Company Secretary

Encl: As above

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"Dixon Technologies (India) Limited
Q4 FY26 Earnings Conference Call"
May 12, 2026

MANAGEMENT : MR. ATUL LALL – MANAGING DIRECTOR AND VICE
CHAIRMAN – DIXON TECHNOLOGIES (INDIA) LIMITED
MR. SAURABH GUPTA – DIRECTOR AND GROUP CHIEF
FINANCIAL OFFICER– DIXON TECHNOLOGIES (INDIA)
LIMITED

MODERATOR : MR. TANAY SHAH – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Dixon Technologies Q4 FY26 Earnings Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Tanay Shah from DAM Capital. Thank you, and over to you, sir.

Tanay Shah : Thank you, Sir. Good evening, everyone. We welcome to the Dixon Technologies Q4 and FY26 Earnings Call. Today, we have the management being represented by Mr. Atul Lall, Vice Chairman and Managing Director; and Mr. Saurabh Gupta, Director and Group CFO. At this point, I will hand over the floor to Mr. Lall for his initial remarks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.

Atul Lall: Thank you, Tanay. Good evening, everyone. This is Atul Lall, and joining me today is our Director and Group CFO, Saurabh Gupta.

Saurabh Gupta: Good evening, everybody.

Atul Lall: I would like to welcome warmly all our stakeholders to discuss our Q4 and 12 months performance for financial year '25, '26 and future growth outlook. And the key highlights for the quarter are as follows . The revenues for the quarter ended March 31, 2026 was INR10,520 crores EBITDA excluding exceptional gain for the quarter was INR418 crores. PAT after minority interest and excluding exceptional gain for the quarter was INR192 crores.

The key highlights for the whole year are as follows . Revenues for the year ended March 31, 2026, were INR48,893 crores against INR38,880 crores in the same period last year. That's a growth of 26%. EBITDA excluding exceptional gain for the year was INR1,887 crores against

INR1,528 crores in the same period, which is a growth of 23%.

PAT after minority interest, excluding exceptional gain for the year was INR845 crores against INR706 crores in the same period last year, a growth of 20%. Starting March '26, global macroeconomic landscape, has undergone a dramatic transformation, including rising Middle East tensions and concerns around a potential U.S. -Iran escalation, leading to disruption across supply chains, freight, energy, forex and commodity prices.

Q4 revenues remained flat due to geopolitical concerns, softer consumer demand, inventory rationalization by brands, elevated input costs, majorly impacting the smartphone and IT hardware segment. Electronics industries continue to face inflationary pressure in key components such as memory chips and semiconductor linked inputs, driven by AI-led demand and supply constraints resulting in cautious procurement behavior towards brands.

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Despite near-term headwinds, we continue to strengthen our customer partnerships and expand capacities across segments while accelerating our backward integration and localization strategy. Our priorities remain clear to sustain growth momentum, strengthening our competitive positioning and continue to invest in talent capability enhancement.

We will be expanding the capacities of camera module and a subsidiary Q Tech, which is an ECMS beneficiary for smartphones.

from 70 million units annually to around 180 million units

to 190 million units annually over the next 15 to 18 months, largely catering to our captive smartphone volumes in addition to deepening the level of manufacturing, capturing more value add in India.

We have received PN3 and ECMS approval for 74:26 display module JV with HKC.

Construction of our display facility is completed and installation of machineries are ongoing for mobiles, IT hardware products and automotive displays. The response from various brands is very encouraging. The trials will start from beginning of Q3 and mass production will commence from end of Q3, beginning of Q4 this fiscal.

We remain focused to strengthen capital efficiency and balance sheet quality, improved asset utilization, operating leverage and disciplined capital allocation supported healthy ROCE and ROE of 44.8% and 28.1%, respectively. Overall working capital efficiency led to stronger cash flow generation and working capital cycle of negative 8 days. We remain focused on sustaining profitable growth while maintaining strong return ratios and balance sheet discipline.

We remain confident in the long-term Indian EMS opportunity supported by supply chain diversification, increased localization, supportive government policies, PLI-led scale expansion and continue to create a strong multiyear growth runway for the industry.

Now I'll share with you the business performance and insights in each of the segments. Mobile and other EMS businesses. Revenue for the quarter for mobile and other EMS business was INR9,485 crores and operating profit of INR337 crores. Mobile industry has seen some headwinds from memory price inflation and demand moderation in the last 6 months.

Over the past few weeks, supply-demand dynamics are becoming more balanced, and we are beginning to see an improvement in customer ordering pattern, and we expect a high-double-digit growth quarter-on-quarter in the smartphones volume along with growth in selling prices by 12% to 15%. We strongly feel that the momentum will sustain for the balance part of the fiscal year.

We expect a strong growth in volume for our existing U.S. brand, and we expect a significant uptick in volumes for our subsidiary Smartu on export for largely feature phones and also smartphones mainly for Africa market from mid-Q2 and will start manufacturing smartphones for HMD in Q1.

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Our 400,000-square-foot facility for 74:26 Longcheer JV for manufacturing of smartphones and other electronic products is expected to start operations by Q3, which will meaningfully strengthen our execution capabilities. We are having robust order book for smartphones and also in advanced discussion with them for adding other product categories in the JV.

Construction of our 1 million square feet facility in Noida with higher capacities for our anchor customers is nearing completion, and we expect the operation to commence by Q2 this fiscal. Telecom and Networking products.

The segment continued its strong growth trajectory on the back of expanding customer relationships and higher execution across key product categories, driven by increasing network infrastructure investments, including capturing emerging opportunities and growing

localization of telecom equipment manufacturing.

We have commenced manufacturing of highly complex telecom and backhaul microwave radios and plan to initiate exports in this fiscal. We have commissioned a new manufacturing plant for capacity expansion and increased warehousing area to support the growth trajectory. Our strategy in this vertical is to move up the value chain from pure EMS to design-led solution-centric partnership and have now entered into joint design and manufacturing model with a key customer, enabling greater backward integration, localizing a higher share of the BoM.

We expect this vertical to deliver high double-digit revenue growth in the current fiscal. IT hardware products. The segment delivered a healthy performance for the quarter under review, and we expect 3x growth in the revenues in the current fiscal against last year with a huge uptake in order books from all customers.

Our dedicated IT hardware products manufacturing unit in Chennai has successfully established mass production of laptops and all-in-ones and has secured orders for desktop from one of our customers. The execution was the same, should start in Q2 of this fiscal. We have also started manufacturing tablets in addition to laptops for our existing customer.

Our new facility adjacent to our existing facility under our 60:40 JV with Inventec, Taiwan is progressing well and expected to go into mass production in Q3 of the current fiscal. In line with our backward integration plans, we'll commence SSD manufacturing in Q2 and display modules with HKC from end of Q3, beginning Q4. And we're also exploring other critical components such as power supply and mechanicals, which will enhance value addition and margins.

We are also in discussion with a JV partner to participate in the fast-growing server opportunity and to move from end client IT hardware into data center and enterprise infrastructure hardware, which is supported by strong government policy tailwinds on server manufacturing and backward integration, including a clear push on localization and a tax

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holiday framework for the same, which meaningfully improves the viability and return profile of India-based server and component manufacturing.

All the work taken together, these drivers give us strong visibility on robust growth in the vertical and potential to make it a meaningful pillar of Dixon's overall portfolio over the next few years.

Home appliances, revenue for the quarter was INR329 crores and operating profit was INR31 crores. Semi-automatic washing machines continue to deliver robust growth. We have started manufacturing semi-auto washing machines in 16 and 18 kg capacity, which is first across the industry. Fully automatic washing machine business is scaling well on the back of healthy demand and deeper engagements with key brands.

We have a healthy order book in emerging categories such as robotic vacuum cleaners, where we see strong potential for multiyear growth and also deeply working on introduction of other appliances like dishwashers, microwaves and kitchen chimneys, which would help us to offer a complete home appliances portfolio.

This segment continues to demonstrate strong ODM capability across design support, testing, manufacturing, product customization, value-added offering, increase in automation, which will enhance margins and improve customer stickiness.

Addition of a new manufacturing facility in Tirupati will expand our capacities from 0.6 million units per annum by another 0.3 million units, including fully automatic front-loading washing machine, which will be launched by end of Q2 this financial year. So this is the first Indian company launching the ODM solution.

Lighting, the JV with Signify continues to deliver strong revenue growth, and we expect the revenues to grow almost to 2x in the current fiscal. The growth is being driven by the strong operational synergies between Signify's technology leadership and Dixon's manufacturing scale, leading to enhanced productivity, improved operational efficiency and enhanced cost competitiveness with huge focus on automation and backward integration.

Further building on our share in B2B space on bulbs, battens and downlighters, we are significantly increasing our volumes on the other niche products like 2x2 panel lights, T-lights, mirror lights, positioning us firmly as the foremost player in the lighting industry, which is

witnessing consolidation at a rapid scale.

Pursuing an active product mix improvement strategy, we are continuously adding premium indoor and professional lighting products and luminaires to our portfolio. We have received two export orders from one of the largest U.S. chain and a European retail chain for strip

lights. It will start getting executed from Q2 and are also in discussion for other product categories.

Consumer electronics that is LED TV and refrigerators. Revenue for the quarter under review was INR697 crores with an operating profit of INR40 crores. The quarter under review saw a Dixon Technologies (India) Limited
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temporary slowdown in industry demand due to geopolitical concerns and rising input costs, but we have actively procured advanced orders from customers with better price offerings for the upcoming quarters.

Our focus remains on large screen smart, connected and premium models where we can differentiate through manufacturing quality, platform capabilities, cost efficiency and technological upgradation. We have launched production of high-end mini LED TVs and we'll be shifting it to ODM model by Q2 and also introducing soundbar TVs, enabling our customers to tap into the fast-growing premium segments.

Refrigerators, Q4 marked the transition to revised PE norms and upgraded energy efficiency standards for compressors. This led to industry-wide price increase just over the peak summer demand season beginning in January.

As a result, several brands focused on liquidating existing inventory with older BE ratings and limited procurement under the new norms, we continue to see traction with healthy orders and improved visibility book and Direct Cool and mini-bars that's 50 liters and 100 liters. Our ODM capabilities are scaling well, allowing us to offer more differentiated value-added designs and support faster model refreshes.

To support future growth, we are expanding our current facility by another 375,000 square feet, which will also enable manufacturing of 2-door refrigerators, deep freezers, visicoolers and side-by-side refrigerators with meaningful opportunity to move up the value chain, expand wallet share with customers and build a broader appliance platform over the period.

Rexxam Dixon Electronics, our 60:40 JV with Rexxam Japan for AC PCBA continues to perform well, delivering healthy growth along with the strong cash flows and a strong ROCE with a stable and long-term relationship with our anchor customer. We also added a new facility in Chennai, strategically located closer to our anchor customer, which should expand our capacity and strengthen our partnership.

Hearables and Wearables is vertical operated through our JV. The Imagine Marketing continues to see broad-based growth with solid balance sheet and healthy cash flow. In addition, the business has scaled well with our existing product portfolio and has now entered the next phase of expansion by adding new product category, so that dash cams, power banks, smartwatches and other adjacent accessories, which will improve capacity utilization and operating leverage across JV's manufacturing footprint.

High-end specialty EMS business as a part of our next wave of transformational growth, we have partnered with a leading global management consulting firm for designing a comprehensive multiyear strategic road map to build scaled specialty high-margin EMS business, including M&A opportunities focused on aerospace, defense, automotive, medical and industrial verticals.

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This initiative was focused on identifying the most attractive high-growth and high-value products in the above segments, defining a differentiated technology and capability road map and creating a robust execution framework spanning capital allocation, talent development, strategic partn

erships and market expansion with the aim to accelerate Dixon's evolution into a complete competitive manufacturing platform.

With that, I'll conclude my remarks, and both me and Saurabh are happy to take any questions.

Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Pankaj Tibrewal from Ikigai Asset Manager.

Pankaj Tibrewal: Just quickly two, three questions. One, first, congratulations on great cash flow conversion. Preliminary look suggest that the cash flow has been very strong in spite of earnings with a little sluggish, so continue doing that. On '27, just wanted to get your sense on two, three things. One on...

Moderator: I'm sorry to interrupt Pankaj. Can you please use the handset? Your voice is fluctuating.

Pankaj Tibrewal: I'm using the handset only.

Moderator: Okay. Then please speak a little louder. Thank you.

Pankaj Tibrewal: Yes. So on the mobile side, can you give us some color on how we are looking at the ramp-up

on volumes in FY27 ? And what are the other areas of growth this year we are targeting. In terms of IT hardware, I remember last time you spoke about that INR3,500 crores, INR4,000 crores would be possible in this year, FY27 on the display JV, on the camera module.

Can you just take us through some of the growth drivers for this year? And also the Vivo JV, any thoughts on that? How should we think from that perspective? And whether your volume, which you will probably kind of talk about, does it include Vivo -- does it include Vivo? Just some color on that so that we are able to help understand on the growth side.

Atul Lall: Yes, sure, Pankaj Ji . So see, we have really focused on our balance sheet strength. And in spite of a sluggish business environment, we have generated after doing a capex of almost INR1,058 crores, a free cash of INR700-plus crores. The ROCE is 44.8% and working capital operating cycle is negative 8 days. So that way, the balance sheet is very strong for triggering any kind of growth.

Pankaj Tibrewal: Absolutely.

Atul Lall: As far as '27, business plan growth numbers are concerned, and here, I'm talking on mobile without Vivo. We have closed at almost 32 -odd million in the current fiscal. We feel that the overall volumes without Vivo is going to be almost similar, okay? Because there is an overall decline due to increase in the memory prices and the ASP going up significantly .

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Pankaj Tibrewal: Okay.

Atul Lall: As far as Vivo is concerned, we are deeply engaged with the government. We feel that we are very close to it. And that's where the status is. I reiterate that we feel that we are very, very close to it.

Pankaj Tibrewal: And if Vivo comes, what would be the volumes?

Atul Lall: So it depends on the time line. So on an annualized basis, 67% of what Vivo said and last year, Vivo sold almost 35 million units. Another 20 million, 22 million units can be added on an annualized basis. So that's the number.

Apart from that, on the feature phone side, there's a significant upside because we're going to be starting exports of feature phones under our subsidiary Ismartu to Africa. So that number will take us up to almost 50 million units.

Further, we are expecting PLI 2 for mobiles to be rolled out. Let's see what will be the structure and format of it. We understand the focus is going to be more for global markets. If that happens, then I see that beyond Vivo and beyond Ismartu , another 4 million to 5 million units can be added. So I'm giving you the overall picture and direction as far as the mobile is concerned.

Pankaj Tibrewal: Absolutely.

Atul Lall: IT products, the business looks very healthy. We have created more capacities. We have deep relationships with top 4 brands in the country, the global brands. And we feel

that our revenue

in this fiscal is going to be more than INR4,000 crores.

Pankaj Tibrewal: Okay. That's good to hear.

Atul Lall: In our camera module acquisition of Q Tech, we are expanding capacity from present 70 million units to 80 million units to almost 190 million units. Last year, on an annualized basis, we did a revenue of INR1,700 crores. We are targeting a revenue of almost INR2,500 crores in that business.

As far as the display is concerned, the building is ready, the machinery is getting installed. We plan to start the trials in Q3 of this fiscal. And Q4, the commercial production is going to start. I'm not putting in the numbers to that in the current fiscal.

The other triggers of growth, the telecom network business is doing extremely well. We have grown from INR3,600 crores to INR5,000 crores in the current fiscal. We are targeting almost INR7,500 crores, INR8,000 crores in '26, '27. That's another major trigger of growth. In lighting, which was a laggard for us, we did almost INR800 crores, INR850 crores.

The next year target is almost INR1,700 crores. We expect 2x after we have formed the JV with Signify. And then there are further additions our Inventec JV is going to start generating

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numbers from Q3 of the current fiscal. In that, we're going to be setting up the SSD module line, which is going to further generate the numbers. So these are all triggers of growth, which have been planned and they are in the execution mode, Pankaj Ji.

Pankaj Tibrewal: Very nice. Just last question. On the mobile side, is it fair to say that because of the memory chip pricing going up and also your product realization going up, the top line growth could be much higher than the volume growth, which you will see ?

Atul Lall: That's right. That's right.

Saurabh Gupta: So we expect Pankaj to -- that the revenue growth should be at least 12% to 15% higher, if not more.

Pankaj Tibrewal: And that was not the case for the last few years where volume was equal to your top line growth. Is that a fair understanding?

Saurabh Gupta: And once the Vivo thing comes into the system, then we are hoping that the selling prices would be better than our existing weighted average selling price of the current portfolio.

Pankaj Tibrewal: Okay. So that will be an added one from an overall realization perspective?

Saurabh Gupta: So the margins may optically can be lower, but the revenue-wise, there will be upside on that.

Moderator: Next question is from the line of Aditya Bhartia from Investec.

Aditya Bhartia: So my first question is on the PLI scheme coming to an end on the mobile phone side. How are the conversations with customers? Is it only the element that we were retaining, which we'll start losing out in terms of profitability? Or can there be any other hit in terms of PLI scheme going away as well?

Atul Lall: So Aditya, we have 5 large relationships, Motorola, our relationship through Longcheer with Oppo and our other relationships. Please be rest assured that the relationships are extremely strategic, deepened anchor. And we expect volume growth and a larger share of business across all these relationships. So please be rest assured on that.

Obviously, there is a margin pressure because of the PLI going away. A part of it is getting compensated through the enhanced operational efficiency. And the balance part of it is going to start kicking in with the backward integration piece of camera modules and display. So that's the path we are pursuing, which we have shared with you earlier also. But please be rest assured, the anchor relationships are very deep and there is no hit on that.

Aditya Bhartia: Sure. So what we had earlier kind of discussed that 50 to 70 basis points of margin impact may be there. Add to that, maybe optically how the margins may look lower

on account of higher

realizations, but that should be the complete impact, nothing more?

Saurabh Gupta: That's right, Aditya.

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Atul Lall: You have captured it absolutely.

Aditya Bhartia: Perfect, sir. And sir, in the last conference call, you've spoken about industrial EMS wherein you had referred to hiring a senior resource. This time around, you have kind of hinted about exploring different opportunities within specialty EMS.

If you could give us some more details about what are the kind of opportunities within, let's say, aerospace, defense, automotive that you spoke about, how large those opportunities could be? Is it likely to be organic, inorganic? So what's really the road map over there, if there's anything that you can disclose?

Atul Lall: So I think we have already taken a very senior resource at the level of President and CEO, who is going to build this business for us. We have partnered a very large consulting company. Five micro verticals have been identified. Their strategies are being prepared.

Already on the table, there are a couple of serious inorganic opportunities across the verticals that I had mentioned in my opening remarks. So we have not budgeted any numbers out of these opportunities as of now in '26, '27, but we feel that something substantive, at least a couple of them is going to happen in the current fiscal.

Aditya Bhartia: Okay. And any indication on size, sir, how large could these be?

Atul Lall: So these are going to be higher-margin businesses. We feel that each would be -- I mean, the combined opportunities which come in are going to be at least scalable to the size of INR3,000 crores to INR4,000 crores with a significantly higher operating margins, significantly higher operating margins.

Aditya Bhartia: Understood, understood. Sir, my last question on exports of mobile phones. So of course, with Ismartu, we are starting with the feature phones. But is there a road map of moving that relationship to smartphone exports as well? And besides Motorola and Ismartu, which are the potential other customers that may get added, let's say, if PLI 2 scheme comes in and incentivizes export opportunities? Thank you.

Atul Lall: So Aditya, we are -- well, we have had deep discussions with our partner and starting with feature phones with Ismartu, the smartphone exports is also going to be initiated. Of course, the Motorola relationship for export is going to get a flip after the PLI 2. At present, these are the two relationships which are going to mature into exports.

But beyond that, as I had shared in my opening remarks, we have already got two orders, one from large retail chain in U.S., another one from another large retail chain in Europe for lighting. That has already triggered. And also in our telecom business, wherein we have started manufacturing radios, microwave radios, we have got an export break. So step by step, we are building.

Aditya Bhartia: Sure. And this is part of your indication on doubling up of lighting revenues or this could be over and above that?

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Atul Lall: So at present in our -- to be very candid, in our AOP, we have not considered these numbers. This is going to be over and above that.

Moderator: The next question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, first one clarification . When you said that the revenue for the current quarter, you expect a 12% to 15% growth , is it volume? Or are we talking about the value here? And second is -- sorry?

Atul Lall: Yes, it's the volume growth you're talking about.

Siddhartha Bera : Volume growth. Okay.

Saurabh Gupta: And also -- Siddhartha, both the pricing growth will also happen and the volume growth will also happen.

Siddhartha Bera: Understood. And sir,

second thing was on the exports. So how much was the exports in FY26 ?

And I mean, when you say flat volume growth, that does not include exports, right? So the export of 4 million to 5 million will be over and on top of the number which we are planning for the next year?

Atul Lall: So that is subject to the policy framework of mobile PLI 2. In the present -- in the last fiscal, the exports was approximately INR5,375 crores.

Siddhartha Bera: Okay. And any color on which markets are you looking for these exports which we plan to do and in the IT segment also, I think we have seen some increases in the impact from the memory prices and also . Do you see a potential risk of ramp -up slower being there as well as we go into the next few years?

Atul Lall: So Siddhartha, the export market for mobile are largely going to be for our anchor customer to U.S. And for the other partner company, it's going to be to the African countries. As far as the impact of the price increase or cost increase due to commodity prices in IT hardware is concerned, we have large deep relationship. In any case, our base was very small. So we are confident of touching this revenue figure of INR4,000 crores in the current fiscal. And this business, particularly our other partnership with Inventec is in a significant ramp -up phase.

Moderator: We will take our next question from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: I have two questions. Post HKC, sorry, post Vivo, you would have something around 55 million, 57 -odd million smartphone. Let's say, we hit this run rate by FY28 -- at some point in FY28 , and that would imply more than 50% market share of the outsourced market in India. How do we see the smartphone volumes growth post that?

Atul Lall: So we feel undoubtedly that there is a significant potential for exports. One is that. The second is we need to work upon getting a larger share of market of existing brand itself. A couple of relationships, we feel there is still a potential for increasing the share of the wallet.

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And next is bringing in one more acquisition of a large customer. So definitely, the kind of ramp -up growth that Dixon has had in its mobile business is not going to be the same level. But yes, the growth will be there. That's what we are pursuing.

Indrajit Agarwal: So you can gain market share further in the domestic market as well?

Atul Lall: We will definitely strive for it.

Indrajit Agarwal: And second, the smartphone concerns that you talked about, the near -term issues, is it more a demand issue because of rise in ASP or availability of memory chips?

Atul Lall: So due to the kind of relationships that we have as far as the mobile phones customers and principles are concerned, we are able to ensure the supply chain smoothness. So I'm not seeing any shortage due to which the business is getting impacted. But definitely, there is a cost increase. But there is no impact on production.

Indrajit Agarwal: So the cost increase is impacting demand, not production .

Atul Lall: That's right. That's right .

Saurabh Gupta: These are large brands, they have global relationships with the memory suppliers and they're very deep relationships, long -contracts. So I think supply availability is not an issue, Indrajit.

Indrajit Agarwal: The reason I ask is we have seen Apple and Samsung gain market share in the Indian market while most of the Chinese brands losing. All right. That answers. Thank you so much.

Moderator: Next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Company Limited.

Keyur Pandya: Sir, on the mobile volume side, you mentioned demand, maybe pricing impacting the demand. So when we speak to industry people, so their point of view is that basically there is a shortage

below \$200 kind of phones and their bra

nds are also prioritizing premium phones because of the shortage. Now in that backdrop, what is giving us confidence of flat volumes? Are we getting higher wallet share?

And thereby, we are securing our volumes or as you mentioned, there is no impact on demand even with the same wallet share, you are confident of flat volumes. Since this part of commentary versus the industry player was slightly different, so just wanted to get more clarity on it?

Atul Lall: So in our case, what we are pursuing is a larger share of the customers' wallet that how many new project wins we are having. And with those project wins with us, we are fairly confident that we'll sustain the volumes. Am I able to answer your question?

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Keyur Pandya: Yes, yes, clearly. And just one more clarification. So as you have highlighted earlier, the profitability is on the per unit basis. So optically on the percentage margin may look lower, but that is it, otherwise per unit absolute profit remains intact?

Atul Lall: That's right.

Keyur Pandya: X of PLI?

Atul Lall: That's right.

Moderator: Next question is from the line of Bharat Shah from BCS Capital Ideas Limited.

Bharat Shah: Atul ji, I'm just kind of reflecting on the past and kind of drawing the line ahead, for the longest period, we have done wonderfully well in terms of -- across many areas, but mobile phone has been one. And we're able to not only grow with it but throughout we maintained financial hygiene of the balance sheet and capital efficiency ...

Moderator: I'm sorry to interrupt Mr. Shah, your voice is fluctuating.

Bharat Shah: Is this better now?

Moderator: Yes. Thank you. Please proceed.

Bharat Shah: Yes. So I was saying that over a period of time, we have taken hold of mobile opportunity in a big way and have grown. But somewhere along the line, do you think that strategically we have allowed ourselves to depend way too much on mobile phone where it has become very large part of the business and therefore, anything unfortunate happening is affecting our overall picture like it has happened in the last year where memory, other things, JV approvals not coming or have combined together and it has hurt us. Have we strategically kind of taken eyes off the ball?

Atul Lall: Bharat bhai, how do we strategize the business? We look at the opportunity pool. We look at the scalability of that opportunity. We look at derisking after the scalability that can we have multiple customers? Is there a possibility of entering the global markets? And also, is there a possibility of deepening the manufacturing.

Now in EMS services sector, the biggest opportunity pool was and is mobile. And it was aligning with the government policy framework, which I think as a company, we have leveraged well. Now definitely, there have been some aberrations. There have been some delays, particularly in Vivo government approval.

And also similar business model, we have tried and we have tried successfully deploying it across the other product categories. We have done it well in telecom products. Please appreciate in '23, '24, we were at INR700 crores, we have grown to INR3,600 crores and last year INR5,000 crores and this year to INR8,000 crores. It's absolutely a similar model.

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We are trying to do the same thing with the IT product, where we see that a similar trajectory of growth will happen. Now with the new -- with the balance sheet strength and also the new foray in to components is being replicating through the similar strategy. Now I humbly admit where possibly we have missed out is on the high-margin category of industrial EMS.

Saurabh Gupta: Correct.

Atul Lall: So yes, that I accept. So yes, possibly, I should have tried it 2 years back. So that's where we are, Bharat

bhai.

Bharat Shah: Sure. And therefore, if we sum it up all that it is there in various other initiatives which we have taken and probably more we will take from the current year INR47,000 crores, INR48,000 crores turnover that we have achieved, what kind of -- because there are too many moving parts, so what kind of turnover one should believe would be there for the current year? And with what kind of margin similar, better or lower?

Atul Lall: So Bharat bhai, usually, I don't give guidance, but then, let me just share with you. Without the Vivo numbers, this year, we closed at almost INR48,000 crores -- INR48,800 -odd crores. Next year, we are targeting almost INR56,000 crores without the Vivo numbers, and mobile volume being flat. If Vivo comes in, then it's a very major trigger. We feel that without the Vivo also, the company will keep growing at almost 15% to 17%.

Bharat Shah: And with a better, same or lower margin in the current year compared to last year?

Atul Lall: So the margin profile will be slightly under pressure this year because the PLI has gone off, and there is a lag in the margin accretion happening due to component foray. But finally, when the component play is completely deployed, there will be a margin expansion from last year's number by almost 40 bps, 50 bps.

Bharat Shah: So overall profitability rise rather than margin. Overall profit for the company in the current year will rise compared to last year?

Atul Lall: Yes, absolute profitability will rise.

Saurabh Gupta: Yes, absolute profitability will rise. And once the component play comes in, sir, there will be a significant margin expansion, which will largely get played out in '27, '28. Camera modules will start to be -- will happen in H2, where we happen -- we are deepening the level of manufacturing. But your display part, which is a larger part of the backward integration strategy will start playing out in '27, '28.

Bharat Shah: Sure. Not a question, but just a point ...

Moderator: I am sorry to interrupt Bharat sir.

Bharat Shah: I am putting just a point, not a question. Don't worry. You see, I mean, our capability, core capability is the hardcore manufacturing at efficient cost. And we have done a wonderful,

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wonderful job in that cash flow, balance sheet, ROCE, ROE, everything. I think manufacturing, industry, automobile, defense relating, there are multiple opportunities, I think, which once we widen the horizon, I think opportunity can widen materially. That is all that I wanted to put in. Thank you.

Atul Lall: We are absolutely aligned with you. And just to respond to you, there are significant adjacencies in our existing forays also. For example, the display one is getting such positive traction from the automotive industry. So there are many, many adjacencies and also what I had mentioned responding to the question by Aditya that our foray into industrial EMS, please be rest assured will be a reality.

Moderator: Next question is from the line of Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: First question, just a clarification, the 32 million included the exports of 5.5 million, right?

Atul Lall: No. This is not including exports.

Achal Lohade: Would you be able to quantify for FY26, what is the export number, sir?

Saurabh Gupta: No. 33 million, yes, is what we did...

Atul Lall: '26, '27 number -- 32 million.

Saurabh Gupta: Achal, your question is on '26, '27 number?

Achal Lohade: For FY26?

Saurabh Gupta: 33 million smartphones, and that includes a smartphone -- that includes export.

Achal Lohade: Including exports. And when you're guiding for flat volume, that also in a similar context, total basis or that was just for the domestic?

Saurabh Gupta: Export volumes can be over and above this 33 million.

Atul Lall: Yes, sir

so that is largely domestic.

Achal Lohade: And what was the quantum for export in FY26, sir, if you could call out that?

Atul Lall: Around 4 million.

Saurabh Gupta: 4.5 million, something.

Achal Lohade: Understood. The second question I had was with respect to PLI. If you could clarify what is the PLI income we booked on a gross and net basis for FY26? And how much did we receive?

And how much is outstanding as of 31st March 2026?

Saurabh Gupta: Yes. So the first part of the question, the total PLI income which has been booked across the 5 -- the 4 PLI schemes that we are a beneficiary of. The total income is around INR360-odd

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crores. And overall across these 4 PLI, the overall receivable balance will be closer to INR1,380 -odd crores.

Achal Lohade: Just a clarification. I'm not asking any new question. Just a clarification. Is this net PLI number Saurabh ji?

Saurabh Gupta: What is net?

Achal Lohade: INR360 crores as in there is gross and there is pass-through, right? And so there is a net PLI recognized in the period.

Saurabh Gupta: Of course, and INR960 crores would be the net. INR960 crores is the pass on, so difference is the net number.

Moderator: Next question is from the line of Ashutosh Kumar Jha from Balyasny Asset Management.

Ashutosh Kumar Jha: Just two questions. One is a bookkeeping question. On the mobile and EMS division, can you just break out the Hearables, Wearables, Telecom and Q Tech part of it possibly?

Atul Lall: We don't split these numbers, please, if you don't mind.

Ashutosh Kumar Jha: Understood. No worries. The second was around your earlier comment on the ASP increases that are happening in the industry. As far as Dixon is concerned, can you just clarify the accounting on what happens when the ASP goes up due to memory issues? Then how does it impact our revenue? And how does it exactly impact our EBITDA? Does EBITDA per unit remains same or EBITDA profitability remains that same?

Saurabh Gupta: Yes. So basically, it's the bill of -- so basically, the revenue is a function of the bill of material, the cost of goods sold plus our conversion charge. So if the bill of material, the cost of goods sold goes up because of increase in the memory prices. So accordingly, the revenue will go up. What our understanding with the customer is that we get an EBITDA per unit depending on the complexity, which goes into the smartphone with various models of smartphones. So yes, if the revenue goes up, the margin will optically look lower. So we get a per unit conversion charge.

Moderator: Next question is from the line of Santhosh Seshadri from Avendus Spark.

Santhosh Seshadri: My first question is on the volume guidance for the full year. Correct me if I'm wrong, sir, based on the FY26 volumes of 32 million to 33 million units, our run rate for 4Q '26 implies 5 million units approximately.

And if we factor in the guided volume growth of 12 to 15 percentage sequentially and extrapolate that to second quarter of FY27 as well, we are arriving at roughly 12 million units to 13 million units for first half and 20 million units for second half. So could you explain -- is this largely driven by the steep recovery in the second half? Is it driven by any customer ramps or any market share gains? Or is it just a broader demand recovery?

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Saurabh Gupta: Look first of all, your quarter 4 numbers are closer to 5.6 million. So it's not 5 million. And then we are saying on this, we expect a higher double-digit teen growth in terms of volumes. And we have that numbers in mind, but we don't want to share the specific number. So high double-digit teen growth I'm talking about. And then on top of it, we are talking about a 12% to 15% pricing growth.

So there will be a significant

growth in terms of mobile revenues overall on account of both pricing and volume. Then of course, you can't just multiply the quarter 1 numbers into 4 because there's always a quarter 2 generally is the best quarter for us. And also the exports, which we mentioned also will start happening from Q2, which we mentioned in our opening remarks.

So we feel confident that excluding Vivo, we will be looking at a similar volumes. Exports can potentially add some more volumes to it. And then the Vivo volumes as and when the approval comes in, it will have a proportionate impact for the balance part of the year.

Santhosh Seshadri: Thank you. And my second question is on the display business. Could you provide some more color on the ramp-up schedule? And how should we think about the margins and the utilization for FY26 and -- sorry, FY27 and FY28?

Atul Lall: So in the Phase 1, we are setting up a capacity of 24 million mobile displays annually and 2.4 million of automotive and IT product display. The first line we installed is for IT products and automotive display for which the trial is going to start in Q3 of current fiscal and the commercial production is going to start in Q4 of the current fiscal. Mobile display, the trial and the commercial production is going to start in Q4 of the current fiscal.

As I've shared, finally, the capacity buildup for mobile over the next 2 years is going to be from 24 million to at most 50 million, 55 million. In the final picture of this business, the revenue target, once we start achieving 80% to 90% of the capacity utilization, the revenue generation is going to be almost INR5,500 crores to INR6,000 crores with a double-digit margin.

Moderator: Next question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Just a follow-up on the last question. Once the display business will ramp up, so fair to assume the margin could be mid- to high teens?

Atul Lall: Sorry, the question is not clear. You're not very -- I'm not able to understand -- we're not able to understand, please. Can you repeat?

Saurabh Gupta: Please, can you repeat the question, Keshav?

Keshav Lahoti: Hello. Am I audible?

Saurabh Gupta: Yes, you are audible, but we could not understand your question. Can you repeat it?

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Keshav Lahoti: Yes. So my question is once the display business will ramp up, is it fair to assume the margin will be mid - to high teens?

Atul Lall: We feel that it should be double-digit margin. Yes, it should be in mid -teens.

Saurabh Gupta: So that your understanding is right.

Keshav Lahoti: Understood. Got it. So -- but let's say, what about if we expect FY28 will be a full year of revision, so initially it would start with lower and possibly will ramp up to mid - to high teens in the next 2 years. That is how we should look at the business, right?

Atul Lall: That's right.

Moderator: Next question is from the line of Rahul Agarwal from Ikigai Asset.

Rahul Agarwal: Just two questions. Two questions are on capex. Clearly, we are going ahead with most of the capacity expansions. Even fiscal '26, you ended at INR1,000 crores. Sir, next year, fiscal '27, how do we look at the capex budget and which segments take the largest share? That is question one.

And question two, just from a top -down perspective for Dixon, both from an input cost inflation perspective and the forex rate, which is INR -U.S. dollar, how does it impact Dixon, positive or negative? Is there a time lag between what we should actually anticipate once it's a 100% pass-through business is what I understand. Could you just put some thoughts around these three points, which will really help to understand further. Thank you so much.

Atul Lall: So Rahul, on the capex side, we feel that the capex number, where a lot of capex in our existing b

usiness has already been front-ended. The capex allocation is largely going to be on three things. One, our display capacity. Second, our expansion of the IT business, and third is expansion of our camera module capacity and deepening of manufacturing.

As far as the absolute number is concerned, it will be in the similar range. And the balance sheet and the cash accruals are adequate to support this expansion. As far as the commodity price increase and the currency fluctuation is concerned, and our EMS business is an absolute pass-through. So there is no currency risk and there is no time lag.

As far as our ODM business is concerned, which is the business of our appliances that is washing machine, refrigerator, LED television and lighting, that's wherein we do a product sale, and we have to pass on that cost increase to the customer. Yes, we are pushing that cost increase to the customer. Sometimes there can be a lag of a couple of months. But largely, we are able to pass it on to the customer. So that's where it is.

Moderator: Next question is from the line of Saumil Mehta from Kotak AMC.

Saumil Mehta: So one question from my side. In terms of the industrial EMS opportunity, is it fair to assume that in terms of the opportunity size, it is maybe as big or bigger than the IT hardware. And

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also from a margin perspective, it will be better margins with less dependency on government PLIs, etcetera. Would that be a fair assumption?

Atul Lall: Yes, you are absolutely right.

Saurabh Gupta: Not so -- Saumil, in terms of revenues, IT hardware can be a bigger opportunity. But margin profiles definitely in an EMS, high-margin EMS business, specialty EMS business will be much, much higher. And definitely, yes, there is no PLI there in that particular segment.

Saumil Mehta: And my second, just a bookkeeping question of the INR360 crores of net PLI what you have booked across 5 entities, would it be possible to give just for the mobile and EMS division?

Saurabh Gupta: Yes. So that would be just -- so that is closer to almost INR250-odd crores.

Saumil Mehta: INR250 crores. And last question, now with various things on the plate, is it fair to assume that our earlier thoughts of putting up a display fab unit is much in the less priority versus some of the other businesses what we are talking about?

Atul Lall: Yes, that's right.

Saurabh Gupta: That's right.

Moderator: Next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: I have a couple of them. One is you spoke about server opportunity that looking at data center servers. Could you highlight like what stage of discussion are we in? What is the kind of work that we could get over the next, say, 12 months, 18 months here? Or is it very, very initial stage?

Atul Lall: Well, we are mapping this opportunity and dialogue with our partner has already started. We feel that the government policy framework for local manufacturing of servers for serving the

Indian Data Center requirement is going to get at a significant flip. So the contours are being worked out. Exact numbers and opportunity in terms of numbers, I'm not in a position to share. I think it's early for that.

Pulkit Patni: Sure sir. This is clear. Sir, my second question is I'm referring to notes to accounts 11, which talks about INR1100 -odd crores, which is receivable from PLI and INR730-odd crores that is payable. Could you highlight the reason why this is like mentioned in the note? Is it something where government has not given approval? Like if you could just highlight what's the status there in terms of both our receivable and our payout to the customer?

Saurabh Gupta: Yes. So basically, as part of the PLI scheme, there was a provision under the guideline that -- and there was a budget allocated to it for domestic companies

s, five domestic companies and five foreign companies.

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Now -- and there was a provision under the guideline that if some company underperforms, those five domestic companies underperform, there -- to the extent that there is an overperformance by a company and in this case, of course, is Dixon, the incentive will be given to the extent of underperformance by other companies.

So we have been given all the incentives by the government till the ceiling revenues, which is ceiling, which is defined per applicant or per company. Now the overflow money is still pending, which we are in discussions with the government.

And so there will be a -- and similar cases would be there for foreign companies as well, the vendors of large global brands. So that thing is being pursued with the government. So the auditors felt right that there should be a note to it, and that's the reason it has been mentioned.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference back to the management for closing comments.

Atul Lall: So thank you so much, everyone, for being with us today evening, and thanks a lot. Have a great day.

Saurabh Gupta: Thank you so much. Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.